

GEARED *for* GROWTH

AMÃNA BANK PLC | ANNUAL REPORT 2017

Amãna Bank



It's *Your* Bank

GEARED *for* GROWTH

With a significant capital enhancement along with stronger strategic partnerships, our journey towards success just got accelerated! Our success thus far is owing to the longstanding confidence placed in us by our valued stakeholders. Reciprocating them through strong results continues to be our utmost priority.

We stand firm on our commitment towards people friendly banking with a passion for continuous improvement and innovation. We look ahead towards the next phase of our journey, Geared for Growth, stronger than ever before.

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Read the annual report online

www.amanabank.lk/en/investor-relation

OUR VISION

To be an admired leader in providing equitable financial solutions, not limited to numerics, but also in earning the trust of our customers, employees, shareholders and country.

OUR MISSION

To adopt a unique and people friendly approach with a passion for continuous improvement, enabling growth and enriching lives of our customers.

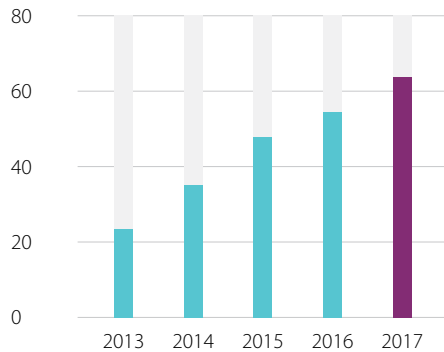
FINANCIAL HIGHLIGHTS

	2017	2016	Change	Change
Operating Results for the Year - LKR '000				
Financing Income	5,544,237	4,039,624	1,504,613	37%
Net Financing Income	2,753,619	1,924,289	829,330	43%
Total Operating Expenses	2,039,573	1,945,017	94,556	5%
Operating Profit Before VAT on Financial Services and NBT	1,058,565	271,078	787,486	291%
Profit Before Tax	739,319	102,812	636,507	619%
Tax Expenses	236,491	62,171	174,319	280%
Profit for the Year	502,828	40,640	462,187	1137%
Assets and Liabilities - LKR '000				
Financing and Receivables to Other Customers (Advances)	42,914,144	38,451,662	4,462,481	12%
Total Assets	63,540,083	54,314,987	9,225,096	17%
Due to Other Customers (Deposits)	50,922,561	46,915,290	4,007,271	9%
Total Liabilities	52,226,280	48,526,941	3,699,339	8%
Shareholders' Funds	11,313,802	5,788,046	5,525,757	95%
Profitability - %				
Net Financing Margin	4.2	3.6		
Return on Assets (after Tax)	0.8	0.1		
Return on Equity	5.8	0.7		
Gross Non Performing Advances Ratio	1.9	0.9		
Net Non Performing Advances Ratio	0.7	0.4		
Investor Information - LKR				
Net Asset Value per Share	4.52	4.63		
Market Value per Share - as at 31 December	3.70	4.00		
Earnings per share - basic/diluted	0.29	0.03		
Regulatory Ratios - %				
Capital Adequacy Ratios				
Common Equity Tier 1 Capital Ratio (Minimum Requirement - 5.75%)	20.0	N/A		
Tier I Capital Ratio (Minimum Requirement - 7.25%)	20.0	10.4*		
Total Capital Ratio (Minimum Requirement - 11.25%)	21.5	10.8*		
Statutory Liquid Assets Ratio				
DBU (Minimum Requirement - 20%).	22.2	22.6		
OBU (Minimum Requirement - 20%)	41.5	26.9		
Liquidity Coverage Ratio				
Rupee (Minimum Requirement - 80%)	200.7	110.6		
All Currency (Minimum Requirement - 80%)	174.7	82.3		

* In accordance with the Basel II guidelines

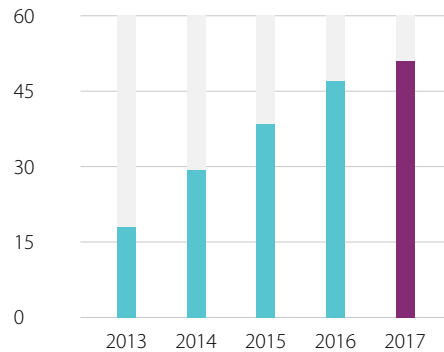
Total Assets

(LKR Billion)



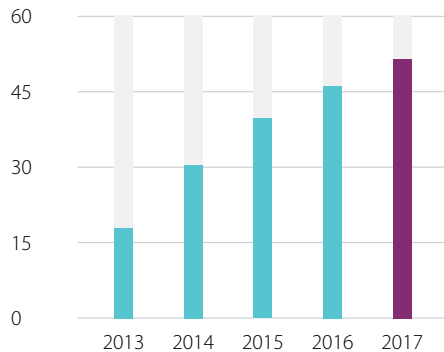
Deposits

(LKR Billion)



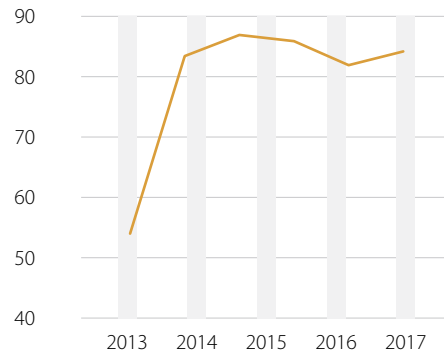
Advances

(LKR Billion)



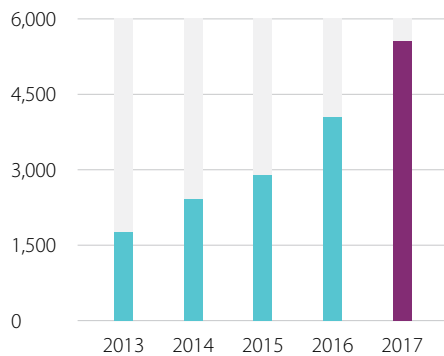
Advances to Deposits Ratio

(%)



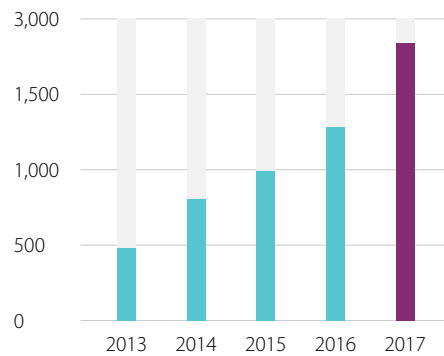
Financing Income

(LKR Million)



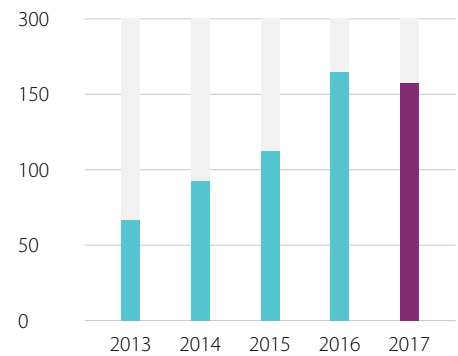
Net Financing Income

(LKR Million)



Net Fees and Commission Income

(LKR Million)



OTHER HIGHLIGHTS



250,369

Number of
Customers
2017

2016 - 214,967



28

Number of
Branches
2017

2016 - 28



33

Number of
Own ATMs
2017

2016 - 31



5

Number of
CDMs
2017

2016 - 0



7

Number of Industry
Awards won
2017

2016 - 7



742

Number of
Staff
2017

2016 - 718



23

Number of Gold
Financing Units
2017

2016 - 21



BB(LKA)

STABLE OUTLOOK

External Rating
2017

2016 - BB(lka) Stable Outlook

GEARED TO ACCELERATE

Having doubled our capital, we now stand on a strong foundation to accelerate our growth and expansion.



Mar Apr May Jun Jul Aug Sep Oct Nov Dec

CHAIRMAN'S MESSAGE

Osman Kassim - Chairman



In 2017, Amāna Bank's ethical banking model continued to make further inroads into society at an accelerated pace reaching out to, hitherto unbanked and under-banked segments.

In the Name of Allah the Most Gracious the Most Merciful

Ethical Banking- an Integral Part of Sri Lanka's Financial Services Industry Today!

In an increasingly competitive and dynamic operating environment, I am pleased to report an outstanding year for Amāna Bank in the financial year 2017, with a profit after tax of over LKR 500 million.

I warmly welcome all our Shareholders to the ninth AGM of Amāna Bank PLC and present to you the annual report and audited financial statements for 2017. Before proceeding further, I would like to offer my heartfelt gratitude to my colleague and Bank's Senior Director, Dato' Tajudin Abdul Rahman, who retired during the year, for his immense contribution to the Bank's progress since its formation.

Economic Background

The global economy recorded a growth of 3% in 2017 surpassing expectations mainly in the areas of investment, manufacturing and trade. Forecasts for 2018 remain positive with growth projected to reach 3.1%, subsequent to advanced economies in the European Union reaching a reasonable level of political and economic stability. Regional growth prospects are expected to improve from 6.5% in 2017, to 6.9% in 2018, due to strong demand for consumption, higher exports and revival of key sectors in such economies.

The Sri Lankan economy is expected to have grown by 4% in 2017, compared to 4.4% in 2016. This is mainly due to the adverse weather conditions that prevailed in most parts of the Island. Economic improvement in 2018 is likely, and is envisaged to stem from a stronger global economy, enhanced trade relations, increased investment through FDI and continuation of economic reforms.

In 2017, despite Exports growing by 10.2%, the Trade Deficit expanded due to increased expenditure on Imports. The Balance of Payments recorded a surplus of USD 2 billion, reflecting positive developments in the external sector including the reinstatement of the GSP+. With improved inflows into the country, gross reserves reached USD 8 billion as at end 2017, compared to USD 6 billion at end 2016. Inflation rose to 7.7% on an annual average basis in December 2017, whilst market rates continued to remain high during the year.

Performance of Amāna Bank

In 2017, Amāna Bank's ethical banking model continued to make further inroads into society at an accelerated pace reaching out to, hitherto unbanked and under-banked segments. Amāna Bank was able to penetrate deeper into the country's diverse SME sector, and in particular rural economies that represent a major share of the national economy. Through this expansion, the Bank has reached out to touch the lives of over a quarter-million people, many of whom did not previously deal with any formal banking channel - an achievement not only for Amāna Bank, but also for the country's far sighted regulators and policymakers, who have facilitated the advancement of ethical banking in Sri Lanka.

A key priority of the Bank during 2017 was capital enhancement in line with the Central Bank's minimum capital requirements. This was achieved through a successful rights issue of ordinary shares, which gave rise to an investment from a subsidiary of the IDB Group, a large multilateral institution with an AAA rating and having a membership of 57 countries from across the globe. An investment of this magnitude was possible, despite Sri Lanka not being a member country of the said multilateral

institution, mainly due to the progressive attitude of the country's financial sector policy makers. Building on this success, I am pleased to report that the Bank was given the opportunity to showcase its products at the General Assembly of this august body in Jeddah, in the presence of Heads of States and Central Bank Governors from many different countries - which has also contributed towards enhancing Sri Lanka's image at a global level.

Ensuring Good Governance

Regulatory compliance is an inviolable tenet at Amāna Bank in all aspects of operations and during the financial year 2017 the Bank satisfactorily complied with all corporate governance requirements stipulated by the Central Bank and guidelines issued by the Sharia Supervisory Council.

The Bank commenced BASEL III implementation from 1 July 2017 and the annual review of capital adequacy (ICAAP), was submitted to the Central Bank within the required new timeline of 31 May 2017. The stated capital of the Bank has now almost doubled from LKR 5.8 billion in 2016, to LKR 10.6 billion in 2017, resulting in your Bank achieving the current minimum capital requirement of LKR 10 billion. In line with regulatory directives, Treasury and Foreign Exchange policies were amended, and the Bank is preparing to adopt new standards on the Net Stable Funding Ratio (NSFR) when implementation commences in April 2018. The risk management framework was reviewed by the Board Integrated Risk Management Committee and has been approved by the Board. Amāna Bank policies on whistle blowing, information security and human resource management, have also been reassessed, reformulated and approved by the Board. We have also constituted a team to implement the new

CHAIRMAN'S MESSAGE

Sri Lanka Accounting Standard - SLFRS 9, which will come into effect from 1 January 2018. In addition, we continued to keep our Directors abreast of the latest developments in regulations, where a workshop on anti-money laundering was organized during the year.

I kindly request that our shareholders refer pages 78 to 107 for further details on the Bank's status of compliance.

Looking Forward

As amply demonstrated by the current year's performance, I am confident Amāna Bank has the strength and drive, by The Grace of God, to overcome all challenges facing the Bank in the future. We are now examining avenues for a further capital enhancement in line with the Central Bank's Direction issued in October 2017, to further enhance capital funds to LKR 20 billion, by 31 December 2020. In addition, we anticipate that changes to the tax structure will also impact banking sector profitability in the new financial year.

Despite this challenging outlook, I believe Amāna Bank's growing popularity and our strategic growth model will ensure sustained growth in the financial year 2018. The Bank remains firmly focused on creating wealth for our esteemed shareholders, whilst also contributing towards the wellbeing of other stakeholders.

In closing, I would like to extend my sincere gratitude to the Board of Directors for their valuable insights and welcome our new Directors who were appointed in January 2018, namely Aaron Russell-Davison an independent Director, Adeeb Ahmad and Mohammed Ataur Rahman Chowdhury, representatives of IDB group. I wish to thank

the Members of the Sharia Supervisory Council for their wise counsel at all times and appreciate and value the contributions made by the Management and Staff towards making 2017 a highly successful year. I would also like to offer my appreciation to the Central Bank, the Colombo Stock Exchange and Securities and Exchange Commission for their guidance and advice on regulatory compliance. I look forward to further improvements to the regulatory and policy environment in line with global trends that will support continued financial sector growth and attract significant FDIs into the country from the region.



Osman Kassim
Chairman

28 February 2018

සහාපතිතුමන්ගේ පණිවුඩය

අමාත්‍යා බැංකුවේ ආචාරධර්මය බැංකුකරණ ආකෘතිය 2017 වර්ෂය තුළදී බැංකුකරණයෙන් වියුක්ත සහ සීමිත වූ සමාජ ස්ථරයන් වෙත තවදුරටත් ප්‍රවේශකාරී අන්දමින් ප්‍රවේශ විය. ජාතික ආර්ථිකයෙන් බහුතරයක් නියෝජනය කරන සුළු හා මධ්‍ය පරිමාණ ව්‍යාපාර අංශ වලට, විශේෂයෙන්ම ග්‍රාමීය ආර්ථික තුළට, මනා ලෙස අවතීර්ණ වීමට අමාත්‍යා බැංකුවට හැකියාව ලැබිණි.

මහා කාරුණික වූ ද පරම දයාබර වූ ද අල්ලාහ්ගේ නාමයෙන්

අචාරධර්මය බැංකුකරණය - අද ශ්‍රී ලංකාවේ මූල්‍ය ක්ෂේත්‍රයේ මූලිකාංගයක්!

ඉහළ තරගකාරීත්වයක් සහ ක්‍රියාකාරී මෙහෙයුම් පරිසරයක් තුළ, 2017 මූල්‍ය වර්ෂය සඳහා රුපියල් මිලියන 500 කට වැඩි බදු වලින් පසු ලාභයක් ලබාගත් සුවිශේෂී වර්ෂයක අමාත්‍යා බැංකුවේ ප්‍රගතිය අපගේ කොටස් හිමියන්ට වාර්තා කිරීමට ලැබීම ගැන මා වඩාත් සතුටට පත්වෙමි.

අමාත්‍යා බැංකුවේ නම වැනි වාර්ෂික මහා සහා රැස්වීම සඳහා අපගේ සියලුම කොටස් හිමියන් සාදරයෙන් පිළිගනු ලබන අතර 2017 වර්ෂය සඳහා විගණනය කරන ලද මූල්‍ය ප්‍රකාශන සහ වාර්ෂික වාර්තාව ඔබ සැමට පිළිගන්වමි.

බැංකුව ආරම්භ කළ දින සිටම බැංකුවේ ප්‍රගතිය වෙනුවෙන් අනති දායකත්වයක් ලබාදුන්, මෙම වර්ෂය තුළ දී අධ්‍යක්ෂ මණ්ඩලයෙන් විශ්‍රාම ලත් බැංකුවේ ජ්‍යෙෂ්ඨ අධ්‍යක්ෂවරයෙකු වූ ඩාවෝ තජුදින් අඬුල් රහ්මාන් මහතාට මාගේ හදපිරි ප්‍රණාමය පුද කර සිටිමි.

ආර්ථික පසුබිම

ආයෝජන, නිෂ්පාදන සහ වෙළෙඳාම යන අංශ වල අපේක්ෂිත තත්ත්වයන් අභිබවා 2017 වර්ෂයේදී ගෝලීය ආර්ථිකය 3% ක වර්ධනයක් වාර්තා කර ඇත. යුරෝපීය සංගමයේ ඉහළ තලයේ ආර්ථිකයන් සැලකිය යුතු දේශපාලන හා ආර්ථික ස්ථායීතාවයක් ළඟා කරගැනීම සහ ඇස්තමේන්තු ගත 3.1% ක වර්ධන වේගය සමඟ 2018 වර්ෂය සඳහා වූ පුරෝකථනයන් ධනාත්මකව පවතී. කලාපීය රටවල පාරිභෝජනය

සඳහා වූ ශක්තිමත් ඉල්ලුම, ඉහළ අපනයන සහ ප්‍රධාන ක්ෂේත්‍රයන්හි පිබිදීම යන හේතු මත 2017 වර්ෂයේ පැවැති 6.5% ක වර්ධන වේගය 2018 වර්ෂයේදී 6.9% දක්වා ධනාත්මකව වර්ධනය වනු ඇතැයි අපේක්ෂා කෙරේ.

2016 වර්ෂයේ 4.4% ක්ව පැවැති ලංකාවේ ආර්ථික වර්ධනය 2017 වර්ෂයේදී 4% ක් පමණ වනු ඇතැයි අපේක්ෂා කරනු ලැබේ. එයට ප්‍රධාන හේතුව ලෙස හඳුනාගෙන ඇත්තේ රටෙහි විවිධ ප්‍රදේශ වලට බලපෑ අහිතකර කාලගුණික තත්ත්වයයි. ශක්තිමත් ගෝලීය ආර්ථික තත්ත්වයන්, ඉහළ නංවන ලද වෙළඳ සබඳතා, සෘජු විදේශ ආයෝජන හරහා ගලා එන ආයෝජන ඉහළ යෑම සහ අඛණ්ඩව සිදුකරන ආර්ථික ප්‍රතිසංස්කරණ යන සාධක මත 2018 වර්ෂයේ ආර්ථික වර්ධනය ශක්තිමත් වනු ඇතැයි බලාපොරොත්තු වේ.

2017 වර්ෂයේදී අපනයන 10.2% කින් වර්ධනය වුවද, ආනයන මත වියදම වර්ධනය වීම නිසා වෙළඳ හිඟය පුළුල් විය. GSP+ නැවත පිහිටුවීම වැනි විදේශීය අංශ වල ධනාත්මක ප්‍රගතියක් නිරූපණය කරමින් ගෙවුම් ශේෂය ඇ.ඩො. බිලියන 2 ක අතිරික්තයක් වාර්තා කර ඇත. රට තුළට ගලා ආ විදේශ ආයෝජන සමඟ 2016 අවසාන වන විට පැවති ඇ.ඩො. බිලියන 6 ක පමණ දළ විදේශ සංචිත 2017 වර්ෂය අවසාන වන විට ඇ.ඩො. බිලියන 8 දක්වා වර්ධනය වී ඇත. වර්ෂය තුළදී වෙළඳපොළ අනුපාත ඉහළ අගයන් නිරූපනය කළ අතර 2017 වර්ෂයේ දෙසැම්බර් මාසයේ දී වාර්ෂික සාමාන්‍යය මත උද්ධමනය 7.7% දක්වා ඉහළ ගොස් ඇත.

අමාත්‍යා බැංකුවේ කාර්යඵල

අමාත්‍යා බැංකුවේ ආචාරධර්මය බැංකුකරණ ආකෘතිය 2017 වර්ෂය තුළදී බැංකුකරණයෙන් වියුක්ත සහ සීමිත වූ සමාජ ස්ථරයන් වෙත තවදුරටත් ප්‍රවේශකාරී අන්දමින් ප්‍රවේශ විය. ජාතික ආර්ථිකයෙන් බහුතරයක් නියෝජනය කරන සුළු හා මධ්‍ය පරිමාණ ව්‍යාපාර අංශ වලට, විශේෂයෙන්ම ග්‍රාමීය ආර්ථික තුළට, මනා ලෙස අවතීර්ණ වීමට අමාත්‍යා බැංකුවට හැකියාව ලැබිණි. මෙම ව්‍යාප්තිය තුළින් අප බැංකුව දෙලක්ෂ පනස්දහස ඉක්මවා ගිය

සහාපතිතුමන්ගේ පණිවුඩය

ගනුදෙනුකරුවන්ගේ ප්‍රසාදය දිනා ගැනීමට සමත් වූ අතර ඉන් බොහෝ දෙනෙක් මෙයට පෙර ක්‍රමවත් බැංකුකරණ මාධ්‍යයන් සමග ගනුදෙනු කර නොතිබිණ. මෙය හුදු අමානා බැංකුවේ ජයග්‍රහණයක් පමණක් නොව ශ්‍රී ලංකාවේ ආචාරධර්මීය බැංකුකරණයේ සාර්ථකත්වය සඳහා පසුබිම සකස් කළ දුරදර්ශී නියාමන අධිකාරීන් සහ ප්‍රතිපත්ති සම්පාදකයින්ගේද ජයග්‍රහණයකි.

2017 වර්ෂයේදී බැංකුවේ ප්‍රධාන ප්‍රමුඛතාවය වූයේ ශ්‍රී ලංකා මහ බැංකුවේ අවම ප්‍රාග්ධන අවශ්‍යතාවයන්ට සමගාමීව බැංකුවේ ප්‍රාග්ධනය වර්ධනය කිරීමයි. සාමාන්‍ය කොටස් සඳහා සාර්ථක හිමිකම් නිකුත්වත් හරහා එම ප්‍රමුඛතාවය සපුරා ගනු ලැබූ අතර ඒ සඳහා ලොව පුරා රටවල් 57 ක සාමාජිකත්වය ඇති, AAA ශ්‍රේණිය ලද මහා පරිමාණ බහුපාර්ශ්වීය ආයතනයක් වන IDB සමූහයේ පරිපාලිත සමාගමක ආයෝජනයක් ඉවහල් වීම සුවිශේෂී කරුණකි. ඉහත සඳහන් බහුපාර්ශ්වීය ආයතනයේ සාමාජික රටක් නොවන පසුබිමක දී වුවද ඉහත සඳහන් ආයෝජනය ශ්‍රී ලංකාවට හිමි කර ගැනීමට හැකිවීම විශිෂ්ට ජයග්‍රහණයකි. මෙම සාර්ථකත්වය ඔස්සේ විවිධ රටවල් වල රාජ්‍ය ප්‍රධානීන්ගේ හා මහ බැංකු අධිපතිවරුන්ගේ සහභාගිත්වයෙන් පැවති IDB වාර්ෂික සමුළුවේදී අපගේ අමානා බැංකුවේ බැංකු නිමැවුම් හා සේවා ඉදිරිපත් කිරීමට අපට අවස්ථාව උදා වූ අතර ඒ තුළින් ගෝලීය වශයෙන් ශ්‍රී ලංකාව සම්බන්ධයෙන් වූ පිළිගැනීම ඉහළ නංවා ගැනීමට ද හැකියාව ලැබිණ.

යහපාලනය තහවුරු කිරීම

නියාමන අනුකූලතාවය අමානා බැංකුවේ සියලු මෙහෙයුම් අංශයන්හි බලපැවැත්වෙන නියතයකි. එසේම 2017 මූල්‍ය වර්ෂය තුළදී අමානා බැංකුව ශ්‍රී ලංකා මහ බැංකුව මගින් නියම කර ඇති සාංගමික යහපාලන අවශ්‍යතා සඳහා සහ ශරීර්‍ය අධීක්ෂණ කවුන්සිලය මගින් නිකුත් කළ මාර්ගෝපදේශ වලට අනුකූල වී ඇත.

2017 ජූලි මස 01 දින සිට බැංකුව BASEL III ප්‍රමිත ස්ථාපිත කිරීම ආරම්භ කළ අතර නව ප්‍රාග්ධන ප්‍රමාණාත්මකතාවය (ICAAP) සඳහා වාර්ෂික සමාලෝචනය ශ්‍රී ලංකා මහ බැංකුවේ නව කාල නිර්ණය වන 2017 මැයි මස 31 වන දින ඇතුළත

ඉදිරිපත් කරන ලදී. 2016 වර්ෂයේ රුපියල් බිලියන 5.8 ක් වූ බැංකුවේ ප්‍රකාශිත ප්‍රාග්ධනය 2017 වර්ෂය වන විට රුපියල් බිලියන 10.6 ක් දක්වා වර්ධනය කරගැනීමට සමත් වූ බැවින් අවම ප්‍රාග්ධන අවශ්‍යතාවය වන රුපියල් බිලියන 10 කඩ ඉම ඉක්මවා යෑමට අමානා බැංකුව සමත් විය.

නියාමන නියෝග වලට සමගාමීව භාණ්ඩාගාර සහ විදේශ විනිමය ප්‍රතිපත්ති සංශෝධනය කළ අතර 2018 වර්ෂයේ අප්‍රේල් මාසයේදී ස්ථාපිත කිරීම ආරම්භ කිරීමේදී ශුද්ධ ස්ථායී අරමුදල් අනුපාතය (NSFR) මත නව ප්‍රමිත යොදාගැනීමට බැංකුව සූදානම් වෙමින් සිටී. අධ්‍යක්ෂ මණ්ඩලයේ ඒකාබද්ධ අවදානම් කළමණාකරණ කමිටුව මගින් බැංකුවේ අවදානම් කළමණාකරණ රාමුව පුනරීක්ෂණය කළ අතර ආයතනයේ අකටයුතුකම් දැනුම් දීම, තොරතුරු ආරක්ෂණය සහ මානව සම්පත් කළමණාකරණය පිළිබඳ බැංකුවේ ප්‍රතිපත්ති අධ්‍යක්ෂ මණ්ඩලය විසින් ප්‍රති තක්සේරු කිරීම සහ අනුමත කිරීම සිදුකරන ලදී. තවද 2018 වර්ෂයේ ජනවාරි මස 1 දින සිට බලපැවැත්වෙන නව ශ්‍රී ලංකා ගිණුම්කරණ ප්‍රතිපත්ති - SLFRS 9 ස්ථාපිත කිරීම සඳහා කමිටුවක් ද පිහිටුවන ලදී. ඊට අමතරව මුදල් විශුද්ධිකරණ වැළැක්වීමේ ප්‍රවණතා වැඩිමුළුවක් පවත්වමින් අධ්‍යක්ෂ මණ්ඩලය දැනුවත් කළඅතර ඒ සඳහා අමානා බැංකුවේ සෑම අධ්‍යක්ෂවරයෙක්ම සහභාගී විය.

බැංකුවේ අනුකූලතාවය පිළිබඳ වැඩිදුර තොරතුරු සඳහා පිටු අංක 78 සිට 107 දක්වා පරිශීලනය කරන ලෙස කොටස් හිමියන්ගෙන් මා කාරුණිකව ඉල්ලා සිටිමි.

ඉදිරි දැක්ම

සර්ව බලධාරී දෙවියන් වහන්සේ ගේ ආශීර්වාදයන් සමග ප්‍රවර්තන වර්ෂයේ කාර්ය සාධනයන් මෙන්ම අනාගතයේ දී එළඹෙන අභියෝගයන් ජය ගැනීමට අවශ්‍ය ශක්තිය ද අමානා බැංකුව සතු බවට විශ්වාස කරමි. 2017 ඔක්තෝබර් මස නිකුත් කළ මහ බැංකුවේ නියමයන්ට අනුකූලව බැංකුවේ ප්‍රාග්ධන අරමුදල් 2020 දෙසැම්බර් 31 වන විට රුපියල් බිලියන 20 දක්වා තවදුරටත් ඉහළ නංවා ගැනීමට සැලසුම් කරමින් සිටිමු. ඊට අමතරව බදු ව්‍යුහයේ වෙනස් වීම්, නව මූල්‍ය වර්ෂයේ බැංකුකරණ අංශයේ

ලාභදායීත්වයට බලපෑමක් ඇති කරනු ඇතැයි විශ්වාස කරමු.

අපගේ උපායමාර්ගික වර්ධන ආකෘතිය තුළින් 2018 මූල්‍ය වර්ෂය තුළදී අමානා බැංකුවේ ජනප්‍රියත්වය සහ වර්ධනය තවදුරටත් වැඩි දියුණු කරගැනීමට අපට හැකිවනු ඇතැයි මා තරයේ විශ්වාස කරමි. සියලු පාර්ශ්වකරුවන්ගේ යහපත පිණිස දායකත්වය සපයන අතරවාරයේ අපගේ කොටස් හිමියන්ගේ ආයෝජනය වර්ධනය කිරීම සඳහා බැංකුව නිරන්තරව කටයුතු කරනු ඇත.

මාගේ සමාලෝචනය අවසාන කරමින්, සෑම විටම නිසි උපදේශනය ලබාදුන් අධ්‍යක්ෂ මණ්ඩලයට ද ශරීර්‍ය අධීක්ෂණ කමිටුවට ද මාගේ ප්‍රණාමය පිරි නමන අතර අධ්‍යක්ෂ මණ්ඩලයේ නව සාමාජිකත්වය ලත් ස්වාධීන අධ්‍යක්ෂ ඒරන් රසල්-ඩේවිසන් මහතා සහ IDB සමූහයේ නියෝජිතයන් වන අද්බ් අහ්මඩ් සහ මොහමඩ් අතාඋර් රත්මාන් වඩුදිරි මහත්වරුන් සාදරයෙන් පිළිගනිමි.

2017 වර්ෂය සාර්ථක වසරක් බවට පත්කරගැනීමට වටිනා දායකත්වයක් සැපයූ කළමණාකාරීත්වයට සහ සේවක මණ්ඩලයට මාගේ ස්තූතිය පුද කරමි. නියාමන අනුකූලතා සම්බන්ධයෙන් අපහට නිරන්තර මාර්ගෝපදේශකත්වයන් සැපයූ ශ්‍රී ලංකා මහ බැංකුව, කොළඹ කොටස් හුවමාරුව සහ ශ්‍රී ලංකා සුරැකුම්පත් සහ විනිමය කොමිෂන් සභාව යන ආයතන වලටද මාගේ ස්තූතිය පුද කරමි. රට තුළට සෘජු විදේශ ආයෝජන ආකර්ෂණය කරගැනීමට සහ මූල්‍ය ක්ෂේත්‍ර සංවර්ධනය අඛණ්ඩව පවත්වා ගැනීමට උපකාරී වන ලෝක ප්‍රවණතාවන්ට සමගාමීව නියාමන හා ප්‍රතිපත්තිමය පරිසරයන්හි වැඩි දියුණු කිරීම් තවදුරටත් සිදු කරනු ඇතැයි මා බලාපොරොත්තු වෙමි.



ඔස්මාන් කාසිම්
සහාපති

2018 පෙබරවාරි 28

தலைவரின் செய்தி

2017 ஆம் ஆண்டில் அமானா வங்கியின் நன்னெறிமுறையான வங்கித்துறைச் செயற்பாடுகள், சமுதாயத்தில் இதுவரையில் வங்கிச் செயற்பாடுகளில் ஈடுபடாத, குறைவாக ஈடுபடக்கூடிய பிரிவினர்களுக்கு மிக விரைவாக அடையக்கூடியதாக அமைந்தது.

அளவற்ற அருளாளனும், நிகரற்ற அன்புடையானுமாகிய அல்லாஹ்வின் திருநாமத்தால் ஆரம்பம் செய்கிறேன்.

நன்னெறி வங்கி முறை இலங்கையின் இன்றைய நிதித்துறையில் ஓர் முக்கிய பகுதி!

அதிகரித்த போட்டி மற்றும் விசையியக்கமுடைய செயற்பாட்டுச் சூழலில், 2017 ஆம் நிதியாண்டில், அமானா வங்கி 500 மில்லியன் ரூபாவுக்கும் அதிகமான வரிக்குப் பிந்திய இலாபத்தை ஈட்டியுள்ளமை பற்றி அறிவிப்பதில் நான் மகிழ்ச்சியடைகின்றேன்.

அமானா வங்கியின் ஒன்பதாவது வருடாந்தப் பொதுக் கூட்டத்திற்கு சகல பங்குதாரர்களையும் அன்புடன் அழைப்பதோடு, 2017 ஆம் ஆண்டுக்கான ஆண்டறிக்கையையும், கணக்காய்வு செய்யப்பட்ட நிதி அறிக்கைகளையும் சமர்ப்பிக்கின்றேன். ஆய்வுக்குட்பட்ட காலப்பகுதியில் ஓய்வில் சென்றவரும், வங்கியின் சிரேஷ்ட பணிப்பாளரும், எனது சகபாடியும், வங்கி ஆரம்பிக்கப்பட்ட

காலத்திலிருந்து அதன் முன்னேற்றத்திற்கென பாரியளவிலான பங்களிப்பை வழங்கியவருமான டாட்டோ தாஜுதீன் அப்துல் றஹ்மான் அவர்களுக்கு எனது மனப்பூர்வமான நன்றியை மகிழ்ச்சியுடன் தெரிவித்துக்கொள்ள விரும்புகின்றேன்.

பொருளாதாரப் பின்னணி

உலக நாடுகளின் பொருளாதாரம், 2017 ஆம் ஆண்டின் எதிர்பார்ப்புக்களைக் கடந்து 3% வளர்ச்சியை முக்கியமாக முதலீடு, உற்பத்தி மற்றும் வர்த்தகம் ஆகிய துறைகளில் பதிவு செய்துள்ளது. ஐரோப்பிய சமூகம் அரசியல் மற்றும் பொருளாதார ஸ்திர நிலை நியாயமான பொருளாதார மட்டத்தை அடைந்தமை, 2018 ஆம் ஆண்டுக்கான எதிர்வுகூறுல்களின் 3.1% வளர்ச்சியை உலகளாவிய பொருளாதாரம் அடையும் என்று எதிர்பார்க்கப்படுகின்றது. பிராந்திய பொருளாதார வளர்ச்சியைப் பொறுத்த வரையில், 2017 ஆம் ஆண்டில் பாவனைப் பொருட்களின் அதிகரிப்பு, நுகர்வு, ஏற்றுமதிகள் அதிகரிப்பு, பொருளாதாரத்தின் முக்கிய துறைகளில்

மறுமலர்ச்சி என்பன காரணமாக 2018 ஆம் ஆண்டில் பொருளாதார வளர்ச்சி 6.5% இல் இருந்து 6.9% ஆக அதிகரிக்கும் என எதிர்பார்க்கப்படுகின்றது.

2016 ஆம் ஆண்டின் இலங்கையின் 4.4% பொருளாதார வளர்ச்சியுடன் ஒப்பிடுகையில், 2017 ஆம் ஆண்டின் வளர்ச்சி 4% ஆக அமையும் என எதிர்பார்க்கப்படுகின்றது. இதற்கான முக்கிய காரணம் நாட்டின் சகல பகுதிகளிலும் நிலவிய மிக மோசமான காலநிலையாகும். பொருளாதார அபிவிருத்தி நடவடிக்கைகள் 2018 ஆம் ஆண்டில் சிறப்பாக அமையுமென எதிர்பார்க்கப்படுகின்றது. பலமான உலகப் பொருளாதாரம், மேம்பட்ட வர்த்தக உறவுகள், நேரடி வெளிநாட்டு முதலீடுகள் தொடர்ச்சியான பொருளாதார சீர்திருத்த நடவடிக்கைகள் இதற்கு பெரிதும் உதவுமென எதிர்பார்க்கப்படுகின்றது.

2017 ஆம் ஆண்டில் ஏற்றுமதி வர்த்தகம் 10.2% ஆக அதிகரித்த போதிலும், இறக்குமதி சம்பந்தமான அதிகரித்த செலவினம் காரணமாக, வியாபாரப் பற்றாக்குறை அதிகரித்திருந்தது. GSP+ இன் மீள் அறிமுகம் உட்பட வெளிவாரி துறைகளில் ஆக்கபூர்வமான அபிவிருத்தியைப் பிரதிபலிக்கும் வகையில் கொடுப்பனவுகளின் நிலுவை 02 பில்லியன் டொலர்கள் என்ற மேலதிகத் தொகையை அடைந்திருந்தது. நாட்டிற்குள் உள்பாய்ச்சல்கள் அதிகரித்ததோடு, 2017 ஆம் ஆண்டு இறுதியளவில் மொத்த ஒதுக்குத் தொகை 8 பில்லியன் டொலர்களாக இருந்தது 2016 - 6 பில்லியன் டொலர்களுடன் ஒப்பிடுகையில், பண வீக்கம் வருடாந்த சராசரி அடிப்படையில் 7.7% ஆக அதிகரித்தது. ஆய்வுக்குட்பட்ட காலப்பகுதியில் நிதிச் சந்தை வீதங்கள் தொடர்ந்தும் உயர் நிலையில் இருந்தன.

அமானா வங்கியின் செயற்பாடுகள்

2017 ஆம் ஆண்டில் அமானா வங்கியின் நன்னெறிமுறையான வங்கித்துறைச் செயற்பாடுகள், சமுதாயத்தில்

தலைவரின் செய்தி

இதுவரையில் வங்கிச் செயற்பாடுகளில் ஈடுபடாத, குறைவாக ஈடுபடக்கூடிய பிரிவினர்களுக்கு மிக விரைவாக அடையக்கூடியதாக அமைந்தது. 2017 ஆம் ஆண்டில் அமானா வங்கி சிறிய, நடுத்தர மற்றும் நுண் துறைகளுக்குள் மற்றும் நாட்டின் பாரிய பங்கு வகிக்கும் கிராமியப் பொருளாதாரத்திலும் ஆழமாகப் பிரவேசிக்க முடிந்துள்ளது. இந்த வளர்ச்சி சுமார் இரண்டரை இலட்சம் பேரின் வாழ்வில் கரம்கோர்க்க முடிந்தது. இவர்களில் பலர் முன்னர் வங்கிகளுடன் தொடர்பில்லாதோர். இந்த வெற்றி அமானா வங்கிக்கு மாத்திரமல்லாமல், இலங்கையில் தூர நோக்கோடு நெறிமுறையுடன் கூடிய வங்கி முறையின் முன்னேற்றத்திற்காக கொள்கைகளை வகுத்த அதிகாரிகளையும் சாரும்.

2017 ஆம் ஆண்டில் வங்கியின் முக்கிய முன்னுரிமை விடயமாக மத்திய வங்கியின் ஆகக் குறைந்த மூலதனத்தை அதிகரிக்கும் நடவடிக்கை எமது இலக்காக அமைந்தது. இவ்விதத்தை சாதாரண பங்குகளின் மூலம் வெற்றிகரமாக அடைய முடிந்தது. இதன்காரணமாக, IDB குழுமத்தின் கிளை நிறுவனத்தின் மூலதனம் அதிகரித்தது. இவ் நிறுவனம் 57 நாடுகளில் அங்கத்துவத்தைக் கொண்டதும், AAA தர மதிப்பைப் பெற்றதுமான பஸ்தேசிய நிறுவனமாகும். மேலே குறிப்பிட்ட பஸ்தேசிய அமைப்பில் இலங்கை அங்கத்துவத்தைக் கொண்டிராத போதிலும், இத்தகைய பெருந்தொகையான மூலதனம் இடம்பெறுவதற்கான காரணம், நாட்டின் நிதித்துறைக் கொள்கையாக்கவியலாளர்களின் முற்போக்கு அடிப்படையிலான மனோ நிலையாகும். இத்தகைய வெற்றிகரமான நடவடிக்கைகள் காரணமாக, கௌரவமான இந்த அமைப்பினது ஜெத்தாவில் நடைபெற்ற பொதுச் சபையில் வங்கியின் உருவாக்கங்களைக் காட்சிப்படுத்துவதற்கான சந்தர்ப்பம் கிடைத்தது. பல்வேறு நாடுகளின்

தலைவர்கள், மத்திய வங்கி ஆளுநர்கள் உட்பட முக்கியமான தலைவர்களும், அதிகாரிகளும் அங்கு சமூகமளித்திருந்தமை குறிப்பிடத்தக்கது. உலக நாடுகள் மட்டத்தில் இலங்கையின் நன்மதிப்பை இது அதிகரிக்க வாய்ப்பளித்தது.

சிறந்த ஆளுமையை நிச்சயித்தல்

அமானா வங்கியின் சகல நடவடிக்கைகளிலும், சட்டபூர்வ ஒழுங்குமுறைகளை முழு அளவில் கடைப்பிடித்து வருகிறது. 2017 நிதியாண்டின் போது, மத்திய வங்கியினால் தெரிவிக்கப்பட்ட சகல கூட்டமைப்பு ஆளுமை வரையறைகளையும், ஷரீஆ மேற்பார்வை மன்றத்தினால் வழங்கப்பட்ட வழிகாட்டி நெறிகளையும் முழு அளவில் திருப்திகரமாக வங்கி கடைப்பிடித்துள்ளது.

பாசல் III நடைமுறையை 2017 ஜூலை முதலாம் திகதியிலிருந்து ஆரம்பித்த வங்கி, மூலதன போதிய தன்மையின் வருடாந்த மீளாய்வை (ICAAP) அதற்கான கால எல்லையான 2017 மே 31 க்குள் மத்திய வங்கிக்குச் சமர்ப்பித்துள்ளது. வங்கியின் மூலதன அடித்தளம், 2016 ஆம் ஆண்டில் 5.8 பில்லியன் ரூபா என்ற நிலையிலிருந்து 2017 இல் 10.6 பில்லியன் ரூபா என்ற நிலைக்கு சுமார் இரண்டு மடங்காக அதிகரிக்கப்பட்டுள்ளது. ஒழுங்கமைப்புப் பணிப்புரைகளுக்கு ஏற்ற வகையில் திறைசேரி மற்றும் வெளிநாட்டு நாணயமாற்றுக் கொள்கைகள் திருத்தப்பட்டன. 2018 ஏப்ரல் மாதத்தில் தேறிய நிலையான நிதியமைப்பு வீதத்தின் (NSFR) புதிய தரங்களைக் கடைப்பிடிப்பதற்கும் வங்கி தயாராகி வருகிறது. இடர் முகாமைத்துவ அமைப்பு, சபை தலைமையிலான இடர் முகாமைத்துவக் குழுவின் மீளாய்வு செய்யப்பட்டு, சபையினாலும், வங்கியினாலும் அங்கீகரிக்கப்பட்டுள்ளது. சீழ்க்கை மொழி எழுப்புதல் (நெறியின்மை பற்றிய) தகவல் பாதுகாப்பு, மனிதவள முகாமைத்துவம்

சம்பந்தமான கொள்கைகளும் மீள் மதிப்பீடு செய்யப்பட்டு, மீளமைக்கப்பட்டு, சபையினால் ஏற்றுக்கொள்ளப்பட்டுள்ளன. 2018 ஜனவரி முதலாம் திகதியிலிருந்து நடைமுறைக்கு வரும் SLFRS 9 என்ற புதிய இலங்கை கணக்கியல் தரத்தை நடைமுறைக்கிடுவது தொடர்பாக குழு ஒன்றையும் நாம் நியமித்திருக்கின்றோம். இவற்றுக்கு மேலதிகமாக, நிதிச்சலவைக்கு எதிரான தேசிய மற்றும் சர்வதேச நடவடிக்கைகள் பற்றிய செயலமர்வின் மூலம் எமது பணிப்பாளர்களுக்கு தொடர்ந்தும் நாம் அறிவுறுத்தி வந்துள்ளோம். இந்த செயலமர்வில் அமானா வங்கியின் பணிப்பாளர்கள் அனைவரும் பங்குபற்றியமை முக்கிய விடயமாகும்.

சட்டத்தைக் கடைப்பிடித்து மேற்கொள்ளும் வங்கியின் நடவடிக்கைகள் சம்பந்தமாக 78 இல் இருந்து 107 வரையிலான பக்கங்களைப் பார்க்குமாறு பங்குதாரர்களை நான் பணிவன்புடன் கேட்டுக்கொள்கின்றேன்.

எதிர்காலத் திட்டங்கள்

தற்போதைய வருட செயற்பாட்டின் மூலம் பாரியளவில் வெளிப்படுத்தப்பட்ட பெறுபேறுகளின் அடிப்படையில், வருங்காலத்தில் வங்கி எதிர்நோக்கக்கூடிய சகல சவால்களையும் வென்றெடுப்பதற்குத் தேவையான பலத்தையும், உந்துசக்தியையும் இறையருளால் அமானா வங்கி கொண்டுள்ளது என்பதையிட்டு நான் பூரண நம்பிக்கை கொண்டுள்ளேன். 2017 ஒக்டோபர் மாதத்தில் மத்திய வங்கியினால் மூலதன அதிகரிப்பு சம்பந்தமாக விடுக்கப்பட்ட பணிப்புரைக்கு அமைய, 2020 டிசம்பர் 31 அளவில் வங்கியின் மூலதனத்தை 20 பில்லியன் ரூபாவாக அதிகரிப்பதற்கான வழிவகைகளையிட்டு நாம் ஆராய்ந்து வருகின்றோம். அதேவேளை, புதிய நிதியாண்டில் வரி அமைப்பில் கொண்டு வரப்பட இருக்கும் மாற்றங்களின் அடிப்படையில் வங்கித்துறை இலாபமீட்டும்

தன்மையில் பாரியளவிலான தாக்கம் ஏற்படும் என்றும் நாம் எதிர்பார்க்கின்றோம்.

இத்தகைய சவால்கள் எதிர்நோக்கப்பட்ட போதிலும், அமானா வங்கியின் வளர்ந்து வரும் ஜனரஞ்சகத் தன்மையும், எமது வியூகத்திட்ட வளர்ச்சி முறையும் 2018 ஆம் நிதியாண்டில் நிலைபேறான வளர்ச்சியை வழங்கும் என்றும் நான் நம்புகின்றேன். பெறுமதிமிக்க எமது பங்குதாரர்களின் வளங்கள் அதிகரிக்கப்படுவதைக் கவனத்தில் கொண்டுள்ள அதேசமயத்தில், சகல துறைகளிலும் எமது பங்காளர்களின் மேம்பாட்டிற்கு எமது பங்களிப்பை நாம் வழங்குகின்றோம்.

நிறைவாக, எனது நன்றியை பணிப்பாளர் சபைக்குத் தெரிவித்துக் கொள்வதோடு, 2018 ஜனவரி மாதம் புதிதாக நியமிக்கப்பட்ட பணிப்பாளர்களாகிய அரோன் ரசல் டெவிசன் (சுயாதீனமான பணிப்பாளர்) மற்றும் IDB குழுமத்தின் பிரதிநிதிகளாகிய அதிப் அஹ்மட் மற்றும் மொஹமட் அதாஉர் ரஹ்மான் செளந்த்ரி ஆகியோரை வரவேற்பதில் மகிழ்ச்சியடைகிறேன். மேலும் சகல வேளைகளிலும் சிறந்த ஆலோசனைகளை வழங்கிய ஷரீஆ மேற்பார்வை சபை உறுப்பினர்கள், சகல சந்தர்ப்பங்களிலும் அர்ப்பணித்த சேவையை வழங்கி 2017 ஆம் ஆண்டை வெற்றிகரமான வருடமாக உருவாக்கிய முகாமைத்துவத்தினர் மற்றும் ஊழியர்களுக்கு எனது மனப்பூர்வமான நன்றியைத் தெரிவித்துக் கொள்கின்றேன். வங்கி நடவடிக்கைகளில் ஒழுங்கமைப்பு சம்பந்தமாக வழிகாட்டல்களையும், ஆலோசனைகளையும் வழங்கிய மத்திய வங்கி, கொழும்பு பங்குப்பரிவர்த்தனை நிலையம், பங்குப்பரிவர்த்தனை ஆணைக்குழுவினரும் எனது நன்றிகள் உரித்தாகட்டும். நிதித்துறையில் தொடர்ச்சியான வளர்ச்சிக்கு உதவுவதும், நிதித்துறை வளர்ச்சிக்கும் வெளிநாட்டு முதலீடுகளை ஊக்குவிக்கவும்

தேவையான ஒழுங்கமைப்பு சார்ந்த மற்றும் கொள்கை சார்ந்த சீர்திருத்தங்களை ஆவலுடன் எதிர்பார்க்கின்றேன்.



ஒஸ்மான் காசிம்
தலைவர்

2018 பெப்ரவரி 28

CHIEF EXECUTIVE OFFICER'S REVIEW

Mohamed Azmeer - Chief Executive Officer



It has been an exceptional year for Amāna Bank with a 10 fold growth in PAT, reaching LKR 502 million, reflecting a remarkable YoY growth from LKR 40.6 million in 2016, whilst PBT showcased a growth of 619% to read at LKR 739.3 million.

Amāna Bank made significant progress in 2017 towards securing the future stability and sustainability of the Bank. The infusion of fresh capital from the rights issue which encompassed the strategic investment from the Islamic Development Bank (IDB) Group will enable swift and sustained growth of the balance sheet over the short to medium term. It also was satisfying to note that the said capital infusion was largely represented by foreign direct investments into the country, amounting to approximately USD 22 million. The 29.9% shareholding by the IDB Group in particular, which is a AAA rated multilateral financial entity represented in 57 countries, is a noteworthy boost to Amāna Bank's image and repute on an international platform.

In the context of performance and market presence too, I am pleased to report noteworthy progress within the 12-months under review, where the Amāna Bank brand together with its ethical banking proposition have gained greater acceptance among all communities in the country.

Operating environment

The operating environment faced by the Bank during 2017 was fairly challenging due to a combination of several macroeconomic developments that had direct impact on demand, delivery and margins. The market rates remained high which had a direct negative correlation on the rate of demand for credit, whilst increased taxes, such as the expected introduction of Debt repayment levy (DRL) may put pressure on profits in the future. Further, the imposition of Capital Gains tax had a notable impact on the bottom line during the year, as Bank owned properties were subject to noteworthy value appreciation. Meanwhile, the capital market performance was subdued throughout

the year due to somewhat a slow pace of recovery of the Colombo Stock Exchange.

Faced by rising cost structures and customer expectations, the trend towards digitalisation gained momentum in the domestic financial sector, precipitating faster ICT adaptation across all types of financial service providers. To date, the role of financial technology, abbreviated as fintech, which refers to a plethora of new information technology innovations for the delivery of financial services, remains the most significant change factor impacting Sri Lanka's financial sector, driving a transformation across financial institutions. Always in the vanguard of progressive change, Amāna Bank has been quick to make this transition on to digital platforms with ICT injections across the business model that has enhanced product quality, service delivery and customer convenience.

Financial and non financial performance

Overall, it has been an exceptional year for Amāna Bank with a 10 fold growth in PAT, reaching LKR 502 million, reflecting a remarkable YoY growth from LKR 40.6 million in 2016, whilst PBT showcased a growth of 619% to read at LKR 739.3 million.

The operating profit before VAT & NBT grew, surpassing LKR 1 billion, supported by improved margins and containing incremental costs within 5%. The Bank's Financing Income grew by LKR 1.5 billion or 37% YoY to LKR 5.54 billion, while its Net Financing Income grew by 43% YoY to close at LKR 2.75 billion, reflecting a strong growth in core banking income. The Bank saw its total assets increase by 17% touching LKR 63.5 billion. This growth was achieved while containing the NPA ratio at 1.89%, which is below the industry average. In particular, the

substantial contribution from the regional branches towards this growth was indeed noteworthy.

I am pleased to report that Amāna Bank has also achieved tangible progress in relation to non-financial objectives, particularly in terms of harnessing ICT. The Bank's digitalisation strategy continued on-track with successful upgrades to the core banking system, coupled with a range of new ICT-driven banking solutions, including the installation of offsite self-banking centers with CDMs, enhanced internet and mobile banking facilities, online account opening and the Bank-At-Your-Doorstep solutions.

Pending the conclusion of capital enhancement, the physical expansion of the branch network was temporarily put on hold. However, to compensate for this slow-down in growth of the physical footprint, expansion of customer service points was ramped up during the year, while focusing on Vantage Customer Service Units, to continually increase public accessibility to our products and services. In addition, in the last quarter of 2017, banking hours at our Main Branch were extended to 365-days to enhance customer convenience whilst continuing to offer customers the convenience of Saturday Banking in more locations. Catering to the growing demand, the highly popular and award winning Gold Safe Keeping product was extended to almost all branches facilitating credit flows to financially-marginalised communities across the island.

Improvements to performance were backed by a Performance Management System coupled with a targeted Competency Development Programme, in line with the Bank's 5-year strategic plan. Employee engagement was central to motivating and

CHIEF EXECUTIVE OFFICER'S REVIEW

Amāna Bank will continue to focus on economic inclusivity via its SME and Retail segments embedded in our 5 year Strategic Plan. This would be achieved with specialised products that would facilitate the growth and development of these segments that collectively represent the economic backbone of the country.

driving productivity across the organisation, and the Bank also initiated a succession grooming plan to ensure an uninterrupted supply of trained talent and leadership to maintain growth momentum over the mid-to-long-term.

Outlook for 2018

The financial year 2018 will be yet another year of financial consolidation for the Bank to meet the latest regulatory capital enhancement target of LKR 20 billion by end 2020. This will require doubling the current regulatory capital in less than three years from now. The Bank's profitability and its balance sheet, as in the case of the entire industry, will also be affected by the new accounting standards introduced by the Institute of Chartered Accountants of Sri Lanka, in particular the SLFRS 9 on impairment provisioning, which will be effective from January 2018. The Board is fully cognisant of these new challenges and has already directed and endorsed action plans to ensure Amāna Bank's full and timely compliance. I am also optimistic that country's subdued capital market would rebound to reflect the growth and potential of the Bank as well as the sector, in their respective share prices.

At an operational level, the focus in 2018 will be on deposit mobilisation, whilst introducing new products catering to ever evolving customer requirements. This will be further facilitated through the planned roll out of 16 Self Banking Centres during 2018 in selected strategic locations across the country. Amāna Bank will continue to focus on economic inclusivity via its SME and Retail segments embedded in our 5 year Strategic Plan. This would be achieved with

specialised products that would facilitate the growth and development of these segments that collectively represent the economic backbone of the country.

I believe employee motivation is essential for the success of any organisation, in light of which, Amāna Bank will hold its second Awards Ceremony, pursuant to the successful inaugural event held in 2016, to recognise much valued employee contributions. I'm confident that these initiatives will drive Amāna Bank to sustain its growth momentum in 2018.

During the financial year 2017, Amāna Bank was able to lay a solid foundation for a promising future and I would like to thank the Board of Directors and the Sharia Council for their prudent guidance on ethical banking throughout the year. In this regard, I must also extend my gratitude to the regulators, for being supportive of the Bank's endeavours. My heartiest appreciations go out to the Bank's Management Committee and staff for their valuable contribution during the year and I look forward to giving our collective best to make the financial year 2018 another triumphant year for Amāna Bank.



Mohamed Azmeer
Chief Executive Officer

28 February 2018
Colombo

PROFILE OF CHIEF EXECUTIVE OFFICER

Mohamed Azmeer took over the leadership of the Bank in June 2014. Prior to that, as the Bank's Chief Operating Officer, he was overseeing the business functions of the Bank's Consumer, SME, Corporate and Treasury divisions. Before joining Amāna Bank, Azmeer had gained significant exposure to conventional and Islamic banking through his illustrious career, both locally and internationally, which spans over 30 years.

Having commenced a career in banking at Commercial Bank of Ceylon, Azmeer's leadership progression and banking intuitiveness was a result of his overseas experience, primarily at Citibank, UAE, where he had gained the unique experience of both business and risk aspects of banking, having overseen such operations at senior levels. During such tenure, he also carried out many short overseas assignments to countries such as UK, India and Kenya, where he acquainted himself to the different dynamics and challenges specific to each business and region. At the culmination of his career at Citibank he held the position of Vice President – Risk for UAE and Oman. Azmeer's experience also includes 'start-ups' where he was a founder member of the erstwhile Dubai Bank which was established at the direction of the Dubai Government.

Azmeer's journey towards Islamic banking was a result of him wanting to have this nascent but people friendly concept accepted and embraced by a wider audience. In the field of Islamic banking, Azmeer's track record involved holding senior positions at Al-Rajhi Bank Saudi Arabia, the largest and leading Islamic Bank in the world and Sharjah Islamic Bank, a pioneering bank in UAE and the first Islamic bank in the world to fully convert its operations from being a conventional entity, in which he was an Executive Vice President.

Azmeer holds a Master's Degree in Business Administration from the University of Leicester, UK. Utilising his sound knowledge and wide experience, Azmeer has played a key role in guiding Amāna Bank towards the success it has reached thus far.

BOARD OF DIRECTORS



Standing from Left to Right

Tyeab Akbarally Deputy Chairman and Non-Executive, Non-Independent Director

Haseeb Ullah Siddiqui Non-Executive, Non-Independent Director

Osman Kassim Chairman and Non Executive, Non Independent Director

Wahid Ali Mohd. Khalil Non-Executive, Non-Independent Director

Mohamed Jazri Magdon Ismail Senior Director and Non-Executive, Independent Director

Dilshan Hettiaratchi Non-Executive, Independent Director



Standing from Left to Right

Rajiv Nandlal Dvivedi *Non-Executive, Independent Director*

Harsha Amarasekara, PC *Non-Executive, Non-Independent Director*

Aaron Russell-Davison *Non-Executive, Independent Director*

Mohammed Ataur Rahman Chowdhury *Non-Executive, Non-Independent Director*

Adeeb Ahmad *Non-Executive, Non-Independent Director*

Mrs. Samitha Dayani de Silva *Company Secretary*

BOARD OF DIRECTORS

Osman Kassim

Chairman and Non Executive, Non Independent Director

Osman Kassim, a well versed personality in Islamic banking and finance, was instrumental in introducing the non-interest based concept of finance to Sri Lanka with the setting up of Amāna Investments in 1997, whose assets and liabilities were later on transferred to Amāna Bank PLC in 2011. He also sits on the Board of Amāna Takaful PLC, the first Islamic insurance company in Sri Lanka, as a founder Director. He has expanded his directorships in Islamic Finance companies overseas as well, where he is a director at Amāna Takaful Maldives & the Maldives Islamic Bank.

With over 40 years of senior management experience, Kassim was also the founder Chairman of the well-established Expolanka Group of Companies which is engaged in diverse business activities. He currently sits on the Board of Expolanka as a Non-Executive Director. He is also the Chairman of Asia Pacific Institute of Information Technology (APIIT) Sri Lanka, set up in collaboration with APIIT Malaysia and the Chairman of Vidullanka PLC, a leading provider of renewable energy to the National Grid.

He holds an Honorary Doctorate from the Staffordshire University in recognition of his achievements as both a global entrepreneur and visionary educationalist. Furthermore, he sits on the Boards of various other companies both locally and overseas.

Tyeab Akbarally

Deputy Chairman and Non-Executive, Non-Independent Director

Tyeab Akbarally is a senior Director of Akbar Brothers (Pvt) Limited and its subsidiary companies for the past 35 years. Akbar Brothers (Pvt) Limited is a diversified group of companies and is the leading Tea export company which have won many prestigious awards for their export performances. He has served as a member of the Executive Committee and as a committee member at the National Chamber of Commerce Sri Lanka and the Ceylon Chamber of Commerce. He is a past Chairman of the Spice and Allied Products Traders' Association and the Colombo Tea Traders' Association. He has considerable experience in the import and export trade and has strong business relationships with the Middle Eastern Countries. Tyeab Akbarally also holds directorship in other public quoted companies.

Mohamed Jazri Magdon Ismail

Senior Director and Non-Executive, Independent Director

Mohamed Jazri Magdon Ismail is a Financial Consultant and the current Vice President of AAT Sri Lanka. He has served on the Directorate of Alhambra Hotels Limited, the Owners and Operators of Holiday Inn Colombo. He is a Fellow of The Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and is a Member of the Institute of Certified Management Accountants, Australia. He is a Nominee of the CA Sri Lanka on the Governing Council of the Association of Accounting Technicians of Sri Lanka, of which he is also a Fellow Member.

Haseeb Ullah Siddiqui

Non-Executive, Non-Independent Director

Haseeb Ullah Siddiqui is currently serving in the PPP Division, Economic & Social Infrastructure Department, at the Islamic Development Bank (IDB), and was previously Manager of Financial Sector Development Division. He brings over 22 years of broad experience in banking, project finance, strategy consulting and development, with leading organisations like American Express Bank, Riyad Bank, Ernst & Young and the IDB. At IDB, he focused on regulatory reforms and capacity building to improve financial sector enabling environment. He also served on the Technical Committee of the Islamic Financial Services Board (IFSB) since 2012 and on the Board of International Islamic Financial Market (IIFM). Prior to joining IDB, Haseeb led an advisory team at EY Bahrain, focusing on public sector development, infrastructure and social housing. In the private sector, he advised banks, investment funds, private equity and mortgage companies, assisting several Boards and C-suite management in strategy, capital raising and establishing organisations. To manage a strategic relationship, he was asked to lead the Waqf Fund at Central Bank of Bahrain, charged with developing the Islamic financial sector in Bahrain. Prior to consulting, he spent nine years in corporate banking and project finance, structuring and arranging project and syndicated financing for oil and gas, petrochemical, water, power and agriculture sectors. He holds an MBA (Finance) from University of Missouri, and a BBA (Marketing & Economics) from Kansas State University.

Wahid Ali Mohd. Khalil*Non-Executive, Non-Independent Director*

Wahid Ali Mohd Khalil was the Chief Operating Officer, Business Support of Bank Islam Malaysia Berhad prior to his retirement in December 2014. He holds Master of Science in Economic Crime Management and Bachelor of Economics in Business Management. He is an Associate Member of the Institute of Bankers Malaysia (AIBM) and Institute of Internal Auditors Malaysia (AIIA). He is also a member of Financial Planning Association of Malaysia (FPAM) and Federation of Malaysian Unit Trust Managers (FMUTM) as well as a Senior Associate of the Chartered Institute of Islamic Financial Professionals (CIIF). Mr. Wahid Ali is also Malaysia's Programme External Examiner for Certification in AML/CFT by the International Compliance Association.

He joined Bank Islam as the Chief Internal Auditor in 2007. Prior to joining Bank Islam, he spent five years at Affin Bank Berhad handling various portfolios, including as Chief Internal Auditor, Director Banking Operations, Director Banking Services, as well as Group Head, Operation Risk Management.

Before joining Affin Bank, he had spent more than 20 years in HSBC Bank holding various positions which included stints at branches and Head Office departments such as Credit Cards, Credit Control, Credit Administration and Trade Finance, and was the Deputy Head of Internal Audit prior to joining Affin Bank.

Harsha Amarasekera, PC*Non-Executive, Non-Independent Director*

Harsha Amarasekera, President Counsel is a leading Lawyer in Sri Lanka having a wide practice in the Original Courts as well as in the Appellate Courts, specialising in Commercial Law, Business Law, Securities Law, Banking Law and Intellectual Property Law.

He also serves as an Independent Director in several leading listed companies in the Colombo Stock Exchange including CIC Holdings PLC (Chairman), Chemanex PLC (Chairman), Vallibel One PLC, Royal Ceramics Lanka PLC, Expolanka Holdings PLC, Chevron Lubricants Lanka PLC, Taprobane Holdings PLC, Amaya Leisure PLC, and Vallibel Power Erathna PLC. He is also the Chairman of CIC Agri Business (Private) Limited.

Rajiv Nandlal Dvivedi*Non-Executive, Independent Director*

Rajiv Nandlal Dvivedi is currently the CEO of Eagle Investments Ltd, a privately owned Investments and Advisory firm based in Dubai. He has over 40 years of Commercial and Investment banking, Corporate finance, and Investments experience. He spent 35 years at Citibank in various senior executive positions: 28 years in Commercial and Investment Banking, Corporate Finance and Risk Management in the Middle East and seven years in Consumer Banking with Citibank in New York, USA. In addition to Amāna Bank, Mr. Dvivedi currently sits on the Board of China Rapid Finance (China), Accordion Partners (USA), Candor Group of Companies (Sri Lanka), and Eagle Investments Limited (UAE). He holds an MBA in Finance, Long Island University, New York, USA.

Dilshan Hettiaratchi*Non-Executive, Independent Director*

Dilshan Hettiaratchi is a Partner/ Managing Director of Faber Capital Limited which is an investment banking firm headquartered in Dubai. The firm specialises in Capital Markets, Renewable Energy and Advisory opportunities. He has over 25 years of banking/Financial Markets experience. Prior to joining Faber Capital, he was the Managing Director and Head of Debt Capital Markets - MENA and Pakistan for Standard Chartered Bank. In this role he advised many high profile issuers from the Middle East such as The Government of Dubai, The Government of Ras Al Khaimah and other Corporates and Financial Institutions from the ME region to tap the International Bond and Sukuk markets. Prior to joining SCB, he worked with Citi National Investment Bank, which was the investment banking arm of Citibank and NDB based in Colombo, as well as at Waldock Mackenzie Limited which was the investment banking arm of John Keells Holdings. He is a Director of Asset Trust Management Limited, which is a SEC regulated Asset Management Company. He was also a Steering Committee member of the Gulf Bond and Sukuk Association (GBSA), and the Chair of the Government Bond issuance committee in 2011. He has been a speaker/panelist at a number of industry conferences in Debt Markets over the last few years.

He holds an MBA from the University of Colombo, is a CFA Charter Holder and is an ACMA.

BOARD OF DIRECTORS

Aaron Russell-Davison

Non-Executive, Independent Director
(Appointed w.e.f. 4 January 2018)

Aaron Russell-Davison is a veteran banker with 20 years' experience across banking and financial institutions, including capital markets, bond and loan syndication, sales, trading, portfolio management and brokerage. Most recently, his tenure at Standard Chartered Bank, Singapore spanned over 6 years' at the most senior levels of Capital Markets, as the Global Head of Debt Capital Markets. He also has served as Director, Capital Markets in prominent global institutions such as Credit Suisse, Hong Kong, Standard Bank of South Africa, Hong Kong, and Hypo-Vereins Bank, London. He has also held Board positions as an Independent Non-Executive Director of leading financial institutions, whilst serving in the capacity of Chairman - Group Risk Committee and as a member in the Group Audit, Remuneration and Related Party Committees. He has worked across multiple geographies and cultures with a strong Asian aspect, and holds a Bachelor of Arts (Asian History and Politics) from the University of Western Australia.

Adeeb Ahmad

Non-Executive, Non-Independent Director
(Appointed w.e.f. 16 January 2018)

Adeeb Ahmad counts 29 years of experience across banking functions and specializes in Direct Investments, Investment Banking, Corporate Finance and Advisory, Capital Markets, Asset Management and Islamic Finance across various countries. He is currently posted as the Senior Advisor to the CEO and Acting Director of the Islamic Corporation for the Development of the

Private Sector (ICD) which is the private sector arm of the IDB Group. His experience covers Islamic Finance and Investment Banking in reputed international financial institutions in the GCC and Pakistan such as ANZ Grindlays Bank and ABN AMRO Bank in Bahrain, Citibank and MCB in Pakistan. Furthermore, he has advised on and arranged Islamic Debt Issuance, Equity Raising and M & As for several leading institutions across various countries. He holds a Masters of Science in Accounting and Finance from the London School of Economics, UK and a MBA from the Institute of Business Administration, Karachi, Pakistan.

Mohammed Ataur Rahman Chowdhury

Non-Executive, Non-Independent Director
(Appointed w.e.f. 16 January 2018)

Mohammed Ataur Rahman Chowdhury has a wide experience across banking and financial institutions, including Investment Banking, Banking & Institutional Equities, Direct Investment and Finance. Currently he is attached to the Islamic Corporation for the Development of the Private Sector (ICD) which is the private sector arm of the IDB Group as the Senior Investment Manager focusing on banking equities across important member countries aggregating a portfolio of nearly USD 250 million. He has worked across multiple geographies and holds a MBA in Finance from IE Business School, Spain and a MBA in Finance & Accounts from the North South University, Bangladesh.

Mrs. Samitha Dayani de Silva

Company Secretary

Mrs. Dayani de Silva joined Amāna Bank PLC in March 2016.

Dayani is a Fellow of the Institute of Chartered Secretaries and Administrators, UK, (currently known as the Governance Institute of UK), she is also a Fellow of the Institute of Chartered Corporate Secretaries of Sri Lanka and was amongst its Founder Members. She also served as Deputy President of the Institute during the years 2011-2012.

Dayani's professional career as a Chartered Secretary began in early 1999. To date she counts almost 30 years of Secretarial experience. As Company Secretary to a Multinational Group, Dayani was responsible for the incorporation of both a Finance & Leasing Company as well as an Insurance Company, taking an active role in obtaining its license and also listing the finance company on the Colombo Stock Exchange. Prior to joining Amāna Bank, Dayani also had exposure to People Management.

Recently, she was invited to participate as a Guest Speaker at a seminar on Corporate Secretaryship conducted by a leading Accounting Body in Sri Lanka.

INDEPENDENT SHARIA SUPERVISORY COUNCIL

Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani

Chairman, Sharia Supervisory Council

Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani, son of Justice (Retd.) Mufti Muhammad Taqi Usmani, graduated with specialisation in Islamic Fiqh (Islamic jurisprudence) from Jamia Darul-Uloom, Karachi, where he has been teaching Fiqh since 1990. He also holds an LL.B and Ph.D. in Islamic finance. He is a member of the administration board of Jamia Darul-Uloom, Karachi.

Presently Dr. Usmani is the Resident Sharia Board Member at Meezan Bank and is responsible for Research and Product Development of Islamic banking products, advisory for Sharia-compliant banking and supervision of Sharia Audit & Compliance.

Dr. Usmani has served as an advisor/member of Sharia Boards of several renowned institutions since 1997 including the State Bank of Pakistan, HSBC - Amanah Finance, UBS - Switzerland, Guidance Financial Group USA, Lloyds TSB Bank - UK, Japan Bank for International Cooperation (JABIC), Credit Suisse Switzerland, RBS Global, Old Mutual Albarakah Equity & Balanced Funds South Africa, AIG Takaful, ACR ReTakaful Malaysia, Capitas Group USA, Bank of London and Middle East Kuwait, BMI Bank Bahrain, Al Khaliji Bank Qatar, Sarasin Bank Switzerland, DCD Group Dubai, International Centre for Education in Islamic Finance (INCEIF) and other mutual and property funds, Takaful companies and international Sukuk, etc.

He is also an Executive Committee Member of AAOIFI (Dubai), Sharia Supervisory Board of International Islamic Financial Market (IIFM)

Bahrain and Chairman of Academic Board at Institute of Business Administration (IBA)- Centre for Excellence in Islamic Finance (CEIF), Karachi and Member Executive Committee at Centre for Islamic Economics (CIE), Karachi.

Dr. Usmani is the author of numerous publications related to Islamic finance and other Sharia related subjects. He has presented papers in numerous national and international seminars and has delivered lectures at academic institutions including Harvard, LSE, LUMS and IBA.

Ash-Sheikh Ustad Mohd. Nazri Bin Chik *Vice Chairman, Sharia Supervisory Council*

Ash-Sheikh Mohd. Nazri Chik, a Certified Sharia Adviser and Auditor (CSAA-AAOIFI) is the Group Chief Shariah Officer of BIMB Holdings PLC and Chief Shariah Officer of Bank Islam Malaysia. He holds a Masters Degree in Sharia from University of Malaya and started his career as a tutor in the University until he joined Bank Islam in June 2004. He left the Bank to join Noor Investment Group, Dubai, UAE in September 2009 as its Sharia Audit Manager. During this time, he has been appointed as a member of Bank Islam's Sharia Supervisory Council until he rejoined the Bank as its Head of Sharia in January 2011. He is also a Sharia Advisor of Malaysia Professional Accountancy Centre (MyPAC), Accredited Panel of Finance Accreditation Agency (FAA); Executive Committee Member of Association of Sharia Advisors Malaysia (ASAS) and Distinguished Trainer for Islamic Banking and Finance Institute of Malaysia (IBFIM). In May 2014, he was selected as the recipient of the 'Promising Young Banker Award 2014' by the Asian Banker Magazine.

Ash-Sheikh M.M.A. Mubarak *Member, Sharia Supervisory Council*

Ash-Sheikh M.M.A. Mubarak is the former President and present General Secretary of the All Ceylon Jamiyyathul Ulama. He is a highly-learned and respected scholar who holds a Bachelor of Islamic Law (Sharia) Degree from the Islamic University of Madina Al Munawwara, Saudi Arabia. He is a retired Principal of Sri Lanka's leading Arabic College Al-Ghaffoorya Arabic College, Maharagama and is the Deputy Chairman of Abd Azeez Bin Baaz Ladies Arabic College, Malwana, Sri Lanka.

Sheikh Mubarak is a much respected scholar who has authored several books and other publications on Sharia and other Islamic Studies.

Ash-Sheikh Mufti M.I.M. Rizwe *Member, Sharia Supervisory Council*

Ash-Sheikh Mufti M.I.M. Rizwe is a well renowned scholar locally and internationally. He is currently holding the position of President of the All Ceylon Jamiyyathul Ulama (ACJU) since 2003, the apex body of Muslim Theologians which was established in the year 1924. He is also Ex Officio President of various committees of the ACJU.

He had his early education in Sri Lanka and is a graduate of Jami'athul Uloomil Islamiyya, Karachi where he specialised in Islamic Jurisprudence. He gained MA in Arabic & Islamic Studies which is recognised by the Higher Education Commission of Pakistan.

He is a member and Advisor of the Supreme Council of Madaris Ul Arabiyya (Federation of the 250 Arabic Colleges in Sri Lanka which

INDEPENDENT SHARIA SUPERVISORY COUNCIL

are registered at the Muslim Religious & Cultural Affairs Department) and lectures in a number of colleges and serves in the capacity of President and an Advisor to a number of Arabic colleges locally and internationally.

He is also a member of the Religious advisory Board for His Excellency the President of Sri Lanka since May 2016 and an Executive Member of the Supreme Council of Congress of Religions - Sri Lanka.

Mufti Rizwe is the Founder of Mahmoud Institute, which was established for the sole purpose of developing the skills of Ulama to face the current challenges prevailing in the community and Founder and Director of Islamic Careline Counselling (Guarantee) Limited, Colombo, which provides individuals and families with the support and service to overcome Marital & Psychological problems.

Mufti Rizwe has been a frequent traveller and had conducted, attended several programmes in Asian, Middle Eastern, African, European and North American countries for the purpose of promoting peace, coexistence, spiritual upliftment & skills development.

He is the Chairman of the Sharia Supervisory Council of Amāna Takaful PLC and a member of Sharia Boards of several other Islamic Financial Institutions in Sri Lanka and Maldives.

Mufti M.I.M. Rizwe has also been selected among the 500 most influential Muslims worldwide. The evaluation is done annually by the Royal Islamic Strategy Study Centre based in Amman, Jordan (www.rissc.jo) (<http://themuslim500.com/profile/m-i-m-rizvi-mufti>).

Ash-Sheikh Mufti Muhammad Hassaan Kaleem

Member, Sharia Supervisory Council

Ash-Sheikh Mufti Muhammad Hassaan Kaleem is a renowned figure in the field of Islamic Finance. He studied traditional Islamic studies under the guidance of eminent Islamic Scholars from a well-known Islamic Seminary 'Jamia Darul Uloom Karachi'. He holds vast experience of teaching various Islamic Subjects at the same Institute for the last 18 years.

Mufti Hassaan is considered one of the most revered Sharia Scholar in the Islamic Finance Industry, who sits on the Sharia Advisory Boards of numerous financial institutions, Islamic Investment Funds and Takaful Companies, including Al-Ameen UBL Funds, Adamjee Takaful, State Life - Window Takaful Operations, Pak Qatar Family Takaful Ltd- Pakistan, Hanover Re Takaful-Bahrain, Takaful Emirate- UAE.

In addition, Mufti Hassaan is a Sharia Consultant of Deloitte (Global Islamic Finance Team), Trainer of Sharia Standards and Member of Subcommittee of Sharia Standards at AAOIFI- Bahrain, Permanent faculty member of Center for Islamic Economics Karachi, visiting faculty member of National Institute of Banking and Finance (State Bank of Pakistan) and Center for Excellence in Islamic Finance (CEIF) - IBA. Furthermore, he was the former Sharia Advisor of Bank Al Baraka and Chairman Sharia Board of SECP.

Currently, he works as Country Head of Sharia of Dubai Islamic Bank Pakistan Ltd as well as a teacher in Jamia Darul Uloom Karachi. He is a frequent trainer and expert in simplifying complex issues related to Islamic Finance. He has participated in many Islamic Finance conferences and seminars around the world and has delivered lectures and presentations.

PROFILES OF STRATEGIC SHAREHOLDERS

The Islamic Development Bank

The Islamic Development Bank (IDB) is an international financial institution established in pursuance of the Declaration of Intent issued by the Conference of Finance Ministers of Muslim Countries held in Jeddah in December 1975. The functions of IDB are to participate in equity capital and grant loans for productive projects and enterprises besides providing financial assistance to member countries in other forms for economic and social development. The Bank, which is rated AAA by Fitch, Moody's and Standard & Poor's, is authorised to accept deposits and to mobilise financial resources through Sharia compatible modes. IDB has an authorised capital base of USD 150 billion and its present membership consists of 57 countries. The vision of the Bank is 'To be the leader in fostering socioeconomic development in member countries and Muslim communities in non-member countries in conformity with Sharia'. The IDB Group is committed to alleviating poverty; promoting human development; science and technology; Islamic economics; banking and finance; and enhancing co-operation amongst member countries, in collaboration with its development partners.

The Islamic Corporation for the Development of the Private Sector

The Islamic Corporation for the Development of the Private Sector (ICD) is a multilateral development financial institution and is part of the Islamic Development Bank (IDB) Group. ICD was established in November 1999 to support the economic development of its member countries through the provision of finance for private sector projects, promoting competition and entrepreneurship, providing advisory services to the governments and private companies and encouraging cross border investments. ICD has an authorised capital of \$4 billion. Currently, the

shareholders of ICD are the IDB, 53 Islamic countries and five public financial institutions. ICD fosters sustainable economic growth in its 53 member countries by financing private sector investment, mobilising capital in the international financial markets, and providing advisory services to business and governments. ICD financing projects are selected on the basis of their contribution to economic development considering factors such as job creation, Islamic finance development, contribution to exports etc. ICD also provides advisory services to governments and private sector groups on policies designed to encourage the establishment, expansion and modernisation of private enterprises, development of capital markets, best management practices and to enhance the role of the market economy. ICD operates to complement the activities of the IDB in member countries and also that of national financial institutions.

Bank Islam Malaysia Berhad

Since its inception in March 1983, Bank Islam has not only become the symbol of Islamic banking in Malaysia, it has also played an integral role in setting the stage for a robust growth of the country's Islamic financial services industry. True to its pioneering and innovative heritage, Bank Islam is committed to its role as a leading vehicle in transforming Malaysia into a global Islamic financial hub. To this end, Bank Islam continuously develops and introduces trendsetting financial solutions, some of which are the first-of-its-kind in the world or at least in the region in widening the breadth of its innovative end-to-end Sharia based financial products and services, comparable to that offered by its conventional counterparts. Today, Bank Islam parades a wide ranging list of more than 70 innovative and sophisticated Islamic financial products and services as well as a fast growing network of 145 branches

and more than 1,000 self-service terminals nationwide. In recognition of its prominence in the industry, Bank Islam was awarded the Reader's Digest Platinum Award for being the Most Trusted Brand for Islamic Financial Services for five consecutive years from 2009 to 2013.

Akbar Brothers (Pvt) Limited

Export of Internationally renowned Sri Lankan Teas, being their core business, Akbar Brothers has successfully diversified into a range of sectors through strategic reinvention and expansion, and today, the Group has a firm presence in the sectors of Tea Export, Power Generation, Healthcare, Packaging, Property Development and Environmental Services. Akbar Brothers rank proudly as the largest exporter of Ceylon Tea in the country, a position held for the past 40 consecutive years, and has been the recipient of many top national and international awards over the years including the prestigious Presidential Award for Sri Lanka Exporter of the Year, for outstanding exports to over 90 countries worldwide.

MANAGEMENT COMMITTEE



Standing from Left to Right

Mohamed Azmeer *Chief Executive Officer*

M. M. S. Quvlyidh *Senior Vice President - Corporate & SME Banking*

M. Pharis Jazeel *Vice President - Treasury and Financial Institutions*

Ajmal Naleer *Chief Risk Officer*

Ali Wahid *Chief Financial Officer*

M. Irshad Halaldeen *Vice President - Administration*



Standing from Left to Right

Preeni Koralege *Chief Legal Officer*

Siddeeqe Akbar *Vice President - Retail Banking & Marketing*

Irshad Iqbal *Chief Compliance Officer*

Rajitha Dissanayake *Chief Information Officer*

Imtiaz Iqbal *Vice President - Operations*

Fazly Marikar *Vice President - Strategy Management & Product Innovation*

ASSISTANT VICE PRESIDENTS AND HEADS OF DEPARTMENTS



Standing from Left to Right

Nista Badurdeen *Asst. Vice President - Central Operations and Trade Services*

Numair Cassim *Chief Internal Auditor*

Mahesha Thirimanne *Head of Legal*

Farhan Refai *Senior Manager - Human Resources*

Chaminda de Silva *Asst. Vice President - Commercial Leasing*

Ash-Sheikh Nazhan Naurooz *In-House Sharia Advisor*

SENIOR MANAGERS



Tariq Mahmud
Head of Knowledge Marketing & Financial Inclusion

Azam Ameer
Senior Manager - Business Banking

Rizah Ismail
Senior Manager - Remedial



Irshad Othman
Senior Manager - Compliance

Arshad Jamaldeen
Head of Deposit Mobilization

Harindra Obeyesekere
Senior Manager - Treasury



Sujeewa Weerasinghe
Senior Manager - IT Business Systems & Support

Prince Kevitiyagala
Senior Manager - Projects

Inthikab Hanifone
Head of SME Banking - Western Region

SENIOR MANAGERS



Anver Asver
Senior Manager - Operations

Ramakrishnan Kirubakaran
Head of Retail Advances

Rajendra Jayasinghe
Head of Corporate Banking / FCBU - Western Region



Nilam Mohamed
Head of SME Banking - Central Region

Mohamed Kiyasudeen
Senior Manager - Information Security

Arshad Adhnan
Head of Credit Risk



Niyaz Aboobucker
Head of Equity Trading

GEARED FOR STABILITY

Having the partnership of the likes of the IDB Group, we are not only improving our standing but also establishing Sri Lanka as a hub for ethical banking.



BUSINESS AND OPERATIONS REVIEW

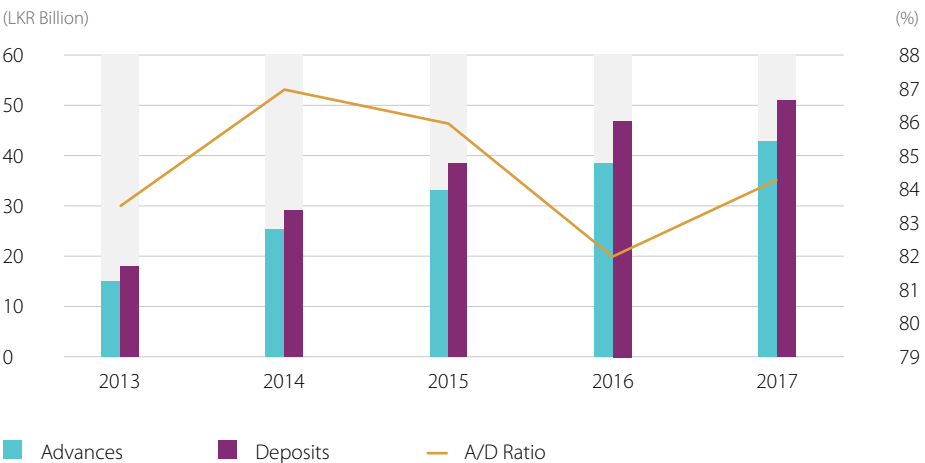
Financial Review

Amāna Bank, having commenced commercial banking operations in 2011, completed the year under review with resounding success as it recorded impressive results in rather passive economic conditions. The Monetary Board of Central Bank increased policy rates by 25 basis points in the first quarter of 2017 leading to moderation of credit growth within the private sector to desired levels. Market rates remained high throughout the year which kept the demand for credit at a low level whilst inflation moved up with the annual average touching 7.7% in December 2017. The rupee weakened against the U.S. Dollar and depreciated by 2.0%, lower compared to 2016's 3.8%, whilst a positive trend in official reserves was recorded with improved inflows into country.

After a successful rights issue in July 2017, which enabled the Bank to surpass the minimum regulatory capital requirement of LKR 10 billion, the Bank's total assets grew by a commendable 17% during the year under review to close at LKR 63.5 billion from LKR 54.3 billion a year ago. Core banking business continued its upward trend as customer deposits and advances recorded progress amidst slower credit growth, challenging market conditions and stiff competition. SME and retail segments were the key contributors to the growth in customer advances as the portfolio increased by 11.6%, to close at LKR 42.9 billion. On the other hand, customer deposits recorded moderate growth from LKR 46.9 billion in 2016 to LKR 50.9 billion in 2017, an increase of 8.5%. In 2017, the Bank further strengthened its service offerings especially in terms of technology coupled with new products and services, which puts the Bank in a strong footing to achieve greater growth in 2018. The Advance to Deposit ratio was maintained at a healthy level throughout the financial year as it closed at 84% compared to 82% in 2016.

Recording its highest profit during this remarkable year of 2017, Amāna Bank's growth in core banking income, in particular, was a key highlight. Net financing income posted exceptional growth of 43.1% as it recorded LKR 2.7 billion from LKR 1.9 billion a year ago.

Growth in Advances and Deposits

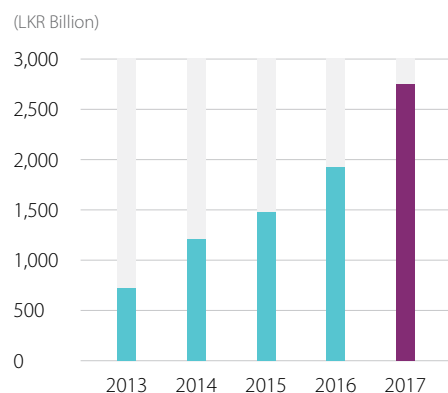


Recording its highest profit during this remarkable year of 2017, Amāna Bank's growth in core banking income, in particular, was a key highlight. Net financing income posted exceptional growth of 43.1% as it recorded LKR 2.7 billion from LKR 1.9 billion a year ago. This was achieved mainly due to the larger share of Current Accounts and Savings Accounts (CASA) deposits maintained by the Bank,

which ranks high among its industry peers, coupled with the effective re-pricing of the customer financing portfolio. This resulted in the Financing Margin showcasing a healthy increase to 4.2% from 3.6% in 2016. Non-funds based business generated LKR 236.1 million as net fee and commission income for the year. Foreign exchange gains and net other operating income aggregated to LKR 398.1

million resulting in a total operating income of LKR 3.3 billion for the financial year 2017, achieving a strong growth of 39.2% from LKR 2.4 billion in 2016. The Bank continued to maintain a healthy Net Non Performing Advances Ratio of 0.68% whilst the Gross Non Performing Advances Ratio at the close of the year stood below the industry average at 1.89%. In addition to impairment on customer advances which amounted to LKR 246.0 million, the Bank also had to account for impairment on under-performing equity investments of LKR 43.7 million taking the total impairment charge on financial assets to LKR 289.7 million. All of the above meant that the Bank ended 2017 with a net operating income of LKR 3.0 billion compared to LKR 2.2 billion a year ago, a significant increase of 39.8%.

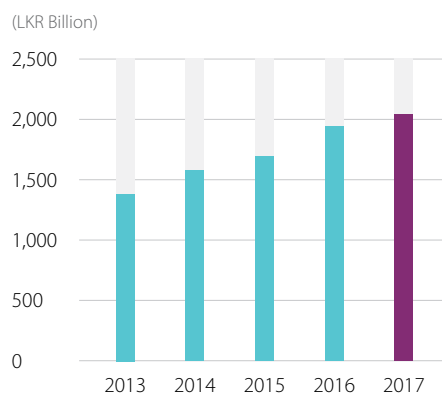
Net Financing Income



Total operating expenses amounted to LKR 2.0 billion for the year under review, up from LKR 1.9 billion last year limiting the increase to only 4.9% which was a commendable effort during a period in which the corresponding income as well as operational activities noted a considerable increase. Costs were successfully contained as a result of a rationalisation programme which saw the active engagement of all concerned departments. After accounting for the above,

the Bank crossed the milestone of LKR 1 billion mark in terms of operating profit by recording a value of LKR 1.06 billion for 2017 whilst VAT on Financial Services and Nation Building Tax amounted to LKR 319.2 million resulting in a profit before tax of LKR 739.3 million. The Bank ended the financial year 2017 with a remarkable profit of LKR 502.8 million after providing LKR 236.4 million as tax expenses. Other comprehensive income (OCI) for the year under review amounted to LKR 254.0 million resulting in the total comprehensive income reaching LKR 756.8 million. It is noteworthy to mention that revaluation of the Bank's Freehold Land and Building yielded a gross surplus of LKR 608.5 million to the OCI during 2017.

Total Operating Expenses



Retail Banking

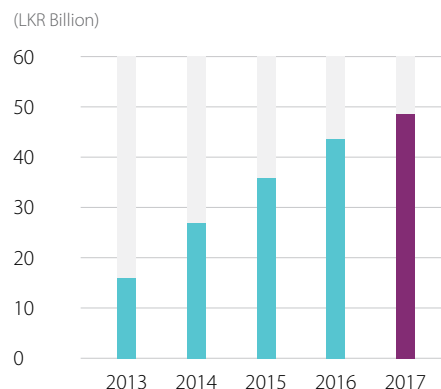
Retail Deposits

Having recorded a growth of 11% during the year, Deposits from Retail Banking accounted for over 95% of the Bank's Total Deposits. The growth in deposits was achieved by capitalising on branch reach, diverse product range and growing customer base.

As a key focus towards increasing the Bank's customer base, retail banking undertook

many programmes and activities, which resulted in a growing acceptance of the Bank's unique banking model.

Retail Banking Deposits



The Bank continued to leverage on its exclusive banking propositions Amāna Bank Prestige, Amāna Bank Vantage and Amāna Bank Expat Gold which collectively comprises of 28% of the Bank's Deposit Base. During the year Amāna Bank Prestige grew by 55% while Amāna Bank Vantage and Amāna Bank Expat Gold, which were launched in the latter part of 2016, ended the year under review with a portfolio of LKR 5.3 billion and LKR 3.6 billion respectively.

The Bank continued to grow its Ladies' Savings and Children's Savings propositions during the year by carrying out various promotional campaigns. Having received excellent feedback on its scholarship reward programme, the Bank continued to offer a special reward scheme for its Children's Savings Account holders who performed exceptionally well at the Grade 5 Scholarship Examinations.

During the year, the Bank's Ladies Savings Portfolio grew by 25% while its Senior Citizen Savings propositions grew by 37%. With

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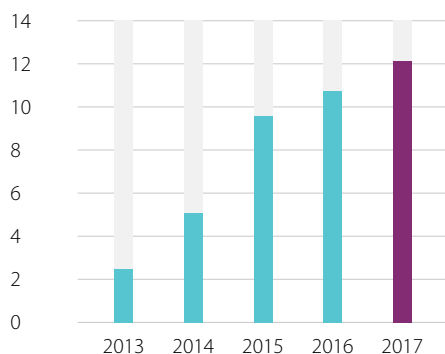
increased focus on foreign remittances, the Bank's inward remittances grew by 15% in 2017.

Retail Financing

Accounting for over 28% of the Bank Total Advances, the Bank's Retail Financing portfolio grew during 2017 despite challenging market conditions.

Retail Banking Assets

(LKR Billion)



The Bank's award winning Gold Certificate Financing solution received wider acceptance as it showcased a 122% YoY growth in 2017. During the year the Gold Certificate Financing solution was further expanded to more branches, thereby providing the unique solution across 23 branches in total.

The Bank's Personal Financing solutions consisting of Easy Payment Plan, Travel Finance, Education Finance and Solar Finance contributed immensely to the Bank's retail financing portfolio as it ended the year with a growth of 36%.

In 2017, the Bank launched its Apartment Financing solution, which assisted towards a 32% growth in the Bank's Home Financing

Portfolio. The Bank continued to consolidate its leasing portfolio as a result of the reduced 'Loan to Value' ratio for credit facilities in respect of motor vehicles. Retail Financing was successful in maintaining a Gross Non-Performing Advances ratio of 1.25% as at end of 2017.

Offering Convenience

Towards enhancing customer experience, the Bank continued to invest in many initiatives to offer greater customer convenience during 2017.

365 Day Banking & Extended Banking

Amāna Bank's Main Branch located in Colombo 3 expanded its banking services to 365 Days. With the introduction of 365 Day Banking, customers can now access the Main Branch on weekdays from 9.00am to 7.00pm and on weekends and holidays from 9.00am to 1.00pm. Further the Bank expanded its Extended Banking until 4pm across its branch network while Pettah branch continued to be open until 6pm. Additionally, branches in Pettah, Dehiwela, Kandy, Galle, Kattankudy and Kalmunai Unity Square continued to offer Saturday Banking services from 9.00am to 1.00pm.

SMS Alerts

Amāna Bank in line with its ongoing focus on digitalisation, launched instant SMS Alerts on key banking transactions. Customers opting for this service will be able to track their account status by receiving immediate SMS updates on a host of transactions including debit card transactions, cash deposit and withdrawals, profit credits, inward foreign remittances, salary credits, internal and external transfers, cheque realisation and encashment, standing order transaction as well as bill payment alerts.

Online Account Opening

The Bank introduced the convenience of Online Account Opening to facilitate its customers with an easy and time saving method of opening an account with the least amount of paper work. Introduced as a part of the Bank's digitalisation strategy, the Online Account Opening platform is accessible on the Bank's website www.amanabank.lk, which allows potential customers as well as existing customers to seamlessly initiate account opening at the comfort of their home or office.

Self-Banking Centre

Amāna Bank inaugurated its first Self Banking Centre at Slave Island. The Self Banking Centre, which is the first of many to be launched, currently houses a Cash Deposit Machine and a Cheque Deposit Box to facilitate 24x7 transactions for customers.

Cards Business

The Bank's Debit Card base grew substantially recording an increase of 42% in 2017. The Bank continued to offer discounts for purchases done through its Debit Card during the festive seasons by collaborating with a host of merchants. Discounts were offered from categories such as dining, travel, clothing, shopping and leisure. Many year-round card offers and seasonal card offers were also made available for customer to benefit from.



365 Day Banking



Opening of Self Banking Centre at Slave Island



SMS Alerts



Online Account Opening

Business Banking

During the year under review, Business Banking continued to explore avenues and opportunities to better reach and serve the business community, by satisfying their requirements and providing pragmatic financial solutions.

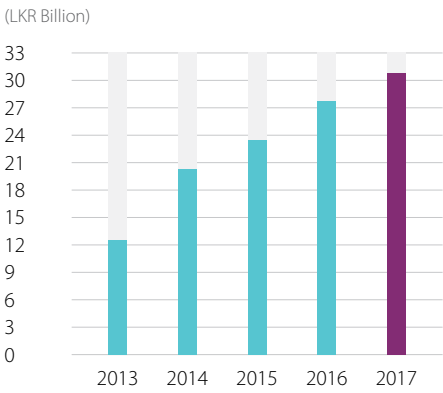
In line with the Bank's focus in SMEs, certain structural changes were implemented during the year, significant of which was bringing Corporate and SME Banking under the ambit of a Senior Vice President. This structural change helped the Bank in exploring and capitalising the synergies within these two portfolios as well as ensuring quality service delivery.

The Bank continued to focus on achieving revenue growth through prudent yield

management and strengthening of relationships with its existing Business Banking customers, as well as new acquisitions through existing client referrals and focused market penetration, especially in areas of new branch locations. Cross-selling opportunities were continued to be pursued in order to increase wallet share by providing bundled financing options including investment and transactional banking products.

This strategy witnessed the Bank strengthening its presence on trade business, including financing the agricultural and industrial sectors, through targeted marketing of new customers to expand the Corporate/SME Banking portfolio. Focusing on these sectors in turn made it possible for the Bank to pursue cross-selling opportunities by offering outward/inward remittance services and transactional banking services to Trade Services customers.

Business Banking Assets



During the year under review continued conscious focus was made to shifting business growth through the branch network, focusing on SMEs dispersed in the

BUSINESS AND OPERATIONS REVIEW

regions outside Western Province. Thereby increasing geographical penetration and serving the nation more constructively by providing easy access to finance to a varied client base. This shift saw the SME portfolio of the branch network grow by 31% to reach LKR 11.0 billion by the end of the year.

The Bank pursued its focused and selective approach to corporate clients and played a leading role in financing several Large Development Projects in areas such as Construction, Marine Engineering, Sustainable Energy, Health and Agri-related Industries such as Paddy and Aqua Culture.

The Customer Relationship Management Process was also structured to develop relationships at multiple levels, facilitating a better understanding of the client's requirements, positioning the Bank for growth and enhanced performance. Additionally the Customer Relationship Managers were provided with on-going training to keep them abreast with developments in the industry and the economy, thereby empowering them to proactively serve clients.

Further, the Business Support Unit of the Business Banking Department was strengthened during the year to ensure service and quality in order to better serve the clientele and maintain a quality portfolio.

Following on, Business Banking was able to record commendable results for 2017 amidst stiff competition in the industry and macroeconomic conditions that prevailed over the year. Towards this end, Business Banking department recorded an overall growth of 11.76% in terms of gross advances. However, continued economic instability in regions such as Middle East, Russia and parts of Europe had affected our nation's

traditional exports of Teas which had an impact on international business. Facing such challenges, Fee Income of Business Banking generated through import and export business amounted to LKR 124.1 million whilst being optimistic that 2018 will bring more non-funded lines of business with improved business strategies. The NPA ratio of the Business Banking portfolio stood at 2.14% as at end 2017.

Reflective of this trend, Business Banking contributed 52.5% to the total fee income of the Bank during the year 2017.

Future Outlook

- ◆ Specific focus on SMEs
In line with the Bank's strategic focus, Business Banking would concentrate more into the SME segment during the coming year. The branch network will be leveraged in a more effective manner to reach out to the unbanked and under-banked segments of the society.

- ◆ Catalyst in Movement of Small Entrepreneurs to the Mid-Market segment.

Real success of a bank would be success of its clients. In this regard the Bank would strive at providing constructive support as a catalyst for movement of SMEs to the Mid-Market segment.

- ◆ Increase in Fee Based Income
Business Banking would pursue on increasing fee based income, thereby further diversifying from funded income lines and also serving broader financial needs of clients.

Treasury

Key challenges in 2017 were managing market volatility, liquidity and increased capital. The Treasury was able to utilise the enhanced

capital funds which were raised during the year in a timely manner to maximise returns until such time these funds were to be utilised by the relevant business units.

In addition, the Treasury directs the Bank's Asset and Liability Management process by providing the Bank's Asset and Liability Management Committee (ALCO) with updates on the market benchmarks and exchange rates movements as well as data on other macroeconomic developments. Based on these inputs, strategies are formulated by the Bank's ALCO for the management of maturity mismatch risks in the balance sheet.

Treasury's aim for 2018 remains unchanged from the previous year which is to build on our strengths and constantly re-innovate ourselves to support and guide the customers on exposure management in the current and expected challenging economic environment whilst continuing to increase its product portfolio and invest proprietary funds thereby increasing the yield on Treasury assets under management.

As at 31 December 2017 Treasury assets comprised of 24.9% of the Bank's total assets. Despite market volatility, Amāna Bank's Treasury department continued to post strong performance with total income of LKR 762.9 million or 12.3% of the Bank's total revenue, led by strong non funds based Treasury income.

The Financial Institutions (FI) department functions in collaboration with Trade Services, Treasury and Business Banking departments of the Bank. The FI unit plays a pivotal role in establishing Correspondent Banking Relationships and also serves as a central point of contact for all the Financial Institutions around the globe. During the year under review, the FI department continued

its efforts in establishing new relationships whilst facilitating and developing the Bank's Trade related business, Remittances & Treasury solutions.

Strategy Management and Product Innovations Department

Strategy Management function focuses on how the Bank will seize opportunities and mitigate risks in its operating environment, whilst setting out plans for resource allocation. The Bank's five-year strategic plan was prepared in-house by the Management Committee and approved by the Board of Directors in 2014. The latest annual review of the strategic plan was concluded in September 2017, with the participation of the Management Committee members and Senior Management team, at an off-site residential session. The teams organised into business units, support units, control units and resource units, presented their respective strategies for 2018 and beyond, based on inputs at department and branch levels.

Focus on execution of the strategies continued throughout 2017, through systematic tracking of performance in all key areas. The Board of Directors was updated of the progress on the strategic goals and the key strategic focus areas on a quarterly basis. The Management Committee discussed the progress of the Bank, at the Monthly Performance Review meeting. In addition, based on the review of progress, course correction initiatives were taken by the respective units to stay in line with the strategic plan.

The Product Innovations function, in collaboration with relevant business units, focused towards matching the wide array of solutions made available by the mature conventional players of the industry and catering to the unmet needs of the core market, unbanked and under-banked

segments subject to Sharia and regulatory approvals and changes in the legal framework to accommodate products.

Branch Operations

Amidst a challenging year we continued to improve our processes, upgrade our branch and IT infrastructure, train and develop existing staff whilst recruiting capable staff, all to enrich the lives of our customers and grow together.

We are determined to develop and deliver "people friendly" customer service and strive to maintain the highest standards at every point of serving our customers.

Premises Upgrade

In order to provide better facilities and convenience to our customers our Kurunegala, Mawanella, Gampola and Kandy branches were redesigned with added floor space and refurbished for better customer experience.



Amāna Bank's Relocated Kattankudy Branch



Acceptance of First Deposit at the Kattankudy Branch

The Kattankudy branch was relocated to a bigger premise with a considerable increase in floor space in close proximity to the previous location with upgraded services, reflecting the changing environment and recognising the potential in the market. This branch will also house the Bank's Eastern Region Legal and Sharia offices with the objective of improving turnaround times for the benefit of customers. It is also envisaged to setup a ladies unit, which will be the first in the region.

These investments are aimed and focused on business expansion in the local region through our new competitive products and our commitment to enhance customer experience and delivering quality customer service as well as making the working environment more conducive for our staff.

Initial preparation is well underway to move our Main branch and Ladies branch as part of the Main branch relocation to a new building in close proximity to the current location in the second quarter of 2018.

Takaful (Insurance) Cover for Branch Cash

A customised cover was finalised with the insurance provider, whereby a substantial saving was made on the premium for cash holding at branches for the year 2018.

Automated Channels

Expanding our ATMs and Cash Deposit Machines (CDMs) throughout our branch network is one of our key priorities, as the Bank embarks on a digital transformation strategy to enable 24x7 transacting capability. During the first quarter of 2017, the Bank installed the 32nd ATM and the 5th offsite ATM at the South Eastern University of Sri Lanka in Oluvil, to facilitate customers to access their accounts 24 hours of the day providing greater convenience and accessibility. CDMs were installed at Main,

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Pettah and Dehiwela Branches for customers to make deposits and payment transactions by cash at any time of the day. The Bank's first offsite CDM was installed at Slave Island in the last quarter of 2017.



Opening of an Off-site ATM at South Eastern University of Sri Lanka in Oluvil

Process Improvements

Team Operations is committed to continue with the initiative of improving its processes which would enhance customer experience, save cost and improve staff working environment.

Central Processing & Trade Services

The Bank is now fully attuned to the 'Hub & Spoke Model' in operations. A high level of process automation and optimisation prevails at the Central Processing and Trade Services Department. This was facilitated by the continuous development of the iMAL core-banking system resulting in improved processing at the Back Office. Consequently, the branch network was able to focus effectively and efficiently on personalised customer service. In addition, the front line had more opportunity for the development of products and services. Adhering to continued discipline and controls, operational procedures, policies and regulatory requirements, good practices have been sustained in the Bank.

The Foreign Exchange Act No. 12 of 2017 came into effect on 20 of November 2017. The

Central Bank of Sri Lanka (CBSL) has therefore provided new Regulations and Directions on the relaxed foreign exchange related laws, with paperless, on-line reporting. The Bank has taken necessary steps to strictly abide by these new rules and regulations with adequate controls at the CPU & Trade Services.

The Sri Lanka Customs for import duty payments; the Lanka Financial Services Bureau (LFSB) for SWIFT operations and the Lanka Clear Pvt Ltd (LCPL) for the Inter Bank Cheque Clearing processing, have all enhanced and developed their systems, by upgrades and improvements to their processes. The Bank's in-house processing systems at CPU and Trade Services were also enhanced, to cater to their requirements and support the system changes.

The Treasury Processing Unit is now fully supported by the Treasury Module in the iMAL core banking system which completed its first full year of operation, after the migration from the Sungard system in 2016. This has resulted in an enhanced efficiency of the processing, by full automation of some vital data uploads, and user friendly screens.

The Lanka Financial Services Bureau (LFSB) which supports the SWIFT system was also upgraded to a web platform in November 2017. Accordingly, the Bank's in-house SWIFT systems were also upgraded to integrate into the new LFSB system support.

The system upgrade by LCPL Cheque clearing process has now enabled the stage 2 and 3 of on-line processing of inter-bank cheque payments. Consequently, the inward cheque clearing, the outward cheque returns and the Cheque return note (CRN) are fully automated by the system.

The Account Processing Unit developed a Pre-Processed Account product (PPA),

where the customer can open an account and collect the cheque book, visa card and the PIN immediately, over the counter. This has proved to be a time saver for customers and, an enhanced service level at the Bank's branches. In addition, this product has supported the Marketing objectives. Due to the drastic increase in transaction volumes at the Account processing unit, a move to recruit the services of an outsource company to provide support staff for data entry was implemented as a cost saving measure.

Trade Services has automated the file generation and upload to the Sri Lanka Customs, CBSL Foreign Exchange Department websites, enabling the reporting requirements of the regulators. The on-line Customs Payments on import duty was also enabled at the Trade Services. Other process developments within the Trade Services have increased the customer service turn-around times and provided valuable management information.

The recruitment of interns and outsourced staff has resulted in the successful training of youngsters 'hands on' and in-house. The rotation of staff members within the CPU and Trade Services has continued for their personal development of skills and practical experience in Banking, resulting in a team of professional support staff in the Department.

Transaction volumes for the year 2017 have increased by an average of 15% over the previous year, with special emphasis on the increase in volumes at the Account processing unit. This is due to the accelerated growth in the customer base of the Bank along with the three new branches that were opened towards late 2016. With the system upgrades, new processes and innovations, the Bank has been able to contain the staff count at the CPU and Trade Services.

Percentage increase in transaction volumes for the year 2017

Clearing	11%
Account Processing and Ancillary Services	47%
Cash and Remittances	11%
Treasury Processing	21%
Swift Operations	11%

Off Shore Banking Unit

Amāna Bank’s Off Shore Banking Unit (OBU) operations relate to the Banking operations of Non National individuals, Non National entities, Board of investment (BOI) approved companies locally and Special Approved Projects (SAP) approved by regulators. Under OBU operations, the accounts are maintained in designated foreign currencies only. The accounts are opened after completing the due diligence, KYC and AML procedures as per the requirement of the Bank’s policies. A full spectrum of financial services can be obtained from Off Shore Banking including:

- Deposits
- Financing
- Electronic Funds Transfers
- Foreign Exchange Transactions
- Letters of Credit
- Trade Finance Solutions

Many Vostro accounts were opened for Exchange houses in different currencies in view of widening the Banks off shore banking business in 2017. The Bank has recognised the recent liberalisation in the Foreign Exchange Act No. 12 of 2017 as an essential component of macroeconomic policy in the country. By leveraging on this, the Bank expects to mobilise more foreign remittances to finance the domestic funding gap of the

Bank to secure and sustain the rate of growth achieved.

Information Technology

The Bank has taken significant strides towards the objective of delivering secure, cost-effective and contemporary technology services to our customers.

Snapshot of the year’s efforts is focused on efficiency, convenience, reach and security is as follows:



Efficiency



Convenience



Reach



Security



Future

Efficiency

Upgrade of the back-end infrastructure is a contributor which facilitates the processing of information in the core banking system. The revamp of internal processes to deliver speedier solutions for end-of-month processing activities was the primary objective.

Convenience

Through timely system modifications, the IT department facilitated the Main Branch’s 365 day banking and extended banking till 7 pm operations. The Bank had integrated with the LankaPay Online Payment Platform, a national initiative to facilitate digital commerce and online transactions. Enabling customers to make real time external fund transfers via Internet and Mobile Banking was completed in the year.

SMS Alert system was enhanced during the year to notify customers of many transaction

types such as POS transactions performed with debit cards, cash deposits, withdrawals, profit credits, inward foreign remittances, salary credits, internal and external transfers, cheque realisation and encashment, standing order transaction as well as utility bill payments.

For ease of customers and to align with the Bank’s digitalisation strategy, online account opening was made available to customers with less paper work.

The improvements to the ‘We Care’ customer feedback application were facilitated aimed at better customer service delivery.

Reach

The IT Department facilitated the setup of the Bank’s first Self-Banking Centre in the heart of Colombo to cater to the customers’ requirement of 24x7 deposits of both cash and cheques.

Installation of the offsite ATM at South Eastern University – Oluvil to cater to the banking needs of customers in that region was well appreciated.

With the Bank sponsoring the FACETS Gem & Jewellery Exhibition as its Official Banking Partner, the IT Department was involved in setting up an ATM and CDM to cater to the banking needs of customers visiting the exhibition. A similar ATM and CDM setup was also carried out at the Expo 2017 held at the Sri Lanka Exhibition & Convention Centre.

Security

IT, with a strong focus on innovation and digitalisation through substantial investment in cutting-edge information technology, has improved the integration and performance into the Banking and Financial Sector of Sri Lanka. The patch management solution, ‘card before cash’ during ATM withdrawals

BUSINESS AND OPERATIONS REVIEW

and firewall replacement enabled the Bank continue to align technology for the benefit of customers, for regulatory compliance and to reduce information security risks and threats.

With the banking and financial sector being heavily dependent on technology along with its complex nature, it is crucial to ensure reliability and security of the information systems and infrastructure. Thus, the Bank is exposed to new challenges in securing information assets which the Bank has strategically invested on with significant resources, in protecting the confidentiality and integrity of information and ensures availability of these information assets when required with professional institutions for technical services on cyber threat prevention along with in-house talents and expertise.

The Bank has raised IT Security awareness levels among the Bank staff which is also being extended to its customers as well.

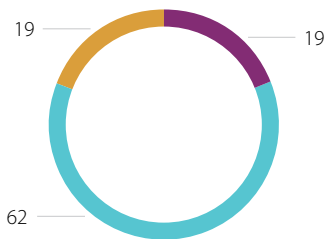
In order to ensure information security of IT services the Bank launched several initiatives, with the end result of it being very recently recognised and awarded with the certification for ISO/IEC 27001:2013. This is indeed a noteworthy achievement, as many banks in the industry are yet to reach this status.

IT Portfolio

IT capability of the Bank is based on 10 internal teams which carry out relevant functions to cater to stakeholders requirements.

Competency

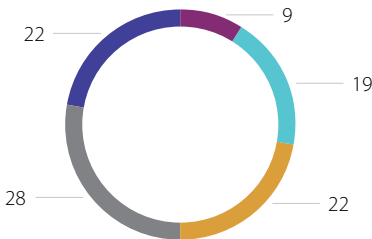
%



■ Diploma Holders ■ Postgraduates
■ Graduates

Experience (Years)

%



■ 1-3 Year ■ 10-15 Year
■ 3-5 Year ■ 15+ Year
■ 5-10 Year

Future

The challenging market conditions affect every aspect of a business, including IT. The department remains conscious of cost management and the availability of solutions that can provide the return on investment needed to warrant the initial expenditure.

Looking ahead, we will continue to invest in state of the art technology so that the Bank is positioned to seize opportunities in the future while differentiating from competitors. The Bank is also focusing on creating an internal culture of service and innovation so that the staff are dedicated to anticipate and meet customers' and relevant stakeholders' future needs.

Marketing and Corporate Communications

Amāna Bank continued its marketing and corporate communication activities along the lines of the Bank's strategic focus with a commitment to generate an above average Return on Marketing Investment.

As part of its image strategy, the Bank emphasized on ensuring consistency and uniformity in all communication activities, reinforcing the 'open to all' image, thereby being both relevant and appealing to all Sri Lankans. Embracing a very selective media strategy, the Bank continued to reap success in its marketing communications within a scattered and intense media space.

Having established a culture of measuring effectiveness of its marketing investments, the Bank has been successful in instilling a learning culture on key success factors and areas for improvement.

In addition to strengthening the core brand through various corporate campaigns, the Bank carried out promotional campaigns giving prominence to the variety of products and services offered with high visibility in selected media.

Several campaigns were also executed for the new products and services launched by the Bank, which included the launch of Internet and Mobile Banking as well as SMS Alerts and Online Account Opening.

Segment specific promotions were carried out during the year to promote Children's Savings and Ladies Savings Accounts while an extensive campaign was initiated to promote the Bank's high profit Term Investment Account. A 360 degree promotional campaign was launched to increase usage of the Bank's Debit Card during the festive season which was done in partnership with a host of merchants. To support the Bank's Gold Certificate Financing business, the Bank continued to execute a targeted marketing campaign across the branch network with a stronger focus on below the line communications.

With a view to educate and create awareness amongst the public and generate interest on its unique banking model, the Bank continued to conduct many public awareness programmes along with the Sharia Supervisory Department. Many workshops and seminars were held in different parts of the country with the participation of scholars, customers and students under the subject 'Understanding the Practice of Islamic Banking'. Further, to showcase the difference between Conventional Banking and Islamic Banking, the Bank launched a series of animated educational videos, through which the Bank was able to remove and clarify many misconceptions.

The Bank continued to invest in digital media to grow its communication reach to a wider and new age audience. The Bank grew its presence in social media through Facebook, Twitter, Instagram, YouTube, LinkedIn while also maintaining a strong web presence.

The Bank, once again partnered with the Sri Lanka Islamic Banking and Finance Industry (SLIBFI) Conference, which brought together the local Islamic banking industry to one

forum to share knowledge and expertise in driving the industry forward. With an objective of promoting the growing non-interest based banking model in the South Asian region which has firmly taken root in Sri Lanka, Pakistan, Bangladesh and Maldives, Amāna Bank partnered the second edition of the Islamic Finance Forum of South Asia as its Lead Banking Partner.

The Bank joined hands with the Sri Lanka Gem and Jewellery Association to be its Official Banking partner for FACETS 2017, Sri Lanka's largest and pinnacle International Gem and Jewellery Exhibition. Held for the 27th consecutive year, the 2017 edition of FACETS took place from 31 August 2017 to 03 September 2017 at the BMICH under the patronage of His Excellency, The President, Maithripala Sirisena and Honourable Prime Minister Ranil Wickremesinghe.

The Bank also partnered many other events as sponsors, including the Risk Symposium organised by Association of Banking Sector Risk Professionals of Sri Lanka, the Serendib Doctors Forum, Zahira College Super 16 Invitational Soccer Tournament, Hameed Al Hussein - Inter School Football Tournament 2017, JCI Ten Outstanding Young Persons Sri Lanka - Award Ceremony, The Royal College Islamic Day, 25th Anniversary Celebrations of the Iqra Technical Training Institute, 25th Anniversary of the Austra-Lanka Association based in Australia as well as the Expo 2017 Shopping Festival held at the Sri Lanka Exhibition and Convention Centre.

Awards and Accolades

Best Islamic Financial Institution in Sri Lanka - Global Finance World's Best Islamic Financial Institutions Awards 2017

For the fourth consecutive year, Global Finance Magazine adjudicated Amāna Bank as the Best Islamic Financial Institution in Sri



Lead Banking Partner at SLIBFI Conference 2017



Lead Banking Partner for IFFSA 2017



Amāna Bank stall at FACETS 2017



Amāna Bank at Expo 2017

BUSINESS AND OPERATIONS REVIEW

Lanka at the World's Best Islamic Financial Institutions Awards 2017 held in USA. All Global Finance award winners are picked through a rigorous process of extensive consultations with bankers, corporate finance executives and analysts throughout the world.

Best Islamic Bank in Sri Lanka by The Banker

The Banker has been carrying out Islamic Banker of the Year Awards for the last nine years and included Sri Lanka as a new market in its 2016 awards, an indication of the continued global spread of the Islamic banking industry. Amāna Bank was adjudged the Best Islamic Bank in Sri Lanka award by The Banker for the second consecutive year in 2017.

Best Islamic Bank in Sri Lanka by The Global Finance and Review Magazine

The UK Based Global Finance and Review Magazine awarded Amāna Bank as the Best Islamic Bank in Sri Lanka Award at their Annual Awards.

Best Islamic Banking & Finance Brand in Sri Lanka by The Global Brands Magazine

The world renowned 'Global Brands Magazine' recently recognised Amāna Bank as the Best Islamic Finance Brand in Sri Lanka for the year 2017. Amāna Bank was awarded this honour for their exceptional commitment to Innovation, Quality, Branding Activities, Customer Service and Performance in Sri Lanka.

Gold Award for Islamic Finance Product of the Year at the Sri Lanka Islamic Banking and Finance Industry Awards (SLIBFI Awards)

The Bank was awarded the Gold Award for 'Islamic Finance Product of the Year' at the SLIBFI Awards 2017. The Award was adjudicated for the Bank's innovative Education Finance solutions.

Gold Award for Islamic Finance Marketing Campaign of the Year at the Sri Lanka Islamic Banking and Finance Industry Awards (SLIBFI Awards)

The Bank was awarded the Gold Award for 'Islamic Finance Marketing Campaign of the Year' at the SLIBFI Awards 2017 which was adjudicated by the Chartered Institute of Marketing. The Award was given in recognition for the Bank's marketing campaign done for its unique and innovative Gold Certificate Financing Solution.

Silver Award for Islamic Finance Deal of the Year at the Sri Lanka Islamic Banking and Finance Industry Awards (SLIBFI Awards)

The Bank was recognised with the Silver Award for Islamic Finance Deal of the Year at the SLIBFI Awards 2017 for having partnered with an enterprise which manufactures Multiday Fishing Vessels.

Sri Lanka's 100 Most Valuable Brands

Amāna Bank was ranked 83rd in Sri Lanka's 100 Most Valuable Brands for 2017 with a Brand Value of LKR 344 million, a study and ranking index compiled by Brand Finance, an independent consultancy focused on the management and valuation of brands globally. The ranking index was published in the Brands Annual magazine, which is presented by Media Services, the publishers of the renowned LMD Magazine.

Amāna Bank at IDB Innovation Exhibition

The Bank was invited by the Islamic Development Bank (IDB) to showcase its unique Gold Certificate Financing solution at IDB's Innovation Exhibition which was held along with the 42nd Annual Meeting of IDB Board of Governors. The exhibition held in Jeddah, brought together several projects from IDB member countries that are innovative, inclusive and have positively impacted the livelihoods of people.



Gold Award for Best Islamic Finance Marketing Campaign at SLIBFI Awards 2017



Gold Award for Islamic Finance Product of the Year at SLIBFI Awards 2017



Silver Award for Islamic Finance Deal of the Year at SLIBFI Awards 2017



Amāna Bank at IDB Innovation Exhibition

GEARED TO ENRICH LIVES

With our commitment towards continuous improvement, service excellence and innovation, our people friendly banking model is ready to enrich the lives of all Sri Lankans.



HUMAN RESOURCES MANAGEMENT REVIEW

The Human Resources function undertook various initiatives to align its strategies with the overall strategic objectives of the Bank, in pursuit of the strong results posted during the year. A review of the year's activities is detailed below.

Organisational Development

The Human Resources (HR) Department worked closely with the respective business units in reviewing and revamping organisational structures to better align them with the Bank's business strategy and goals. This also entailed developing job descriptions and clear job roles. In addition, a workforce planning exercise was carried out across the Bank as part of the annual business planning process, utilising manpower and capacity assessment tools and methodologies. Due care was exercised in ensuring effective employee engagement and communications as part of the change management process.

Talent Management

The Bank recognises the importance of a comprehensive talent management policy, which is also linked to a robust succession planning process. This includes identifying high potential employees who can be groomed through tailored career development plans to fill critical and challenging positions against immediate and future business needs. HR plays an instrumental role in securing the future success of the Bank. In doing so, the function is guided by its long-term vision of working in partnership to create an environment where employees can thrive and are empowered to deliver sustainable performance. Specifically, three longer-term strategic priorities have been identified for HR. These are:

- divisions and infrastructure functions in order to deliver results
- ♦ To strengthen its role as a support function for the Bank for human capital risks
- ♦ To build the capabilities of managers and staff

In 2017, the HR activities were in line with these priorities, which have come into particular focus with the Bank's 5 year Strategy and its execution over the coming years.

The delivery of business consulting capability and professional HR services is designed to positively impact business results. These include bringing HR's knowledge of human capital trends to support the 5 year Strategy and to provide access to the skills required. There has also been a particular focus on demographic trends and how they affect the organisation. The Bank is developing workforce management solutions to optimise the balance between supply and demand for capabilities, and to manage the cost and employee base more efficiently and effectively in the long term. One of the key aspects is, enabling employees to develop the skills necessary to take up new roles within the organisation with the Bank supporting internal, cross-divisional career mobility by identifying redeployment opportunities and offering training and development. In addition to supporting the execution of strategic measures, internal mobility allows employees to have more diverse and fulfilling careers. At the same time, the Bank seeks to add to the skills of its workforce and to position itself as an employer of choice – one that rewards sustainable performance and offers a comprehensive range of benefits.

Staff Strength

Category	No. of Employees	Rate (%)
Management Committee	12	1.6
Assistant Vice Presidents	5	0.7
Senior Managers	17	2.3
Managers	97	13.1
Executive Officers	177	23.9
Junior Executive Officers	272	36.7
Trainee Banking Associates / Banking Associates	73	9.8
Business Development Officers	82	11
Office Assistants	7	0.9
Total	742	100

- ♦ To apply its human capital expertise more assertively to support the business

Staff Strength - By Age

Year	2017	
Category	No. of Employees	Rate (%)
61 and Above	10	1.3
51-60	27	3.6
41-50	80	10.8
31-40	190	25.6
21-30	387	52.2
20 and Below	48	6.5
Total	742	100

New Employee Recruitment and Employee Turnover

Total Number and rate of new recruitments by age group

Age group	Number	Rate
Over 50	6	4%
30-50	9	6%
Under 30	127	90%

Total Number and rate of new recruitments by region

Region	Number	Rate
Central	16	11%
Eastern	10	7%
Metro	111	78%
Western	3	2.5%
Southern	2	1.5%

Learning & Development

The HR Department recently revamped the previous Training Department into a Learning and Development (L&D) enabler that is closely linked with the talent management proposition of the Bank.

Our approach to learning and development is based on training needs analyses, talent pipeline development and succession planning with critical components being:

- ◆ Tailored individual career development plans for the talent pipeline
- ◆ Specific training inventories based on needs
- ◆ Mandatory learning to meet regulatory requirements
- ◆ Leadership and managerial development programmes, which includes soft skills development
- ◆ Tailored Retail banking training, especially at grassroots level.

In terms of training content, a key area of focus during the year, was creating awareness on all regulatory frameworks and guidelines applicable to all staff.

In addition, in 2017, the HR Department also focused on professional & leadership development, which is a process of enhancing skills and knowledge, including job mastery and professional development coupled with career planning activities such as:

- ◆ Professional development and guidance training
- ◆ Leadership development training
- ◆ Outbound training sessions

Professional development, which was an ongoing process, relates to staff

encouragement and support in reviewing and re-assessing individual deployment goals aligned to the Bank's objectives.

The L&D team played a key role in providing valuable feedback and learning activities and resources in uplifting competencies of Amāna's employees.

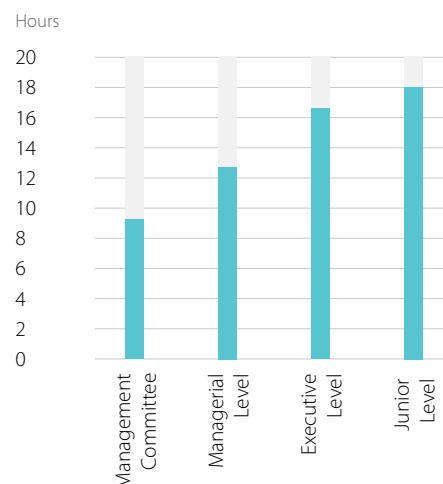
The year 2017 was a significant year for L&D with an average satisfaction score of 86% along with 1,900 man-days completed by 31 December 2017.

Below is the numerical snapshot of the progress of T&D for the year 2017.

Average Hours of Training Per Employee

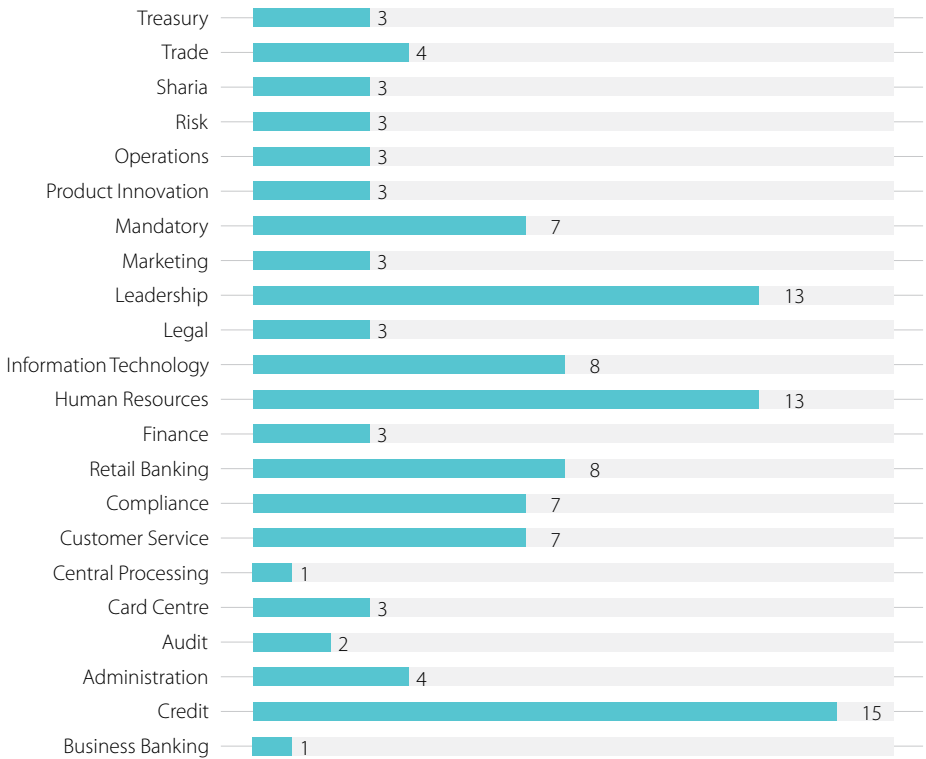
Employee Category	Average Training Hours
Management Committee	9.2
Managerial Level	12.7
Executive Level	16.6
Junior Level	18.0

Average Hours of Training Per Employee

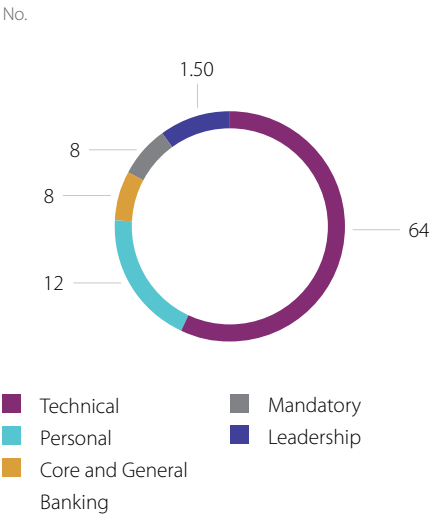


HUMAN RESOURCES MANAGEMENT REVIEW

Number of Programmes



Training Skills Matrix



Some of our training events are captured below.



Staff at a Product Training



Group Activity at an Outbound Training



Group Activity at an Outbound Training

Compensation & Benefits

We believe in meritocracy and excellence, as core corporate values, as ultimately it is people who drive the Bank's performance. The Bank's compensation and benefits strategy is thus aimed at motivating, rewarding and retaining staff, with a focus on our high performing and high potential employees.

We conduct an annual industry analysis on compensation and benefits to successfully implement this strategy, as it serves to keep abreast of on-going market trends. The updated Staff Benefits Policy is approved by the Board of Directors, which further enhances alignment with regulatory guidelines.

The Bank's compensation model is driven by employee performance and potential (talent) ratings. The Bank uses a combination of fixed and variable compensation to attract and retain talent. The fixed component is benchmarked annually against other local banks, while the variable component is related to the employees' performance and their compatibility to achieve the agreed objectives. The variable component includes incentives, performance bonus and other benefits.



Staff at Outbound Training

Performance Management

Another strategic priority we worked on during the year, was to further strengthen and implement an effective and differentiated performance management proposition. The process entailed several steps, such as:

- ◆ Developing the overarching Key Performance Indicators (KPIs) and cascading them across all levels within the Bank
- ◆ Launching an enhanced performance management system, supporting all employees in setting their KPIs
- ◆ Conducting a quality assurance exercise for all managerial KPIs
- ◆ Creating awareness on performance management
- ◆ Restructuring underperforming management processes
- ◆ Engaging with employees and line managers and assisting them in conducting year-end performance calibration exercises to obtain the final performance ratings.

As the Bank concluded a successful 2017, the HR Department will continue to focus on the key priorities of its function and support the Bank's endeavour to achieve the challenging targets set for 2018 and beyond.



Staff benefiting from an Eye Camp

REPORT ON SHARIA SUPERVISION

بِسْمِ اللَّهِ الرَّحْمَنِ الرَّحِيمِ
الحمد لله رب العلمين، والصلاة والسلام على رسوله الكريم وعلى آله وأصحابه أجمعين

السلام عليكم ورحمة الله وبركاته

By the Grace of Almighty Allah, the year under review marks the sixth full year of commercial operations for Amāna Bank.

During the year, the Sharia Supervisory Council (SSC) of the Bank held three Sharia Council meetings to review various products, product modifications, concepts, transactions and processes including the approval of three new products and provided Fatwa(Ruling) for the Bank's products.

New Products Approved by the SSC during the Year

- 1. Export Wakala based on the principle of Wakala-Bil-Isthithmar
- 2. Wakala for Post-dated Cheque/Bill Discounting
- 3. Amāna Top-up Savings Account

Fatwa (Ruling) Provided by the SSC during the Year

- 1. Gold Safe Keeping Facility & Emergency Cash Facility

Review of Sharia Documentation

- 1. Diminishing Musharaka
- 2. Express Cash
- 3. Local Murabaha
- 4. Extended Murabaha (Small Asset Financing)
- 5. Tijara

Developing Support Documentation

- 1. Circular on Early Settlement of Ijara facilities
- 2. Circular on Apartment Financing

3. Terms & Conditions for Extended Murabaha (Small Asset Financing)

Sharia Review and Compliance Process

To ensure that the revenue generated by the Bank adheres strictly to conjunctions of the rules and principles of Sharia the Sharia Supervision Department actively observed various operational activities throughout the year. The credit approvals, restructuring of financing facilities, customer specific transaction process flows, text of Letters of Guarantee and Sharia documents were reviewed to ensure Sharia compliance whilst offering financing products to the customers.

The Sharia Review Function plays a vital role in achieving the objective of ensuring Sharia compliance by evaluating adherence to the rules and principles of Sharia in all activities undertaken by the Bank.

The Sharia Supervision Department will focus on matters pertaining to the rules and principles of Sharia, enabling the facilitation of smooth operations whilst ensuring Sharia compliance at all levels in the Bank.

Income generated from Advances via Consumer and Business Banking transactions that were reviewed are as follows:

Income Generated from Consumer Financing (LKR '000)	1,497,872
Income Generated from Business Financing (LKR '000)	3,669,699
Number of Transactions Performed	11,109
Number of Transactions Reviewed	11,109
Total Gross Advances as at 31 December 2017 (LKR '000)	43,440,441
Gross Non-Performing Advances Ratio (%)	1.89

Moreover, physical inspections were conducted on a random basis and measures were taken to verify the relevant purchase evidences/invoices, further enhancing the controls.

All financing products granted during the year were reviewed by the Sharia Supervision Department and their alignment with the guidelines given by the SSC also verified.

The process and the scope of the review included the following:

- ◆ Invoices and other related purchase evidences were verified by confirmations and the existence of suppliers was also confirmed by visiting their premises on sample basis.
- ◆ Genuine purchase evidences were provided to execute Murabaha transactions so that Murabaha disbursements are not availed to set-off previous balances with the supplier and Murabaha Status Sheets.
- ◆ Sharia documentation, security documents and procedures followed by different functional areas for Local Murabaha, Import Musawama/ Murabaha, Extended Murabaha, Ijara (Leasing), Diminishing Musharaka, Local Musharaka, Istisna, Tijara, Wakala, Education Financing, Travel Financing, Solar Financing, Express Cash, and Gold Safekeeping Facility.
- ◆ Declarations, description of assets, relevant purchase invoices, sequence and order of the documents and time difference between purchases and declaration in Murabaha.
- ◆ Purchase deeds, treatment of ownership related cost and recovery of rentals in Ijara transactions, ownership ratio in Diminishing Musharaka for housing facilities and issuance of timely unit sale receipts.
- ◆ Investments made in Equity with reference to the Equity stock screening criteria.

- ◆ Import finance transactions and related documentation.
- ◆ Extensive reviews of client payment, purchase cycle and periodic assessment of clients' processes.
- ◆ Profit-Sharing Ratio, Mudaraba pool working and the applicable profit allocation for deposit products.
- ◆ Treasury placements with other Islamic Financial Institutions and Window Operations.

Online Sharia Compliance Process

Sharia Supervision Department carries out Sharia review of all transactions (100%) executed on a post transaction basis, as well as sample based spot reviews. The Sharia review process is carried out to ensure Sharia compliance of all transactions and also to build a zero tolerance culture within the Bank to Sharia non-compliance.

In order to streamline and make the Sharia compliance process effective & efficient, the Bank implemented an Online Sharia Compliance Process, which would essentially be a live compliance process. The Online Sharia Compliance Process will take place at the fund disbursement and deal creation stages of all Local Murabaha, Extended Murabaha, Import Murabaha/Musawama transactions of branches and relevant departments.

Review of Marketing & Communication Activities

All Marketing & Communication activity materials were reviewed by the Sharia Supervision Department to ensure such

activities of the Bank adhere to the rules and principles of Sharia.

Murabaha Status Sheet

A system for continuous monitoring of Murabaha Transactions is in place whereby the branches extending Murabaha financing are required to submit a monthly report, after thorough review by the branch/department head, to the Sharia Supervision Department for review and continuous monitoring of Murabaha Transactions to avoid any Sharia non-compliance.

Training and Development

During the year, 28 internal Sharia training sessions were held in which 475 employees participated. These programmes were conducted with the objective of enhancing the knowledge and skills of staff members on the rules and principles of Sharia and Sharia documentation related to the respective contracts.

During the year the Sharia Supervision Department focused on increasing the level of awareness in key stakeholders on Islamic Banking, products offered by the Bank and to inculcate the value of Islamic banking. In this regard 24 external programmes were conducted for Islamic scholars, customers, university lecturers, teachers, students and the general public. The total participation for these programmes was 1,428.

REPORT ON SHARIA SUPERVISION

Programme	Audience	No. of Sessions	No. of Participants
Internal			
Introduction to Islamic Banking-Our Model	Newly Recruited Staff	4	109
Rules & Principles of Sharia on the Banks Products	Front Line Staff	1	49
Objective of Islamic Banking/Rules & Principles of Sharia on the Banks Products	Branch Staff	21	304
Sharia Workshop	Customer Relationship Managers	2	13
Subtotal		28	475
External			
Awareness Program on Islamic Banking & the Banks Products	Islamic Scholars	2	158
Awareness Program on Islamic Banking & Banks Products	Academics, Students, Customers, Islamic Scholars and General Public	22	1,270
Subtotal		24	1,428
Total		52	1,903

Sharia Risk Management Committee

The Sharia Risk Management Committee (SRMC) which is a Sub-Committee of the Management Committee of the Bank was established to discharge the responsibilities of management on Sharia Compliance. During the year six SRMC meetings were held in order to take up issues relating to Sharia Review, compliance and Risk.

Regional Sharia Review Units

The regional Sharia units in the Central and Eastern regions are playing a significant role towards accomplishment of the objective of ensuring Sharia compliance at all levels through 100% review of transactions and facilitating smooth operations in a timely manner.

Sharia Advisory Services

Internal Support

Sharia Supervision Department provides advisory services on structuring of products and transactional processing on an on-going basis, based on the previous guidelines and resolutions made by the SSC. Further, issues would be escalated to the Executive Committee of the SSC based on the complexity of the issue. All such advisory provided by the Sharia Supervision Department were tabled at the subsequent SSC meetings and ratified by the SSC.

The Sharia Supervision Department also reviews Credit Memorandums on pre-approval basis of both new proposals as well as at annual reviews of facilities to ensure that the most appropriate product is provided to the customer.

Number of Advisory Provided by the Executive Committee of the Sharia Supervisory Council	22
Number of Advisory/Clearances Provided by the Sharia Supervision Department based on previous guidelines and resolutions	490
Number of Advisory/Clearances Provided by the Sharia Supervision Department on new issues	16
Total	528

Number of Credit Memorandums reviewed by the Sharia Supervision Department	280
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External Support

The Bank continues its Sharia Advisory Services to a public listed company engaged in commodity brokerage, in order to structure their financing operations to be in compliance with Sharia principles.

In this regard, the Bank provides Advisory Services for Product Development, Transaction Structuring, Internal Process, Procedures and Guidelines, Documentation, Monitoring and Control, provide Training as well as monitor compliance to the requirements of Sharia.

Charity

During the year, LKR 2,176,036.99 was transferred to the Charity Payable Account. As at 31 December 2017 the total balance amounted to LKR 3,295,759.18.

Statement of Sources and Utilisation of Charity Fund

	LKR
Opening balance as at 1 January 2017	2,072,084.69
Additions during the year	
Purification of Dividends/Disposal Gains of Equity	102,519.44
Interest Accumulated in Nostro Accounts	1,828,017.55
Excess Cash	245,500.00
	4,248,121.68
Less: Distribution of Charity	(952,362.50)
Closing balance as at 31 December 2017	3,295,759.18

The total amount of LKR 952,362.50 was disbursed from the Charity Account with the approval of In-House Sharia Advisor and it was duly reported to the SSC for its concurrence.

The Way Forward for the Year 2018

- ◆ Continue to ensure the zero tolerance culture on Sharia non-compliance.
- ◆ Strengthen the Sharia Risk Management process and mitigation of Sharia violations through the involvement of the Sharia Risk Management Committee.
- ◆ Review and update the Sharia product process, guidelines, documentation and checklists to offer the most appropriate product for the customer.
- ◆ Facilitate the New Product Development process by providing advice on the appropriate Sharia principles and contracts to structure new products.
- ◆ Facilitate and conduct training sessions as follows to develop Sharia competency levels and instil onus on all stakeholders -
 - Introduction to Islamic Banking for newly recruited staff members
 - Sharia Refresher programmes for existing staff members

- Focused training programmes on rules and principles of Sharia, documentation and Sharia compliance
- Sharia compliance and Sharia Risk for Management Committee & Other Senior Management staff
- Focus on a "Talk the Walk" policy with regard to the operations and offerings of the Bank.
- Conduct special awareness programmes for customers and the general public, whilst continuing workshops for Islamic Scholars on Islamic Banking.
- ◆ Introducing a Sharia E-learning Module
- ◆ Centralizing Sharia Documentation Process for all the products
- ◆ Appointment of Sharia Inspection Officers for Central & Eastern regions in order to facilitate trade transactions and execution of relevant Sharia contracts.

May Almighty Allah make us successful in accomplishing His precious tasks and reward us in this world and in the Hereafter.

و عليكم السلام ورحمة الله وبركاته



Ash-Sheikh Nazhan Naurooz
*In-House Sharia Advisor and Secretary to the
 Sharia Supervisory Council
 11 Jumaadal Aakhira 1439 A.H.*

28 February 2018

CORPORATE SOCIAL RESPONSIBILITY

The overall emphasis of the Bank's CSR strategy is towards initiatives that support children, mainly focusing on their health, education and general well-being amongst other key needs. The Bank continued to engage its Bank staff in carrying out its CSR initiatives with much interest to encourage a culture of sharing and giving back to society. Highlighted below is a summary of CSR initiatives done by the Bank in 2017.

The Bank continued its contribution towards the maintenance of the Children's Ward at the Kalubowila (Colombo South) General Hospital. In 2017 the Bank was involved in developing necessary infrastructure of the Ward. In the same lines, the Bank made a significant donation to conduct a medical camp at Jifriya School in Eravur which attracted over 1,000 people from Eravur and Batticaloa. Likewise the Bank also took part in the Muthur Dengue Prevention Programme carried out in Kinniya which was organised by the Office of the Medical Officer of Health in Muthur. The Bank also donated Wheel Chairs to the General Hospital of Rathnapura while also donating Boilers to the Negombo Base Hospital.

In the focus area of Children's education, the Bank continued its association with the Makola Orphanage by donating school books and stationery for the new school year, thereby ensuring that the orphans have a sound education. The Bank once again extended its hands to the Serendib Education Foundation, where through its contribution, financial assistance and scholarships were awarded to deserving students who are unable to pursue their studies due to financial difficulties. This

was the Bank's fifth consecutive year in supporting the Serendib Education Foundation's scholarship programme. In addition the Bank contributed to the Diyagala Boys School in Ragama by donating a Sound System. The school focuses on training and supporting school dropouts and out of school youth to become self-reliant, increase their potential and to raise their living standards in the society. Further Amāna Bank extended its CSR contribution overseas through reaching out to the Zahira College Colombo Old Boys Association of Qatar for their 'I Support Education Scholarship Fund' which contributes towards improving the education for the needy and deserving students in the form of scholarships such as school fees and private tuition fees, non-financial assistance, uniforms, school shoes, books, and stationeries.

The Bank also supported ESCO Rehab Sri Lanka which is a leading organisation in the field of rehabilitation for children who are differently abled. Amāna Bank has maintained close ties with the institution since 2012 and has reached out in order to accomplish their shortcomings through means of donations. To commemorate the anniversaries of branches, the Bank continued to open children savings accounts to under privileged children in the branch locality.

The Bank supported the victims who were affected from the severe floods that hit Sri Lanka in May last year. Dry Rations were distributed to victims in Rathnapura and Galle. Further in line with the Bank's CSR focus towards children, the Bank identified

a school in the Rathnapura district which was damaged by the floods and refurbished their class rooms. The Bank also donated school bags and stationery to students of a school in Akuressa, who were badly affected by the floods.

During the year the Bank also contributed to a fund raiser organised by the Lanka Clear Employer Welfare Association towards funding the cancer hospital in Maharagama. The Bank also supported a fund raising campaign to provide white canes and glasses to commemorate International White Cane Day.



Donation of Boiler to Negombo Base Hospital



Donation to Mutur Hospital



Refurbishment of class rooms of a school that was damaged by Floods in Ratnapura



Donation of equipment for the Children's Ward at the Kalubowila General Hospital



Donation of Books to Makola Ophanage

RISK MANAGEMENT

Banks are exposed to various risks in their day-to-day business operations. Risk is inherent in every level of activity carried out by a bank, but is managed through an effective process of on-going identification, measurement and monitoring, with the aid of risk limits and other controls. The major categories of risks are credit, market, liquidity and operational risks. Banks also face other risks including but not limited to reputational, legal, regulatory risks, etc.

Amāna Bank has adopted an Integrated Risk Management (IRM) framework with a set of policies and procedures approved by its Board of Directors (BOD). The purpose of these policies and procedures is to manage and optimise the risk-reward trade-off. Through the IRM framework, the BOD assesses the risk profile and oversight over the implementation of the IRM framework of the Bank and its management on a regular basis, at the minimum on a quarterly basis.

The IRM framework covers identification of potential risks and sources of such risks, the mechanism of managing such information and reporting to monitor such risks. It also defines relevant officers and committees responsible for risk control and mitigation. The risk management policies and procedures approved by the BOD inter alia addresses:

- i. A system to aggregate overall risk exposures for monitoring and control
- ii. Measures for risk diversification with limits for various exposures based on risk appetite
- iii. Risk measurement approaches such as use of historical databases, stress testing and scenario analyses
- iv. Capital maintenance considering expected losses and unexpected losses
- v. Capital allocation to businesses and products in order to optimise risk adjusted returns and economic value additions

vi. Disaster recovery and contingency plans.

Risk Appetite

An effective risk governance framework includes a strong risk culture, a well-developed risk appetite articulated through the Risk Appetite Statement, and well defined responsibilities for risk management in particular and control functions in general.

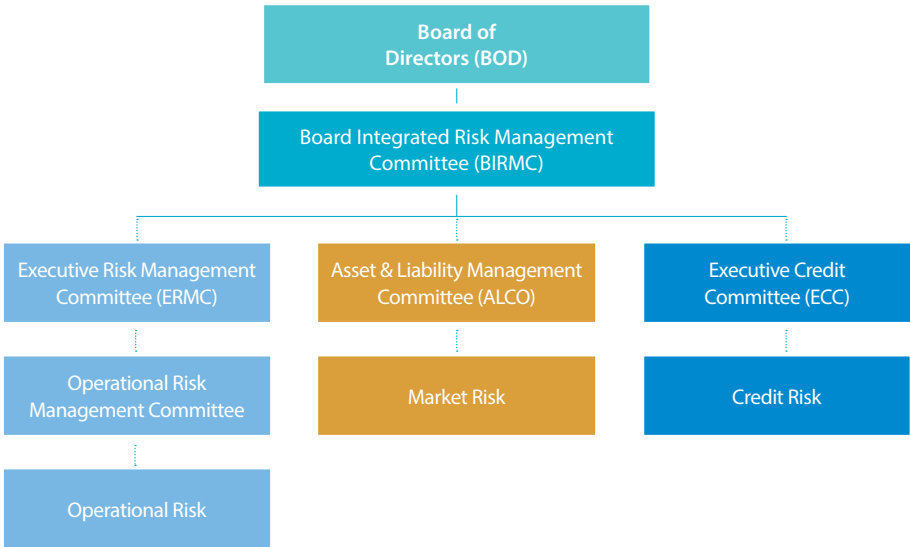
In order to effectively implement Risk appetite, the Bank has defined quantitative indicators on all risk categories (e.g., capital adequacy level , risk limits, Earnings Growth, Foreign Exchange Net Position, Single Borrower Limits, Liquidity GAP etc.) and qualitatively embedded in the policies and procedures (e.g. assessment criteria). The Bank's risk policy and risk limits are designed to be consistent with the defined risk appetite.

Risk Management Structure

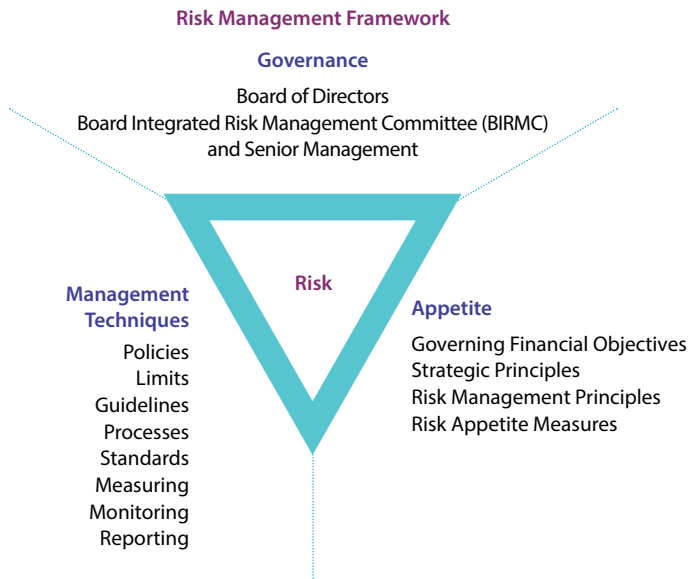
The Risk Management Department (RMD) is mandated to design and operate the Bank's integrated risk management process and is independent of the Bank's business lines.

The Bank has developed a risk management framework adhering to Basel III Accord which provides guidance to the overall risk management goals and strategy. This risk management framework provides the basis for the ongoing development and enhancement of the Bank's integrated risk management infrastructure and capabilities. The framework provides a structured approach to the management, measurement and control of risk - i.e., a way that people and processes ensure that business activities provide an appropriate balance of return for the risks. The primary goals of risk management are to ensure that the outcomes of risk taking activities are consistent with the Bank's strategies and risk appetite. The Bank's enterprise-wide risk management framework provides the foundation for achieving these goals.

Integrated Risk Management Framework document was revised by the Risk Management Department, reviewed by the Board Integrated Risk Management Committee and approved by the Board of Directors.



The Bank's risk management framework is applied on an enterprise-wide basis and consists of three key elements as depicted below:



The Bank has in place a strong risk management framework which is based on the need to assess the Bank's exposure to risks while minimising adverse impacts of Credit Risk, Market Risk, Liquidity Risk and Operational Risk on resources, earnings and cash flows through a robust framework of integrated risk management. The Bank has ensured that its portfolios/exposures remain aligned to the defined risk appetite and strategy whilst proactively managing risks supported by strong open-minded risk identification.

The Bank's mission with respect to risk management is to advance its risk management capabilities, culture and practices so as to be in line with internationally accepted standards and practices. As such, the Bank has continued to invest in its risk management capabilities in terms of human resources, processes, policies and introduced newer tools during the year under review. The global economic crisis has provided an opportunity for a fundamental restructuring of the approach to risk and regulation in the financial sector. The Board is required to define the risk appetite for the Bank and is responsible for the activities and overall performance of the Bank. This risk appetite supports effective decision-making, capital allocation and is central to embedding risk management in business decisions and risk reporting across the Bank.

A strong and pervasive integrated risk management culture provides a bank with a sound foundation of risk management framework consistent with the bank's objectives, risk tolerance, control standards and management philosophy.

The risk governance structure at Amāna Bank stems from the Board of Directors and is monitored by the following committees:

- ◆ Board Integrated Risk Management Committee (BIRMC)
- ◆ Board Audit Committee (BAC)
- ◆ Board Credit Committee (BCC)
- ◆ Asset and Liability Management Committee (ALCO)
- ◆ Executive Risk Management Committee (ERMC)
- ◆ Operational Risk Management Committee (ORMC)
- ◆ Management Audit Committee (MAC)
- ◆ Executive Credit Committees (ECC)
- ◆ IT Steering Committee (ITSC)

The Board has defined the risk appetite for the Bank which would then be rolled out to each business line and subsequently to the business unit. The Board is assisted by a number of Board level and Management level committees.

RISK MANAGEMENT

Typical Roles/Responsibilities in Setting Risk Appetite

Stakeholders	Roles/Responsibilities
Board of Directors	Review and approve risk appetite Review strategic objectives and positioning
BIRMC	Understand the risk profile of the Bank and the Bank's performance against same Set basic goals for the Bank's risk appetite and strategy, such as ratings or earnings-volatility targets with Senior Management and issue guidelines for Senior Management in implementing Risk Management Policies and Procedures throughout the Bank Ensure that the Risk Function is adequately staffed with professionals who are sufficiently competent in managing and monitoring all risks within the Bank and that they can avail of appropriate systems and tools
CEO, CRO and Senior Management	Set business strategy Identify availability of capital Coordinate process of aligning risk appetite and risk strategy with business strategy and capital capacity Oversee monitoring, reporting and governance around the risk appetite process Align business lines and goals within the risk parameters Communicate risk appetite Promote risk culture Communicate and integrate objectives throughout the business processes Embed risk appetite-related goals in performance objectives and compensation rewards
Business/Support Unit Heads	Propose key initiatives in light of economic, risk and competitive outlook Align risk policies, processes and limits used in managing day-to-day business operations with the metrics contained in the risk appetite statement

With the intention of being consistent with the risk-ownership concept under Basel III Accord the Bank's strategy to manage various risks is structured into '3 Lines of Defence' as summarised below:

1st Line of Defence: Risk Taking Units

These are the units directly exposed to specific risks daily and must assume primary responsibility in their management. By identifying and analysing risks and shortcomings, instituting regular controls, monitoring and reporting procedures and taking appropriate action, they are in the best position to mitigate or avoid risks. The overall ownership of the risk environment and responsibility to manage the risks therefore reside with them.

2nd Line of Defence: Risk Control Units

This refers to the respective Risk Management Team and the Risk Control Committees, including other control and monitoring departments such as Legal, Compliance and Sharia Supervision. The Risk Management Department shall be responsible for the development and maintenance of the Risk Management Framework and its implementation. Other controlling and monitoring departments are responsible to develop guidelines in managing risks under their purview. Both RMD and controlling/monitoring departments ensure timely receipt of reports and perform analyses before submitting them to top management and the Board of Directors for their oversight. Where appropriate, they provide support to the risk taking units and initiate changes to policies and procedures.

3rd Line of Defence: Independent Assurance

This refers to the Internal Audit function whose roles and responsibilities under the Risk Management Policy are to provide independent assurance to the Board of Directors on the effectiveness of the Risk Management Framework, that the policy has been implemented with integrity.

Going forward, the Bank aims to leverage the risk management system capabilities to drive the following business benefits:

- Increase efficiency and reduce operating cost for risk management through optimised utilisation of resources and skills (reduction in manual operations)
- Reduce potential losses with enhanced risk management and increase profitability through better control over risk appetite.
- Adhere to regulatory compliance [i.e. Central Bank of Sri Lanka (CBSL),

- Securities and Exchange Commission (SEC), etc.]
- iv. Enhance strategic decisions with foresight into risks.
- v. Enhance product and services strategy by providing confidence in introducing innovative and profitable offerings.
- vi. Timely detection of risks to reduce losses due to risk events.

During 2017, a prudent risk management approach in line with industry best practices assisted Amāna Bank to reach its current level of growth. In order to achieve this, the Bank was able to cultivate a risk based culture by means of a robust risk management framework throughout all the branches and departments. The Bank's Risk Management Department strategically manages the risks by working closely with the business units at every stage of the process and with the use of credit risk, market risk and operational risk management tools has successfully managed the Non Performing Advances (NPA) ratio at a low level compared to the industry and work towards strengthening the Risk Control and Self-Assessment (RCSA) process.

Assessment of Capital Adequacy

In order to provide assurance that Amāna Bank has sufficient capital to support all its business and risk taking activities, the Bank has carried out the Internal Capital Adequacy Assessment Process (ICAAP) as per the Basel III guidelines required by CBSL.

ICAAP guides the minimum internal capital requirement for the Bank's current and future business strategies and financial plans for the next three years via a comprehensive risk assessment process on its portfolio risk exposures, its risk management practices towards its material risks and potential capital planning buffer required in the event of stress.

CBSL, based on the above, directed all licensed commercial banks in Sri Lanka to come up with their ICAAP document and submit the same for regulatory evaluation within five months of the financial year end. The Bank has, in compliance with the CBSL guidelines, formulated the ICAAP document to meet the said requirement.

Capital Requirement under Basel III

Minimum Requirement covered under Pillar 1 of Basel III regulations has been complied which required the capital buffers to be implemented. Amāna Bank is maintaining the capital to comply with the buffer requirement to maintain CAR at 12.5% by 2019 that is applied for banks which carry an asset base of less than LKR 500 billion.

Assessment of the capital has been reviewed by Internal Capital Adequacy Assessment Process (ICAAP) which assesses the risks that are not covered in the Pillar I in order to meet the capital ratio/buffer requirement required by the regulator. ICAAP was prepared in line with Basel III capital buffer requirement and assessed the capital under various stress scenarios for smooth functioning of the Bank.

The Bank has already started to adopt the requirements under Basel III. The Liquidity Coverage Ratio (LCR) is currently being reported to CBSL based on existing guidelines and Net Stable Funding ratio (NSFR) will be reported to CBSL in 2018 according to the guidelines issued. LCR in terms of all currencies and based on rupee have been monitored separately and reported to the relevant management committee and BIRMC on a monthly basis in order to assess the liquidity risk of the Bank.

The compilation of the ICAAP report is spearheaded by the Management Committee, a cross functional team which

consists of resource personnel from Risk, Audit and Finance departments.

ICAAP report helps the Bank meet the following objectives:

- i. Ensure that the Bank is adequately capitalised beyond the minimum regulatory capital requirements under Pillar I at all times;
- ii. Ensure a comprehensive coverage of risks facing the Bank covering not only the Pillar I risks but also other risks (Pillar II and Pillar III) which are not covered in Pillar I. Further, the ICAAP document shall also aim to address inadequacies in risk management process of Pillar I risks through related risks categories (example: Residual credit risk, under-estimation of credit risk in standardised approach).
- iii. Formulate a process that forms an integral part of the Bank's risk management processes so as to enable the Board of Directors and senior management to assess the risks that are inherent in their activities and are material to the Bank on an on-going basis.
- iv. Have a process for assessing the overall capital adequacy in relation to the risk profile.
- v. Enable the Bank to withstand adverse business conditions by evaluating the adequacy of capital in stress scenarios.
- vi. Usage of risk management in general business decisions and budgets, day-to-day activities such as evaluating individual credit decision process and in overall strategic planning of the Bank.
- vii. Embark upon a continuous process for improvement in risk management techniques, policies, processes, systems and overall awareness of the Bank.

RISK MANAGEMENT

Stress Testing

Stress testing is an essential risk management tool used to assess Bank's potential vulnerabilities to stressed business conditions. Sound stress testing practices enables the Board and Senior Management to make a more informed forward looking assessment of risks when determining Bank's risk appetite, business strategies and contingency plans.

The internally developed scenarios shall include economic recession scenarios, one of which must be a prolonged recession, to assess its ability to withstand and mitigate such scenarios. These scenarios have been applied in Internal Capital Adequacy Assessment Process annually.

Sensitivity and Scenario Analyses

The Bank uses a range of stress testing methodologies such as sensitivity and scenario analysis to ensure that its stress testing is comprehensive. Sensitivity analysis estimates the impact on the value of a portfolio of exposures arising from assumed movements in a single risk factor or several closely related risk factors.

Supervisory Review and Evaluation

As part of the Bank's Risk-Based Supervisory Framework and evaluation of ICAAP, Stress Testing shall be reviewed and evaluated. The Bank shall be required to take action to improve its capital or risk management processes in order to address any adverse scenario impact conducted through stress Testing.

Credit Risk Management

Overview

Credit Risk is the loss arising from failure of the counterparty to perform according to its contractual arrangements with the Bank. It includes failure in the repayment of capital plus the Bank's profit/mark-up in full within the agreed tenure and in the agreed currency.

Credit risk arises from the financing and investment activities of the Bank. Risk identification and evaluation hence focuses on identifying sources giving rise to credit risk, which typically revolves around appraisal of the borrower and facility characteristics and the economic/ socio-political and industrial environment to assess the borrower's willingness and ability to repay their obligation to the Bank in full.

Managing Credit Risk

Managing Credit Risk through Portfolio Management

The Bank continuously strengthens its monitoring mechanism of the credit risk to ensure regular, more and frequent review of the portfolio. This helps the Bank to understand any emerging risk trends, aligning its credit risk appetite to its business strategy, whilst promoting risk based business decision making. This exercise covers analysis of the portfolio based on industry sectors, products, geographies and trends in NPA, etc.

In addition, stress tests/scenario analyses are carried out to assess the impact of any material changes in the external environment with suitable recommendations to restructure the portfolio.

The credit evaluation process follows procedures for pre-clearance of credit proposals, credit proposals being prepared in pre-determined formats, financial appraisal, independent review of financial and non-financial information such as credit ratings, security & covenants and credit approval based on delegation of authority (DA).

The Board of Directors holds the overall responsibility for ensuring implementation of the Bank's credit risk management framework. The BIRMC has been delegated with the responsibility of managing the

Bank's overall credit risk. At an executive level, credit authority has been further delegated to Executive Credit Committees (ECCs) which are headed by CEO and CRO respectively. The Credit Risk Management Department conducts independent reviews of the credit risks lying with the business units and makes recommendations on credit policies, prudential limits on sector exposures and counter party exposures in order to make improvements.

The policy guidelines are used to manage the incidence of credit risk, which is spelt out in the Credit Risk Policy ensuring stringent pre/post credit risk management in line with the risk appetite of the Bank, the regulations of the Central Bank of Sri Lanka and the globally accepted Basel guidelines. A post-approval hindsight review of credit approved is carried out by an independent committee which makes recommendations as appropriate for action and reports to the Board Audit Committee.

Culture of Responsible Financing

The Bank has been successful in developing a culture of risk awareness and responsible financing through comprehensive training of the credit team and continuous discussions at regular credit committee meetings which bore results in improving the skills of front end staff.

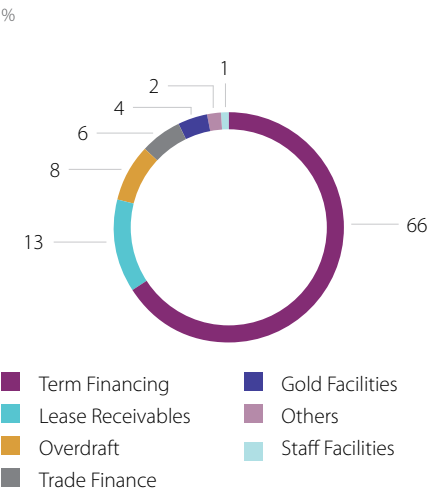
Developments in 2017

Apart from employee training on credit appraisal, risk acceptance and overall awareness on Credit Risk, the Bank has been consciously looking into reviewing the existing risk score models of SME, Corporate and Retail banking towards achieving a comprehensive Risk score model. The Bank is also in the process of consulting experts in the field to identify a suitable model which will support the aspirations of a growing Bank like Amāna.

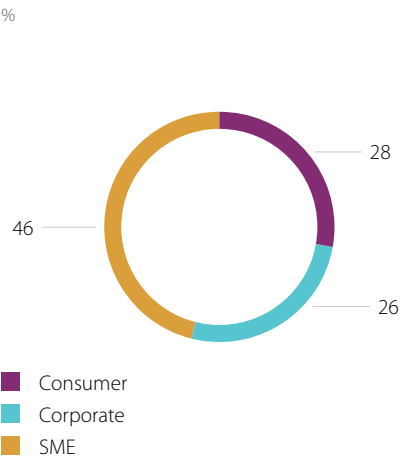
Credit Risk Performance in 2017

The Bank's gross advance portfolio grew by 12.2% during the year, upheld by SME, Corporate and Retail financing under which the leasing portfolio growth was relatively moderate. Conscious efforts to rebalance the portfolio towards SME and Retail Banking have resulted in an overall improvement in the risk profile.

Portfolio by Product



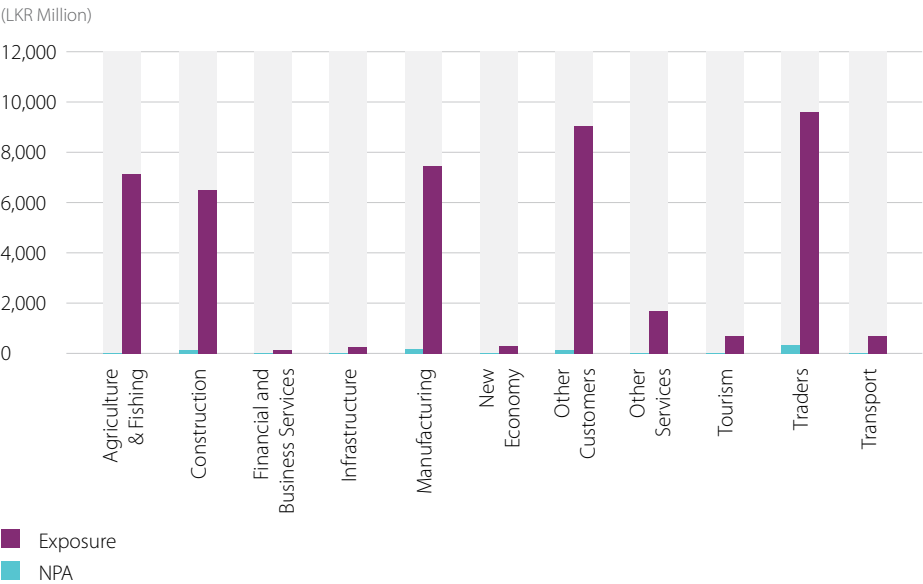
Exposure by Segment



Default Risk

Default risk is the key component of credit risk and is potential losses which may arise from the default of a borrower or counterparty. Whilst the Bank maintains a financing book of Rs 43.4 Bn recording a growth of 12.2% from the previous year of 2016, its gross NPA ratio was maintained at 1.89% which is below the industry average. Continuous focus on credit quality, strengthened credit appraisal mechanism, rigorous monitoring and strong recovery efforts have been the key contributors in managing lower NPAs.

Exposure and NPA by Sector - 2017

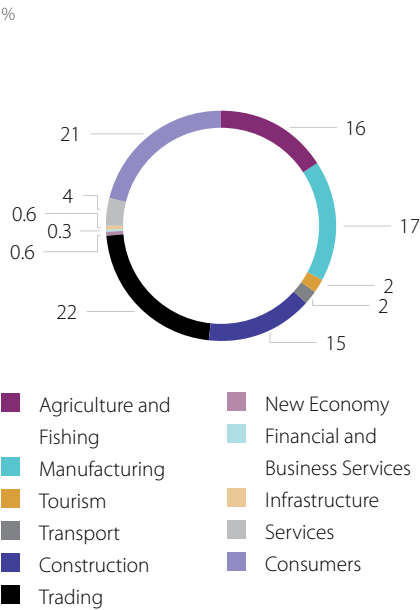


RISK MANAGEMENT

Concentration Risk

Concentration risk is the probability of loss arising from significantly imbalanced credit exposure to a particular individual, group, industry sector or geographical area. The Bank’s prudential Single Borrower Exposure Limits are more stringent than the ceiling set by the regulator.

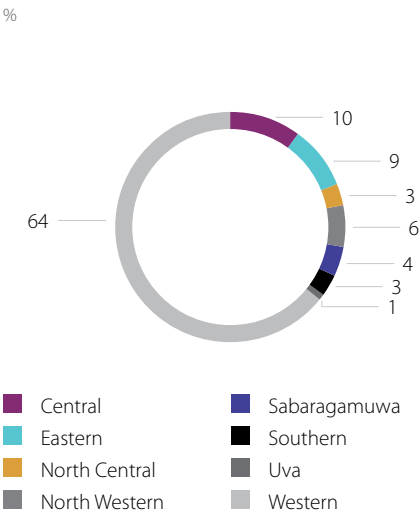
Exposure by Sector



The Bank maintains a healthy concentration among main sectors such as Trading, Agriculture, Manufacturing, etc. However, the Bank continuously conducts stress testing exercises and scenarios analyses to understand any emerging trends in the market/industry and contain lending to industries which are experiencing difficulties. As a growing Bank, Amāna has been continuously focussing on financing Small and Medium Enterprises (SME) and emerging corporates together with Retail Financing for its portfolio growth.

Western province contributes to the majority of financing by the Bank and the balance is proportionately distributed among other branches in the regions.

Exposure by Geographical Distribution



The sector exposure limits, which are also approved by the Board of Directors, are reviewed periodically taking into account changes in internal/external factors in order to mitigate risk and explore business opportunities.

In order to mitigate the concentration risk, the Bank’s appetite for credit exposures is predefined for:

- ◆ Single borrower
- ◆ Group of related borrowers
- ◆ Major economic sectors

Concentration risk is monitored closely, and the relevant limits are reviewed and changed periodically to suit the changes in economic and environmental outlook, Bank’s policies and regulatory requirements.

Market Risk Management

Market Risk

Market risk is the risk of loss from changes in market prices and rates (including rates, credit spreads, foreign exchange rates, equity prices and commodity prices), the correlations among them and their levels of volatility. A description of each market risk category is provided below.

Rate Risk

The risk of loss due to changes in the level, slope and curvature of the yield curve, the volatility of rates and prepayment rates.

Credit Spread Risk

The risk of loss due to changes in the market price of credit or the creditworthiness of issuers.

Foreign Currency Risk

The risk of loss due to changes in spot and forward prices and the volatility of currency exchange rates.

Equity Risk

The risk of loss due to changes in the prices and the volatility of individual equity instruments and equity indices.

Commodity Risk

The risk of loss due to changes in spot and forward prices and the volatility of precious and base metals.

Market risk mainly arises from activities undertaken by the Bank’s Treasury and foreign exchange, equity, commodity and money market portfolios. A Board approved limit structure has been adopted by the Bank to mitigate and monitor its market risk. Further, the Board of Directors and the Management have ensured effective monitoring and management of market risk with the following:

- i. BIRMC reviews market risk policies and limits and approval is obtained from Board of Directors for any changes necessary. An annual review of treasury related policies and the limits also takes place to ensure such policies and limits are in line with regulatory requirements.
- ii. BIRMC and ALCO monitor and manage market risk of the Bank in accordance with the Board approved risk framework.
- iii. Risk Middle Office independently monitors all significant market risks and submits reports to CEO, ALCO and BIRMC.
- iv. Risk Middle office conducts stress testing for Foreign Exchange, Equity, Gold and Liquidity on a periodic basis. Aggregate level of stress testing is conducted on a quarterly basis.

As required by the Central Bank of Sri Lanka, the Bank uses the Internal Measurement Approach to calculate Market Risk under Basel regulation. The Bank classifies quoted equity exposures into either Trading or Available for Sale (AFS) portfolios and manages those portfolios separately. Market risk for the portfolios is monitored based on a VaR methodology and also using other sensitivity analyses.

Objectives of the Methodologies used to Assess Market Risk

Value at Risk (VaR)

VaR is a method of measuring market risk based on a common confidence interval and time horizon. It is a statistical estimate of expected potential loss that is derived by translating the risk of any financial instrument into a common standard.

The Bank calculates general market risk and equity specific risk VaR using historical simulation based on 365 days of market data.

Changes in VaR between reporting periods are generally due to changes in levels of exposure, volatilities and/or correlations among asset classes. VaR is also used to evaluate risks arising in certain funding and investment portfolios. Back Testing is also an important and necessary part of the VaR process, by validating the quality and accuracy of the Bank's VaR model.

Stress Testing

VaR measures potential losses in normally active markets. Accordingly, stress testing examines the impact that abnormally large swings in market factors and periods of prolonged inactivity might have on trading portfolios. The stress testing programme is designed to identify key risks and quantify potential losses from abnormal events. The Bank subjects its trading and investment portfolios to stress tests on a periodic basis, using stress tests based on risk factor sensitivities and specific market events. The stress testing programme is an essential component of the Bank's comprehensive risk management framework which complements the current VaR methodology and other risk measures and controls employed by the Bank. Risk Middle Office conducted the stress testing on an aggregate level and reported to ALCO and BIRMC on a quarterly basis.

Sensitivity Analysis

Sensitivity analysis assesses the effect of changes in rates on current earnings and on the economic value of shareholders' equity. It is applied globally to each of the major currencies within the Bank's operations.

Gap Analysis

Gap analysis is used to assess the rate sensitivity of the Bank's operations. Under gap analysis, rate sensitive assets and liabilities

and Off Balance Sheet instruments are assigned to defined time periods on the basis of expected re-pricing dates.

Rate risk analysis

Earnings perspective involves analysing the impact of changes in the profit rate on accrual or reported earnings in the near term, measured by changes in the Net Financing Income. Economic Value perspective involves analyzing the changes of impact of profit on the expected cash flows on assets minus the expected cash flows on liabilities plus the net cash flows on off-balance-sheet items. The level of profit rate changes is an important factor to choose fixed/floating rate assets/liabilities, their maturities and hedging decisions.

VaR Assumptions

The VaR that the Bank measures is an estimate, using a confidence level of 99% of the potential loss that is not expected to be exceeded if the current market risk positions were to be held unchanged for one day. The use of a 99% confidence level means that, within a one day horizon, losses will be below the VaR limit on average under normal market conditions, for 99 out of 100 days.

Since VaR is an integral part of the Bank's Market Risk Management, VaR figures are reviewed monthly against the loss limits by ALCO and at every BIRMC.

In practice, the actual trading results will differ from the VaR calculation and in particular the calculation does not provide a meaningful indication of profits and losses in stressed market situations.

RISK MANAGEMENT

		VaR of Foreign Exchange exposures (LKR Million)	Approved Loss limits for FX Operations (LKR Million)	VaR of Equity Portfolio (LKR Million)	Approved Loss limits for Equity Operations (LKR Million)
2017	End December	1.55	3.84	15.57	35
	Daily Average	1.79		6.19	
	High	7.68		17.13	
	Low	0.28		6.19	
2016	End December	1.62	3	8.04	35
	Daily Average	1.59		6.82	
	High	3.61		8.20	
	Low	0.14		5.76	

Foreign Exchange Risk

Foreign Exchange Risk in the Bank's unhedged financing and investment activities arises primarily from the Bank's foreign currency operations.

Such risks are primarily due to changes in foreign exchange rates which are managed by setting and monitoring dealer, currency, counterparty and settlement limits for On and Off Balance Sheet instruments.

Foreign exchange exposures in individual currencies are managed in accordance with the limits approved by the Board of Directors. In addition, this is also managed and monitored against the regulatory/statutory limits approved for the Bank by the Central Bank of Sri Lanka.

The Bank engages in interbank forward transactions to cover positions created due to customer transactions and mismatches in Balance Sheet positions. Cash flows of currencies are managed by undertaking promissory buy/sell transactions on a matching basis. In addition, the Bank's activities in the trade finance business result in Off Balance Sheet exposures.

The concentration of On and Off Balance Sheet foreign currency risk as at 31 December 2017 and 31 December 2016 are given in the table shown next:

As of 31 December 2017

	Spot			Forward			Net Open Position	Net Position in Other Exchange Contracts	Overall Exposure in Respective Foreign Currency	Overall Exposure in LKR
Currency	Assets	Liabilities	Net	Assets	Liabilities	Net				
US Dollar	65,472,785	(25,913,789)	39,558,996	25,950,000	(68,489,027)	(42,539,027)	(2,980,031)	-	(2,980,031)	(455,892,151)
Pound Sterling	2,057,753	(2,053,772)	3,982	-	-	-	3,982	-	3,982	26,963
Euro	669,027	(654,331)	14,696	-	-	-	14,696	-	14,696	1,789,634
Japanese Yen	3,438,619	(10,873)	3,427,746	1,100,000	(4,488,206)	(3,388,206)	39,540	-	39,540	53,941
Indian Rupee			-			-	-	-	-	-
Australian Dollar	261,695	(109,835)	151,861	-	-	-	151,861	-	151,861	18,201,298
Canadian Dollar	395	-	395	-	-	-	395	-	395	48,392
Other Currencies										35,999,547
Total Exposure										512,011,926.98
Total Capital Funds as per 31.12.2017 Financial Statements										10,923,195,635.87
Total Exposure as a % of Total Capital funds (should not exceed 30%)										4.69%

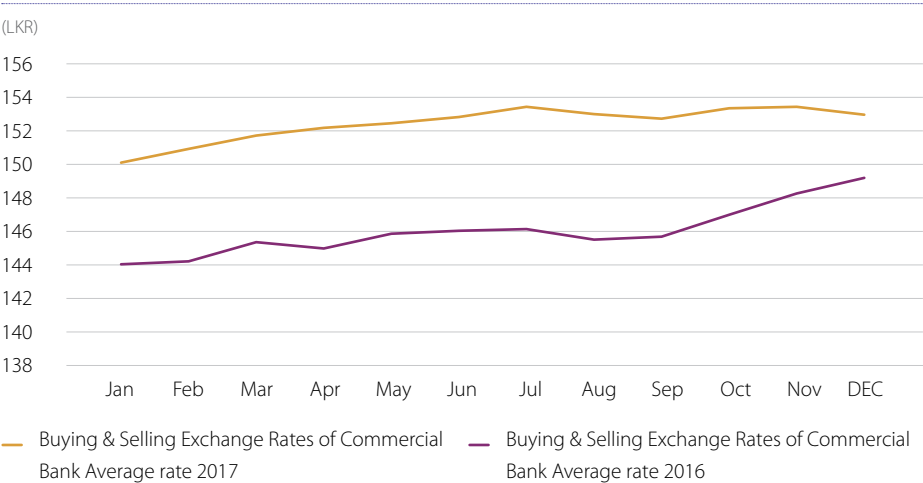
As of 31 December 2016

	Spot			Forward			Net Open Position	Net Position in Other Exchange Contracts	Overall Exposure in Respective Foreign Currency	Overall Exposure in LKR
Currency	Assets	Liabilities	Net	Assets	Liabilities	Net				
US Dollar	59,645,846	(34,971,091)	24,674,755	37,900,833	(63,762,521)	(25,861,688)	(1,186,934)	-	(1,186,934)	(170,223,727)
Pound Sterling	2,182,502	(2,177,072)	5,430	-	-	-	5,430	-	5,430	1,781,036
Euro	14,560,140	(1,397,183)	13,162,957	150,000	(13,300,000)	(13,150,000)	12,957	-	12,957	2,370,387
Japanese Yen	2,410,007	(23,874)	2,386,133	1,000,000	(3,346,782)	(2,346,782)	39,351	-	39,351	50,562
Indian Rupee			-			-	-	-	-	-
Australian Dollar	406,175	(413,158)	(6,983)	-	-	-	(6,983)	-	(6,983)	(791,109)
Canadian Dollar	120	-	120	-	-	-	120	-	120	13,365
Other Currencies										39,176,764
Total Exposure										214,406,950
Total Capital Funds as per 31.12.2016 Financial Statements										5,062,521,000
Total Exposure as a % of Total Capital Funds (should not exceed 30%)										4.24%

RISK MANAGEMENT

USD/LKR RATE

Daily Weighted Average Rate



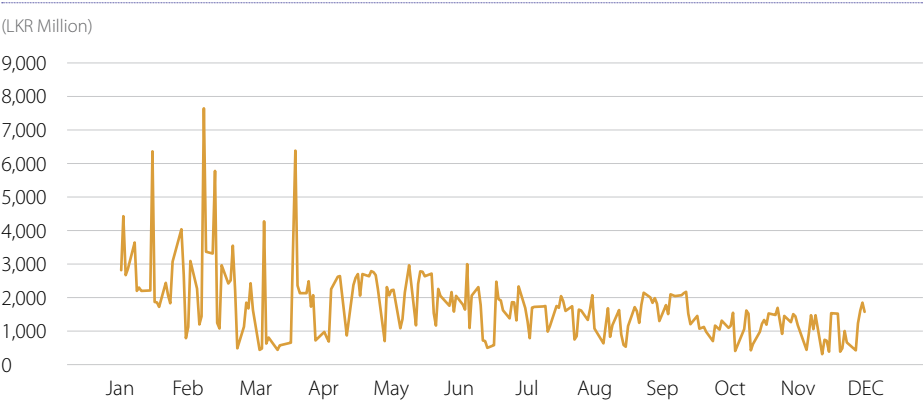
(Source: CBSL Daily Weighted Average Rates)

During the year 2017 the LKR depreciated by 2% against the US dollar.

Revaluation of all foreign currency assets and liabilities is carried out daily by i-MAL core banking system according to accepted market best practices.

A graph giving daily VaR figures of the foreign currency exposure is given below:

FX VaR - 2017



Equity Position Risk

The Bank holds equity portfolios for investment purposes. These portfolios expose the Bank to rate risks, credit spread and equity risks. Equity position risk arises due to changes in individual equity prices. The Bank's equity portfolio is classified as Held for Trading (HFT) and Available for Sale (AFS) portfolios. HFT portfolio comprise of equities purchased with a view to take advantage of short term capital gains. The equities in AFS portfolio are purchased in order to realise capital gains in the medium term and for dividend income.

The performance of the equity portfolio is monitored by the Equity Investment Committee (EIC) and ALCO. The Board of Directors has laid down sector, portfolio and loss limits to control and mitigate the risks of the equity portfolio. The Bank also adheres to the Guidelines issued by CBSL regarding the exposure to a single entity and the total exposure limit for the equity portfolio. The Bank conducts transactions only in Sharia compliant equities which are listed in the published White List.

The sectorial exposure of equity portfolio comparing with previous year is given below:

2017			
Equity/Sector	Total Cost as at 31 December	Mark-to-Market Value as at 31 December	Maximum Exposure Limit for Sector
	LKR	LKR	LKR
Manufacturing	49,704,360	32,081,252	87,500,000
Construction	27,612,301	16,497,000	52,000,000
Beverage & Food	15,316,394	13,202,684	52,500,000
Trading	65,071,029	41,552,444	52,500,000
Diversified	32,046,076	24,062,519	87,500,000
Power	18,078,724	14,829,410	52,500,000
Sub Total	207,828,885	142,225,309	
Strategic Investments	338,189,617	219,691,749	
Total Equity Portfolio	546,018,502	361,917,058	
Total Approved Portfolio Limit			710,000,000

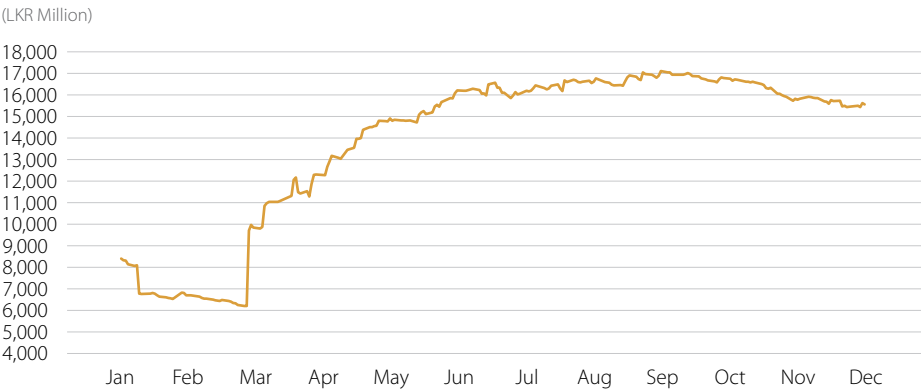
2016			
Equity/Sector	Total Cost as at 31 December	Mark-to-Market Value as at 31 December	Maximum Exposure Limit for Sector
	LKR	LKR	LKR
Manufacturing	49,534,872	43,941,520	87,500,000
Construction	30,508,089	17,360,000	52,500,000
Beverage & Food	6,673,788	6,298,845	52,500,000
Trading	64,580,951	48,872,864	52,500,000
Diversified	32,242,225	28,539,617	87,500,000
Power	21,738,237	20,385,174	52,500,000
Telecom	26,825,954	24,412,500	87,500,000
Sub Total	232,104,116	189,810,520	
Strategic Investments	338,189,617	247,153,217	
Total Equity Portfolio	570,293,733	436,963,737	
Total Approved Portfolio Limit			710,000,000

RISK MANAGEMENT

The Bank’s Treasury system carries out daily marking to market of the equity portfolio against the closing weighted average prices published by the Colombo Stock Exchange.

A graph indicating the daily VaR figures for Total Equity portfolio is given below:

Equity VaR



Rate Risk

Rate risk arising from the Bank’s financing and investment activities is managed in accordance with the Board approved policies and limits, which are designed to control the risk to net financing income and economic value of shareholders’ equity.

Mismatches in maturity of assets and liabilities that mature or are re-priced during a specified time period, does have an impact on the Bank’s exposure to rate risk. In order to manage and mitigate such risks, ALCO reviews the re-pricing of assets and liabilities on a monthly basis. The Bank’s rate risk is limited due to the business model adopted where majority of customer deposits have been taken on the profit and loss sharing basis.

However, rate risk is monitored by measuring the impact on rate sensitive maturity gaps with yield curve shifts of parallel and non-parallel nature.

	1 to 30 Days %	1-3 Months %	3-6 Months %	6-9 Months %	9-12 Months %	1-3 Years %	3-5 Years %	5-10 Years %	10-15 Years %	Over 15 Years %	Unclassified %
Scenario I	2.00%	2.00%	2.00%	2.00%	2.00%	2.00%	2.00%	2.00%	2.00%	2.00%	2.00%
Scenario II	-2.00%	-2.00%	-2.00%	-2.00%	-2.00%	-2.00%	-2.00%	-2.00%	-2.00%	-2.00%	-2.00%
Scenario III	-1.50%	-1.50%	-1.25%	-1.25%	-1.00%	1.00%	1.00%	1.25%	1.25%	1.50%	1.50%
Scenario IV	1.50%	1.50%	1.25%	1.25%	1.00%	-1.00%	-1.00%	-1.25%	-1.25%	-1.50%	-1.50%
Scenario V	5.00%	5.00%	5.00%	5.00%	5.00%	5.00%	5.00%	5.00%	5.00%	5.00%	5.00%

Impact of yield curve shifts on rate sensitive assets and liabilities on contractual and behavioural basis are given below based on the above scenarios:

2017			2016		
Scenario	Rate Risk (LKR Million)	Impact on CAR	Scenario	Rate Risk (LKR Million)	Impact on CAR
Behavioural Basis					
Scenario I	(330.54)	-0.65%	Scenario I	71.75	0.16%
Scenario II	348.48	0.69%	Scenario II	(104.81)	-0.23%
Scenario III	(220.47)	-0.43%	Scenario III	(19.19)	-0.04%
Scenario IV	223.22	0.44%	Scenario IV	4.91	0.01%
Scenario V	(791.26)	-1.56%			
Contractual Basis					
Scenario I	(694.98)	-1.37%	Scenario I	(568.49)	-1.26%
Scenario II	756.66	1.49%	Scenario II	620.55	1.37%
Scenario III	(360.47)	-0.71%	Scenario III	(367.26)	-0.81%
Scenario IV	377.97	0.74%	Scenario IV	381.29	0.84%
Scenario V	(1,633.63)	-3.21%			

RISK MANAGEMENT

Maturity Gaps of Assets and Liabilities (Behavioural Basis) as at 31 December 2017

	Up to 3 Months	3 - 12 Months	1 - 3 Years	3 - 5 Years	Over 5 Years	Total as at 31.12.2017	Sensitive to Rates
	LKR	LKR	LKR	LKR	LKR	LKR	
Cash and Cash Equivalents	5,859,766,950	-	-	-	-	5,859,766,950	Yes
Balances with Central Bank of Sri Lanka	2,217,234,256	1,396,004,523	174,871,822	142,381,133	197,319,838	4,127,811,572	Yes
Derivative Financial Assets	64,177,414	63,439,248	-	-	-	127,616,662	Yes
Placements with Banks	2,317,143,804	2,968,652,434	-	-	-	5,285,796,238	Yes
Placements with Licensed Finance Companies	4,787,729	2,107,378,767	-	-	-	2,112,166,496	Yes
Financial Investments - Held for Trading	41,645,557	-	-	-	-	41,645,557	Yes
Financing and Receivables to Other Customers	13,043,443,208	13,038,299,259	10,636,641,285	3,940,618,367	2,255,141,452	42,914,143,571	Yes
Financial Investments - Available for Sale	-	-	104,198,061	-	219,066,440	323,264,501	Yes
Other Financial Assets	293,328,360	78,463,304	17,098,630	-	-	388,890,295	Yes
Other Non Financial Assets	249,613,747	27,369,174	56,186,404	-	-	333,169,325	No
Property, Plant and Equipment	-	-	-	-	1,795,135,517	1,795,135,517	No
Intangible Assets	-	-	-	-	230,675,871	230,675,871	No
Deferred Tax Assets	-	-	-	-	-	-	No
Total Assets	24,091,141,025	19,679,606,709	10,988,996,202	4,082,999,500	4,697,339,118	63,540,082,555	
Liabilities							
Due to Banks	-	-	-	-	-	-	Yes
Derivative Financial Liabilities	8,191,363	21,732,929	-	-	-	29,924,292	Yes
Due to Customers	30,045,906,628	18,011,919,927	1,139,095,535	576,270,982	1,149,368,010	50,922,561,081	Yes
Other Financial Liabilities	663,226,394	7,590,457	9,653,794	-	-	680,470,646	Yes
Current tax liabilities	-	187,075,365	-	-	-	187,075,365	No
Other Non Financial Liabilities	70,765,834	-	-	-	-	70,765,834	No
Deferred Tax Liability	-	-	-	-	216,241,918	216,241,918	No
Deferred Benefit Liabilities	-	-	-	-	119,241,024	119,241,024	No
Total Liabilities	30,788,090,219	18,228,318,678	1,148,749,329	576,270,982	1,484,850,951	52,226,280,159	
Maturity Gap	(6,696,949,194)	1,451,288,032	9,840,246,873	3,506,728,518	3,212,488,167	11,313,802,395	

Maturity Gaps of Assets and Liabilities (Contractual Basis) as at 31 December 2017

	Up to 3 Months	3 - 12 Months	1 - 3 Years	3 - 5 Years	Over 5 Years	Total as at 31.12.2017	Sensitive to Rates
	LKR	LKR	LKR	LKR	LKR	LKR	
Cash and Cash Equivalents	5,859,766,950	-	-	-	-	5,859,766,950	Yes
Balances with Central Bank of Sri Lanka	4,127,811,572	-	-	-	-	4,127,811,572	Yes
Derivative Financial Assets	64,177,414	63,439,248	-	-	-	127,616,662	Yes
Placements with Banks	2,317,143,804	2,968,652,434	-	-	-	5,285,796,238	Yes
Placements with Licensed Finance Companies	4,787,729	2,107,378,767	-	-	-	2,112,166,496	Yes
Financial Investments - Held for Trading	41,645,557	-	-	-	-	41,645,557	Yes
Financing and Receivables to Other Customers	13,043,443,208	13,038,299,259	10,636,641,285	3,940,618,367	2,255,141,452	42,914,143,571	Yes
Financial Investments - Available for Sale	-	-	104,198,061	-	219,066,440	323,264,501	Yes
Other Financial Assets	293,328,360	78,463,304	17,098,630	-	-	388,890,295	Yes
Other Non Financial Assets	249,613,747	27,369,174	56,186,404	-	-	333,169,325	No
Property, Plant and Equipment	-	-	-	-	1,795,135,517	1,795,135,517	No
Intangible Assets	-	-	-	-	230,675,871	230,675,871	No
Deferred Tax Assets	-	-	-	-	-	-	No
Total Assets	26,001,718,341	18,283,602,186	10,814,124,380	3,940,618,367	4,500,019,280	63,540,082,555	
Liabilities							
Due to Banks	-	-	-	-	-	-	Yes
Derivative Financial Liabilities	8,191,363	21,732,929	-	-	-	29,924,292	Yes
Due to Customers	18,134,740,047	24,050,675,886	2,979,761,756	2,416,937,203	3,340,446,190	50,922,561,081	Yes
Other Financial Liabilities	663,226,394	7,590,457	9,653,794	-	-	680,470,646	Yes
Current tax liabilities	-	187,075,365	-	-	-	187,075,365	No
Other Non Financial Liabilities	70,765,834	-	-	-	-	70,765,834	No
Deferred Tax Liability	-	-	-	-	216,241,918	216,241,918	No
Deferred Benefit Liabilities	-	-	-	-	119,241,024	119,241,024	No
Total Liabilities	18,876,923,638	24,267,074,637	2,989,415,550	2,416,937,203	3,675,929,132	52,226,280,159	
Maturity Gap	7,124,794,703	-5,983,472,450	7,824,708,830	1,523,681,164	824,090,149	11,313,802,395	

RISK MANAGEMENT

Liquidity Risk

Liquidity risk is the risk that the Bank is unable to meet its financial obligations in a timely manner without incurring high cost.

Effective liquidity risk management is essential in order to maintain the confidence of depositors and counterparties, manage cost of funds, and to enable business units to continue to generate revenue, even under adverse circumstances.

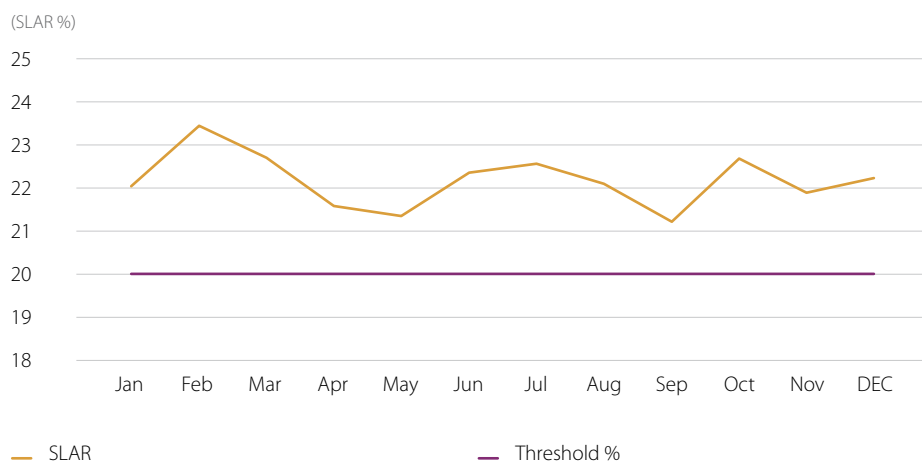
Liquidity risk is managed within the framework of policies and limits that are approved by the Board of Directors. The Board of Directors receive reports on risk exposures and performance against approved limits. ALCO provides senior management oversight of liquidity risk and meets at least monthly to discuss the Bank's liquidity profile.

Adequate liquid assets are maintained by the Bank to ensure the Statutory Liquid Assets Ratio (SLAR) is maintained in accordance with the regulatory requirements. Liquid assets defined for purposes of the liquidity ratio are mainly cash holdings, bank balances and short-term interbank deposits. The maintenance of SLAR is given below:

Liquid Assets to Liabilities Ratios Trend of SLAR

	2017	2016
Year-end	22.23%	22.59%
Minimum	21.21%	20.55%
Maximum	23.46%	24.57%

Statutory Liquid Asset Ratio - 2017



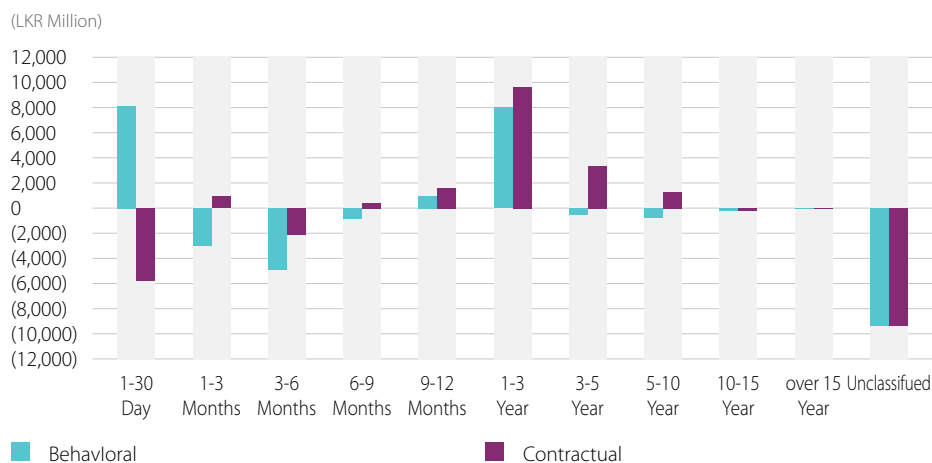
Liquidity Coverage Ratio (LCR)

Regulations require banks to maintain LCR in respect of Rupee Liquidity Minimum Requirement for local currency operations and All Currency Liquidity Minimum Requirement for overall operations. This ratio was introduced under Basel III Liquidity Standards and CBSL expects banks to maintain a minimum ratio as 80% in 2017 and 90% in 2018 and 100% in 2019.

During 2017, the Bank adequately maintained its LCR above the minimum requirement.

Asset and Liability Maturity Gaps

The contractual and behavioural assets and liability maturity gaps as at end of year are indicated below:



Stress Testing

Stress testing is carried out based on Board approved stress testing guidelines and the results are reviewed by BIRMC and ALCO regularly. Stress testing is carried out for areas in relation to exchange exposure, equity portfolio and liquidity to ascertain the impact if the markets faced stressed situations.

Foreign Exchange

Amāna Bank's foreign exchange exposure has been stress tested using three scenarios which are based on 10%, 15% and 20%, in order to assess adverse rate movements of exchange rates, for which the result would impact upon the Capital Adequacy Ratio (CAR). The stress testing results of exchange exposures as of 31 December 2017 are given below:

Particulars	Scenario 1	Scenario 2	Scenario 3
Adverse Change in Exchange Rate (%)	10	20	30
Net Exposure (LKR)	437,562,354	437,562,354	437,562,354
Exchange Loss (LKR)	43,756,235.39	87,512,470.79	131,268,706.18
Capital Funds - Dec 2017 (LKR)	10,923,195,636	10,923,195,636	10,923,195,636
Capital Adjusted for Loss (LKR)	10,879,439,400	10,835,683,165	10,791,926,930
Risk Weighted Assets - Dec 2017 (LKR)	50,840,801,911	50,840,801,911	50,840,801,911
Adjusted Risk Weighted Assets (LKR)	50,797,045,675	50,753,289,440	50,709,533,205
Capital Adequacy Ratio as at 31 December 2017 (%)	21.49	21.49	21.49
Revised Capital Adequacy Ratio (%)	21.42	21.35	21.28
Decline in CAR (%)	0.07	0.14	0.20

Equity Portfolio

Amāna Bank's equity portfolio has been stress tested using three scenarios which are based on 10%, 20% and 30% in order to assess adverse price movements of equities, for which the result would impact upon the CAR. The stress testing results of the equity portfolio as of 31 December 2017 is given below:

Particulars	Scenario 1	Scenario 2	Scenario 3
Adverse Change in Equity Price (%)	10	20	30
Market Value of Equity Portfolio (LKR)	361,795,058	361,795,058	361,795,058
Revaluation Loss (LKR)	36,179,506	72,359,012	108,538,517
Capital Funds - Dec 2017 (LKR)	10,923,195,636	10,923,195,636	10,923,195,636
Capital Adjusted for Loss (LKR)	10,887,016,130	10,850,836,624	10,814,657,118
Risk Weighted Assets - Dec 2017 (LKR)	50,840,801,911	50,840,801,911	50,840,801,911
Adjusted Risk Weighted Assets (LKR)	50,804,622,405	50,768,442,899	50,732,263,393
Capital Adequacy Ratio as at 31 December 2017 (%)	21.49	21.49	21.49
Revised Capital Adequacy Ratio (%)	21.43	21.37	21.32
Decline in CAR (%)	0.06	0.11	0.17

RISK MANAGEMENT

Liquidity

The Bank's ability to maintain regulatory liquidity requirements is undertaken based on stress testing due to the concentration of liquidity which could lead to the impact of large outflows due to customer withdrawals.

Operational Risk Management

Management of Operational Risk at Amāna Bank

Operational Risk is defined as the risk of losses resulting from inadequate or failed internal processes, people and systems or from external events, which includes legal risk. This definition excludes Strategic and Reputation Risks. Therefore, in line with the Basel II risk management framework and leading practices, operational risk in the Bank is composed of the following risk types: operations risk, legal risk, regulatory compliance risk, financial crime risk, people risk, property risk, technology risk, vendor risk, financial risk and environmental risk. While the overall Operational Risk management responsibility is with RMD, different departments such as Legal, Compliance, IT manages the individual risks, which can be classified as operational risk.

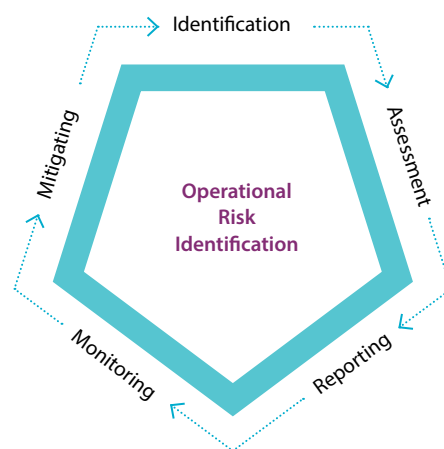
Operational Risk exposure is managed through a comprehensive set of internal controls and management processes that include risk assessment (identification, description and estimation), risk evaluation, reporting, mitigation, residual risk reporting and monitoring and control associated with the Bank's business operations as an on-going activity. Operational Risk is recognised as a distinct risk category, which the Bank strives to manage within acceptable levels through sound operational risk management practices. The Bank's approach to managing

Operational Risk is to adopt practices that are fit and prudent to suit the organisational maturity and relevant business environments.

Managing Operational Risk forms part of the day to day responsibilities of management at all levels. The objective in managing Operational Risk is to increase the efficiency and effectiveness of the Bank's resources, minimise losses and utilise opportunities. The Bank's framework defines the minimum requirements for Operational Risk management and is supported by specific policies and procedures. Business units implement the Bank's framework, policies and procedures but may customise these to better suit their unique environments.

Business unit/line management as the first line of defence is ultimately responsible for managing risks that arise within the scope of their respective areas. Both centralised and decentralised Operational Risk management functions are independent from business line management and work in partnership as the second line of defence. Their role is to monitor, manage and report on risks to ensure Operational Risk exposure remains within the policy parameters as mandated by the Senior Management and the Board of Directors. These independent functions are also responsible for developing and implementing the Operational Risk management framework and for promoting sound risk management practices across the Bank. Internal Audit is the Bank's third line of defence and performs an independent review of the Operational Risk management framework, policies and practices to ensure that Operational Risk practices are adequate, comprehensive, consistent and efficiently implemented.

Operational Risk Identification



As shown in the above diagram, risk management starts with risk identification. Risks that have the potential to affect the Bank are identified through analysis of internal factors, such as key control lapses and external factors such as environmental threats.

The Bank has established different processes that identify the nature and types of Operational Risk and their causes along with resulting effects on the Bank. Proper Operational Risk identification supports the reporting and maintenance of capital for Operational Risk exposure and events, facilitates the establishment of mechanisms to mitigate or control the risks, and ensures that management is fully aware of the sources of emerging Operational Risk loss events.

Risk identification is performed at all levels of units in the Bank. Risks that have the potential to impact the Bank must be identified through analysis of internal factors and external factors. Risk identification takes into consideration the following:

- ♦ risks arising from control lapses
- ♦ risks identified through root cause analysis of operational events in a timely manner
- ♦ risks arising from potential infrequent but severe events
- ♦ risks arising from change initiatives (example: new products and projects)
- ♦ external events with risk implications to the Bank

The Bank uses the following tools for Operational risk identification:

Risk Control and Self-Assessments

Risk Control and Self-Assessment (RCSA) is a structured means for a Business Line, Supporting Unit, Product Line or Process to identify and assess its own risks and introduce measures aimed at improving risk control. It focuses on Operational Risks. In addition, the ownership of key risks - and measures introduced to mitigate unacceptable risk exposure - is clearly defined.

RCSA is conducted by staff of the Bank's unit being assessed (i.e., those who know the process best) with the guidance of the Head of Operational Risk Management Unit, where necessary. As a consequence, RCSA is regarded as an effective Operational Risk Management tool, to be deployed throughout the Bank.

RCSAs will assist business and support units in identifying and assessing the operational risks for certain key processes for which they are responsible. RCSA will also help to address those risks by evaluating the effectiveness of controls and, if necessary, establishing action plans to address any identified gaps.

Since the business units have expertise in their functions and the process, Operational Risk coordinators of respective units, conduct

the RCSA which is reviewed and evaluated by the Risk Management Department along with the heat map for escalation to the Management and Board Sub-Committees for their comments and suggestions. It is our aim to continue to strengthen RCSA process.

Key Risk Indicators

The function of Key Risk Indicators (KRI) is to allow the early detection of Operational Risk before actual failure occurs. It is an early warning indicator of risks and not losses.

Data collection, analysis and presentation of key risk indicators are carried out on a monthly basis along with root cause identification and follow-up on corrective actions. New Key Risk indicators were identified in order to assess and mitigate the Operational Risk of the Bank.

In the event of a Key Risk Indicator threshold has been breached, the adequate measurements are carried out to mitigate the risk or loss that could arise in future, by the Operational Risk management Unit and update ORMC and then BIRMC.

Internal Operational Risk Events and Losses

Departments report all Operational Risk events and losses to the Operational Risk Management Unit which will maintain a centralised database on all internal risk events and losses (both historical and current). This data will then be classified into various risk categories.

Loss event database is maintained in line with the Basel II regulation and CBSL requirements to identify operational loss trends from internal loss data collection and prepare analysis for management reporting. Root cause of operational losses to facilitate control/process/system improvements are identified and monitored for resolution.

External Risk Events Data

External events which have Operational Risk implication to the Bank are monitored as a source of potential Operational Risk.

New/Change Initiatives Risk Analysis

Operational risks are identified and assessed in the evaluation and implementation of new/change initiatives such as new products, acquisition, integration and projects.

Operational Risk Assessment

All risks identified are assessed using the Operational Risk-Grading matrix. Risks are assigned risk grades (High, Medium and Low) based on the assessments of likelihood and impact of the risks. Impact is assessed qualitatively and quantitatively against the Operational Risk tolerance and limits set for the five dimensions of impacts: Financial, Reputational, Regulatory, Human Resources and Business Disruption. The use of the said dimensions ensures a comprehensive assessment of the impact.

The risk grades of the assessed risks reflect the status of adherence to the risk appetite of the Bank. Qualitative and quantitative methodologies and tools are applied to identify and assess operational risks and to provide management with information for determining appropriate mitigating measures.

Operational Risk Mitigation and Control

All risks must have mitigation plans established to reduce the inherent risks within the risk appetite of the Bank. Actions to mitigate or control identified risks are prioritised based on assessed impact of the risks, and are directed at the root cause of the risk. All action plans are assigned to owners. Risk grades are reassessed periodically to appropriately reflect changes in the environment and the progress of

RISK MANAGEMENT

the mitigation plans. Mitigation plans are captured and progress is monitored.

There are different levels of controls operational in the Bank. The following levels of control are distinguished in this respect:

- ◆ Individual level
- ◆ Management control
- ◆ Assessments carried out by specialist units such as Internal & Sharia Audit or Compliance.
- ◆ Assessments carried out by external parties (External Auditors and Supervisory Authorities).

Together, these four levels of risk control form the basis for Operational Risk control system.

The Banking industry uses insurance as a highly developed operational risk management and mitigation tool. Insurance policies of the Bank are reviewed on a periodic basis and the same process is monitored by Operational Risk management through RCSA as the use of insurance helps to transfer the risk of low frequency and high severity losses that might occur as a result of the events such as fire, theft, damage to physical asset by natural disaster, etc.

Operational Risk Monitoring

The final step of the risk management process is to monitor unresolved risks until the point when the risk exposures are within the risk appetite of the Bank. This involves periodic reassessment of risk grades to capture changes in environment that may increase or decrease potential impact of the risks.

Risk reviews on new products, processes and external suppliers including outsourced service providers are undertaken by the Bank. Outsourced activities are carried out based on the CBSL guidelines from the Direction on

Outsourcing of Business Operations of the Licensed Commercial Banks. A report on outsourced activities are submitted to CBSL on a periodical basis.

Details of Outsourced Activities

To be the catalyst for alternate banking industry in Sri Lanka, the Bank has focused its efforts on its strengths and therefore constantly focuses on refining its operations and outsources non critical areas wherever possible. With a view to streamline the processes and activities of the Bank and to facilitate transactions that would give the Bank a competitive advantage the Bank continued to seek outsourcing options. This process was further strengthening by the Bank through a well-defined policy on outsourcing functions and which is within the purview of Administration department of the Bank.

The implementation of the Outsourcing Policy was monitored to ensure compliance with CBSL Directive No.7 of 2010 on Outsourcing of Business Operations of the Licensed Commercial Banks and guidelines. Under the provisions of policy, below mentioned areas are some of the outsourced activities of the Bank.

Service	Basis of Payment
Cheque Book Printing	Per Cheque book
Supply of ATM Consumables	Per Card
Data Entry of Mandate Details	Per Document
All Cash Sorting & Transport	Transport- Per agreed rate according to the distance & Counting - Per bundle
Tax Consultancy Services	Per Service Transaction / Per assignment
Actuarial Services	Per Assignment
Security Service	Number of Shifts
Courier Service	Per Courier
Vehicle Hire	Per Km
Janitorial Services	Number of Shifts
Archival of Documents	Per Carton
Central Mail Room Management	Number of Mails Processed
Secretarial Services	Monthly Fee
Processing of Salaries	Monthly Fee

The Bank conducts a detail KYC and due diligence tests prior to selecting a new service provider or renewing an existing contract. A comprehensive report on all such outsourced activities is annually submitted to CBSL for their review.

Managing Operational Risks in New Product Development

A process is in place to identify the operational risks of new products along with possible mitigates prior to launch of such products and a similar process is followed during the annual review of existing Product Programmes. Risk management is a key aspect of product development, as the Bank thrives on innovation to deliver new products that would cater to the growing and evolving needs of the retail, SME and corporate customers. These Product Programmes are approved by all the stakeholders.

Business Continuity Management (BCM)

As an integral component of the Bank's risk management framework, the Bank has deployed a Business Continuity Plan (BCP) enabling it to be adequately prepared to continue its business in the event of a disaster. This plan is not only designed to comply with Central Bank of Sri Lanka's requirements but also with leading practices promoted by Disaster Recovery Institute International (DRI) of USA. The Bank's business continuity strategy is structured to ensure centralised monitoring and reporting and decentralised execution, and is supported by a robust governance process.

The developed BCM contains four different areas, which include, Recovery Plans, Emergency Response Plans, Support Plans and Management System Plans. The Business Continuity Plans so developed are backed by infrastructure to support key services, core systems and critical business processes.

The BIRMC of the Bank approves the Plan and its implementation is coordinated via the Operational Risk Unit of the Bank. The Bank has in place a BCM Steering Committee to establish appropriate policies, standards, strategies and processes. The BCM Working

Committee is appointed by the BCM Steering Committee to implement the BCM Policy based on key critical units' requirements to address elements of continuity planning (e.g. identification of critical business processes, delegation of authority, order of succession, alternate operating facilities, communications, and vital records, etc.) and restoration of the Bank's essential functions.

The Bank gives primary importance to ensuring safety of its customers, staff, contractors and other visitors. In this regard, the Bank not only has an able emergency response team but also a team dedicated to support people and families affected.

Management plans within the BCP spells out the tools and processes required to maintain the continued effectiveness of the plan. Business Continuity Plan is periodically reviewed through comprehensive Business Impact Analysis (BIA) to accommodate organisational changes and is subjected to regular drills and testing as well.

BCP Testing/Activation Drills

The Bank has successfully conducted Disaster Recovery (DR) Testing in April 2017 from the Bank's Disaster Recovery Site in respect of its critical business operations.

BCP/DR Drill reports highlighting test results, technical and operational functions, issues encountered, lessons learnt and risk mitigation measures adopted during the testing process were reported to the Regulator with the review and recommendation of the BIRMC and approval of the Board of Directors well within stipulated deadlines of the Regulator. Risk Management Department identified additional alternative locations for selected units/functions and carried out mock drills in order to assess the feasibility. Such BCP Drills

on the additional locations were successfully carried out in 2017.

CORPORATE GOVERNANCE

Corporate Governance at the Bank

The Bank's approach to governance is based on the Corporate Governance Direction No.11 of 2007 for Corporate Governance for Licensed Commercial Banks in Sri Lanka issued by the Central Bank as the regulator and Code of Best Practices issued by Securities and Exchange Commission of Sri Lanka, jointly with The Institute of Chartered Accountants of Sri Lanka.

The Board of Directors are fully committed to ensure that sound governance is practiced and therefore are constantly developing an effective framework to meet the continuous developing challenges. With this view, constant focus on strong Corporate Governance culture took a quantum leap as the Bank transformed from infant and startup bank to more matured and growing bank. The Bank kept Corporate Governance at the forefront by actively and energetically promoting Ethics training, living and demonstrating our values in action and by celebrating employees who demonstrate a commitment to live the Bank values in the most coherent and cohesive manner. This includes harnessing the different platforms available such as whistleblowing, encouraging engagement and constructive criticisms at all levels and forums. This is where our meetings from passive forums for status updates have transformed into gatherings of knowledge sharing and idea generation.

In order to create the right environment for the Corporate Governance culture, the senior management was oriented with Corporate Governance training under the title of "Speed of Trust" which was facilitated by Stephen Covey Sri Lankan office. The programme included the VPs and their successions, all of whom were demystified in deep discussions

with many interactive sessions including videos and practical examples illuminating into actionable outcomes that are cascaded down to individual departments and monitored by the Management Committee on a monthly basis.

The Board Sub-Committees are in place to assist the Board's responsibilities with the Corporate Governance principles. The Board of Directors are fully committed to ensure that good governance is practiced and presented their report to shareholders in pages 113 to 116 in this Annual Report. The detailed report sets out below on Bank's compliance with the requirements of sound governance as set out by Direction No.11 of 2007 issued by Central Bank of Sri Lanka and subsequent amendments thereof. Accordingly, during the period under review the Bank was in compliance to all of the provisions of the above direction.

Statement of External Auditors

The External Auditors have performed audit agreed upon procedures on the Corporate Governance Principles from 3(1) to 3(8) specified in Banking Act Direction No. 11 of 2007 and amendments thereto on Corporate Governance for Licensed Commercial Banks in Sri Lanka issued by the Central Bank of Sri Lanka.

Rule Number	Rule	Status of Compliance
3 (1)	The Responsibilities of the Board	
3 (1) (i)	The Board shall strengthen the safety and soundness of the Bank by ensuring the implementation of the following:-	
3 (1) (i) (a)	Approve and oversee the Bank's strategic objectives and corporate values and ensure that these are communicated through the Bank.	Complied. The Strategic Plan for the period 2015 – 2019 has been approved by the Board which includes strategic objective and corporate values. Annual Budget prepared based on the Strategic Plan has been approved by the Board after extensive discussion. Strategies and corporate values are monitored and assessed at regular meetings with the Management Committee and cascaded to all staff by each Management Committee member through the use of KPIs, goals and targets.
3 (1) (i) (b)	Approve the overall business strategy of the Bank, including the Risk Policy and Risk Management procedures and mechanisms with measurable goals, for at least for the next three years.	Complied. The Bank approved Strategic Plan includes overall business strategy and contains measurable goals for the period 2015 – 2019. Further, the Bank also has financial projections up to the year 2022 in place. The Integrated Risk Management (IRM) Framework approved by the Board includes risk management procedures and mechanism, which reviews the measurable goals in line with the Strategic Plan, where gaps are being identified and addressed, and is monitored regularly at Board Meetings.
3 (1) (i) (c)	Identify the principal risks and ensure implementation of appropriate systems to manage the risks prudently.	Complied. The Bank has a process where the implementation of the Risk Policy is being monitored by the IRM Framework prudently and the Board through a well-structured Risk reporting system. The IRM Framework is being monitored through the use of monthly risk dashboard by the Board Integrated Risk Management Committee (BIRMC). BIRMC Chairman's report consisting deliberation and minutes of the BIRMC are submitted to the Board periodically to manage and implement appropriate systems to address the risk identified by the Bank. There is also a process where the Board members discuss at length new strategies and products to be introduced during the year.
3 (1) (i) (d)	Approve implementation of a policy of communication with all stakeholders, including depositors, creditors, shareholders and borrowers.	Complied. A comprehensive Board approved communication policy is in place that covers the communication to all stakeholders, depositors, creditors, shareholders and clients.

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Rule Number	Rule	Status of Compliance
3 (1) (i) (e)	Review the adequacy and the integrity of the Bank's internal control systems and management information systems.	Complied. The Bank has in place a mechanism to identify the adequacy and the integrity of the Bank's internal control systems and management information system (MIS). The Internal Audit Department conducts reviews regularly in this regard, adds value to the process and submits a report to the BAC. The Board and the BAC has examined the report for 2017 and are satisfied on the adequacy and integrity of the MIS.
3 (1) (i) (f)	Identify and designate Key Management Personnel, as defined in the International Accounting Standards, who are in a position to (i) significantly influence policy (ii) direct activities; and (iii) exercise control over business activities, operations and Risk Management.	Complied. The Bank has identified and designated the CEO, CFO, VPs, Chief Compliance Officer, Chief Legal Officer, Company Secretary, Chief Information Officer, Chief Internal Auditor and Chief Risk Officer as Key Management Personnel (KMP) as per the CBSL Guideline.
3 (1) (i) (g)	Define the areas of authority and key responsibilities for the Board Directors themselves and for Key Management Personnel.	Complied. Article 29 of the Bank's Articles of Association, stipulates the authority and key responsibilities of the Board of Directors. There is a clear segregation of authority and responsibilities between the Directors and the KMPs, where Directors are responsible for strategic decisions and the KMPs are responsible for carrying out the decisions. Board approved functions and responsibilities of the CEO are in place. Key responsibilities of the KMPs are defined in the individual job description which have been submitted to the BNC and approved by the Board. Delegated authorities of the KMPs have been approved by the Board through the amendment to the Credit Risk Policy.
3 (1) (i) (h)	Ensure that there is appropriate oversight of the affairs of the Bank by Key Management Personnel that is consistent with Board's policy.	Complied. KMPs make regular presentations to the Board on matters under their purview and also called in by the Board and to the Board Sub-Committee meetings to explain matters relating to their concerns. Thus, ensuring the oversight of affairs of the bank by KMPs that is consistent with the Board's policy.

Rule Number	Rule	Status of Compliance
3 (1) (i) (i)	Periodically assess the effectiveness of the Board of Directors' own governance practices, including	Complied.
	(i) the selection, nomination and election of Directors and Key Management Personnel:	In line with the approved Terms of Reference (TOR) of the Board Nomination Committee (BNC), the Board has delegated the functions of selecting, nominating and election of Directors and KMPs to the Board Nomination Committee (BNC). Article 28 of the Bank's Articles of Association stipulates the appointment of the Directors
	(ii) the management of conflicts of interest and	Article 32 of the Bank's Articles of Association cover Director's interest and a Director's interest register is maintained at the Board meeting. Further, management of Conflict of interest is captured in the Board approved Policy of Related Party transactions.
	(iii) the determination of weaknesses and implementation of changes where necessary	Bank has a self-evaluation process where weaknesses and implementation of changes are discussed and determined by the Board at the year-end through the submission of the summary of self-evaluations of the Board of Directors.
3 (1) (i) (j)	Ensure that the Board has an appropriate succession plan for Key Management Personnel	Complied. A Succession Plan of the Key Management Personnel approved by the Board is in place which has been reviewed by the BNC.
3 (1) (i) (k)	Ensure the Board has regular meetings with the Key Management Personnel to review policies, establish communication lines and monitor progress towards corporate objectives.	Complied. KMPs are called regularly for discussion at Board Meetings and Board Sub-Committee meetings as and when the need arises to explain matters relating to their areas. Thus, establishing communication and monitoring progress towards corporate objectives.

CORPORATE GOVERNANCE

Rule Number	Rule	Status of Compliance
3 (1) (i) (l)	Understand the regulatory environment and ensure that the Bank maintains an effective relationship with regulators	Complied. On being appointed to the Board, the Company Secretary furnishes the Director with the Board Orientation Pack which includes CBSL guidelines, Regulatory guidelines, determinations and rules of Corporate Governance for their information. A presentation was made by the Senior Assistant Director of the FIU of CBSL to the Board on the awareness of the FIU new rules. The Chief Compliance Officer submits quarterly compliance reports to the Board that assists the Board to identify the regulatory environment and requirements. Board ensures that effective relationships with the regulators are maintained by way of active participation at the meetings with the regulators by the CEO.
3 (1) (i) (m)	Exercise due diligence in the hiring and oversight of external auditors.	Complied. Article 44 of the Bank's Articles of Association covers the appointment of the External Auditors who are appointed at the Annual General Meeting (AGM). As per the approved TOR of the BAC, there is a process for oversight of the External Auditors carried out by the BAC.
3 (1) (ii)	The Board shall appoint the Chairman and the Chief Executive Officer and define and approve the functions and responsibilities of the Chairman and the Chief Executive Officer in line with direction 3 (5) of these directions	Complied. Positions of the Chairman and CEO are separated. Further, function and responsibilities of the Chairman and CEO are appropriately defined and approved by the Board in line with Direction 3 (5).
Board Procedure		
3 (1) (iii)	The Board shall meet regularly and Board meetings shall be held at least twelve times a year at approximately monthly interval. Such regular board meetings shall normally involve active participation in person of a majority of directors entitled to be present. Obtaining the board's consent through the circulation of written resolutions/papers shall be avoided as far as possible.	Complied. The Board has held twelve (12) meetings during the year. There were 2 circular resolutions passed for the year which was subsequently ratified by Board.

Rule Number	Rule	Status of Compliance
3 (1) (iv)	The Board shall ensure that procedures are in place to enable all Directors to include matters and proposals in the agenda for regular Board meetings where such matters and proposals relate to the promotion of business and the management of risks of the Bank.	Complied. A Board approved procedure is in place for Directors to include any matters and proposals in the agenda for regular Board meetings. The Directors inform such matters and proposals to the Board Secretary to include in the Board meetings.
3 (1) (v)	The Board procedures shall ensure that notice of at least 7 days is given of a regular Board meeting to provide all Directors an opportunity to attend. For all other Board meetings, reasonable notice may be given.	Complied. Board Meeting Notice is circulated to the Directors 7 days in advance of the Board Meeting providing them an opportunity to attend the meeting.
3 (1) (vi)	The Board procedure shall ensure that a Director, who has not attended at least two-thirds of the meetings in the period of 12 months immediately preceding or has not attended the immediately preceding three consecutive meetings held, shall cease to be a Director. Participation at the Directors' meetings through an alternative Director shall, however, be acceptable as attendance.	Complied. In accordance with the Corporate Governance code the Directors have attended the required number of the meetings during the year 2017. The attendances of the Directors are set out in Page 107 of the Annual Report.
3 (1) (vii)	The Board shall appoint a Company Secretary who satisfies the provisions of Section 43 of the Banking Act No 30 of 1988, whose primary responsibilities shall be to handle the secretarial services to the Board and shareholder meetings and to carry out other functions specified in the statutes and other regulations.	Complied. The Board has appointed a Company Secretary, a Fellow of the Institute of Chartered Secretaries UK and a Fellow of the Chartered Corporate Secretaries of SL who satisfies the provisions of Section 43 of the Banking Act No. 30 of 1988 (as amended).
3 (1) (viii)	All Directors shall have access to advice and services of the Company Secretary with a view to ensure that Board procedures and all applicable rules and regulations are followed.	Complied. As a practice all Directors have access to advice and services of the Company Secretary. A process approved by the Board is in place to enable all Directors to have access to the advice and services of the Company Secretary.
3 (1) (ix)	The Company Secretary shall maintain the minutes of the Board meetings and such minutes shall be open for inspection at any reasonable time, on reasonable notice by any Director.	Complied. Comprehensive minutes of the Board meetings are maintained by the Company Secretary and there is a Board approved process to enable all Directors to have access to such minutes as per the Corporate Governance code.

CORPORATE GOVERNANCE

Rule Number	Rule	Status of Compliance
3 (1) (x)	Minutes of Board meetings shall be recorded in sufficient detail so that the minutes clearly contain or refer to the following; a) A summary of data and information used by the Board in its deliberations. b) The matters considered by the Board. c) The fact-finding discussions and the issues of contention or dissent which may illustrate whether the Board was carrying out its duties with due care and prudence. d) The matters which indicate compliance with the Board's strategies and policies and adherence to relevant laws and regulations. e) The understanding of the risks to which the Bank is exposed and an overview of the Risk Management measures adopted. f) The decisions and Board resolutions.	Complied. Minutes of the Board meetings are recorded in sufficient details and maintained by the Company Secretary which covers the Board deliberation, decisions, matters considered by the Board and approval of resolutions. The Board minutes also contain the fact-finding discussions, compliance with Board's Strategies and Policies and adherence to relevant laws and regulations. The understandings of the risks to which the Bank is exposed and an overview of the Risk Management measures adopted are also contained in the Board minutes.
3 (1) (xi)	There shall be a procedure agreed by the Board to enable Directors, upon reasonable request, to seek independent professional advice in appropriate circumstances, at the Bank's expense.	Complied. A procedure approved by the Board is in place for Directors to obtain independent professional advice in appropriate circumstances, at the Bank's expense.
3 (1) (xii)	Ensure that there is a procedure to determine, report, resolve and to take appropriate action relating to Directors to avoid conflicts of interests, or the appearance of conflicts of interest. A Director shall abstain from voting on any Board resolution in relation to which he/she or any of his/her close relation or a concern in which a Director has substantial interest, is interested. He/She shall not be counted in the quorum for the relevant agenda item at the Board meeting.	Complied. The Policy of Related Party Transactions approved by the Board includes provision to manage avoiding conflicts of interests, or the appearance of conflicts of interest, which is in accordance to the Corporate Governance Direction No. 11 of 2007. This procedure takes place in practice where the Directors inform their interest (if any) at the Board meeting and a register is maintained by the Board Secretary to record such interests. Accordingly any interests are also recorded in the Board minutes. In line with the procedure, the Directors abstain from participating in discussions, opinion or approving situations where there is a conflict of interest. The concerned Director shall leave the room during the time of discussion and approval on the subject matter in which the Director has an interest. Such Director is not counted in the quorum in such instances.

Rule Number	Rule	Status of Compliance
3 (1) (xiii)	The Board shall have a formal schedule of matters specifically reserved to it for decision to ensure that the direction and control of the Bank is firmly under its authority.	Complied. The Board has a formal schedule of matters specifically reserved to the Board for its decision to ensure that the direction and control of the Bank is within Board's authority.
3 (1) (xiv)	The Board shall, if it considers that the Bank is, or is likely to be, unable to meet its obligations or is about to become insolvent or is about to suspend payments due to depositors and other creditors, forthwith inform the Director of Bank Supervision of the situation of the Bank prior to taking any decision or action.	Complied. Such a situation has not arisen during the year 2017. The Board is aware of the requirement to inform the Director of Bank Supervision if such a situation arose of the Bank prior to taking any decision or action in this regard.
3 (1) (xv)	The Board shall ensure that the Bank is capitalised at levels as required by the Monetary Board in terms of the capital adequacy ratio and other prudential grounds.	Complied. The Bank is in compliance with the capital adequacy ratio and has raised its capital during the year 2017 to meet the capital requirement as stipulated by the regulators. The Bank has also ensured that the Bank is capitalised at levels as required by the Monetary Board in terms of the capital adequacy ratio and other prudential requirements. Further, the Board monitors the capital adequacy ratio and other prudential requirements on a monthly basis.
3 (1) (xvi)	The Board shall publish in the Bank's Annual Report, an annual corporate governance report setting out the compliance with Direction 3 of these Directions.	Complied. The Corporate Governance Report is published on pages 78 to 107 of the Annual Report.
3 (1) (xvii)	The Board shall adopt a scheme of self-assessment to be undertaken by each Director annually, and maintain records of such assessments.	Complied. The Board has process of self-assessment of each Director which is completed by the Directors annually and is filed with the Company Secretary.
3 (2)	The Board's Composition	
3 (2) (i)	The number of Directors on the Board shall not be less than 7 and not more than 13	Complied. The Bank's Board comprises of 11 Directors up to July 2017 and reduced to 10 Directors in August 2017 which is in line with the regulation.
3 (2) (ii) (A)	The total period of service of a Director other than a Director who holds a position of a Chief Executive Officer shall not exceed nine years.	Complied. There are no Directors who have served for a period exceeding 9 years during the year under review.
3 (2) (ii) (B)	Ensure that any Director serving more than nine years, the transitional provisions have been applied with.	Complied. There are no Directors who have served for a period exceeding 9 years during the year under review.

CORPORATE GOVERNANCE

Rule Number	Rule	Status of Compliance
3 (2) (iii)	Ensure that the number of Executive Directors, including the CEO does not exceed one-third of the number of Directors of the Board.	Complied. Currently, there are no Executive Directors on the Board of the Bank, thus the Bank complies with the requirement.
3 (2) (iv)	The Board shall have at least three independent Non-Executive directors or one third of the total number of the Directors, whichever is higher. The Board shall not consider the Non-Executive Directors independent if he/she; a) Holds directly and indirectly shareholdings of more than 1 percent of the Bank. b) Has currently or had during the period of two years immediately preceding his/her appointment as Director, any business transactions with the Bank as described in Direction 3 (7) hereof, exceeding 10 per cent of the regulatory capital of the Bank. c) Has been employed by the Bank during the two year period immediately preceding the appointment as Director. d) Has had a close relation; who is a Director, CEO, a member of Key Management Personnel, a material shareholder of the Bank or another bank (a "close relation" means the spouse or a financially dependent child). e) Represents a specific stakeholder of the Bank. f) Is an employee or Director or a material shareholder in a company or business organisation: I. Which currently has a transaction with the Bank as defined in, or II. In which any of the other Directors of the Bank are employed or are Directors or are material shareholder; or III. In which any of the other Directors of the Bank have a transaction as defined in Direction 3 (7) of these Directions, exceeding 10 per cent of the regulatory capital of the Bank.	Complied. The Board has 4 independent non-executive Directors out of a total of 11 Directors up to July 2017. Due to the resignation of Dato' A. Tajudin B. H. Abdul Rahman w.e.f. 22 July 2017 the number of independent non-executive Directors reduced to 3. Application was submitted to the CBSL on 6 December 2017 to appoint Mr. Aaron Russell-Davison as an independent non-executive Director, who was approved by CBSL on 3 January 2018. The independent non-executive Directors appointed to the Board comply with the regulatory requirements.
3 (2) (v)	In the event an Alternate Director is appointed to represent an Independent Director, the person so appointed shall also meet the criteria that apply to the Independent Director.	Complied. No alternative Director has been appointed to represent the Independent Directors during the year 2017.

Rule Number	Rule	Status of Compliance
3 (2) (vi)	The Bank shall have a process to evaluate the appointment of Independent Directors, who possess credible track records and/or have necessary skills and experience to bring an independent judgment to bear in issues of strategy, performance and resources.	Complied. Article 28 of the Articles of Association stipulates appointment of Directors. Board Nomination Committee (BNC) has a formal documented process for the appointment of Independent Directors to the Board. Such Independent Directors possess the necessary skills and experience to bring an independent judgment on Bank issues. Mr. Aaron Russell-Davison was appointed as an Independent, Non-Executive Director with the recommendation of the BNC and approved by the Board on 4 January 2018.
3 (2) (vii)	The Board shall ensure that the Board meetings are duly constituted only where the quorum includes more than 50% of the Directors out of which 50% should include Non-Executive Directors.	Complied. The Board of the Bank comprises with Non-Executive Directors, therefore the concern does not arise.
3 (2) (viii)	The Board shall disclose the composition of the Board, by category of Directors, including the names of the Chairman, Executive Directors, Non-Executive Directors and Independent Directors in the annual corporate governance report.	Complied. The compositions of the Board by category of Directors are disclosed on pages 107 and 22 to 24 in the Annual Report.
3 (2) (ix)	There shall be a formal, considered and transparent procedure for the appointment of new Directors to the Board. There shall also be procedures in place for the orderly succession of appointment of the Board.	Complied. Article 28 of the Articles of Association stipulates appointment of Directors. Board Nomination Committee (BNC) has a formal documented process for the appointment of Directors to the Board. Such Directors possess the necessary skills and experience to bring an independent judgment on Bank issues. Mr. Aaron Russell-Davison was appointed as an Independent Director with the recommendation of the BNC and approved by the Board on 4 January 2018.
3 (2) (x)	All Directors appointed to fill a casual vacancy shall be subject to election by shareholders at the first general meeting after their appointment.	Complied. Article 28 of Bank's Articles of Association covers the appointment of Directors to fill a casual vacancy and all such appointments are subject to election at the next AGM. Dato' A. Tajudin B. H. Abdul Rahman resigned w.e.f. 22 July 2017 and Mr. Aaron Russell-Davison was appointed as an Independent Director with effect from 4 January 2018.

CORPORATE GOVERNANCE

Rule Number	Rule	Status of Compliance
3 (2) (xi)	If a Director resigns or if removed from office, the Board shall: a) Announce the Director's resignation or removal and reasons for such removal or resignation including but not limited to information relating to the relevant Director's disagreement with the Bank, if any; and b) Issue a statement confirming whether or not there are any matters that need to be brought to the attention of shareholders.	Complied. Resignations or removal of Directors are communicated to the Regulators, shareholders and CSE together with a statement confirming whether or not any matters should be brought to the attention of shareholders, including the reasons for such resignations or removal. Dato' A. Tajudin B. H. Abdul Rahman's resignation was communicated to the relevant authorities accordingly.
3 (2) (xii)	A Director or an employee of a Bank shall not be appointed, elected or nominated as a Director of another bank except where such bank is a subsidiary company or an associate company of the first mentioned bank.	Complied. Such a situation has not arisen during the year 2017. The Bank has a process to identify whether a Director of a Bank is appointed, elected or nominated as a Director of another Bank based on the affidavit obtained and submitted to CBSL annually.
3 (3)	Criteria to Assess the Fitness and Propriety of Directors In addition to provisions of Section 42 of the Banking Act No. 30 of 1988, the criteria set out below shall apply to determine the fitness and propriety of a person who serves or wishes to serve as a Director of a bank. Non-compliance with any one of the criteria as set out herein shall disqualify a person to be appointed, elected or nominated as a Director or to continue as a Director.	
3 (3) (i)	The age of a person who serves as a Director shall not exceed 70 years.	Complied. All Directors of the Bank are below the stipulated age of 70 years, in the year under review.
3 (3) (ii)	A person shall not hold office as a Director of more than 20 companies/entities/institutions inclusive of subsidiaries or associate companies of the Bank.	Complied. None of the Directors holds Directorships of more than 20 companies/entities/institutions inclusive of subsidiaries or associate companies of the Bank, in the year under review.
3 (4)	Management Functions Delegated by the Board	
3 (4) (i)	The Directors shall carefully study and clearly understand the delegation arrangements in place.	Complied. Article 31 of the Articles of Association empowers the delegation powers of the Board of Directors. Further, all delegation arrangements are approved by the Board after due consideration and are periodically reviewed to ensure that the extent of delegation addresses the needs of the Bank.

Rule Number	Rule	Status of Compliance
3 (4) (ii)	The Board shall not delegate any matters to the Board committee, CEO, Executive Directors or Key Management Personnel, to an extent that such delegation would significantly hinder or reduce the ability of the Board as a whole to discharge its functions.	Complied. The Board has not delegated powers to Board Committees, CEO or Key Management Personnel, to an extent that such delegation would significantly hinder or reduce the ability of the Board as a whole to discharge its functions.
3 (4) (iii)	The Board shall review the delegation process in place on a periodic basis to ensure that they remain relevant to the needs of the Bank.	Complied. The Board periodically reviews and approves the delegation arrangements in place and ensures that the extent of delegation is in accordance to the needs of the Bank based on the recommendations made by the management.
3 (5)	The Chairman and the Chief Executive Officer	
3 (5) (i)	The roles of the Chairman and the Chief Executive Officer shall be separated and shall not be performed by the same individual.	Complied. The roles of the Chairman and the CEO are separate and the positions are held by two individuals who are appointed by the Board. Chairman provides leadership to the Board and CEO manages the day to day operations of the Bank giving effect to the strategies and policies approved by the Board.
3 (5) (ii)	The Chairman shall be a Non-Executive Director and preferably an independent Director as well. In the case where the Chairman is not an Independent Director, the Board shall designate an Independent Director as the Senior Director with suitably documented terms of reference to ensure a greater independent element. The designation of Senior Director shall be disclosed in the Bank's Annual Report	Complied. The Chairman is a Non-Executive Director. Since the Chairman is a Non-Independent Director the Board has appointed an Independent Director, Dato'Tajudin B. H. Abdul Rahman as the Senior Director, who resigned w.e.f. 22 July 2017 and Mr. Jazri Magdon Ismail, an Independent Director was appointed as the Senior Director with immediate effect. Designation of Senior Director is disclosed on page 22 of the Annual Report.

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Rule Number	Rule	Status of Compliance
3 (5) (iii)	The Board shall disclose in its corporate governance report, which shall be an integral part of its Annual Report, the identity of the Chairman and the CEO and the nature of the relationship (including financial, business, family or other material/relevant relationship(s), if any, between the Chairman and the CEO and the relationships among members of the Board.	Complied. A Board approved process to identify relationship of the Board Members is in place and maintained at the Board Secretary's division. Further, the Board members submit annual declarations to this effect and the Director's interest register is updated regularly. The Relationships among the Directors are given below:- Family Ties i) The Chairman, Mr. Osman Kassim and Dr. A. A. M. Haroon Business Relationship i) The Chairman, Mr. Osman Kassim and Mr. Harsha Amarasekera.
3 (5) (iv)	The Chairman shall; a) Provide leadership to the Board b) Ensure that the Board works effectively and discharges its responsibilities; and c) Ensure all key and appropriate issues are discussed by the Board in a timely manner.	Complied. A self – evaluation process is in place that ensures that Chairman provides leadership to the Board, ensures that the Board works effectively and discharges its responsibilities and all key and appropriate issues are discussed by the Board in a timely manner.
3 (5) (v)	The Chairman shall be primarily responsible for drawing up and approving the agenda for each Board Meeting, taking into account where appropriate, any matters proposed by the other Directors for inclusion in the agenda. The Chairman may delegate the drawing up of the agenda to the Company Secretary.	Complied. The Company Secretary uses the standard agenda for Board Meetings which has been approved by the Chairman.
3 (5) (vi)	The Chairman shall ensure that all the Directors are properly briefed on issues arising at Board meetings and also ensure that Directors receive adequate information in a timely manner.	Complied. The Chairman ensures that the Board is adequately briefed on matters arising at the Board meetings by the submission of Board papers with sufficient time period prior to the Board Meeting. Further, minutes of the previous Board meeting are distributed to the Board members and tabled at the next Board meeting for confirmation. The Board papers are forwarded to the Board members 7 days prior to the meeting.

Rule Number	Rule	Status of Compliance
3 (5) (vii)	The Chairman shall encourage all the Directors to make a full and active contribution to the Board's affairs and take the lead to ensure that the Board acts in the best interest of the Bank.	Complied. There is active participation by all Directors at the Board Meetings as well as at Board Sub-Committee meetings. Further, the Board has a self-evaluation process that encourages all Directors to make full and active contribution to the affairs of the Bank. The Chairman also encourages all Directors to make full and active contribution to the affairs of the Bank.
3 (5) (viii)	The Chairman shall facilitate the effective contribution of Non-Executive Directors in particular and ensure constructive relations between Executive and Non-Executive Directors.	Complied. The Chairman ensures that the Non-Executive Directors actively contribute to make decisions at the Board. Further, the Board's self-evaluation process for Non-Executive Directors assesses the contributions made by them to the Bank.
3 (5) (ix)	The Chairman shall not engage in activities involving direct supervision of Key Management Personnel or any other executive duties whatsoever.	Complied. The Chairman is a non-executive Director and does not get involved in the supervision of KMPs or any other executive duties.
3 (5) (x)	The Chairman shall ensure that appropriate steps are taken to maintain effective communication with shareholders and that the views of shareholders are communicated to the Board.	Complied. The Chairman ensures effective communication with the shareholders at the AGM, which is the main forum where the Board discusses shareholder's issues.
3 (5) (xi)	The CEO shall function as the apex executive-in-charge of the day-to-day management of Bank's operations and business.	Complied. The CEO is the apex executive-in-charge of the day-to-day management of Bank's operations and business.
3 (6)	Board Appointed Committees	
3 (6) (i)	Each Bank shall have at least four Board committees as set out in the following Direction; 3(6)(ii) – Audit Committee 3(6)(iii) – Human Resources and Remuneration Committee 3(6)(iv) – Nomination Committee 3(6)v – Integrated Risk Management Committee Each Committee shall report directly to the Board All Committees shall appoint a Secretary to arrange the meetings and maintain, minutes, records etc. under the supervision of the Chairman of the Committee. The Board shall present a report of the performance on each Committee, on their duties and roles at the Annual General meeting.	Complied. The Board has established four Board Sub-Committees, namely Board Audit Committee (BAC), Board Human Resources and Remuneration Committee (BHRRC), Board Nomination Committee (BNC) and Board Integrated Risk Management Committee (BIMC) as per the regulatory requirement. Reports / Minutes of the above Committees are submitted to the Board for discussion and ratification at the monthly Board meetings. Each Committee has appointed a Secretary to arrange the meetings and maintain minutes under the supervision of the Chairman of the Sub-Committees. Report of each Board Committee is presented in the Annual Report. Refer pages 119 to 125 of the Annual Report.

CORPORATE GOVERNANCE

Rule Number	Rule	Status of Compliance
3 (6) (ii)	Audit Committee	
3 (6) (ii) (a)	The Chairman of the committee shall be an Independent Non-Executive Director who possess qualifications and experience in accounting and/or audit.	Complied. The Chairman of the BAC is a non-executive, independent Director who is a Fellow of the Institute of Chartered Accountants of Sri Lanka and possesses the required qualifications and experience.
3 (6) (ii) (b)	All members of the committee shall be Non-Executive Directors.	Complied. All members of the BAC are Non-executive Directors.
3 (6) (ii) (c)	The committee shall make recommendations on matters in connection with; a) The appointment of external auditor for audit services to be provided in compliance with the relevant statutes; b) The implementation of the Central Bank guidelines issued to auditors from time to time; c) The application of the relevant accounting standards; and d) The service period, audit fees and any resignation or dismissal of the auditor, provided that the engagement of the Audit partner shall not exceed five years, and that the particular Audit partner is not re-engaged for the audit before the expiry of three years from the date of the completion of the previous term.	Complied. The BAC has recommended appointment of External Auditors for audit services in compliance with the relevant statutes. The BAC has discussed the implementation of the CBSL guidelines issued to the External Auditors from time to time and also discussed issues raised by the External Auditors in line with CBSL guidelines and the Bank's responses to the issues. The application of the relevant accounting standards, including the requirements, improvement and readiness for the SLFRS were discussed and taken into consideration for the year 2017. There has been no resignation or dismissal of the External Auditor or the Engagement Partner in the year 2017.
3 (6) (ii) (d)	The committee shall review and monitor the external auditor's independence and objectivity and the effectiveness of the audit process in accordance with applicable standards and best practices.	Complied. The BAC has discussed the scope, objectivity and the effectiveness of the audit process with the External Auditors and the audit is carried out in accordance with the SLAuS for the year 2017. The External Auditor's independence is evidence through the Engagement Letter and as they present their reports directly to the BAC.

Rule Number	Rule	Status of Compliance
3 (6) (ii) (e)	The committee shall develop and implement a policy on the engagement of an external auditor to provide non-audit services that are permitted under the relevant statutes, regulations, requirements and guidelines. In doing so, the committee shall ensure that the provision by an external auditor of non-audit services does not impair the external auditor's independence or objectivity. When assessing the external auditor's independence or objectivity in relation to the provision of non-audit services, the committee shall consider: i) whether the skills and experience of the audit firm make it a suitable provider of the non-audit services; ii) whether there are safeguards in place to ensure that there is no threat to the objectivity and/or independence in the conduct of the audit resulting from the provision of such services by the external auditor; and iii) whether the nature of the non-audit services, the related fee levels and the fee levels individually and in aggregate relative to the audit firm, pose any threat to the objectivity and/or independence of the external auditor.	Complied. A policy on engagement of the External Auditors to provide non-audit services has been reviewed and recommended by the BAC which has been approved by the Board of Directors.
3 (6) (ii) (f)	The committee shall, before the audit commences, discuss and finalise with the external auditors the nature and scope of the audit, including: (i) an assessment of the bank's compliance with the relevant Directions in relation to corporate governance and the management's internal controls over financial reporting; (ii) the preparation of financial statements for external purposes in accordance with relevant accounting principles and reporting obligations; and (iii) the co-ordination between firms where more than one audit firm is involved.	Complied. The External Auditors have presented the financial statement audit plan for 2017 outlining the scope and deliverables of their engagement. Further, the BAC has discussed in detail and finalised the nature and scope of the audit with the External Auditors in accordance with the SLAuS.

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Rule Number	Rule	Status of Compliance
3 (6) (ii) (g)	The committee shall review the financial information of the Bank, in order to monitor the integrity of the financial statements of the Bank, its annual report, accounts and quarterly reports prepared for disclosure and the significant financial reporting judgments contained therein. In reviewing the Bank's annual report and accounts and quarterly reports before submission to the Board, the committee shall focus particularly on; (i) Major judgmental areas (ii) Any changes in accounting policies and practices (iii) The going concern assumption; and (iv) The compliance with relevant accounting standards and other legal requirements; and (v) In respect of the annual financial statements the significant adjustments arising from the audit.	Complied. The BAC has a process for the CFO to present the quarterly financial statements, year-end audited financial statements and reports for disclosure to be reviewed, discuss and approved by the BAC. Such financial statements are recommended by the BAC for approval of the Board of Directors.
3 (6) (ii) (h)	The committee shall discuss issues, problems and reservations arising from the financial audit in the absence of the executive management.	Complied. The Committee has met twice in the year 2017 with the External Auditors to discussed issues, problems and reservation arising from the financial audit in the absence of the executive management.
3 (6) (ii) (i)	The committee shall review the external auditor's management letter and the management's response thereto.	Complied. The Committee has reviewed the External Auditor's Management Letter and the management's response thereto.

Rule Number	Rule	Status of Compliance
3 (6) (ii) (j)	The committee shall take the following steps with regard to the internal audit function of the Bank; (i) Review the adequacy of the scope, functions and resources of the internal audit department, and satisfy itself that the department has the necessary authority to carry out its work; (ii) Review the internal audit programme and results of the internal audit process and, where necessary, ensure that appropriate actions are taken on the recommendations of the internal audit department; (iii) Review any appraisal or assessment of the performance of the head and senior staff member of the internal audit department; (iv) Recommend any appointment or termination of the head, senior staff members and outsourced service providers to the internal audit function; (v) Ensure that the committee is appraised of resignations of senior staff members of the internal audit department including the Chief Internal Auditor and any outsourced service providers, and to provide an opportunity to the resigning senior staff members and outsourced services providers to submit reasons for resigning; (vi) Ensure that the internal audit function is independent of the activities it audits and that it is performed with impartiality, proficiency and due professional care;	Complied. The BAC has review and approved the Internal Audit Plan for the year 2017 based on control risk assessment. Further, the BAC has discussed the scope, functions and the resources of the Internal Audit Department (IAD) to satisfy itself that the department has the necessary authority to carry out its work. The BAC also monitors the IAD function and the progress of the internal audit plan. The internal audit plan for the year 2017 based on the risk control assessment has been approved by the BAC. Progress reports of the audit finding are discussed and appropriate actions are taken based on the IAD recommendations which are sanctioned by the BAC. The Performance appraisal of the Acting Chief Internal Auditor was carried out at the BAC meeting held on 16 February 2018. There were no appointments or termination of the Head or Senior Staff member during the year 2017. The retirement of the Chief Internal Auditor with effect from 31 December 2016 was discussed at the BAC meeting on 22 February 2017. Internal Audit Department reports directly to the BAC. Hence it is independent and the audits are performed with impartiality, proficiency and due professional care.
3 (6) (ii) (k)	The committee shall consider the major findings of internal investigation and management's responses thereto.	Complied. BAC has considered major findings of internal investigation and management's responses thereto and discussed in detail with suitable action points agreed upon and recorded in the minutes of the BAC meeting.

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Rule Number	Rule	Status of Compliance
3 (6) (ii) (l)	The committee shall meet the External Auditors at least twice a year without the Executive Directors being present.	Complied. The BAC met the External Auditors twice during the year 2017 in the absence of all members of the Executive Management. Currently, there are no Executive Directors on the Board.
3 (6) (ii) (m)	The committee shall have (i) Explicit authority to investigate into any matter within its terms of reference; (ii) The resources which it needs to do so; (iii) Full access to information; and (iv) Authority to obtain external professional advice and invite outsiders with relevant experience and attend, if necessary.	Complied. The Board approved Terms of Reference of the BAC covers the requirements as stipulated.
3 (6) (ii) (n)	The committee shall meet at least four times a year and has maintained minutes of such meeting.	Complied. The BAC has had five meetings in the year 2017.
3 (6) (ii) (o)	The Board shall disclose in an informative way, (i) Details of the activities of the audit committee (ii) The number of audit committee meetings held in the year (iii) Details of attendance of each individual Director at such meetings	Complied. The Board has disclosed the required information in pages 119 to 121 in the Annual Report.
3 (6) (ii) (p)	The Secretary of the Committee may be the Company Secretary or the head of Internal Audit who shall keep and record detailed minutes of the meetings.	Complied. The Head of the Internal Audit has been appointed as the Secretary to the BAC who maintains detailed minutes of all meetings.
3 (6) (ii) (q)	The committee shall review arrangements by which employees of the bank may, in confidence raise concerns about possible improprieties in financial reporting, internal control or other matters. Accordingly the committee shall ensure that proper arrangements are in place for the fair and independent investigation of such matters and for appropriate follow-up action and to act as the key representative body for overseeing the bank's relations with the external auditor.	Complied. The Board approved 'Whistle Blowing' policy is in place which covers the improprieties in financial reporting, internal control or other matters, fair and independent investigation of such matter and appropriate follow-up action.
3 (6) (iii)	Human Resource and Remuneration Committee	
3 (6) (iii) (a)	The committee shall determine the remuneration policy (salaries, allowances and other financial payments) relating to Directors, CEO and Key Management Personnel of the Bank.	Complied. A Board approved benefit policy is in place which determines the remuneration relating to Directors, CEO and Key Management Personnel of the Bank.

Rule Number	Rule	Status of Compliance
3 (6) (iii) (b)	The committee shall set goals and targets for the Directors, CEO and Key Management Personnel.	Complied. The BHRRC has discussed and approved the goals and targets of each KMP for the year 2017 aligned to the 2017 Strategic Plan. The BHRRC has agreed that the 2017 Business Plan be considered as the KPI for the CEO. A Board approved goals and targets for Directors are in place.
3 (6) (iii) (c)	The committee shall evaluate the performance of the CEO and Key Management Personnel against the set targets and goals periodically and determine the basis for revising remuneration, benefits and other payments of performance-based incentives.	Complied. The BHRRC has considered the evaluation of the performance of the CEO and the KMPs against the goals and targets set out for the year 2017.
3 (6) (iii) (d)	The CEO shall be present at all meetings of the committee, except when matters relating to the CEO are being discussed.	Complied. The Board approved Terms of Reference of the BHRRC addresses this rule. The CEO was not present at meetings when matters relating to the CEO were being discussed.
3 (6) (iv)	Nomination Committee	
3 (6) (iv) (a)	The committee shall implement a procedure to select/ appoint new Director, CEO and Key Management Personnel.	Complied. A Board approved policy / procedure on selection and appointment of new members to the Board, CEO and Key Management Personnel recommended by the Board Nomination Committee (BNC) is in place. Accordingly, Board has approved the appointment of Mr. Faheemul Huq a Director on 25 February 2017 with the recommendation of the BNC.
3 (6) (iv) (b)	The committee shall consider and recommend (or not recommend) the re-election of current Directors, taking into account the performance and contribution made by a Director concerned towards the overall discharge of the Board's responsibilities.	Complied. The Committee has reviewed the services rendered by the existing Directors and recommended the re-appointment accordingly for the year 2017.
3 (6) (iv) (c)	The committee shall set criteria such as qualifications, experience and key attributes required for eligibility to be considered for appointment or promotion to the post of CEO and the key management positions.	Complied. A criteria for appointment or promotion to the post of CEO has been recommended by the BNC and approved by the Board approved. Criteria included in the job descriptions for other KMPs such as qualifications, experience and key attributes required for eligibility to be considered for the appointment of KMPs has been presented to the BNC for review and subsequently approved at the Board.

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Rule Number	Rule	Status of Compliance
3 (6) (iv) (d)	The committee shall ensure that Directors, CEO and Key Management Personnel are fit and proper persons to hold office as specified in the criteria given in Direction 3 (3) and as set out in the Statutes.	Complied. The BNC ensures that the Directors, CEO and Key Management Personnel are fit and proper persons to hold office as specified in the criteria by evaluating the signed declarations and affidavits submitted by the Directors, CEO and Key Management Personnel. Further, fit and proper certificate from Central Bank of Sri Lanka has been obtained for all appointments of Directors and KMP.
3 (6) (iv) (e)	The committee shall consider and recommend from time to time, the requirement of additional/new expertise and the succession arrangements for retiring Directors and Key Management Personnel.	Complied. A Board approved Policy & Procedure for the appointment of new Directors is in place. BNC has considered the requirements for succession arrangements for Director and KMPs during the year 2017. The Succession Plan for the Management Committee has been reviewed and recommended by the BNC and subsequently approved by the Board.
3 (6) (iv) (f)	The committee shall be chaired by an Independent Director and preferably be constituted with a majority of Independent Directors. The CEO may be present at the meeting by invitation.	Complied. The Committee is Chaired by an Independent Director and the Committee comprises of three Independent Directors and two Non-Independent Director. The CEO is present at meetings only by invitation.
3 (6) (v)	Integrated Risk Management Committee	
3 (6) (v) (a)	The committee shall consist of at least three Non-Executive Directors, CEO and Key Management Personnel supervising Board risk categories, i.e., credit, market, liquidity, operational and strategic risks. The committee shall work with key management personnel very closely and make decisions on behalf of the Board within the framework of the authority and responsibility assigned to the committee.	Complied. The BIRMC consists of 3 Non-Executive Directors, CEO and CRO who satisfy the said criteria.

Rule Number	Rule	Status of Compliance
3 (6) (v) (b)	The committee shall assess all risks, i.e., credit, market, liquidity, operational and strategic risks to the Bank on a monthly basis through appropriate risk indicators and management information.	Complied. BIRMC has implemented a procedure to meet on a quarterly basis to assess the risk of the Bank through the use of dashboards. These dashboards which covers the below mentioned risks are shared with BIRMC members for monitoring:- ◆ Credit Risk ◆ Market Risk ◆ Liquidity Risk ◆ Operational Risk ◆ Enterprise Risk, Strategic Risk, Legal Risk and Reputational Risk
	In the case of subsidiary companies and associate companies, Risk Management shall be done, both on a bank basis and group basis.	Not applicable as the Bank do not have any subsidiaries or associate companies.
3 (6) (v) (c)	The committee shall review the adequacy and effectiveness of all management level committees, such as the credit committee and asset-liability committee to address specific risks and to manage those risks within quantitative and qualitative risk limits as specified by the committee.	Complied. The BIRMC review the adequacy and effectiveness of the management committees namely ECC 1, ALCO & ERMCM through the minutes and report submitted by these committees at the subsequent BIRMC meeting. Further, the TORs of all these committees are evaluated and reviewed through the IRMF by the BIRMC annually.
3 (6) (v) (d)	The committee shall take prompt corrective action to mitigate the effects of specific risks in the case such risks are at levels beyond the prudent levels decided by the committee on the basis of the Bank's policies and regulatory and supervisory requirements.	Complied. The BIRMC has reviewed the dashboard on the risk tolerance and considered all risk indicators which have gone beyond the prudent levels decided by the committee on the basis of the Bank's policies, regulatory and supervisory requirements and corrective actions are taken promptly for any deviations to mitigate the effects.
3 (6) (v) (e)	The committee shall meet at least quarterly to assess all aspects of Risk Management including updated business continuity plans.	Complied. The Committee has held four meetings during the year 2017.
3 (6) (v) (f)	The committee shall take appropriate action against the officers responsible for failure to identify specific risks and take prompt corrective actions as recommended by the committee, and/or as directed by the Director of Bank Supervision.	Complied. The Bank specific risks and the limits are identified by the relevant committees such as ALCO, ERMCM and ORMC and as such the decisions are taken collectively.

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Rule Number	Rule	Status of Compliance
3 (6) (v) (g)	The committee shall submit a risk assessment report within a week of each meeting to the Board seeking the Board's views, concurrence and/or specific directions.	Complied. The BIRMC Chairman's report contains a Risk assessment, which is submitted at the subsequent Board meeting informing the BIRMC's deliberations and decisions and seeking the Board's views, concurrence and/or for specific directions.
3 (6) (v) (h)	The committee shall establish a compliance function to assess the Bank's compliance with laws, regulations, regulatory guidelines, internal controls and approved policies on all areas of business operations. A dedicated Compliance Officer selected from Key Management Personnel shall carry out the compliance function and report to the committee periodically.	Complied. The Bank has appointed Mr. Irshad Iqbal, a KMP as the Chief Compliance Officer with effect from 1 January 2016. The Compliance function assesses the Bank's compliance with laws, regulations and regulatory guidelines and reports to the BIRMC regularly through the quarterly compliance status reports. The Compliance function also performs monthly / quarterly independent verification and testing for compliance with CBSL requirements. The Compliance function also assesses the internal controls and policies on all areas of business operations through the confirmation submitted by the respective departments and branches.
3 (7)	Related Party Transactions	
3 (7) (i)	The Bank shall take necessary steps to avoid any conflicts of interest that may arise from any transaction of the Bank with any person, and particularly with the following categories of persons who shall be considered as "related parties" for the purpose of this Direction; a) Any of the Bank's subsidiary companies; b) Any of the Bank's associate companies; c) Any of the Directors of the Bank; d) Any of the Bank's Key Management Personnel; e) A close relation of any of the Bank's Directors or Key Management Personnel; f) A shareholder owning a material interest in the Bank. g) A concern in which any of the Bank's Directors or a close relation of any of the Bank's Directors or any of its material shareholders has a substantial interest.	Complied. The Board takes necessary steps in line with the Banking Act, Corporate Governance Direction and the Bank's Policy on Related Party Transactions to avoid any conflicts of interest that may arise from any transaction of the Bank with its related parties. The Policy on Related Party Transactions were reviewed by the Board in December 2016.

Rule Number	Rule	Status of Compliance
3 (7) (ii)	The type of transactions with related parties that shall be covered by this Direction shall include the following: a) The grant of any type of accommodation, as defined in the Monetary Board's Directions a maximum amount of accommodation. b) The creation of any liabilities of the Bank in the form of deposits, borrowings and investments. c) The provision of any services of a financial or non-financial nature provided to the Bank or received from the Bank. d) The creation or maintenance of reporting lines and information flows between the Bank and any related parties which may lead to the sharing of potentially proprietary, confidential or otherwise sensitive information that may give benefits to such related parties.	Complied. The Board approved Policy on Related Party Transactions covers types of specific related parties and related party transactions as noted in the Direction and to avoid any conflicts of interest that may arise from any related party transactions.

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Rule Number	Rule	Status of Compliance
3 (7) (iii)	The Board shall ensure that the Bank does not engage in transactions with related parties as defined in Direction 3 (7) (i) above, in a manner that would grant such parties 'more favourable treatment' than that accorded to other constituents of the Bank carrying on the same business. In this context, 'more favourable treatment' shall mean and include treatment, including the; a) Granting of "total net accommodation" to related parties, exceeding a prudent percentage of the Bank's regulatory capital, as determined by the Board. For purposes of this sub-direction; I) "Accommodation" shall mean accommodation as defined in the Banking Act Directions, No 7 of 2007 on Maximum Amount of Accommodation. II) The "total net accommodation" shall be computed by deducting from the total accommodation, the cash collateral and investments made by such related parties in the Bank's share capital and debt instruments with a maturity of 5 years or more. b) Charging a lower rate than the Bank's best lending rate or paying more than the Bank's deposit rate for a comparable transaction with an unrelated comparable counterparty. c) Providing of preferential treatment, such as favourable terms, covering trade losses and/or waiving fees/commissions that extend beyond the terms granted in the normal course of business undertaken with unrelated parties. d) Providing services to or receiving services from a related-party without an evaluation procedure. e) Maintaining reporting lines and information flows that may lead to sharing potentially proprietary, confidential or otherwise sensitive information with related parties, except as required for the performance of legitimate duties and functions.	Complied. Please refer comment in 3 (7) (i) and 3 (7) (ii) above. Board approved Policy on Related Party Transactions contains provisions of this rule to ensure compliance. Further, to strengthen the corporate governance of the Bank, the Related Party Transactions Review Committee reviews the related party transactions in line with the policy to avoid any 'favourable treatment' granted to such parties.

Rule Number	Rule	Status of Compliance
3 (7) (iv)	The Bank shall not grant any accommodation to any of the Directors or to a close relation of such Director unless such accommodation is sanctioned at a meeting of its Board of Directors, with not less than two-thirds of the number of Directors other than the Director concerned, voting in favour of such accommodation and that this accommodation be secured by such security as may from time to time be determined by the Monetary Board as well.	Complied. All such accommodation has to be approved at the Board level meetings with not less than 2/3 of the number of Directors other than the Directors concerned, voting for such accommodation granted as per the Board approved Policy on Related Party Transactions. All accommodation granted to KMPs of the Bank are subject to staff financing schemes of the Bank.
3 (7) (v)	a) Where any accommodation has been granted by a bank to a person or a close relation of a person or to any concern in which the person has a substantial interest, and such person is subsequently appointed as a Director of the Bank, that steps have been taken by the Bank to obtain the necessary security as may be approved for that purpose by the Monetary Board, within one year from the date of appointment of the person as a Director. b) Where such security is not provided by the period as provided in Direction 3(7)(v)(a) above, the Bank shall take steps to recover any amount due on account of any accommodation, together with interest, if any within the period specified at the time of the grant of accommodation or at the expiry of a period of eighteen months from the date of appointment of such Director, whichever is earlier. c) Any Director who fails to comply with the above sub-directions shall be deemed to have vacated the office of a Director and the Bank shall disclose such fact to the public. d) The sub-direction, however, shall not apply to a Director who at the time of grant of the accommodation was an employee of the Bank and the accommodation was granted under a scheme applicable to all employees of the Bank.	Complied. The Bank did not encounter such a situation during the year under review.

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Rule Number	Rule	Status of Compliance
3 (7) (vi)	The Bank shall not grant any accommodation or 'more favourable treatment' relating to the waiver of fees and/or commissions to any employee or a close relation of such employee or to any concern in which the employee or close relation has a substantial interest other than on the basis of a scheme applicable to the employees of the Bank or when secured by security as may be approved by the Monetary Board in respect of accommodation granted as per Direction 3(7)(v) above.	Complied. The Bank has a process in the RPT system to capture KMPs transactions as and when, such transactions take place. Additionally such transactions are verified by the relevant authorities (Finance Dept.). Further, as per the Bank's practice, the Bank do not grant waiver of fees and /or commissions to any employee or a close relation of such employee or to any concern in which the employee or close relation has a substantial interest other than on the basis of a scheme applicable to the employees of the Bank or when secured by security as may be approved by the Monetary Board in respect of accommodation granted as per Direction 3(7)(v) above. We did not encounter such a situation during the year under review.
3 (7) (vii)	No accommodation granted by the Bank under Direction 3(7)(v) and 3(7)(vi) above, nor any part of such accommodation, nor any interest due thereon shall be remitted without the prior approval of the Monetary Board and any remission without such approval shall be void and of no effect.	Complied. The Bank did not encounter such a situation during the year under review.
3 (8)	Disclosure	
3 (8)(i)	The Board shall ensure that; a) Annual audited statements and quarterly financial statements are prepare and published in accordance with the formats prescribed by the supervisory and regulatory authorities and applicable accounting standards and that b) Such statements are published in the newspapers in an abridged form, in Sinhala, Tamil and English.	Complied. Annual audited financial statements and quarterly financial statements are prepared and published in accordance with the regulatory requirements and as per the accounting standards. Financial statements are published in all three languages.

Rule Number	Rule	Status of Compliance
3 (8)(ii)	The Board shall ensure that the following minimum disclosures are made in the Annual Report;	Complied.
	a) A statement to the effect that the annual audited financial statements have been prepared in line with applicable accounting standards and regulatory requirements, inclusive of specific disclosures.	Refer Statement of Directors' Responsibility, on pages 127 to 128.
	b) A report by the Board on the Bank's internal control mechanism that confirms that the financial reporting system has been designed to provide reasonable assurance regarding the reliability of financial reporting, and that the preparation of financial statements for external purposes has been done in accordance with relevant accounting principles and regulatory requirements.	Refer Directors' Statement on Internal Control over Financial Reporting on pages 110 to 111.
	c) To obtain the External Auditor's certification on the effectiveness of the internal control mechanism referred to in Direction 3(8)(ii)(b) above.	Refer 'Independent Assurance Report' on Internal Control over Financial Reporting on page 112.
	d) Details of Directors, including names, qualifications, age, experience fulfilling the requirements of the guidelines fitness and propriety, transactions with the Bank and the total of fees/remuneration paid by the Bank.	Refer Profiles of Directors, on pages 22 to 24. Transactions with the Bank: (a) Financing and Receivables: Nil (b) Financing Income: Nil (c) Deposits: LKR 81,693,970 (d) Financing Expenses: LKR 5,191,034 (e) Commitment and Contingencies: Nil Total fees/remuneration paid by the Bank: Refer Note 11 to the Financial Statements on page 160.

CORPORATE GOVERNANCE

Rule Number	Rule	Status of Compliance																		
e)	Total net accommodation as defined in 3(7)(iii) granted to each category of related parties. The net accommodation granted to each category of related parties shall also be disclosed as a percentage of the Bank's regulatory capital.	<table><tr><th>Category of Related Parties</th><th>Total Net Accommodation (LKR)</th><th>% of Regulatory Capital</th></tr><tr><td>Directors of the Bank</td><td>NIL</td><td>NIL</td></tr><tr><td>KMPs</td><td>180,029,405</td><td>1.75%</td></tr><tr><td>A concern in which any of the Bank's Directors or a close relation of any of the Bank's Directors or any of its material shareholders has a substantial interest</td><td>188,368,526</td><td>1.83%</td></tr><tr><td>Close relations of any of the Bank's Directors or KMPs</td><td>NIL</td><td>NIL</td></tr><tr><td>Material Shareholder</td><td>NIL</td><td>NIL</td></tr></table>	Category of Related Parties	Total Net Accommodation (LKR)	% of Regulatory Capital	Directors of the Bank	NIL	NIL	KMPs	180,029,405	1.75%	A concern in which any of the Bank's Directors or a close relation of any of the Bank's Directors or any of its material shareholders has a substantial interest	188,368,526	1.83%	Close relations of any of the Bank's Directors or KMPs	NIL	NIL	Material Shareholder	NIL	NIL
Category of Related Parties	Total Net Accommodation (LKR)	% of Regulatory Capital																		
Directors of the Bank	NIL	NIL																		
KMPs	180,029,405	1.75%																		
A concern in which any of the Bank's Directors or a close relation of any of the Bank's Directors or any of its material shareholders has a substantial interest	188,368,526	1.83%																		
Close relations of any of the Bank's Directors or KMPs	NIL	NIL																		
Material Shareholder	NIL	NIL																		
f)	The aggregate values of remuneration paid by the Bank to its Key Management Personnel and the aggregate values of the transactions of the Bank with its Key Management Personnel, set out by Board categories such remuneration paid, accommodation granted and deposits or investments made in the Bank.	<table><tr><th>Nature of Transaction</th><th>KMPs (LKR)</th></tr><tr><td>Remuneration</td><td>168,759,553</td></tr><tr><td>Accommodation granted</td><td>180,029,405</td></tr><tr><td>Deposits</td><td>49,323,161</td></tr></table>	Nature of Transaction	KMPs (LKR)	Remuneration	168,759,553	Accommodation granted	180,029,405	Deposits	49,323,161										
Nature of Transaction	KMPs (LKR)																			
Remuneration	168,759,553																			
Accommodation granted	180,029,405																			
Deposits	49,323,161																			
g)	To obtain the external Auditor's certification of the compliance with these Corporate Governance Directions.	The External Auditor's certification on compliance with these Corporate Governance Directions has been obtained by the Bank. Board confirms that all the findings of the 'Factual Findings Report' of auditors have been incorporated in the Corporate Governance Report.																		
h)	A report setting out details of the compliance with prudential requirements, regulations, laws and internal controls and measures taken to rectify any material non-compliance.	Refer Bank's Compliance with Prudential Requirements, on pages 108 to 109.																		
i)	A statement of the regulatory and supervisory concerns on lapses in the Bank's risk management, or non-compliance with these Directions that have been pointed out by the Director of Bank Supervision, if so directed by the Monetary Board to be disclosed to the public, together with the measures taken by the Bank to address such concerns.	The Monetary Board has not directed the Bank to disclose any lapses.																		

Attendance of Directors During 2017

Name of Director	Main Board		Board Audit Committee		Board Credit Committee		Board Nomination Committee		Board Integrated Risk Management Committee		Board Human Resources and Remuneration Committee		Related Party Transactions Review Committee	
	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility
Mr. Osman Kassim ¹	11	12	-	-	8	9	-	-	-	-	-	-	-	-
Mr. Tyeab Akbarally ²	11	12	-	-	9	9	1	2	-	-	2	2	-	-
Dato' A. Tajudin. B. H. Abdul Rahman (resigned w.e.f. 22 July 2017) ³	4	6	2	2	-	-	-	-	2	2	-	-	1	2
Dr. A.A.M. Haroon ⁴	9	12	1	2	4	9	-	-	-	-	-	-	-	-
Mr. Jazri Magdon Ismail ³	12	12	5	5	-	-	3	3	4	4	2	2	4	4
Mr. Haseeb Ullah Siddiqui ⁴	9	12	-	-	-	-	-	-	-	-	-	-	-	-
Mr. Wahid Ali Mohd. Khalil ⁴	12	12	2	2	-	-	-	-	-	-	-	-	-	-
Mr. Harsha Amarasekera ⁴	9	12	-	-	-	-	2	3	-	-	-	-	-	-
Mr. Wahidul Haque (resigned w.e.f. 28 January 2017) ⁴	1	1	-	-	-	-	-	-	-	-	-	-	-	-
Mr. Rajiv Nandlal Dvivedi ⁵	11	12	3	5	-	-	2	2	4	4	-	-	4	4
Mr. P. Dilshan R. Hettiaratchi ⁵	9	12	3	3	8	9	3	3	-	-	2	2	3	4
Mr. Faheemul Huq (appointed w.e.f. 25 February 2017) ⁴	10	11	-	-	-	-	-	-	-	-	-	-	-	-

Please refer profiles of Board of Directors from pages 22 to 24 for additional details.

1 - Chairman, Non-Executive, Non-Independent Director

2 - Deputy Chairman, Non-Executive, Non-Independent Director

3 - Non-Executive, Independent Senior Director

4 - Non-Executive, Non-Independent Director

5 - Non-Executive, Independent Director

BANK'S COMPLIANCE WITH PRUDENTIAL REQUIREMENTS

Amāna Bank, places the highest importance in the quest to ensure optimum management of compliance risk and prudential requirements. This included the need to constantly seeking new avenues in ensuring that Compliance consists of going beyond mere regulatory compliance. In this regard, the Board of Directors has formulated a Compliance Policy that sets out the Terms of Reference of the Chief Compliance Officer and the framework for Compliance function based on the consultative document on compliance by the BASEL Committee on Banking Supervision.

The functions and activities of Compliance are critical to the overall health of the Bank's business and its key performance benchmarks are independent of direct business profitability targets. In order to ensure the concept, the Compliance Department has been established to function as an independent unit within the Bank and is headed by the Chief Compliance Officer (CCO). The CCO directly reports on compliance concerns to the Board Integrated Risk Management Committee (BIRMC).

The department assists in the optimum development, implementation and management of Compliance functions of the Bank. This includes the facilitation of the day-to-day challenges in interpretation and understanding of regulations, proactively take initiatives to highlight common industry wide compliance concerns, operations and administration of activities are in alignment with laws and regulations pertaining to the industry standards.

The Compliance Department, further addresses effective Compliance management across the Bank with the support and coordination of the CEO and senior management for adherence with the Policies

and Processes of the Bank. In this context the Department continuously engages with the Management Committee and the executive management to oversee and assess the level of Compliance by obtaining management confirmations and where necessary initiating corrective action. Additionally, the department also reviews the level of Compliance with statutory requirements and the internal procedures at branches and other departments by periodic reviews conducted by Compliance staff. All exceptions that were identified during the reviews had been escalated to either the Executive Risk Management Committee and the Board Integrated Risk Management Committee or the Board of Directors and followed up to ensure that corrective action is taken as appropriate.

Monitoring of Compliance

The Compliance Department carries out annual Bank-wide risk assessment function focusing on adherence to laws, regulations and regulatory guidelines. The Department is entrusted with the responsibility of monitoring these requirements on an ongoing basis. The Compliance function takes an overview approach in this and monitors the Compliance with statutory requirements through process assurances obtained from relevant department heads, based on the sign-off given by the heads of business departments on quarterly Compliance reports, and focuses on exception reports to follow-up on non-Compliance issues. In addition, the Compliance department also carries out regular reviewing, depending on the severity of the potential impact of the risk event. A quarterly Compliance report is submitted to the Board of Directors and BIRMC in this respect which covers:

- ◆ Compliance with Statutory/mandatory reporting requirements

- ◆ Status of Compliance with the key Compliance requirements under the Directions issued by Central Bank of Sri Lanka
- ◆ Significant non-Compliance events, if any
- ◆ Regulatory/potential breaches, if any

Anti-Money Laundering (AML) Compliance

The Compliance Department has taken steps from the inception of the Bank to address the Bank's Compliance with regulations such as Know Your Customer (KYC) and Anti-Money Laundering (AML) functions going beyond mere regulatory Compliance. Appropriate mechanisms have been devised by the Department to identify and assess the regulatory Compliance requirements which are then disseminated to the business/operations departments on a regular basis. Further, during the year the Compliance function introduced a risk categorisation form to be completed at the time of opening the account for all customers.

The Bank has established a sound framework for AML Compliance based on relevant laws enacted by the Government of Sri Lanka to combat money laundering/terrorist financing and in line with the rules governing the conduct of all account relationships issued by Financial Intelligence Unit (FIU) of the Central Bank of Sri Lanka. A separate manual for AML/CFT has been approved by the Board of Directors and is reviewed periodically in line with new rules enacted by the FIU. The Compliance function makes optimal use of the automated Compass Anti Money Laundering system to manage AML/CFT risks. The Compliance Department pays special attention to any suspected money laundering transactions reported by the business units and carries out investigation

to ensure adherence. The Bank acquired World Check name screening system for the screening of customers and counterparties to monitor against international sanctions as per prudential requirements.

Product Responsibility

The Product Development Committee, comprising Key Management Personnel from various disciplines of the Bank, ensures that all new products and services introduced and any changes to our current products conform to the applicable laws and regulations and reflect ethical practices.

The Compliance Department plays a key role in product development to ensure legal and regulatory Compliance. Therefore, Compliance Department along with the Legal Department ensures that the new product structures are cleared for regulatory and legal Compliance within the normal regulatory and legal framework of the country.

Customer Charter

Corporate website publishes expected deposit rates, financing rates, exchange rates and tariffs and charges. The procedure for Comments, Complaints and Suggestions is also set out on the website. The same has been displayed at branches including contact details of officials of the Bank and the Financial Ombudsman who can also be informed in the event, efforts made by the Bank prove unsatisfactory to the client.

Capacity Building on Compliance

Capacity building on Compliance through various internal and external training forms a critical building block of the Bank's Compliance plan to instill an organisation wide compliance culture. Internal training and orientation for new recruits include training modules on Compliance. Existing

and new staff are provided training throughout the year to ensure that well trained staff members are present in all branches and departments.

Some of the key training programmes that were conducted during the year included:

- ◆ Compliance Forum was held for all staff as refresher training on the AML/CFT system with the risk categorisation form.
- ◆ Two Forums on Exchange Control regulations was conducted through the Institute of Bankers of Sri Lanka by a representative of the CBSL.
- ◆ The Board of Directors were briefed on the latest developments in the AML and CFT areas by a Senior Assistant Director based at Financial Intelligence Unit.
- ◆ In order to inculcate the right values and ethics training, the senior management were oriented with an international training spread over two days on the issue of "Trust" conducted by Stephen Covey Leadership Institute Sri Lanka.
- ◆ Three induction programmes have been conducted by the Compliance team for Bank's staff on AML KYC throughout the year.

Technology Driven Compliance

While most initiatives are taken to comply with various regulations, the Banking Act and subsequent Directions issued by CBSL in this regard, the Bank constantly seeks to ensure that measures taken go well beyond mere Compliance to meet the foreseeable threats in this rapidly evolving aspect. We go beyond these requirements in ensuring the robustness and security of our technology platforms, through continued focused analysis and investment in key areas. The Bank, during the year budgeted to initiate EMV chip capability, significantly enhancing security against fraud by conforming to the

EMV standards of various card brands that are accepted by the Bank's ATMs.

Corporate Governance Compliance

The Bank's approach to governance is based on the Corporate Governance Direction No.11 of 2007 for Corporate Governance for Licensed Commercial Bank in Sri Lanka issued by the Central Bank as the regulator and Code of Best Practices issued by Securities and Exchange Commission of Sri Lanka, jointly with The Institute of Chartered Accountants of Sri Lanka.

The Board of Directors is fully committed to ensure that good governance is practiced and responsible for developing an effective framework. Accordingly, during the period under review the Bank was in compliance to all of the provisions of the above direction.

DIRECTORS' STATEMENT ON INTERNAL CONTROL OVER FINANCIAL REPORTING

Responsibility

In line with the Banking Act Direction No 11 of 2007, section 3(8)(ii)(b), the Board of Directors present this report on Internal Control over Financial Reporting.

The Board of Directors ("Board") is responsible for the adequacy and effectiveness of the internal control mechanism in place at Amāna Bank PLC, ("the Bank"). In considering such adequacy and effectiveness, the Board recognises that the business of banking requires reward to be balanced with risk on a managed basis and as such the internal control systems are primarily designed with a view to highlighting any deviations from the limits and indicators which comprise the risk appetite of the Bank. In this light, the system of internal controls can only provide reasonable, but not absolute assurance, against material misstatement of financial information and records or against financial losses or fraud.

The Board has established an ongoing process for identifying, evaluating and managing the significant risks faced by the Bank and this process includes enhancing the system of internal control over financial reporting as and when there are changes to the business environment or regulatory guidelines. The process is regularly reviewed by the Board and accords with the Guidance for Directors of Banks on the Directors' Statement on Internal Control issued by the Institute of Chartered Accountants of Sri Lanka. The Board has assessed the internal control over financial reporting taking into account principles for the assessment of internal control system as given in that guidance.

The Board is of the view that the system of internal controls over financial reporting

in place is sound and adequate to provide reasonable assurance regarding the reliability of financial reporting, and that the preparation of financial statements for external purposes is in accordance with relevant accounting principles and regulatory requirements.

The Management assists the Board in the implementation of the Board's policies and procedures on risk and control by identifying and assessing the risks faced, and in the design, operation and monitoring of suitable internal controls to mitigate and control these risks.

Key Features of the Process Adopted in Applying in Reviewing the Design and Effectiveness of the Internal Control System Over Financial Reporting

The key processes that have been established in reviewing the adequacy and integrity of the system of internal controls with respect to financial reporting include the following:

Various Committees are established by the Board to assist the Board in ensuring the effectiveness of the Bank's daily operations and that the Bank's operations are in accordance with the corporate objectives, strategies and the annual budget as well as the policies and business directions that have been approved.

The Internal Audit Department of the Bank checks for compliance with policies and procedures and the effectiveness of the internal control systems on an ongoing basis using samples and rotational procedures and highlight significant findings in respect of any non-compliance. Audits are carried out on all units and branches, the frequency of which is determined by the level of risk assessed, to provide an independent and objective

report. The annual Audit Plan is reviewed and approved by the Board Audit Committee. Findings of the Internal Audit Department are submitted to the Board Audit Committee for review at their periodic meetings.

The Board Audit Committee of the Bank reviews internal control issues identified by the Internal Audit Department, the External Auditors, regulatory authorities and the Management: and evaluates the adequacy and effectiveness of the risk management and internal control systems. They also review the internal audit functions with particular emphasis on the scope of audits and quality of the same. The minutes of the Board Audit Committee meetings are forwarded to the Board on a periodic basis. Further details of the activities undertaken by the Board Audit Committee of the Bank are set out in the Board Audit Committee Report on pages 119 to 121.

In assessing the internal control system over financial reporting, identified officers of the Bank collated all procedures and controls that are connected with significant accounts and disclosures of the financial statements of the Bank. These in turn were observed and checked by the Internal Audit Department for suitability of design and effectiveness on an ongoing basis.

The Bank adopted the new Sri Lanka Accounting Standards comprising LKAS and SLFRS in 2012. The processes and procedures initially applied to adopt the aforementioned Accounting Standards were further strengthened during the subsequent years based on the feedback received from the External Auditors, Internal Audit Department, Regulators and the Board Audit Committee. The Bank will continue to further strengthen the controls over the processes and relevant

management information systems and its reports for Financial Statement Disclosures related to Risk Management. The Bank has also recognised the need to introduce an automated financial reporting process in order to comply with the requirements of recognition, measurement, classification and disclosure of the financial instruments more effectively and efficiently.

The Board has taken into consideration the requirements of the Sri Lanka Accounting Standard – SLFRS 9 on 'Financial Instruments' that has been issued with effective date being 1 January 2018, as it is expected to have a significant impact on the calculation of impairment of financial instruments on an 'Expected Credit Loss Model' compared to the 'Incurred Credit Loss Model' currently being applied under the Sri Lanka Accounting Standard – LKAS 39 on 'Financial Instruments: Recognition and Measurement'. The Bank is currently working with external experts and based on the feedback received from Internal and External Auditors, the Board will continue to implement and strengthen the processes required to comply with SLFRS 9.

The comments made by the External Auditors in connection with internal control system over financial reporting in previous years were reviewed during the year and appropriate steps have been taken to rectify them. The recommendations made by the External Auditors in 2017, in connection with the internal control system over financial reporting will be dealt with in the future.

Confirmation

Based on the above processes, the Board confirms that the financial reporting system of the Bank has been designed to provide a reasonable assurance regarding the reliability

of financial reporting and the preparation of financial statements for external purposes and has been done in accordance with Sri Lanka Accounting Standards and regulatory requirements of the Central Bank of Sri Lanka.

Review of the Statement by External Auditors

The External Auditors, Messrs Ernst & Young, have reviewed the above Directors Statement on Internal Control over Financial Reporting included in the Annual Report of the Bank for the year ended 31 December 2017 and reported to the Board that nothing has come to their attention that causes them to believe that the statement is inconsistent with their understanding of the process adopted by the Board in the review of the design and effectiveness of the internal control over financial reporting of the Bank. Their Report on the Statement of Internal Control over Financial Reporting is given on page 112 of this Annual Report.

By Order of the Board,



Osman Kassim
Chairman – Board of Directors



Jazri Magdon Ismail
Chairman - Board Audit Committee

Colombo
16 February 2018

INDEPENDENT ASSURANCE REPORT ON DIRECTORS' STATEMENT ON INTERNAL CONTROL OVER FINANCIAL REPORTING



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Chartered Accountants
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INDEPENDENT ASSURANCE REPORT TO THE BOARD OF DIRECTORS OF AMĀNA BANK PLC

Introduction

We were engaged by the Board of Directors of Amāna Bank PLC ("Bank") to provide assurance on the Directors' Statement on Internal Control over Financial Reporting ("Statement") included in the annual report for the year ended 31 December 2017.

Management's Responsibility

Management is responsible for the preparation and presentation of the Statement in accordance with the "Guidance for Directors of Banks on the Directors' Statement on Internal Control" issued in compliance with section 3(8)(ii)(b) of the Banking Act Direction No. 11 of 2007, by the Institute of Chartered Accountants of Sri Lanka.

Our Responsibilities and Compliance with SLSAE 3050

Our responsibility is to issue a report to the board on the Statement based on the work performed. We conducted our engagement in accordance with Sri Lanka Standard on Assurance Engagements (SLSAE) 3050 – Assurance Report for Banks on Directors'

Statement on Internal Control issued by the Institute of Chartered Accountants of Sri Lanka.

Summary of Work Performed

We conducted our engagement to assess whether the Statement is supported by the documentation prepared by or for directors; and appropriately reflected the process the directors have adopted in reviewing the system of internal control over financial reporting of the Bank.

The procedures performed were limited primarily to inquiries of bank personnel and the existence of documentation on a sample basis that supported the process adopted by the Board of Directors.

SLSAE 3050 does not require us to consider whether the Statement covers all risks and controls or to form an opinion on the effectiveness of the Bank's risk and control procedures. SLSAE 3050 also does not require us to consider whether the processes described to deal with material internal control aspects of any significant problems

disclosed in the annual report will, in fact, remedy the problems.

Our Conclusion

Based on the procedures performed, nothing has come to our attention that causes us to believe that the Statement included in the annual report is inconsistent with our understanding of the process the Board of Directors has adopted in the review of the design and effectiveness of internal control over financial reporting of the Bank.

16 February 2018
Colombo

Partners: W R H Fernando FCA FCMA M P D Cooray FCA FCMA R N de Saram ACA FCMA Ms. N A De Silva FCA Ms. Y A De Silva FCA W K B S P Fernando FCA FCMA
Ms. K R M Fernando FCA ACMA Ms. L K H L Fonseka FCA A P A Gunasekera FCA FCMA A Herath FCA D K Hulangamuwa FCA FCMA LLB (Lond) H M A Jayasinghe FCA FCMA
Ms. A A Ludowyke FCA FCMA Ms. G G S Manatunga FCA Ms. P V K N Sajeevani FCA N M Sulaiman ACA ACMA B E Wijesuriya FCA FCMA
Principal T P M Ruberu FCMA FCCA

A member firm of Ernst & Young Global Limited

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE BANK

Contents of this Report are in accordance with the statutory requirements, the requirements of relevant regulatory authorities and best accounting practices. This Report was approved by the Directors.

General

Your Directors have pleasure in presenting their Annual Report on the State of Affairs, together with the Audited Financial Statements for the year ended 31 December 2017. Amāna Bank PLC, a licensed commercial bank was incorporated under the Companies Act No. 07 of 2007 as a public limited liability company in Sri Lanka under the registration number PB 3618. It was listed in the Colombo Stock Exchange on 29 January 2014 and re-registered under the Companies Act No. 07 of 2007 under the registration number PB 3618 PQ on 28 August 2014.

Amāna Bank PLC is a licensed commercial bank under the Banking Act No. 30 of 1988 and amendments thereto.

Completion and the contents of this report are in accordance with the statutory requirements, the requirements of relevant regulatory authorities for listed companies in the financial services industry and best accounting practices.

Principal Activities

The principal activities of the Bank are the provision of commercial banking and related services.

Compliance and Corporate Governance for Licensed Commercial Banks in Sri Lanka

The Board of Directors of the Bank has adopted a comprehensive policy on compliance and in accordance with the regulations of the Central Bank of Sri

Lanka (CBSL) has established an independent compliance function in respect of statutory requirements and CBSL Directions relating to licensed commercial banks. Further in accordance with the provisions of the Financial Transaction Reporting Act No. 06 of 2006, Board has appointed a Compliance Officer at Senior Management level in charge of compliance of the Bank. The Bank has also a Compliance Policy and Guideline on KYC (Know Your Customer) and AML (Anti Money Laundering). The Compliance Department monitors the compliance of the statutory requirements of the Bank and a report is submitted to the Board Integrated Risk Management Committee, Board Audit Committee and the Board of Directors on a quarterly basis ensuring the Bank complies with all such requirements.

The Bank also complies with the Banking Act Direction No.11 of 2007 on Corporate Governance issued by CBSL and is compliant with the provisions of the said Direction. The Corporate Governance Report is disclosed in pages 78 to 107.

In addition, the Bank is currently a listed entity and is in compliance with the Directions of the Securities and Exchange Commission of Sri Lanka, Continuing Listing Rules of the Colombo Stock Exchange and all other relevant authorities. The Board of Directors also hereby confirms that the Bank is compliant with section 9 of the Listing Rules of Colombo Stock Exchange pertaining to related party transactions.

Financial Results

	2017 LKR	2016 LKR
Net Operating Income	3,098,137,640	2,216,095,044
Total Operating Expenses	(2,039,573,052)	(1,945,016,888)
Operating Profit Before Value Added Tax on Financial Services & Nation Building Tax	1,058,564,588	271,078,157
Value Added Tax on Financial Services & Nation Building Tax	(319,245,989)	(168,266,307)
Profit Before Tax	739,318,599	102,811,850
Tax Expenses	(236,490,936)	(62,171,499)
Profit for the Year	502,827,663	40,640,351
Other Comprehensive Income for the Year Net of Tax	253,978,309	1,259,302
Total Comprehensive Income for the Year Net of Tax	756,805,972	41,899,654

Property, Plant and Equipment and Depreciation

Details of the property, plant and equipment of the Bank, additions made during the year and the depreciation charges for the year are shown in Note 25 to the Financial Statements.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE BANK

Donations

During the year under review, the Bank made donations amounting to LKR 1,165,953/- (2016 - LKR 795,000/-)

Events After the Reporting Date

No circumstances have arisen since the reporting date which would require adjustments to, or disclosure in the Financial Statements except for the events disclosed in Note 43 to the Financial Statements.

Accounting and Valuation Methods

For the year under review, the financial statements were prepared in accordance with Sri Lanka Accounting Standards (SLFRS/ LKAS) which have materially converged with the International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board.

Stated Capital and Shareholders

The Stated Capital of the Bank is LKR 10,619,450,156/- (2,501,390,534 shares)

Financial Statements

The Financial Statements of the Bank are given in pages 138 to 193.

Accounting Policies

The Accounting Policies adopted in the preparation of Financial Statements are given in pages 143 to 156.

Directors

The following were Directors of Amāna Bank PLC during the year ended 31 December 2017:

- 1) Mr. Osman Kassim (Chairman, Non-Executive, Non-Independent Director)
- 2) Mr. Tyeab Akbarally (Deputy Chairman, Non-Executive, Non-Independent Director)
- 3) Dato' Ahmad Tajudin Bin Haji Abdul Rahman (resigned as Non-Executive,

Independent Senior Director on 22 July 2017)

- 4) Dr. Aboobacker Admani Mohamed Haroon (Non-Executive, Non-Independent Director)
- 5) Mr. Mohamed Jazri Magdon Ismail (Non-Executive, Independent Director, appointed as Senior Director on 23 September 2017)
- 6) Mr. Haseeb Ullah Siddiqui (Non-Executive, Non-Independent Director)
- 8) Mr. Wahid Ali Bin Mohd. Khalil (Non-Executive, Non-Independent Director)
- 9) Mr. Harsha Amarasekera, PC (Non-Executive, Non-Independent Director)
- 10) Mr. Mohammed Wahidul Haque (resigned as Non-Executive, Non-Independent Director on 28 January 2017)
- 11) Mr. Faheemul Huq (Non Executive, Non Independent Director, appointed on 25 February 2017)
- 11) Mr. Rajiv Nandlal Dvivedi (Non-Executive, Independent Director)
- 12) Mr. Pradeep Dilshan Rajeeva Hettiaratchi (Non-Executive, Independent Director)

Alternate Directors

The following were Alternate Directors of Amāna Bank PLC during the year ended 31 December 2017:

- 1) Mr. Huzefa Inayetally Akbarally (Alternate Director to Mr. Tyeab Akbarally)
- 2) Mr. Mohamed Faizel Mohamed Haddad (Alternate Director to Mr. Osman Kassim)
- 4) Mr. Mohd. Muazzam Mohamed (Alternate Director to Mr. Wahid Ali Bin Mohd. Khalil)

Rotation of Directors

In terms of Article 29 (6) of the Articles of Association of the Company one-third of the Directors shall retire from office at each Annual General Meeting. The following

Directors retire by rotation and stand for re-appointment at the Annual General Meeting of Amāna Bank.

- a) Mr. Pradeep Dilshan Rajeeva Hettiaratchi
- b) Mr. Rajiv Nandlal Dvivedi
- c) Mr. Tyeab Akbarally
- d) Mr. Osman Kassim

Interest Register

The Directors' interest in shares has been disclosed in the Interest Register.

Directors' Remuneration and Other Benefits

Directors' remuneration in respect of the Bank for the financial year ended 31 December 2017 is given in Note 11 to the Financial Statements.

Directors' Interest in Contracts

As at 31 December 2017, none of the Directors had interests in contracts with the Bank, other than those disclosed in Note 42 to the Financial Statements.

As required by the Section 168 (1) (e) of the Companies Act No. 07 of 2007, the Bank maintains an Interests Register. We wish to confirm that all Directors have made declarations as required by the Sections 192 (1) and (2) of the Companies Act aforesaid and all related entries were made in the Interests Register during the year under review. The share ownership of Directors is disclosed on page 115. The Interest Register is available for inspection by shareholders or their authorised representatives as required by the Section 119 (1) (d) of the Companies Act No. 07 of 2007.

Directors' Investments in Shares

The shareholdings of Directors who held office as at 31 December 2017 were as follows:

Name of Director	Number of Shares Held	Percentage of Shareholding (%)
Mr. Osman Kassim	44,880,255	1.79
Mr. Tyeab Akbarally	52	0.00
Dato' A. Tajudin B. H. Abdul Rahman (resigned w.e.f. 22 July 2017)	Nil	Nil
Dr. A. A. M Haroon	16	0.00
Mr. Mohamed Jazri Magdon Ismail	127,000	0.01
Mr. Haseeb Ullah Siddiqui	Nil	Nil
Mr. Wahid Ali Mohd. Khalil	Nil	Nil
Mr. Harsha Amarasekera, PC	Nil	Nil
Mr. Wahidul Haque (resigned w.e.f. 28 January 2017)	Nil	Nil
Mr. Rajiv Nandlal Dvivedi	Nil	Nil
Mr. Pradeep Dilshan Rajeeva Hettiaratchi	Nil	Nil
Mr. Faheemul Huq	Nil	Nil
Mr. Huzefa Inayetally Akbarally (Alternate Director to Mr. Tyeab Akbarally)	01	0.00
Mr. Mohamed Faizel Mohamed Haddad (Alternate Director to Mr. Osman Kassim)	40,000	0.00
Mr. Mohd. Muazzam Mohamed (Alternate Director to Mr. Wahid Ali Mohd. Khalil)	Nil	Nil

Board Committees

The Board of Directors, while assuming the overall responsibility and accountability for the management oversight of the Bank has also appointed Board Committees to ensure oversight and control over certain functions of the Bank conforming to Directions on Corporate Governance issued by the Monetary Board of the Central Bank of Sri Lanka. Accordingly the following committees have been constituted by the Board:

Board Audit Committee

1. Mr. Jazri Magdon Ismail - Chairman
2. Mr. Rajiv Nandlal Dvivedi - Member
4. Mr. Dilshan Hettiaratchi - Member (resigned w.e.f. 19 August 2017)
5. Mr. Wahid Ali Mohd. Khalil - Member (appointed w.e.f. 19 August 2017)
6. Dr. A. A. M Haroon - Member (appointed w.e.f. 19 August 2017)

The report of the Board Audit Committee is given on page 119 to 121 which forms part of the Annual report of the Board of Directors.

Board Integrated Risk Management Committee

1. Mr. Rajiv Nandlal Dvivedi - Chairman
2. Dato' A. Tajudin B. H. Abdul Rahman - Member (resigned w.e.f. 22 July 2017)
3. Mr. Jazri Magdon Ismail - Member
4. Mr. Mohamed Azmeer (CEO) - Member
5. Mr. Ajmal Naleer - (CRO) Member

The report of the Board Integrated Risk Management Committee is given on page 122 to 123 which forms part of the Annual Report of the Board of Directors.

Board Nomination Committee

1. Mr. Jazri Magdon Ismail - Chairman
2. Mr. Harsha Amarasekera - Member
3. Mr. Dilshan Hettiaratchi - Member
4. Mr. Tyeab Akbarally - Member (appointed w.e.f. 19 August 2017)
5. Mr. Rajiv Nandlal Dvivedi - Member (appointed w.e.f. 19 August 2017)

The report of the Board Nomination Committee is given on page 125 which forms part of the Annual report of the Board of Directors.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE BANK

Board Human Resources and Remuneration Committee

1. Mr. Tyeab Akbarally - Chairman
2. Mr. Jazri Magdon Ismail - Member
3. Mr. Dilshan Hettiaratchi - Member

The report of the Board Human Resources & Remuneration Committee is given on page 124 which forms part of the Annual report of the Board of Directors.

Related Party Transactions Review Committee

1. Mr. Jazri Magdon Ismail - Chairman
2. Mr. Rajiv Nandlal Dvivedi - Member
3. Dato' A. Tajudin B. H. Abdul Rahman - Member (resigned w.e.f. 22 July 2017)
4. Mr. Dilshan Hettiaratchi - Member

The report of the Related party Transactions Review Committee is given on page 126 which forms part of the Annual Report of the Board of Directors.

In addition to the above mandatory Board appointed Committees the Board of Directors has also appointed a Board Credit Committee which oversees the Credit approval functions of the Bank.

Board Credit Committee

1. Mr. Tyeab Akbarally - Chairman
2. Mr. Osman Kassim - Member
3. Mr. Dilshan Hettiaratchi - Member

Auditors

The Financial Statements for the year ended 31 December 2017 have been audited by Messrs Ernst & Young, Chartered Accountants who offer themselves for re-appointment. A resolution relating to their re-appointment and authorising the Directors to determine their remuneration will be proposed at the Annual General Meeting.

The Auditors Messrs Ernst & Young, Chartered Accountants were paid LKR 2,711,409/- as Audit fees by the Bank.

As far as the Directors are aware the Auditors do not have any relationship (other than that of an Auditor and Tax Consultant) with the Bank. The Auditors also do not have any interest in the Bank.

Annual Report

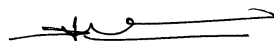
The Directors approved the Financial Statements together with the reviews which forms part of the Annual Report. The appropriate number of copies have been submitted to the Central Bank of Sri Lanka, Sri Lanka Accounting and Auditing Standard Monitoring Board, the Registrar of Companies and the Colombo Stock Exchange.

Annual General Meeting

The Annual General Meeting will be held on 20 April 2018 at 3.00 p.m. at the Banquet Hall (Ground Floor), Bandaranaike Memorial International Conference Hall (BMICH), Baudhaloka Mawatha, Colombo 7.

The Notice of the Annual General Meeting is given on page 226.

By Order of the Board



Mrs. Samitha Dayani de Silva
Company Secretary

17 February 2018
Colombo

DIRECTORS' INTEREST IN CONTRACTS

Name of Director/ Alternate Director	Name of Company	Position	Nature of Transaction	Current Limit	Amount	Amount
				2017	2017	2016
				LKR	LKR	LKR
Mr. Tyeab Akbarally	Amāna Takaful PLC	Chairman	Due to Other Customers		272,632,836	242,320,310
Mr. Osman Kassim		Director	Financing and Receivables to Other Customers	5,490,135	5,490,135	119,978,635
Dr. A. A. M. Haroon		Director	Financial Investments Held for Trading/Available for Sale		219,691,749	247,153,217
			Other Financial Assets			62,933,049
Mr. Osman Kassim	Expolanka Holdings PLC & Group	Director	Due to Other Customers		22,338,372	17,039,414
Mr. Harsha Amarasekera		Director	Financing and Receivables to Other Customers	1,363,596,777	1,084,715,743	863,262,756
			Letters of Credit, Letters of Guarantee, Shipping Guarantees & Other		41,817,741	60,337,399
			Financial Investments Held for Trading/Available for Sale		24,062,519	28,539,617
Mr. Osman Kassim	A.P.I.I.T. Lanka (Pvt) Limited	Chairman	Due to Other Customers		55,183,216	288,265,591
Mr. Osman Kassim	Aberdeen Holdings Limited & Group	Material Shareholder	Due to Other Customers		83,356,864	13,606,417
			Financing and Receivables to Other Customers			361,210,742
Mr. Osman Kassim	Alhasan Foundation	Chairman	Due to Other Customers		5,605,081	1,090,806
Mr. Osman Kassim	Amāna Takaful (Maldives) PLC	Director	Due to Other Customers		12,772,842	11,076,957
Mr. Osman Kassim	Vidullanka PLC	Chairman	Due to Other Customers		194,947	
Dr. A. A. M. Haroon		Director	Financing and Receivables to Other Customers	57,563,079	57,563,079	
Mr. Osman Kassim, Chairman of the Bank is the Chairman of Crescentrating (Pvt) Limited (Singapore) and also a Director Rokfam (Pvt) Limited, Expack Corrugated Cartons (Pvt) Limited, Maldives Islamic Bank (Pvt) Limited and Crescentrating (Pvt) Limited (Japan)						
Dr. A. A. M. Haroon	Vanguard Industries (Pvt) Limited	Chairman	Due to Other Customers		10,069	18,069
			Financing and Receivables to Other Customers	200,000,000	182,878,391	133,828,952
			Letters of Credit, Letters of Guarantee, Shipping Guarantees & Other			31,067,282
Dr. A. A. M. Haroon	ATL Investment Holdings Limited	Director	Due to Other Customers		6,222,846	6,393,092
			Financing and Receivables to Other Customers			
Dr. A. A. M. Haroon	Amāna Capital Limited	Director	Due to Other Customers			730,947
Dr. A. A. M. Haroon	Amāna Wealth Limited	Director	Due to Other Customers		30,672	274,291
Dr. A. A. M. Haroon, a Director of the Bank is the Chairman Liberty Textiles Exports (Pvt) Limited, Liberty Textiles Mills (Pvt) Limited, Lucky Industries (Pvt) Limited, Lucky Property Developers (Pvt) Limited, Master Apparels (Pvt) Limited, Colombo Medi Lab (Pvt) Limited and Vanguard Trading Company (Pvt) Limited						

DIRECTORS' INTEREST IN CONTRACTS

Name of Director/ Alternate Director	Name of Company	Position	Nature of Transaction	Current Limit	Amount	Amount
				2017	2017	2016
				LKR	LKR	LKR
Mr. Harsha Amarasekera	Delmege Forsyth & Company Limited	Director	Due to Other Customers		429,163	496,215
			Financing and Receivables to Other Customers	350,000,000	266,529,844	392,468,210
			Letters of Credit, Letters of Guarantee, Shipping Guarantees & Other		14,604,820	4,319,800
Mr. Harsha Amarasekera	Chevron Lubricants Lanka PLC	Director	Financial Investments Held for Trading/Available for Sale		13,458,900	17,689,460
Mr. Harsha Amarasekera	Vallibel Power Erathna PLC	Director	Financial Investments Held for Trading/Available for Sale		6,739,410	7,819,574
Mr. Harsha Amarasekera, a Director of the Bank is the Chairman of Chemanex PLC, CIC Holdings PLC, Bensons (Pvt) Limited and CIC Agri Business (Pvt) Limited and a Director of Amaya Leisure PLC, Taprobane Holdings PLC, Vallibel One PLC, Royal Ceramic PLC, Ceylon Hotel Holdings (Pvt) Limited, Galle Face Management Company (Pvt) Limited, Millennium Airlines (Pvt) Limited, Millennium Investments Lanka (Pvt) Limited, The Hill Club Company Limited and Link Natural Products (Pvt) Limited						
Mr. Tyeab Akbarally	Akbar Brothers (Pvt) Limited	Director	Due to Other Customers		630,688	612,146
Mr. Huzefa Akbarally		Alternate Director				
Mr. Tyeab Akbarally	Akbar Pharmaceuticals (Pvt) Limited	Director	Due to Other Customers		92,846	90,116
Mr. Huzefa Akbarally		Alternate Director				
Mr. Tyeab Akbarally, a Director of the Bank is also a Director of A B Properties (Pvt) Limited, A B Development (Pvt) Limited, Akbar Brothers Exports (Pvt) Limited, Zahra Exports (Pvt) Limited, Energy Reclamation (Pvt) Limited, Falcon Properties (Pvt) Limited, Falcon Developments (Pvt) Limited, Quick Tea (Pvt) Limited, Falcon Trading (Pvt) Limited, Land & Buildings (Pvt) Limited, Lina Manufacturing (Pvt) Limited, Mosaic Art (Pvt) Limited, Onally Holdings PLC, Flexiprint (Pvt) Limited, Lina Cardiac (Pvt) Limited and Flinth Commercial Park (Pvt) Limited						
Mr. Huzefa Akbarally, an Alternate Director of the Bank is a Director of A B Properties (Pvt) Limited, A B Developments (Pvt) Limited, Akbar Brothers Exports (Pvt) Limited, Energy Reclamation (Pvt) Limited, Falcon Developments (Pvt) Limited, Falcon Trading (Pvt) Limited, Land & Buildings (Pvt) Limited, Quick Tea (Pvt) Limited, Lina Manufacturing (Pvt) Limited, Terraqua International (Pvt) Limited, Daily Life Renewable Energy Limited, Diyaviduli (Pvt) Limited, Seguwantiv Windpower (Pvt) Limited, Vidatamuni Windpower (Pvt) Limited, Terraqua Kokavita (Pvt) Limited, Flinth Commercial Park (Pvt) Limited, Cleanco Lanka (Pvt) Limited, Greensands (Pvt) Limited, Flexiprint (Pvt) Limited, Lina Cardiac (Pvt) Limited, Buluthota Energy (Pvt) Limited and Windforce (Pvt) Limited						
Mr. Dilshan Hettiaratchi, a Director of the Bank is also a Director of Asset Trust Management (Pvt) Limited, GTPL (Pvt) Limited, Faber Capital Lanka (Pvt) Limited and Sagasolar Power (Pvt) Limited						
Mr. Rajiv Nandlal Dvivedi, a Director of the Bank is also a Director of Candor Securities Limited, Candor Asset Management (Pvt) Limited, Candor Capital (Pvt) Limited, Candor Shared Services (Pvt) Limited, Shanghai Harvest Network Technology (China), China Risk Finance (China), BI Group (UK) and Accordion Partners (USA)						
Mr. M. F. M. Haddad, an Alternate Director of the Bank is a Director of Paragon Management Services (Pvt) Limited, Serendib Grand (Pvt) Limited and Acer Events Management Services Limited						
Mr. Mohd. Muazzam Mohamed, an Alternate Director of the Bank is a Director of BIMB Securities Sdn Bhd, Al-Wakalah Nominees (Tempatan) Sdn Bhd and BIMB Securities (Holdings) Sdn Bhd						

BOARD AUDIT COMMITTEE REPORT

Composition of the Board Audit Committee

The Board Audit Committee conducts its proceedings in accordance with the terms of reference approved by the Board of Directors. The Committee as at the end of the year 2017 comprised of four Non-Executive Directors, two of them being Independent. The Chairman of the Committee, Mr. Mohamed Jazri Magdon Ismail is a Fellow Member of the Institute of Chartered Accountants of Sri Lanka.

Table below shows the list of members of the Board Audit Committee during the year under review and their attendance at the Committee meetings held during the year:

BAC Members	Total number of meetings attended / Total number of meetings eligible to attend
Mr. Jazri Magdon Ismail (Chairman) (Non-Executive, Independent Senior Director)	5/5
Mr. Rajiv Nandlal Dvivedi (Non-Executive, Independent Director)	3/5
Mr. Wahid Ali Mohd. Khalil (Non-Executive, Non-Independent Director) Appointed w.e.f. 19 August 2017	2/2
Dr. A.A.M. Haroon (Non-Executive, Non-Independent Director) Appointed w.e.f. 19 August 2017	1/2
Dato' A. Tajudin B. H. Abdul Rahman (Non-Executive, Independent Senior Director) Resigned w.e.f. 22 July 2017	2/2
Mr. Dilshan Hettiaratchi (Non-Executive & Independent Director) Resigned w.e.f. 19 August 2017	3/3

The Chief Internal Auditor functions as the Secretary to the Board Audit Committee.

Role of the Board Audit Committee

The Committee assists the Board of Directors in carrying out its responsibilities in relation to financial reporting requirements and assessment of internal controls. The role and responsibilities of the Committee is defined in the Committee's "Terms of Reference" document. The Committee amongst other functions performs the following key tasks;

- i. Reviewing the operations and effectiveness of the Bank's internal control system to ensure that a good financial reporting system is in place to comply with Sri Lanka Accounting Standards.

- ii. Ensuring that the presentation of Financial Statements satisfies all applicable accounting standards as well as the relevant legal and regulatory requirements.
- iii. Recommending appointment or re-appointment of the External Auditor for audit services in compliance with the relevant statutes.
- iv. Reviewing and monitoring the External Auditor's independence and objectivity and the effectiveness of the audit processes in accordance with applicable standards and best practices.
- v. Discussing and finalising with the External Auditors the nature and scope of the audit before the commencement of the audit.
- vi. Ensuring an Audit Charter and a comprehensive Internal Audit Manual and Guidelines are in place.
- vii. Monitoring the effectiveness of the Bank's Internal Audit Function.
- viii. Reviewing the adequacy of the scope, functions and resources of the Internal Audit Department and ensuring that appropriate actions are taken on the findings and recommendations of the Department.

Regulatory Compliance

The role and functions of the Board Audit Committee are regulated by the Banking Act Direction No. 11 of 2007, the Mandatory Code of Corporate Governance for Licensed Commercial Banks issued by the Central Bank of Sri Lanka and the Best Practices of Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka.

BOARD AUDIT COMMITTEE REPORT

Meetings

The Audit Committee met five times during the year under review. The Chief Executive Officer, Chief Internal Auditor and the Chief Financial Officer attended these meetings by invitation. On the invitation of the Committee, the Engagement Partner of the Bank's External Auditors, M/s Ernst and Young also attended three (3) meetings held during the year. Further where necessary, Key Management Personnel from pertinent business and support departments of the Bank were also invited to attend relevant segments of the meetings to enhance the awareness of the Committee with regard to issues and/or developments relating to such departments. Such invitations were extended to ensure that the committee is provided with all the relevant information to facilitate the discharge of its role and responsibilities.

Financial Reporting

The Board Audit Committee as part of its responsibility to oversee the Bank's financial reporting process on behalf of the Board of Directors, has reviewed and discussed with the Management, the Annual Financial Statements for the year 2017, prior to release. These Financial Statements have been prepared in line with the Sri Lanka Accounting Standards (SLFRS & LKAS) and are an integral part of the Bank's Annual Report.

Above review by the Committee included the extent of compliance with the Sri Lanka Accounting Standards, the Companies Act No 7 of 2007, the Banking Act No 30 of 1988 and amendments thereto.

Risks and Internal Controls

The internal controls within the Bank are designed to provide reasonable but

not absolute assurance to the Directors and assist them to monitor the financial position of the Bank. During the year, the Committee reviewed the effectiveness of the Bank's internal control system and assessed the effectiveness of the internal controls over financial reporting as of 31 December 2017, as required by the Banking Act Direction No 11 of 2007, Corporate Governance for Licensed Commercial Banks in Sri Lanka, Subsection 3 (8) (ii) (b), based on the "Guidance for Directors of Banks on the Directors' Statement of Internal Control" issued by the Institute of Chartered Accountants of Sri Lanka. The result of the assessment is given on page 110 to 111 of the Annual Report, titled "Directors' Statement on Internal Controls over Financial Reporting". The External Auditors have issued an Assurance Report on the Directors' Statement on Internal Controls over Financial Reporting. This report is given on page 112 of the Annual Report. Based on its assessment of the Internal Control System, the Committee concluded and confirmed to the Board as of 31 December 2017 that the Bank's Internal Control over financial reporting is effective.

External Audit

The Board Audit Committee reviewed and monitored the independence of the External Auditors and the objectivity as well as the effectiveness of the audit process and assisted the Board with its recommendations to the shareholders on re-appointment of M/s Ernst & Young, Chartered Accountants as external auditors for the financial year ended 31 December 2017.

As part of the Committee meetings held during the year, the External Audit approach and procedures, including matters relating

to the scope of such audit and the External Auditors' independence were discussed with the External Auditors. Further, the Committee met the External Auditors two (2) times during the year without the presence of the executive management to ensure that there was no limitation of scope in relation to the Audit and any other related incidents which could have had a negative impact on the effectiveness of the external audit, and concluded that there was no cause for concern. Moreover committee also reviewed the External Auditor's Management Letter – 2016 and the management's responses thereto.

Internal Audit

During the year, the Board Audit Committee reviewed the independence, objectivity & performance of the Internal Audit Function. This review also included the findings from the internal audits completed and the Internal Audit Department's evaluation of the Bank's internal controls. The Committee also reviewed the adequacy of Internal Audit coverage through the Internal Audit Plan and approved the same. It also assessed the Internal Audit Department's resource requirements.

'Management Audit Committee' which is an Executive level Management Committee headed by the CEO discusses Audit Reports issued by the Internal Audit Department and follows-up on actions taken by the auditees to resolve such issues before they are submitted to the Board Audit Committee.

Professional Advice

The Committee has the authority to seek external professional advice on matters within its purview.

Whistle Blowing

An internal Whistle Blowing scheme is in place for all staff members to raise any concerns and expose any suspected wrongdoings and provides a process for resolving such wrongdoings without any fear of reprisal or adverse consequences to those associated in disclosure thereof. The Committee has put in place a process to continuously review the complaints received via this scheme and appropriate directions are accordingly provided for future course of actions.

Committee Evaluation

The annual evaluation of the Board Audit Committee was carried out by the members of the Board and the Committee has taken note of the feedback received.



Jazri Magdon Ismail
Chairman – Board Audit Committee

16 February 2018
Colombo

BOARD INTEGRATED RISK MANAGEMENT COMMITTEE REPORT

Composition of the Committee

The Board Integrated Risk Management Committee (BIRMC) comprising of members listed below conducts its proceedings in accordance with the Terms of Reference approved by the Board of Directors. The Committee was appointed by the Board on 30 May 2011 and the current Chairman is Mr. Rajiv Nandlal Dvivedi.

The Committee met four times during the year 2017 and the attendance is as follows:

Member	Meetings Attended/ Meetings Eligible to Attend
Mr. Rajiv Nandlal Dvivedi (Non-Executive, Independent Director)	4/4
Dato' A. Tajudin B.H. Abdul Rahman (Non-Executive, Independent Senior Director) resigned w.e.f. 22 July 2017	2/2
Mr. Jazri Magdon Ismail (Non-Executive, Independent Senior Director)	4/4
Mr. Mohammed Azmeer (Chief Executive Officer)	3/4
Mr. Ajmal Naleer (Chief Risk Officer)	4/4

Regulatory Compliance

The BIRMC was established by the Board of Directors, in compliance with the Section 3 (6) of Direction No. 11 of 2007, on Corporate Governance for Licensed Commercial Banks in Sri Lanka, issued by the Monetary Board of the Central Bank of Sri Lanka (CBSL) under powers vested in the Monetary Board, in terms of the Banking Act No. 30 of 1988 as amended.

Meetings

Vice President - Operations and SME Banking, Manager - Risk Middle Office and Manager Operational Risk attended BIRMC meetings by invitation. Key Management Personnel from relevant business and support departments of the Bank including Chief Compliance Officer (CCO) were also invited to attend segments of the meetings to articulate and clarify matters relating to their respective areas. Such invitations were extended to ensure that the BIRMC is provided with all relevant information to facilitate the discharge of its role and responsibilities. After every BIRMC meeting, a report from the BIRMC Chairman along with the respective BIRMC meeting minutes is forwarded to the Board of Directors for perusal.

Role and Responsibilities of the BIRMC

The BIRMC is primarily responsible for the effective functioning of the risk management function within the Bank. The BIRMC has the authority to request different kinds of information

from various sources, in order to effectively carry out its responsibilities on the risk management process of the Bank. Its main responsibilities include the following:

- (i) Ensure that the Bank has a comprehensive risk management policy and framework and appropriate compliance policies and processes are in place and to continuously monitor their effectiveness so as to inculcate a proactive risk management culture within the Bank.
- (ii) Review and recommend the risk appetite/tolerance for the Bank at all levels of business, to the Board for adoption.
- (iii) Assess and oversee risks, i.e. credit, market, liquidity, operational and strategic risks to the Bank, on a monthly basis through appropriate risk indicators and management information.
- (iv) Reviewing the independence and robustness of risk management processes and internal controls throughout the Bank, with a view to manage the Bank's key risk control and mitigation processes.
- (v) To oversee all management level committees managing risk, such as Executive Risk Management Committee (ERMC), Executive Credit Committee 1 (ECC I) and the Asset and Liability Committee (ALCO).
- (vi) Ensuring that there are clear and independent reporting lines and responsibilities for risk management functions.
- (vii) Apprising the Board on the proper management of risk, specifically relating to Capital, Market, and Credit and Operational risks and seeking the Board's endorsement on any strategic decisions taken relating to such risks.

- (viii) Take prompt corrective action to mitigate the effects of specific risks, in case such risks are at levels beyond prudent levels decided by the Committee, on the basis of the Bank's policies and regulatory and supervisory requirements.
- (ix) Take appropriate actions against the officers responsible for failure to identify specific risks and take prompt corrective actions as recommended by the Committee, and/or as directed by the Director of Bank Supervision.
- (x) Submit an update on key matters discussed and resolved at the next Board meeting, prior to the issuance of the BIRMC minutes.
- (xi) Establish a compliance function to assess the Bank's compliance with laws, regulations, regulatory guidelines, internal controls and approved policies on all areas of business operations. A dedicated Compliance Officer selected from the Key Management Personnel shall carry out the compliance function and report to the Committee periodically.

The BIRMC has the authority to seek external professional advice on matters within its purview.

Risk Management and Internal Controls

Risk management controls are implemented across the Bank to provide reasonable assurance to the Board and Senior Management that effective mitigation action plans are implemented to address all risk exposures. During the year, BIRMC has reviewed and assessed the effectiveness of the Bank's risk management controls for the financial year ended 31 December 2017. In pursuit of managing its risk profile, the Bank has further strengthened the Risk Management Department (RMD) with the objective of effectively managing the core

functions of risk: credit, market, liquidity and operational risks.

Committee Evaluation

The Risk Management Department has carried out Risk Control and Self-Assessment (RCSA) in the critical business units for identifying, assessing, mitigating, monitoring and reporting of operational risks. The results of such exercises were also escalated to the relevant management levels and taken up for discussions at BIRMC meetings for creating awareness and appropriate action. It is our aim to continue to strengthen RCSA process.

The Risk Management Department implemented a Risk Dashboard and is maintaining the dashboard to assess all risks in the Bank and helps the Management to mitigate potential risk, which is escalated to the Board of Directors.

Impact of complying with Basel III requirements was thoroughly discussed at BIRMC meetings and a presentation was made to the Board. Basel III regulations were applied in the preparation of the ICAAP report for 2017 and the assessment was done based on the capital buffer as required in the said regulations.

Risk Management Department has conducted a Business Continuity Plan (BCP) drill successfully with a negligible number of issues compared to previous drills. The BCP/DR (Disaster Recovery) test results were validated by the Internal Audit Department and submitted to the Board Audit Committee. BCP/DR test result was recommended by the BIRMC to be tabled for the approval of the Board of Directors for onward submission to CBSL.

BIRMC has reviewed major policies during the year 2017 and recommended for

onward submission to Board of Directors for approval. BIRMC also reviewed the Directions announced by CBSL which required relevant policies to be amended with immediate effect, and forwarded to Board of Directors with its recommendation.

BIRMC evaluated its management committees and ensured that they are functioning adequately and effectively as per their Terms of Reference.

In 2017, the Bank continued its upward momentum in terms of balance sheet growth, in line with the 5 year Strategic Plan. The Bank managed the overall risk profile successfully, whilst ensuring that the right balance is maintained between risk and rewards, without hindering business growth. The Board and the BIRMC are satisfied with the effective risk management strategies implemented by the Bank, under its Integrated Risk Management Framework (IRMF).

The Bank shall continue to review, monitor and proactively address potential risks identified in all its operations and implement appropriate mitigation strategies, to remain in a steady growth and expansion phase. The Bank shall also continue to function within its approved risk appetite as well as comply with Basel regulations in line with the CBSL requirements of effective risk management practices.



Rajiv Nandlal Dvivedi
Chairman - Board Integrated Risk Management Committee

23 February 2018
Colombo

BOARD HUMAN RESOURCES AND REMUNERATION COMMITTEE REPORT

The Board Human Resources and Remuneration Committee (BHRRC) comprises the following members:

1. Mr. Tyeab Akbarally - Chairman (Non-Executive, Non-Independent Director)
2. Mr. Jazri Magdon Ismail - Member (Non-Executive, Independent Senior Director)
3. Mr. Dilshan Hettiaratchi - Member (Non-Executive, Independent Director)

All three (3) Directors in the Committee are Non-Executive Directors with two (2) being Independent Directors.

Authority and Responsibilities

The BHRRC has the explicit authority to decide on and review the Bank's Human Resources and Remuneration Policy and Structure within its Terms of Reference on behalf of the Board of Directors. It may however, refer any matter which in the opinion of BHRRC should be decided by the Board of Directors together with its recommendations.

In discharging its duties and functions the BHRRC has all the resources it needs to do so and full and unrestricted access to information and the right to obtain external professional advice and invite outsiders with relevant experience to attend meetings if necessary.

The Roles and Responsibilities of the Committee include:

- (i) Approving and updating the Human Resource Policies as per recommendation from CEO.
- (ii) Approval of Remuneration.
 - a. Directors' emoluments
 - b. Annual salary and bonus based on performance evaluations
 - c. Incentives, allowances and other perquisites
- (iii) Evaluating the performance of the CEO and Key Management Personnel against the set targets and determine the basis for revising remuneration, benefits and other payments of performance-based incentives.
- (iv) Approving periodic Human Resource Policy and Procedure revisions.

Meetings

The Committee held two meetings during the year under review. Meetings are held as and when necessary after providing sufficient notice to all members.



Tyeab Akbarally

Chairman - Board Human Resources and Remuneration Committee

28 February 2018
Colombo

BOARD NOMINATION COMMITTEE REPORT

Constitution of the Board Nomination Committee

Amāna Bank's Board Nomination Committee (BNC) constitutes of (5) Non-Executive Directors, majority of whom are Independent Directors as named below:

- ♦ Mr. Jazri Magdon Ismail - Chairman (Non-Executive, Independent Senior Director)
- ♦ Mr. Harsha Amarasekera - Member (Non-Executive, Non-Independent Director)
- ♦ Mr. Dilshan Hettiaratchi - Member (Non-Executive, Independent Director)
- ♦ Mr. Tyeb Akbarally - Member (Non-Executive, Non Independent Director) appointed w.e.f. 19 August 2017
- ♦ Mr. Rajiv Nandlal Divedi - Member (Non Executive, Independent Director) appointed w.e.f. 19 August 2017

Brief profiles of the Members of the Committee are given on Pages 22 to 24 in the Annual Report. The Company Secretary functions as the Secretary of the Committee.

Responsibilities of the Board Nomination Committee

According to the Terms of Reference (TOR) given by the Board to the BNC, the following are its key responsibilities:

- (i) Establishing a procedure to select/appoint new Directors, CEO and Key Management Personnel (KMP).
- (ii) Considering and recommending (or not recommending) the re-election of current Directors, taking into account the performance and contribution made by the Director concerned towards the overall discharge of the Board's responsibilities.
- (iii) Setting the criteria such as qualifications, experience and key attributes required for eligibility to be considered for

appointment or promotion to the post of CEO and the key management positions.

- (iv) Ensuring that the Directors, CEO and KMP are fit and proper persons to hold office as specified and set out in the Banking Act and other relevant Statutes and in terms of the Directions issued by the Central Bank of Sri Lanka (CBSL) from time to time.
- (v) Considering and recommending from time to time, the requirements of additional/new expertise and the succession arrangements for retiring Directors and KMP.

The Quorum necessary for transaction of business is three Members.

Frequency of Meetings

The Committee is required to meet as and when necessary and at least twice during a financial year.

Authority

The Board Nomination Committee has the authority to seek any information that it requires from any officer or employee of the Bank. In connection with its duties, the BNC is authorised by the Board to take such independent advice (including legal or other professional advice at the Bank's expense) as it considers necessary, including requests for information from, or commissioning investigations by external advisers.

Performance During The Year

During the year 2017, the BNC held 4 Meetings.

As mandated under the Corporate Governance Direction issued by the Central Bank of Sri Lanka, the Committee also considered the re-appointment of Directors

who retire by rotation in terms of Article 29(6) of the Articles of Association of the Bank and also Fitness and Propriety of the continuing Directors.

BNC is actively involved in the selection and appointments of Directors and KMP to ensure that they are fit and proper persons to hold their offices.



Jazri Magdon Ismail
Chairman - Board Nomination Committee

17 February 2018
Colombo

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

Composition of the Related Party Transactions Review Committee

The Board Related Party Transaction Review Committee (The Committee) was formed as a Board Sub-Committee with effect from 28 March 2016 in terms of the Code of Best Practice on Related Party Transactions issued by the Securities & Exchange Commission of Sri Lanka (the "Code") and Section 9 of the Listing Rules of the Colombo Stock Exchange (the "Rules").

The Committee comprises of the following three Independent, Non-Executive Directors.

- ♦ Mr. Jazri Magdon Ismail - Chairman (Non-Executive, Independent Senior Director)
- ♦ Mr. Rajiv Nandlal Dvivedi - Member (Non-Executive, Independent Director)
- ♦ Dato' A. Tajudin B. H. Abdul Rahman - Member (Non-Executive, Independent Senior Director) resigned w.e.f. 22 July 2017
- ♦ Mr. Dilshan Hettiaratchi - Member (Non-Executive, Independent Director)
- ♦ Mr. Mohamed Azmeer - who is the CEO joins by invitation

The Committee is assisted by the following staff members:

- ♦ Mr. M. Ali Wahid (Chief Financial Officer)
- ♦ Mr Irshad Iqbal (Chief Compliance Officer)
- ♦ Mr. Ajmal Naleer (Chief Risk Officer)
- ♦ Mr. M. M. S. Quvylidh (Senior VP Corporate and SME Banking)
- ♦ Mr. Numair Cassim (Chief Internal Auditor)
- ♦ Mr. Fazly Marikar (VP Strategic Management & Product Innovation)

In addition, the Committee summons other Management officials to participate in proceedings on a need basis.

Meetings

The committee meets quarterly as stipulated by the regulations. During 2017 the Committee held four meetings.

The Company Secretary functions as the Secretary to the Committee.

Terms of Reference and Scope of Operations

The Committee operates in accordance with the Terms of Reference on monitoring Related Party Transactions as regulated by the "Code" and the "Rules" with a view to determining that they have not received any favourable nor preferential - considerations vis a vis - the other shareholders and customers of the Bank as well as to ascertain that their transactions and dealings are in strict conformity with Statutory and Regulatory requirements, which the Bank is obliged to adhere to.

The Committee relies on the integrity of periodically reportable related party transactions of Board Members, Key Management Personnel and other relevant individuals and entities which are identified by an automated data capturing process.

Wherever necessary the Committee escalates the related party transaction for approval of the Board.

Reporting to the Board

The Minutes of the Committee Meetings are tabled at the immediately following Board Meeting enabling all Board Members to have access to same.



Jazri Magdon Ismail

Chairman - Related Party Transactions Review Committee

17 February 2018
Colombo

STATEMENT OF DIRECTORS' RESPONSIBILITY

The responsibility of the Directors, in relation to the Financial Statements of Amāna Bank PLC (Bank) is set out in this Statement. The responsibilities of the External Auditors in relation to the Financial Statements are set out in the Auditors' Report given on page 137.

In terms of Sections 150, 151 and 153 of the Companies Act No. 07 of 2007, the Directors of the Bank are responsible for ensuring that the Bank keeps proper books of account of all the transactions and prepare Financial Statements that give a true and fair view of the financial position of the Bank as at end of each financial year and of the financial performance of the Bank for each year and place them before a general meeting. The Financial Statements comprise of the Statement of Financial Position as at 31 December 2017, Statement of Profit or Loss, Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows for the year then ended and Notes thereto.

Accordingly, the Directors confirm that the Financial Statements of the Bank give a true and fair view of:

- (a) the financial position of the Bank as at reporting date; and
- (b) the financial performance of the Bank for the financial year ended on the reporting date.

The Financial Statements of the Bank have been certified by the Bank's Chief Financial Officer, the officer responsible for their preparation, as required by the Sections 150 and 152 of the Companies Act. In addition, the Financial Statements of the Bank have been signed by three Directors and the Company Secretary of the Bank on 16 February 2018 as required by the

Sections 150 and 152 of the Companies Act and other regulatory requirements. Under the Section 148 of the Companies Act, the Directors are also responsible for ensuring that proper accounting records which correctly record and explain the Bank's transactions are maintained and that the Bank's financial position, with reasonable accuracy, at any point of time is determined by the Bank, enabling preparation of the Financial Statements, in accordance with the Act to facilitate proper audit of the Financial Statements.

The Financial Statements for the year 2017, prepared and presented in this Annual Report have been prepared based on new Sri Lanka Accounting Standards which came to effect from 1 January 2012 and are in agreement with the underlying books of accounts conforming with the requirements of the Sri Lanka Accounting Standards, Companies Act No. 07 of 2007, Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995, Banking Act No. 30 of 1988 and amendments thereto and the Directions on Corporate Governance No. 11 of 2007 issued by the Central Bank of Sri Lanka.

In addition, these financial statements comply with the prescribed format issued by the Central Bank of Sri Lanka for the preparation of Annual Financial Statements of licensed commercial banks.

The Directors have taken appropriate steps to ensure that the Bank maintains proper books of accounts and review the financial reporting system directly by them at their regular meetings and also through the Board Audit Committee. The Report of the said Committee is given on pages 119 to 121.

The Board of Directors accepts responsibility for the integrity and objectivity of the

Financial Statements presented in this Annual Report. The Directors confirm that in preparing the Financial Statements exhibited on pages 138 to 193 including appropriate Accounting Policies based on the new financial reporting framework, had been selected and applied in a consistent manner, while reasonable and prudent judgments have been made so that the form and substance of the transactions are properly reflected.

The Directors also have taken reasonable measures to safeguard the assets of the Bank and to prevent and detect frauds and other irregularities. In this regards, the Directors have instituted an effective and comprehensive system of internal controls comprising of internal checks, internal audit and financial and other controls required to carry on the business of banking in an orderly manner and safeguard its assets and secure as far as practicable, the accuracy and reliability of the records. The Directors' Statement on Internal Control over Financial Reporting is given on pages 110 and 111 of this Annual Report.

The Board of Directors also wishes to confirm that, as required by the Sections 166 (1) and 167 (1) of the Companies Act, they have prepared this Annual Report in time and ensured that a copy thereof is sent to every shareholder of the Bank, who have expressed desire to receive a hard copy or to other shareholders a soft copy each in a CD containing the Annual Report within the stipulated period of time. The Directors also wish to confirm that all shareholders have been treated equally in accordance with the original terms of issue.

The Bank's External Auditors, Messrs Ernst & Young who were appointed in terms of the Section 158 of the Companies Act and in

STATEMENT OF DIRECTORS' RESPONSIBILITY

accordance with a resolution passed at the last Annual General Meeting, were provided with every opportunity to undertake the inspections they considered appropriate. They carried out reviews and sample checks on the system of internal controls as they considered appropriate and necessary for expressing their opinion on the Financial Statements and maintaining accounting records. They have examined the Financial Statements made available to them by the Board of Directors of the Bank together with all the financial records, related data and minutes of shareholders' and Directors' meetings and expressed their opinion which appears as reported by them on page 137.

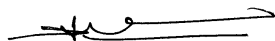
Compliance Report

The Directors confirm that to the best of their knowledge, all taxes, duties and levies payable by the Bank, all contribution, levies and taxes payable on behalf of and in respect of the employees of the Bank, and all other known statutory dues as were due and payable by the Bank as at the reporting date have been paid or, where relevant, provided for. The Directors further confirm that after considering the financial position, operating conditions, regulatory and other factors and relevant matters the Directors have a reasonable expectation that the Bank possesses adequate resources to continue in operation for the foreseeable future.

For this reason, the Directors continue to adopt the Going Concern basis in preparing the Financial Statements.

The Directors are of the view that they have discharged their responsibilities as set out in this Statement.

By Order of the Board,



Mrs. Samitha Dayani de Silva
Company Secretary

17 February 2018
Colombo

INDEPENDENT SHARIA SUPERVISORY COUNCIL REPORT

بِسْمِ اللَّهِ الرَّحْمَنِ الرَّحِيمِ
الحمد لله رب العلمين، والصلاة والسلام على رسوله الكريم وعلى آله وأصحابه أجمعين

السلام عليكم ورحمة الله وبركاته

To the Shareholders of Amāna Bank PLC

In carrying out the roles and the responsibilities of the Sharia Supervisory Council, we hereby submit our report for the financial year ended 31 December 2017.

The Management is responsible for ensuring that the Bank conducts its business in accordance with the rules and principles of Sharia and it is our responsibility to form an independent opinion, based on our review of the operations of the Bank and to produce this report.

We had three (3) meetings during the financial year in which we reviewed inter alia the contracts relating to the transactions and applications introduced by the Bank.

We have also conducted our review to form an opinion as to whether the Bank has complied with the rules and principles of Sharia and also with the specific rulings and guidelines issued by us. We conducted our review which included examining on a test basis each type of transaction, the relevant documentation and procedures adopted by the Bank. We planned and performed our review so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance that the Bank has not violated the rules and principles of Sharia.

Based on the above, in our opinion:

1. The contracts, transactions and deals entered into by the Bank during the financial year ended 31 December 2017, that we have reviewed are in compliance with the rules and principles of Sharia.
2. The allocation of profit and charging of losses relating to Investment Accounts conform to the basis that had been approved by us in accordance with the rules and principles of Sharia.
3. All earnings that have been realised from sources or by means prohibited by the Sharia were disposed to charitable causes upon our approval.

وعليكم السلام ورحمة الله وبركاته

Allah Knows Best.



Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani
Chairman



Ash-Sheikh Mohd. Nazri Chik
Vice-Chairman



Ash-Sheikh M. M. A. Mubarak
Member



Ash-Sheikh Mufti M.I.M. Rizwe
Member



Ash-Sheikh Mufti Muhammad Hassan Kaleem
Member

SHARIA GOVERNANCE

The cornerstone of the unique business model of Amāna Bank rests on the rules and principles of Sharia which is the foundation for the practice of Islamic Banking. Therefore, the Bank has placed great importance in ensuring that the overall operations are in accordance with the rules and principles of Sharia.

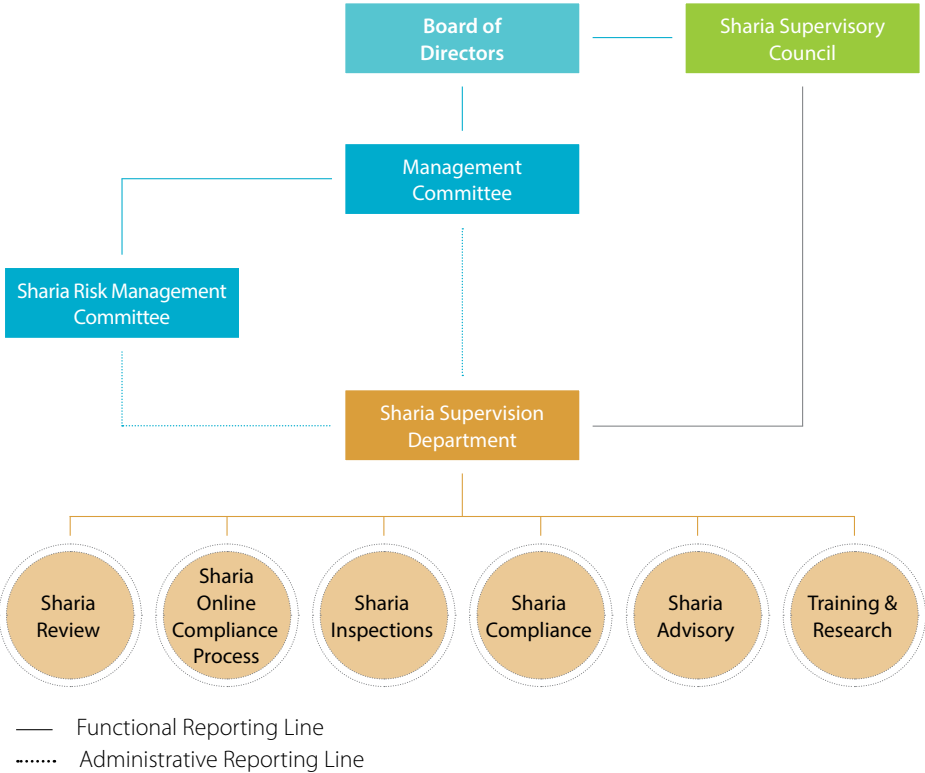
In this regard the Bank has established a Sharia Governance Framework with the Sharia Supervisory Council (SSC) as the apex body. The standards issued by the Islamic Financial Services Board (IFSB), namely IFSB-10 (2009) Guiding Principles on Sharia Governance Systems for Institutions offering Islamic Financial Services (IIFS) are taken into consideration in developing the Sharia Governance Framework. A detailed report on the status of Sharia Governance of the Bank to IFSB-10 is depicted at the end of this report.

Sharia Supervisory Council (SSC)

The Council will functionally report to the Board of Directors (BOD). The roles and responsibilities of the SSC are spelt out in the Terms of Reference (TOR) of the SSC.

The SSC is assisted by the Internal Sharia Supervision Department that performs six (6) compliance functions namely Sharia Review, Online Sharia Compliance Process, Sharia Inspection, Sharia Compliance, Sharia Advisory and Training & Research.

The diagram below describes the framework:



Composition of the SSC

The composition of the SSC would be a minimum of three (3) members. As at 31 December 2017, the SSC has five (5) members comprising of two (2) local scholars and three (3) foreign scholars.

Coming from diverse backgrounds with wide experience and knowledge, each SSC member is an expert in their specialised field such as Islamic law, Islamic Banking, Capital Market, Takaful, Waqf, Zakat, Halal industry, etc. Additionally, their qualification in Islamic jurisprudence (usul al-fiqh) and Islamic Commercial Laws (fiqh al-mu'amalat), expertise and vast experiences in the academia as well as in the industry definitely support the depth and breadth of the Sharia deliberations.

Responsibilities of the Bank towards Sharia Compliance

While the SSC is responsible for forming and expressing decisions on the Bank's compliance with the rules and principles of Sharia, the responsibility for compliance therewith rests with the management of the Bank.

Therefore, it is crucial that the Bank works hand-in-hand with the SSC to ensure that all business activities, products, services and operations are in compliance with Sharia. Therefore, it is the responsibility of the Bank to perform the following:

- (i) To refer all Sharia issues in its business operations to the SSC for decision;
- (ii) To adopt and take necessary measures for implementation of the SSC's decisions;
- (iii) To provide sufficient resources to the SSC including budget allocation, independent expert consultation, reference materials and training;
- (iv) To ensure that the SSC is familiar with the operations and the business of the Bank;
- (v) To provide the SSC with access to all relevant records, transactions, manuals and information, as required by its members in performing their duties; and
- (vi) To recommend the appropriate remuneration to the SSC members which commensurate with and reflect the duties and responsibilities of the SSC.

It is the Bank's responsibility to perform the following with regard to Sharia Compliance:

- (i) To comply with SSC decisions and establish Sharia requirements in all its products, services, legal documentations and activities;
- (ii) The Bank shall not act in contravention to the SSC decisions to suit its convenience.

Sharia Risk Management Committee

At the management level, the Bank has established the Sharia Risk Management Committee (SRMC) which is a Sub-

Committee of the Management Committee of the Bank to discharge the responsibilities of management on Sharia Compliance.

The SRMC is chaired by the In-House Sharia Advisor and its membership comprises of several management members. The SRMC met six times during the year in order to take up issues relating to Sharia Review, Compliance and Risk.

Authority of the SSC

The SSC assumes the following authority based on its TOR:

- (i) The decision of the SSC is binding on the Bank, whilst its recommendation is not binding on it.
- (ii) The SSC has the right to check the Assets and Liabilities of the Bank.
- (iii) The SSC has the right to review the Bank's books, registers and documents at any time and it shall have the right to request to check any data it deems necessary.
- (iv) In the event the Bank is unable to provide information requested, which results in the SSC's inability to carry on its role and responsibilities, SSC will submit a written report to the Board of Directors and may demand that a meeting of the Shareholders be convened.
- (v) The SSC has the right to accept or reject any activity carried out by the Bank based on the rules and principles Sharia.

SSC Meetings

SSC meetings are scheduled to be held at least three (3) times annually with additional meetings convened as and when warranted, to facilitate important decisions that are required between the scheduled meetings.

Three (3) SSC meetings were held during the financial year ended 31 December 2017, as follows:

Date of Meeting	Percentage of Members Attendance (%)
24 March 2017	100
23 August 2017	100
19 December 2017	100

In between the meetings, the Bank refers its Sharia issues in its daily operations to the Executive Committee of the SSC that is comprised of two (2) appointed members for guidance and decision. The decisions taken by the Executive Committee are tabled in the SSC meeting for concurrence.

Appointment and Re-appointment of SSC Members

- (i) The shareholders of the Bank shall appoint the member of the SSC based on the recommendation made by the Board of Directors.
- (ii) Each member of the SSC shall have a term of office of one (1) year as appointed by the shareholders. Upon expiry of such term, the members may be reappointed at the approval of the shareholders in conformity with the governance standards defined by the Accounting and Auditing Organisation for Islamic Financial Institution (AAOIFI).
- (iii) Notwithstanding the above, the Board of Directors may appoint new members to the posts which become vacant in the SSC during the year, subject to the approval of the shareholders at the subsequent Annual General Meeting.

SHARIA GOVERNANCE

IFSB - 10 (2009), Guiding Principles on Sharia Governance Systems for IIFS

The IFSB-10 defined “Sharia Governance System” as a set of institutional and organisational arrangements through which an IIFS ensures that there is effective independent oversight of Sharia compliance over each of the following structures and processes:

- a) Issuance of relevant Sharia pronouncements/resolutions;
- b) Dissemination of information on such Sharia pronouncements/resolutions to the operative personnel of the IIFS who monitor the day-to-day compliance with the Sharia pronouncements/resolutions vis-à-vis every level of operations and each transaction;
- c) An internal Sharia compliance review/audit for verifying that Sharia compliance has been satisfied, during which any incident of non-compliance will be recorded and reported, and as far as possible, addressed and rectified;
- d) An annual Sharia compliance review/audit for verifying that the internal Sharia compliance review/audit has been appropriately carried out and its findings have been duly noted by the Sharia board;

The status of Amāna Bank’s Sharia Governance to IFSB -10 is summarised as follows:

Guiding Principle		Status
Part I:	General Approach to the Sharia Governance System	
Principle 1.1:	The Sharia governance structure adopted by the IIFS should be commensurate and proportionate with the size, complexity and nature of its business.	(a) A detailed Sharia Governance Framework is adopted by the Bank, which sets the Sharia Supervisory Council (SSC) as the apex body with regard to Sharia. (b) The SSC has wide ranging rights of access to every activity of the Bank. (c) The SSC has also appointed an Executive Committee comprising of two (2) members of the SSC, ensuring timely adequate access to the Bank.
Principle 1.2:	Each IIFS must ensure that the Sharia board has: ◆ clear terms of reference regarding its mandate and responsibility; ◆ well-defined operating procedures and lines of reporting; and ◆ good understanding of, and familiarity with, professional ethics and conduct.	(a) A detailed Terms of Reference (TOR) spells out the roles and responsibilities of the SSC. (b) The TOR outlines operating procedures and lines of reporting. (c) The Bank consists of a dedicated Sharia Supervision Department (SSD) comprising of officers with appropriate qualifications and experience. The SSD is; ◆ the first point of reference for Sharia compliance issues, with an advisory/consultancy role is delegated by the SSC; ◆ handle the processing and secretarial matters relating to issues to be raised to the SSC; and ◆ provide input for executive decisions to be made by the senior management. (d) The SSC comprises of respected and accepted scholars with high standard of professional ethics and conduct.

Guiding Principle		Status
Part II:	Competence	
Principle 2.1:	The IIFS shall ensure that any person mandated with overseeing the Sharia Governance System fulfils acceptable fit and proper criteria.	The members of the SSC and officers of the SSD has met the “Fit and Proper” criteria which covers; ♦ good character - that is, honesty, integrity, fairness and reputation; and ♦ competence, diligence, capability and soundness of judgment.
Principle 2.2:	The IIFS shall facilitate continuous professional development of persons serving on its Sharia board, as well as its ISCU and ISRU, if any.	Though the Bank does not invest in training for members of the SSC, the Bank invests on continuous professional development of the staff of the SSD.
Principle 2.3:	There should be a formal assessment of the effectiveness of the Sharia board as a whole and of the contribution by each member to the effectiveness of the Sharia board.	A formal assessment is not carried out of the SSC.
Part III:	Independence	
Principle 3.1:	The Sharia board should play a strong and independent oversight role, with adequate capability to exercise objective judgment on Sharia-related matters. No individual or group of individuals shall be allowed to dominate the Sharia board's decision-making.	(a) The independence of the SSC is clearly spelt out in the TOR of the SSC. (b) None of the members of the SSC have blood or intimate relationship with the Bank, its related companies or its officers. (c) None of the members of the SSC are under full-time employment of the Bank or its related companies except for; Ash Sheikh Mohd. Nazri Chik (Vice Chairman - SSC), who is the Chief Sharia Officer of Bank Islam Malaysia who has a shareholding of 7.22% in the Bank. It is worth noting that he was independent of Bank Islam during his initial appointment to the SSC in 2010 and later he re-joined Bank Islam as its Head of Sharia in 2011. (d) None of the members of the SSC, or his or her immediate family member, is accepting any compensation or financing from the Bank or any of its subsidiaries other than compensation for service on the SSC. (e) None of the members of the, or his or her immediate family member, is a substantial shareholder of or a partner in (with a stake of 5% or more), or an executive officer of, or a Director of any for-profit business organisation to which the Bank or any of its subsidiaries made, or from which the Bank or any of its subsidiaries received, significant payments in the current or immediate past financial year.

SHARIA GOVERNANCE

Guiding Principle	Status
Principle 3.2: In order to fulfil their responsibilities, the Sharia board should be provided with complete, adequate and timely information prior to all meetings and as an on-going basis.	(a) The SSD which has a direct reporting line to the SSC is entrusted with providing timely and accurate information. (b) Being a direct report, the SSC has direct access to the SSD to check whether internal control and compliance procedures have been appropriately followed and that applicable rules and regulations to which the Bank is subject to have been complied with. (c) Such controls were reviewed through the Risk Control and Self-Assessment (RCSA) exercise. (d) According to the TOR of the SSC, in the event the Bank is unable to provide information requested, which results in the SSC's inability to carry on its role and responsibilities, the SSC will submit a written report to the Board of Directors and may demand that a meeting of the Shareholders be convened.
Part IV:	Confidentiality
Principle 4.1: Sharia board members should ensure that internal information obtained in the course of their duties is kept confidential.	A confidentiality clause is incorporated in the TOR of the SSC.
Part V:	Consistency
Principle 5.1: The IIFS should fully understand the legal and regulatory framework for issuance of Sharia pronouncements/resolutions in the jurisdiction where it operates. It should ensure that its Sharia board strictly observes the said framework and, wherever possible, promotes convergence of the Sharia governance standards.	All decisions, pronouncements and resolutions of the SSC have been arrived at on consensus of the members. The SSC takes due care in the Dissemination of Sharia pronouncements/resolutions, ensuring that the business intelligence and internal information of the Bank would not be exploited by inappropriate parties.

The background of the entire page is a complex, layered collage of financial data. It features various types of charts: line graphs with multiple colored lines (white, yellow, green, red) showing trends; bar charts with vertical bars of different heights; and numerous numerical data points scattered across the frame. The color palette is dominated by shades of blue, with accents of yellow, green, and red. The overall effect is one of high-tech, data-driven finance.

GEARED FOR REWARDS

Having achieved continuous profitability, we are gearing to reciprocate our valued stakeholders for the immense confidence and trust placed on us.

FINANCIAL REPORTS

137	Independent Auditors' Report
138	Statement of Profit or Loss
139	Statement of Comprehensive Income
140	Statement of Financial Position
141	Statement of Changes in Equity
142	Statement of Cash Flows
143	Notes to the Financial Statements

INDEPENDENT AUDITORS' REPORT



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Chartered Accountants
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APAG/DMI/UM/DM

INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF AMĀNA BANK PLC

Report on the Financial Statements

We have audited the accompanying financial statements of Amāna Bank PLC ("the Bank"), which comprise the statement of financial position as at 31 December 2017, and the statement of profit or loss and statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Board's Responsibility for the Financial Statements

The Board of Directors ("Board") is responsible for the preparation of these financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards and for such internal control as Board determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Sri Lanka Auditing Standards. Those standards require that we comply with ethical requirements and plan and perform the

audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the Bank's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by Board, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements give a true and fair view of the financial position of the Bank as at 31 December 2017, and of its

financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we state the following:

- a) The basis of opinion, scope and limitations of the audit are as stated above.
- b) In our opinion:
 - we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Bank and,
 - the financial statements of the Bank, comply with the requirements of section 151 of the Companies Act No. 07 of 2007.

16 February 2018
Colombo

Partners: W R H Fernando FCA FCMA M P D Cooray FCA FCMA R N de Saram ACA FCMA Ms. N A De Silva FCA Ms. Y A De Silva FCA W K B S P Fernando FCA FCMA
Ms. K R M Fernando FCA ACMA Ms. L K H L Fonseka FCA A P A Gunasekera FCA FCMA A Herath FCA D K Hulangamuwa FCA FCMA LLB (Lond) H M A Jayasinghe FCA FCMA
Ms. A A Ludowyke FCA FCMA Ms. G G S Manatunga FCA Ms. P V K N Sajeewani FCA N M Sulaiman ACA ACMA B E Wijesuriya FCA FCMA
Principal T P M Ruberu FCA FCMA

A member firm of Ernst & Young Global Limited

STATEMENT OF PROFIT OR LOSS

Year ended 31 December	Note	2017 Rs.	2016 Rs.
Financing Income	4	5,544,237,256	4,039,624,179
Financing Expenses	5	(2,790,618,052)	(2,115,335,249)
Net Financing Income		2,753,619,204	1,924,288,930
Net Fees and Commission Income	6	236,134,326	246,568,285
Net Trading Income	7	388,699,264	257,454,611
Net Other Operating Income	8	9,467,520	4,961,144
Total Operating Income		3,387,920,314	2,433,272,970
Impairment on Financial Assets	9	(289,782,674)	(217,177,926)
Net Operating Income		3,098,137,640	2,216,095,044
Personnel Expenses	10	1,095,792,424	1,025,032,323
Depreciation of Property, Plant and Equipment	25	148,879,193	162,620,642
Amortisation of Intangible Assets	26	48,967,708	78,634,792
Other Operating Expenses	11	745,933,727	678,729,131
Total Operating Expenses		2,039,573,052	1,945,016,888
Operating Profit Before Value Added Tax on Financial Services & Nation Building Tax		1,058,564,588	271,078,156
Value Added Tax on Financial Services & Nation Building Tax		(319,245,989)	(168,266,306)
Profit Before Tax		739,318,599	102,811,850
Tax Expenses	12	(236,490,936)	(62,171,499)
Profit for the Year		502,827,663	40,640,351
Earnings Per Share - Basic / Diluted	13	0.29	0.03

The Accounting Policies and Notes on pages 143 through 193 form an integral part of the Financial Statements.

STATEMENT OF COMPREHENSIVE INCOME

Year ended 31 December	Note	2017 Rs.	2016 Rs.
Profit for the Year		502,827,663	40,640,351
Other Comprehensive Income / Expense			
Other Comprehensive Income to be Reclassified to Profit or Loss in Subsequent Periods:			
Financial Investments - Available for Sale:			
Net Gain/(Loss) on Financial Investments - Available for Sale		(47,348,976)	(131,461,592)
Reclassification to Profit or Loss as Impairment		20,339,796	126,042,840
Net Other Comprehensive Income to be Reclassified to Profit or Loss in Subsequent Periods:		(27,009,180)	(5,418,752)
Other Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods:			
Revaluation Surplus on Property, Plant and Equipment	25	608,536,162	-
Deferred Tax Effect on Revaluation Surplus	27	(314,184,209)	-
Re-measurement Gain /(Loss) on Defined Benefit Plans	33	(18,561,756)	9,275,075
Deferred Tax Effect on Defined Benefit Plans	27	5,197,292	(2,597,021)
Net Other Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods:		280,987,489	6,678,054
Other Comprehensive Income for the Year Net of Tax		253,978,309	1,259,302
Total Comprehensive Income for the Year Net of Tax		756,805,972	41,899,654

The Accounting Policies and Notes on pages 143 through 193 form an integral part of the Financial Statements.

STATEMENT OF FINANCIAL POSITION

As at 31 December	Notes	2017 Rs.	2016 Rs.
Assets			
Cash and Cash Equivalents	15	5,859,766,950	5,686,924,056
Balance with Central Bank of Sri Lanka	16	4,127,811,572	2,816,770,223
Derivative Financial Assets	17	127,616,662	59,483,044
Placements with Banks	18	5,285,796,238	4,662,466,350
Placements with Licensed Finance Companies	19	2,112,166,496	20,517
Financial Investments - Held for Trading	20	41,645,557	45,181,589
Financing and Receivables to Other Customers	21	42,914,143,571	38,451,662,449
Financial Investments - Available for Sale	22	323,264,501	394,775,149
Other Financial Assets	23	388,890,295	307,321,725
Other Non Financial Assets	24	333,169,325	227,058,761
Property, Plant and Equipment	25	1,795,135,517	1,247,590,879
Intangible Assets	26	230,675,871	269,376,298
Deferred Tax Assets	27	-	146,355,559
Total Assets		63,540,082,555	54,314,986,599
Liabilities			
Due to Banks	28	-	751,963,513
Derivative Financial Liabilities	29	29,924,292	98,341,433
Due to Other Customers	30	50,922,561,081	46,915,289,689
Other Financial Liabilities	31	680,470,646	566,565,119
Current Tax Liabilities		187,075,365	80,814,263
Other Non Financial Liabilities	32	70,765,834	31,360,761
Deferred Tax Liability	27	216,241,918	-
Retirement Benefit Liability	33	119,241,024	82,606,302
Total Liabilities		52,226,280,160	48,526,941,080
Shareholders' Funds			
Stated Capital	34	10,619,450,156	5,866,808,141
Statutory Reserve Fund	35	42,404,597	17,263,213
Other Reserves	36	(28,031,817)	(243,794,538)
Revaluation Reserve	37	820,716,783	526,908,060
Retained Earnings		(140,737,324)	(379,139,357)
Total Equity		11,313,802,395	5,788,045,519
Total Liabilities and Shareholders' Funds		63,540,082,555	54,314,986,599
Commitments and Contingencies	41	27,813,190,776	26,191,124,490

We certify that these Financial Statements are in compliance with the requirements of the Companies Act No. 07 of 2007.



M. Ali Wahid
Chief Financial Officer



Mohamed Azmeer
Chief Executive Officer

The Board of Directors is responsible for these Financial Statements. Signed for and on behalf of the Board by:



Osman Kassim
Chairman



Tyeab Akbarally
Deputy Chairman



Jazri Magdon Ismail
Director



Mrs. Dayani De Silva
Company Secretary

The Accounting Policies and Notes on pages 143 through 193 form an integral part of the Financial Statements.

16 February 2018
Colombo

STATEMENT OF CHANGES IN EQUITY

Year ended 31 December

	Notes	Other Reserves						Total
		Stated Capital	Statutory Reserve Fund	Revenue Reserve	Available for Sale Reserve	Revaluation Reserve	Retained Earnings	
		Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
As at 1 January 2016		5,866,808,141	15,231,195	(216,926,328)	(44,598,725)	527,799,509	(425,317,193)	5,722,996,599
Profit for the Year		-	-	-	-	-	40,640,351	40,640,351
Other Comprehensive Income	36	-	-	-	(5,418,752)	-	6,678,054	1,259,302
Transfers to Statutory Reserve Fund	35	-	2,032,018	-	-	-	(2,032,018)	-
Reclassifying to Profit or Loss as Impairment	36	-	-	-	23,149,267	-	-	23,149,267
Transferred to Retained Earnings	37	-	-	-	-	(891,449)	891,449	-
As at 1 January 2017		5,866,808,141	17,263,213	(216,926,328)	(26,868,210)	526,908,060	(379,139,357)	5,788,045,519
Rights Share Issue		4,752,642,015	-	-	-	-	-	4,752,642,015
Share Issue Expenses		-	-	(9,536,684)	-	-	-	(9,536,684)
Profit for the Year		-	-	-	-	-	502,827,663	502,827,663
Other Comprehensive Income	36	-	-	-	(27,009,180)	294,351,953	(13,364,464)	253,978,309
Transfers to Statutory Reserve Fund	35	-	25,141,384	-	-	-	(25,141,384)	-
Reclassifying to Profit or Loss as Impairment	36	-	-	-	25,845,573	-	-	25,845,574
Transferred to Retained Earnings	37	-	-	226,463,012	-	(543,230)	(225,919,782)	-
As at 31 December 2017		10,619,450,156	42,404,597	-	(28,031,817)	820,716,783	(140,737,324)	11,313,802,394

The Accounting Policies and Notes on pages 143 through 193 form an integral part of the Financial Statements.

STATEMENT OF CASH FLOWS

Year ended 31 December	Note	2017 Rs.	2016 Rs.
Cash Flow from Operating Activities			
Financing Income Received		5,445,156,050	3,647,182,488
Fees and Commission Received		239,617,456	259,454,298
Financing Expenses Paid		(2,595,124,827)	(1,935,626,877)
Foreign Exchange Income Received		394,172,149	262,797,902
Gratuity Payments Made	33	(8,354,105)	(5,497,940)
Payments to Employees and Suppliers		(2,095,442,059)	(1,685,128,296)
Operating Profit before Changes in Operating Assets and Liabilities (Note A)		1,380,024,664	543,181,575
(Increase) / Decrease in Operating Assets			
Financing and Receivables to Other Customers		(4,674,618,472)	(5,235,284,268)
Other Financial Assets		(153,516,506)	188,517,071
Other Non Financial Assets		(1,497,563)	30,158,137
Balance with Central Bank of Sri Lanka		(1,311,041,349)	(523,882,286)
Increase / (Decrease) in Operating Liabilities			
Due to Other Customers		3,810,314,654	8,125,166,346
Due to Banks		(750,500,000)	(2,200,900,000)
Other Liabilities		(18,900,040)	180,381,697
Net Cash Flow from Operating Activities		(1,719,734,612)	1,107,338,272
Cash Flows From/(Used In) Investing Activities			
Acquisition of Property, Plant and Equipment		(62,099,109)	(181,573,000)
Proceeds from Sale of Property, Plant and Equipment		456,517	-
Acquisition of Intangible Assets		(113,738,668)	(78,987,029)
Investments in Placements with Licensed Finance Companies		(2,097,301,257)	951,104,893
Investments in Placements with Banks		(612,069,817)	(1,048,104,648)
Dividend Received from Financial Assets		8,420,541	8,100,398
Sale / (Acquisition) of Financial Investments - Available for Sale		27,409,639	(96,698,548)
Sale / (Acquisition) of Financial Investments - Held for Trading		(1,605,671)	9,284,901
Net Cash Flows Used in Investing Activities		(2,850,527,825)	(436,873,033)
Cash Flows From/(Used In) Financing Activities			
Rights Issue of Shares		4,752,642,015	-
Share Issue Expenses		(9,536,684)	-
Net Cash Flows From Financing Activities		4,743,105,331	-
Net Increase / (Decrease) in Cash and Cash Equivalents		172,842,894	670,465,239
Cash and Cash Equivalents at the Beginning of the Year		5,686,924,056	5,016,458,817
Cash and Cash Equivalents at the End of the Year	15	5,859,766,950	5,686,924,056
A. Reconciliation of Operating Profit			
Profit Before Taxation		739,318,599	102,811,850
Depreciation of Property, Plant and Equipment	25	148,879,193	162,620,642
Amortisation of Intangible Assets	26	48,967,708	78,634,792
(Profit)/Loss on Disposal of Property, Plant and Equipment	8	(212,466)	-
Impairment for Financing and Receivables to Other Customers and Financial Assets	9	289,782,675	217,177,926
Provision for Gratuity	33	26,427,071	23,308,637
(Increase)/Decrease in Placement Income Receivable		(26,104,794)	13,969,952
Increase/(Decrease) in Profit Payable		195,493,225	179,708,369
Other Non Cash Items		(25,751,901)	(222,051,853)
Dividend Income (Net)		(8,420,541)	(7,500,800)
Gratuity Payments	33	(8,354,105)	(5,497,940)
		1,380,024,664	543,181,575

The Accounting Policies and Notes on pages 143 through 193 form an integral part of the Financial Statements.

NOTES TO THE FINANCIAL STATEMENTS

1. CORPORATE INFORMATION

1.1 General

Amāna Bank PLC ('the Bank') is a licensed commercial bank established under the Banking Act No. 30 of 1988 (Banking Act) and amendments thereto. It is a public limited liability company incorporated on 5 February 2009 and is domiciled in Sri Lanka. The registered office of the Bank is located at No. 480, Galle Road, Colombo 3. The Bank commenced commercial banking operations on 1 August 2011. The shares of the Bank are listed on the Colombo Stock Exchange.

The staff strength of the Bank as at 31 December 2017 was 742 (2016 - 718).

1.2 Principal Activities

The principal activities of the Bank continue to be providing banking and related activities such as accepting customer deposits, personal banking, lease financing, home and property financing, advances against gold, resident and non-resident foreign currency operations, trade financing, import and export financing, equipment and machinery financing, working capital financing and project financing.

1.3 Parent Entity and Ultimate Parent Entity

The Bank does not have an identifiable parent of its own.

1.4 Date of Authorisation of Issue

The Financial Statements of Amāna Bank PLC for the year ended 31 December 2017 were authorised for issue in accordance with a resolution of the Board of Directors on 16 February 2018.

2.1 BASIS OF PREPARATION

2.1.1 Basis of Measurement

The Financial Statements are prepared under the historical cost basis, except for, Derivative

Financial Instruments, Financial Assets at Fair value through Profit or Loss, Financial Assets Available for Sale and Freehold Land and Building, all of which have been measured at fair value.

The Financial Statements are presented in Sri Lankan Rupees (Rs.), except as otherwise indicated.

2.1.2 Statement of Compliance

The Financial Statements of the Bank which comprise of the Statement of Financial Position, Statement of Profit or Loss, Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows and Significant Accounting Policies and notes, have been prepared in accordance with Sri Lanka Accounting Standards (SLFRSs and LKASs) laid down by the Institute of Chartered Accountants of Sri Lanka and are in compliance with the requirements of the Companies Act No. 07 of 2007. The presentation of the Financial Statements is also in compliance with the requirements of the Banking Act No. 30 of 1988 and amendments thereto.

2.1.3 Presentation of Financial Statements

The Bank presents its Statement of Financial Position broadly in order of liquidity. An analysis regarding recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current) is presented in Note 40.

Financial Assets and Financial Liabilities are offset and the net amount is reported in the Statement of Financial Position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liability simultaneously. Income and expense is not

offset in the Statement of Profit or Loss unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the accounting policies of the Bank. Positions recognised on a net basis in the Statement of Financial Position primarily include balances with Central Bank that are pending realisation.

The Financial Statements of the Bank provide comparative information in respect of the previous period.

2.1.4 Going Concern

The Board of Directors of the Bank has made an assessment of its ability to continue as a going concern and is satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, the Board of Directors is not aware of any material uncertainties that may cast significant doubt upon the Bank's ability to continue as a going concern. Therefore, the Financial Statements continue to be prepared on the going concern basis.

2.2 Significant Accounting Judgments, Estimates and Assumptions

The preparation of Financial Statements of the Bank in conformity with Sri Lanka Accounting Standards, requires the management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

Estimates and assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected.

NOTES TO THE FINANCIAL STATEMENTS

The most significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have most significant effect on the amounts recognised in the Financial Statements of the Bank are as follows:

a. Fair Value of Property, Plant and Equipment

The Freehold Land and Buildings of the Bank are reflected at fair value. The management determined that these constitute class of assets under SLFRS 13, based on the nature, characteristics and risks of the properties. The Bank engages independent valuers to determine fair value of Freehold Land and Building. When current market prices of similar assets are available, such evidence is considered in estimating fair values of these assets using comparable prices adjusted for specific market factors such as nature, location and condition of the property.

The method used to determine the fair value of Property, Plant and Equipment are disclosed in Note 25 to the Financial Statements.

b. Impairment of Available for Sale Financial Instruments

The Bank reviews equity instruments classified as available-for-sale investments at each reporting date to assess whether they are impaired as explained in Note 2.3.3 (g). The interpretation of what is 'significant' or 'prolonged' requires judgement. In making this judgement, the Bank evaluates, among other factors, historical share price movements, and the duration and extent to which the fair value of an investment is less than its cost.

The impairment methodology and application for available-for-sale investments

is disclosed in more detail in Note 2.3.3 (g), Note 9 and Note 22.

c. Fair value of Financial Instruments

Where the fair values of Financial Assets and Financial Liabilities recorded in the Statement of Financial Position cannot be derived from active markets, they are determined using a variety of valuation techniques that include the use of mathematical models. The valuation of Financial Instruments is described in more detail in Note 38.

d. Impairment losses on Financing and Receivables to Other Customers

The Bank reviews its individually significant Financing and Receivables to Other Customers at each reporting date to assess whether an impairment loss should be recorded in the Statement of Profit or Loss. In particular, management's judgment is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the impairment allowance.

Financing and Receivables to Other Customers that have been assessed individually and found not to be impaired and all individually insignificant Financing and Receivables to Other Customers are then assessed collectively, in groups of assets with similar risk characteristics, to determine whether provision should be made due to incurred loss events for which there is objective evidence, but the effects of which are not yet evident.

The impairment loss on Financing and Receivables to Other Customers is disclosed

in more detail in Notes 2.3.3.g. (i), 21.4 and Note 39.3 (a) and (c).

e. Deferred Tax Assets

Deferred tax assets are recognised in respect of tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with future tax planning strategies.

Details on deferred tax assets are disclosed in Note 27.

f. Defined Benefit Plans

The cost of the defined benefit plan is determined using an actuarial valuation. The actuarial valuation involves making assumptions about discount rates, salary increment rate, age of retirement, and mortality rates. Due to the long term nature of these plans, such estimates are subject to significant uncertainty.

Assumptions used are reviewed at each reporting date and disclosed in Note 33.

g. Commitments and Contingencies

All discernible risks are accounted for in determining the amount of all known liabilities. Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured.

Contingent liabilities are not recognised in the Statement of Financial Position but are disclosed unless they are remote.

2.3 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

2.3.1 Foreign Currency Transactions and Balances

These Financial Statements are presented in Sri Lankan Rupees (Rs.) which is the Bank's functional and presentation currency.

Transactions in foreign currencies are initially recorded at the spot rate of exchange prevailing at the date of the transactions.

Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency rate of exchange at the reporting date. All differences arising on non-trading activities are taken to 'Net Other Operating Income in the Statement of Profit or Loss.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined.

Promissory Forward exchange transactions are valued at the forward market rates ruling on the date of the reporting date. The resulting net unrealised gains or losses are dealt within the Statement of Profit or Loss.

2.3.2 Derivative Financial Instruments

Derivatives are financial instruments that derive their value in response to changes in market rates, financial instrument prices, commodity prices, foreign exchange rates and credit risk indices. Derivatives are categorised as trading unless they are designated as hedging instruments.

Derivatives are initially recognised at fair value at the date the derivative transaction is entered into and are subsequently re-measured to their fair value at the end of each reporting period. The resulting gain or loss is recognised in Statement of Profit or Loss immediately unless the derivative is designated and effective as a hedging instrument.

Derivative assets/liabilities represent the Promissory Forward exchange transactions as at the reporting date. There are no Derivative Financial Instruments that qualify for hedge accounting.

2.3.3 Non-Derivative Financial Instruments

a. Date of Recognition

All non-Derivative Financial Assets and Liabilities are initially recognised on the trade date, (i.e. the date that the Bank becomes a party to the contractual provisions of the instrument). This includes 'regular way trades': purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulation or convention in the market place.

b. Initial Measurement of Financial Instruments

The classification of financial instruments at initial recognition depends on their purpose and characteristics and the management's intention in acquiring them. All financial instruments are measured initially at their fair value plus transaction costs, except in the case of Financial Assets and Financial Liabilities which are recorded at Fair Value through Profit or Loss. Transaction costs in relation to Financial Assets and Financial Liabilities at Fair Value through Profit or Loss are dealt within the Statement of Profit or Loss.

c. 'Day 1' Profit or Loss

When the transaction price differs from the fair value of other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable markets, the Bank immediately recognises the difference between the transaction price and fair value (a 'Day 1' profit or loss) in Financing Income. In cases where fair value is determined using data which is not observable, the difference between the transaction price and model value is only recognised in the Statement of Profit or Loss when the inputs become observable, or when the instrument is derecognised.

d. Classification and Subsequent Measurement of Financial Assets

At the inception a Financial Asset is classified into one of the following:

- i. Financial Investments at Fair Value through Profit or Loss
 - a. Financial Investments - Held for Trading
 - b. Financial Investments designated at Fair Value through Profit or Loss
- ii. Held to Maturity Financial Investments
- iii. Advances and Receivables
- iv. Financial Investments - Available for Sale

The subsequent measurement of Financial Assets depends on their classification.

i. Financial Investments at Fair Value through Profit or Loss

A Financial Investment is classified as Fair Value through Profit or Loss if it is held for trading or is designated at Fair Value through Profit or Loss.

NOTES TO THE FINANCIAL STATEMENTS

a. Financial Investments - Held for Trading

Financial Investments acquired or incurred principally for the purpose of selling or repurchasing it in the near term or it is part of a portfolio that are managed together and for which there is evidence of a recent actual pattern of short-term profit-taking.

Financial Investments - Held for Trading are recorded in the Statement of Financial Position at fair value; Changes in fair value, results of buying and selling and dividend income are recognised in Net Trading Gain according to the terms of the contract or when the right to the payment has been established.

This has been classified in the Statement of Financial Position as "Financial Investments - Held for Trading".

Details of Financial Investments - Held for Trading are given in Note 20 to the Financial Statements.

b. Financial Investments Designated at Fair Value through Profit or Loss

The Bank designates Financial Investments at Fair Value through Profit or Loss in the following circumstances:

- ◆ Such designation eliminates or significantly reduces measurement or recognition inconsistency that would otherwise arise from measuring the assets
- ◆ The assets are part of a group of Financial Assets, Financial Liabilities or both, which are managed and their performance evaluated on a fair value basis, in accordance with a documented risk management or investment strategy.
- ◆ The asset contains one or more embedded derivatives that significantly modify the cash flows that would otherwise have been required under the contract.

Financial Investments designated at Fair Value through Profit or Loss are recorded in the Statement of Financial Position at fair value. Changes in fair value are recorded in the Statement of Profit or Loss.

The Bank has not designated any Financial Assets upon initial recognition as designated at Fair Value through Profit or Loss.

ii. Held to Maturity Financial Investments

Held to Maturity Financial Investments are non-derivative Financial Assets with fixed or determinable payments and fixed maturities, which the Bank has the intention and ability to hold to maturity. After the initial recognition, Held to Maturity Financial Investments are subsequently measured at amortised cost using the Effective Profit Rate (EPR) less impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees that are an integral part of the EPR. The amortisation is included in "Financing Income" in the Statement of Profit or Loss. The losses arising from impairment are recognised in the Statement of Profit or Loss.

The Bank has not classified any Financial Assets upon initial recognition as Held to Maturity Financial Investments.

iii. Advances and Receivables

Advances and Receivables include non-derivative Financial Assets with fixed or determinable payments that are not quoted in an active market, other than:

- ◆ those that the Bank intends to sell immediately or in the near term and those that the Bank upon initial recognition designates as at fair value through profit or loss.
- ◆ those that the Bank, upon initial recognition, designates as available for sale.

- ◆ those for which the Bank may not recover substantially all of its initial investment, other than because of credit deterioration.

Advances and Receivables are subsequently measured at amortised cost using the Effective Profit Rate (EPR), less allowance for impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EPR. The amortisation is included in "Financing Income" in the Statement of Profit or Loss. The losses arising from impairment are recognised in the Statement of Profit or Loss in 'Impairment on Financial Assets'.

Advance and Receivables have been classified in the Statement of Financial Position as,

(i) Cash and Cash Equivalents

Cash and cash equivalents as referred to in the Statement of Financial Position and Statement of Cash Flows, comprises of cash in hand and balances with banks on demand or with an original maturity of three months or less.

(ii) Balance with Central Bank of Sri Lanka

The Monetary Law Act requires that all commercial banks operating in Sri Lanka maintain reserves against all deposit liabilities ("Due to Other Customers") denominated in Sri Lankan Rupees.

(iii) Placement with Banks

(iv) Placements with Licensed Finance Companies

(v) Financing and Receivables to Other Customers

iv. Financial Investments - Available for Sale

Financial Investments Available for Sale consists of equity investments. Equity investments classified as Available for Sale are those which are neither classified as Held for Trading nor designated at Fair Value through Profit or Loss.

The Bank has not designated any Financing and Receivables to Other Customers as Available for Sale.

After initial measurement, Available for Sale Financial Investments are subsequently measured at fair value.

Unrealised gains and losses are recognised directly in equity (Statement of Comprehensive Income) in the Available for Sale Reserve. When the investment is disposed of, the cumulative gain or loss previously recognised in equity is recognised in the Statement of Profit or Loss in 'Net Other Operating Income/ (Expenses)'. Where the Bank holds more than one investment in the same security, gains or losses arising from the disposal of the investment is calculated based on the weighted average basis.

Dividends earned whilst holding Available for Sale Financial Assets are recognised in the Statement of Profit or Loss in 'Net Other Operating Income' when the right to receive the dividend is established. The losses arising from impairment of such assets are recognised in the Statement of Profit or Loss in 'Impairment on Financial Asset's and removed from the 'Available for Sale Reserve'.

Details of Financial Investments - Available for Sale are given in Note 22 to the Financial Statements.

e. Financial Liabilities

Initial recognition and measurement of Financial Liabilities within the scope of LKAS 39 are classified as Due to Banks, Due to Other Customers (Deposits) and Other Financial Liabilities. The Bank determines the classification of its Financial Liabilities at initial recognition.

The Bank classifies Financial Liabilities into Financial Liabilities at Fair Value through Profit or Loss or Other Financial Liabilities in accordance with the substance of the contractual arrangement and the definitions of Financial Liabilities.

The Bank recognises Financial Liabilities in the Statement of Financial Position when the Bank becomes a party to the contractual provisions of the Financial Liability.

i. Financial Liabilities at Fair Value through Profit or Loss

Financial Liabilities at Fair Value through Profit or Loss include Financial Liabilities Held for Trading or designated as such upon initial recognition. Subsequent to initial recognition, Financial Liabilities at Fair Value through Profit or Loss are measured at fair value, and changes therein are recognised in Statement of Profit or Loss.

Upon initial recognition, transaction costs directly attributable to the acquisition are recognised in Statement of Profit or Loss as incurred. The criteria for designation of Financial Liabilities at Fair Value through Profit or Loss upon initial recognition are the same as those of Financial Assets at Fair Value through Profit or Loss.

As at the reporting date the Bank does not have any Liabilities under this classification.

ii. Financial Liabilities at Amortised Cost

Financial Liabilities including Due to Banks, Due to Other Customers and Other Financial Liabilities are initially measured at fair value less transaction cost that are directly attributable to the acquisition and subsequently measured at amortised cost using the EPR method.

Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EPR. The EPR amortisation is included in 'Finance Expenses' in the Statement of Profit or Loss. Gains or losses are recognised in the Statement of Profit or Loss when the liabilities are derecognised.

The details of the Bank's Financial Liabilities at amortised cost are shown in Notes 28, 29, 30 and 31 to the Financial Statements.

f. De-recognition of Financial Assets/ Liabilities

(i) De-recognition of Financial Assets

A Financial Asset (or, where applicable a part of a financial asset or part of a group of similar financial assets) is derecognised when:

- ◆ The rights to receive cash flows from the asset have expired
- ◆ The Bank has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either:
 - ◆ The Bank has transferred substantially all the risks and rewards of the asset or,
 - ◆ The Bank has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset

NOTES TO THE FINANCIAL STATEMENTS

When the Bank has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, and has neither transferred nor retained substantially all of the risks and rewards of the asset nor transferred control of the asset, the asset is recognised to the extent of the Bank's continuing involvement in the asset. In that case, the Bank also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Bank has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Bank could be required to repay.

(ii) *De-recognition of Financial Liabilities*

A Financial Liability is derecognised when the obligation under the liability is discharged or cancelled or expires. Where an existing Financial Liability is replaced by another from the same party on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification, is treated as a de-recognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original Financial Liability and the consideration paid is recognised in the Statement of Profit or Loss.

g. Impairment of Financial Assets

The Bank assesses at each reporting date whether there is any objective evidence that a Financial Asset or a group of Financial Assets is impaired. A Financial Asset or a group of Financial Assets is deemed to be impaired if, and only if, there is objective evidence of impairment as a result of one or more events that have occurred after the initial

recognition of the asset (an 'incurred loss event'), and that loss event (or events) has an impact on the estimated future cash flows of the Financial Asset or the group of Financial Assets that can be reliably estimated.

(i) *Financial Assets Carried at Amortised Cost*

For Financial Assets carried at Amortised cost (Placements with Banks, Placements with Licensed Finance Companies, Financing and Receivables to Other Customers and Other Financial Assets), the Bank first assesses individually whether objective evidence of impairment exists for Financial Assets that are individually significant, or collectively for Financial Assets that are not individually significant. If the Bank determines that no objective evidence of impairment exists for an individually assessed Financial Asset, it includes the asset in a group of Financial Assets with similar credit risk characteristics and collectively assesses them for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognised are not included in a collective assessment of impairment. The criteria that the Bank uses to determine that there is objective evidence of an impairment loss include:

- (a) Customer is experiencing significant financial difficulties.
- (b) Breach of covenants or conditions.
- (c) Economic and legal reasons relating to the customers financial difficulty.
- (d) Likelihood of client becoming bankrupt/ insolvent.
- (e) Concessions given to customer in view of deteriorating financial condition.
- (f) Statutory indicators such as new regulations / government policies would prevent the operations to repay the dues as agreed.

If there is objective evidence that an impairment loss has been incurred, the amount of the loss is measured as the difference between the assets' carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not yet been incurred) discounted at the asset's original effective rate. If the facility has a variable rate, the discount rate for measuring any impairment loss is the current effective rate. The carrying amount of the asset is reduced through the use of an allowance account and the amount of the loss is recognised in the Statement of Profit or Loss. Financing Income continues to be accrued on the reduced carrying amount and is accrued using the profit rate used to discount the future cash flows for the purpose of measuring the impairment loss.

- ◆ Individually assessed Financing and Receivables to Other Customers

Impairment on individual significant Financing and Receivables to Other Customers are identified by the management based on the circumstances evidencing overdue payment of profit/return, downward adjustment of risk rating and breach of contract terms. In order to ascertain presence of such evidence, the Bank uses a detailed questionnaire, which is completed by the respective Customer Relationship Manager, who has a better understanding of the customer's financial condition as at each reporting date.

If there are any indications of impairment, the future cash flows with regard to the financing is estimated. Subsequently, amortised cost and the impairment loss are calculated.

Allowance amount is decided considering many integrated factors, i.e. possibility of achieving the business plan, ability

to withstand the financial difficulties, projected cash flows should bankruptcy ensue, supplementary financial support, net realisable value of collateral and timing of anticipated cash flows.

- ♦ Collectively assessed Financing and Receivables to Other Customers

For the purpose of a collective evaluation of impairment, the Bank determines the provisioning for collective assessment using data in relation to the performance of its financing portfolio using Net Flow Rate method. Under this methodology the movement in the outstanding balance of customers are classified into categories over the periods and are used to estimate the amount of financial assets that will eventually be written off as a result of the events occurring before the reporting date which the Bank is not able to identify on an individual financing basis, and that can be reliably estimated.

Impairment is assessed on a collective basis for following two categories of financing and receivables to other customers.

- ♦ To cover losses which have been incurred but have not yet been identified on financing and receivables to other customers subject to individual assessment; and
- ♦ For financing and receivables to other customers that are not considered as individually significant

In addition to the above, economic factors both at macro-economic and at Bank levels are considered in arriving at the collective assessment.

See Note 9 for details of impairment losses on Financial Assets carried at amortised cost.

- ♦ Reversal of Impairment

If the amount of an impairment loss decreases in a subsequent period, and the decrease can be related objectively to an event occurring after the impairment was recognised, the excess is written back by reducing the financial asset impairment allowance account accordingly. The write-back is recognised in the Statement of Profit or Loss.

(ii) Financial Investments - Available for Sale

For Available for Sale financial investments, the Bank assesses at each reporting date whether there is objective evidence that an investment is impaired.

In the case of equity investments classified as Available for Sale, objective evidence would also include a 'significant' or 'prolonged' decline in the fair value of the investment below its cost. Where there is evidence of impairment, the cumulative loss measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that investment previously recognised in the Statement of Profit or Loss, is removed from equity and recognised in the Statement of Profit or Loss. Impairment losses on equity investments are not reversed through the Statement of Profit or Loss; increases in the fair value after impairment are recognised in Statement of Comprehensive Income.

(iii) Collateral Valuation

The Bank seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, gold, securities, letters of credit/guarantees, real estate, receivables, inventories, other non-financial assets and credit enhancements such as netting arrangements. The fair value of collateral

is generally assessed, at a minimum, at inception and based on the Bank's approved valuation policy.

To the extent possible, the Bank uses active market data for valuing financial assets, held as collateral. Other financial assets which do not have a readily determinable market value are valued using models. Non-financial collateral, such as real estate, is valued based on data provided by third parties such as independent professional valuers.

- ♦ Collateral repossessed

The Bank's policy is to sell the repossessed assets at the earliest possible opportunity. Such collateral repossessed are held on a memorandum basis without derecognising the underlying receivable.

- ♦ Rescheduled Financing and Receivables to Other Customers

Financing and Receivables to Other Customers (facilities) whose original terms have been modified including those subject to forbearance strategies are considered rescheduled facilities. This may involve extending the payment arrangements and the agreement of new facility conditions. If the renegotiations are on terms that are not consistent with those readily available in the market, this provides objective evidence of impairment. Once the terms have been renegotiated, any impairment is measured using the EPR as calculated before the modification of terms and the facility is no longer considered past due. Management continually reviews renegotiated facilities to ensure that all criteria are met and the future payments are likely to occur. The facilities continue to be subjected to an individual or collective impairment assessment, calculated using the EPR of the Original facility.

NOTES TO THE FINANCIAL STATEMENTS

(iv) *Write-off of Financial Assets carried at Amortised Cost*

Financial assets (and the related impairment allowance accounts) are normally written off, either partially or in full, when there is no realistic prospect of recovery. Where financial assets are secured, this is generally after receipt of any proceeds from the realisation of security.

2.3.4 Reclassification of Financial Instruments

The Bank does not reclassify any Financial Instrument into the 'Fair value through Profit or Loss' category after initial recognition. Further, the Bank does not reclassify any Financial Instrument out of the 'Fair value through Profit or Loss' category if upon initial recognition it was designated as at Fair value through Profit or Loss.

The Bank reclassifies non - derivative financial assets out of the 'Held for Trading' category and into the 'Available for Sale' or 'Advances and Receivables' categories as permitted by the Sri Lanka Accounting Standard (LKAS 39) "Financial Instruments: Recognition and Measurement". Further, in certain circumstances, the Bank is permitted to reclassify Financial Instruments out of the 'Available for Sale' category and into the 'Advances and Receivables' category.

Reclassifications are recorded at fair value at the date of reclassification, which becomes the new amortised cost. For a Financial Asset reclassified out of the Available for Sale category, any previous gain or loss on that asset that has been recognised in equity is amortised to profit or loss over the remaining life of the investment using the EPR. Any difference between the new amortised cost and the expected cash flows is also amortised over the remaining life of the asset using the EPR. If the asset is subsequently determined

to be impaired, then the amount recorded in equity is recycled to the Statement of Profit or Loss.

Reclassification is at the election of management, and is determined on an instrument by instrument basis.

2.3.5 Offsetting Financial Instruments

Financial Assets and Financial Liabilities are offset and the net amount reported in the Statement of Financial Position if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously.

2.3.6 Determination of Fair Value

'Fair value' is the price that would be received to sell an asset or paid to transfer a liability (exit price) in an orderly transaction between market participants at the measurement date in the principle or, in its absence, the most advantageous market to which the Bank has access at that date. The fair value of a liability reflects its non-performance risk.

When available, the Bank measures the fair value of an instrument using the quoted price in an active market for that instrument (Level 1 valuation). A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted price in an active market, then the Bank uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction.

The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price – i.e. the fair value of the consideration given or received. If the Bank determines that the fair value at initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability (Level 1 valuation) nor based on a valuation technique that uses only data from observable markets (Level 2 valuation), then the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value at initial recognition and the transaction price. Subsequently, that difference is recognised in Statement of Profit or Loss on an appropriate basis over the life of the instrument but no later than when the valuation is wholly supported by observable market data or the transaction is closed out.

Fair values reflect the credit risk of the instrument and include adjustments to take into account of the credit risk of the Bank and the counterparty where appropriate. Fair value estimates obtained from models are adjusted for any other factors, such as liquidity risk or model uncertainties; to the extent that the Bank believes a third-party market participant would take them into account in pricing a transaction.

The fair value of a demand deposit is not less than the amount payable on demand, discounted from the first date on which the amount could be required to be paid.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use. An external valuer is

involved for valuation of non-financial assets (Freehold Land and Buildings).

The Bank recognises transfers between levels of the fair value hierarchy as at the end of the reporting period during which the change has occurred.

An analysis of fair values of Financial Instruments and non-financial assets (Freehold Land and Buildings) are provided in Note 38 and Note 25 respectively.

2.3.7 Other Financial Assets

Other Financial Assets are stated at cost less impairment for unrecoverable amount.

2.3.8 Other Non-Financial Assets

Other Non-Financial Assets are valued net of specific provision, where necessary, so as to reduce the carrying value of such assets to their estimated realisable value.

2.3.9 Property, Plant and Equipment

Property, Plant and Equipment are tangible items that are held for use in the production or supply of goods or services, for rental to others or for administrative purposes and are expected to be used during more than one period.

(a) Valuation

Freehold Land and Buildings are measured at fair value less accumulated depreciation on buildings and impairment losses recognised at the date of revaluation. Valuations are performed with sufficient frequency to ensure that the carrying amount of a revalued asset does not differ materially from its fair value.

A revaluation surplus is recorded in Statement of Other Comprehensive Income and credited to the asset revaluation surplus in equity. However, to the extent that it

reverses a revaluation deficit of the same asset previously recognised in Statement of Profit or Loss, the increase is recognised in Statement of Profit or Loss. A revaluation deficit is recognised in the Statement of Profit or Loss, except to the extent that it offsets an existing surplus on the same asset recognised in the asset revaluation reserve.

An annual transfer from the asset revaluation reserve to retained earnings is made for the difference between depreciation based on the revalued carrying amount of the asset and depreciation based on the asset's original cost. Additionally, accumulated depreciation as at the revaluation date is eliminated against the gross carrying amount of the asset and the net amount is restated to the revalued amount of the asset. Upon disposal, any revaluation reserve relating to the particular asset being sold is transferred to retained earnings.

(b) Cost

Property, Plant and Equipment other than Freehold Land and Building is stated at cost, excluding the costs of day to day servicing, less accumulated depreciation and accumulated impairment in value. Such cost includes the cost of replacing part of the Property, Plant and Equipment when that cost is incurred, if the recognition criteria are met.

(c) Depreciation

The provision for depreciation is calculated by using a straight line method on the cost or valuation of all Property, Plant and Equipment other than freehold land, in order to write off such amounts over the estimated useful lives by equal installments.

Depreciation of an asset begins when it is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by management.

The asset's residual values, useful lives and methods of depreciation are reviewed, and adjusted if appropriate, at each financial year end.

The useful lives of the assets are estimated as follows:

	2017	2016
Freehold Buildings	40 years	40 years
Furniture and Fittings	5 years	5 years
Office and Other Equipment	5 - 6 years	5 - 6 years
Computer Equipment	5 - 6 years	5 - 6 years
Motor Vehicles	4 years	4 years
Computer Servers	5 years	5 years
Improvements to Leasehold Premises	Over the Period of Lease or Useful Life whichever is lower	Over the Period of Lease or Useful Life whichever is lower

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(d) De-recognition

An Item of Property, Plant and Equipment is de-recognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the Statement of Profit or Loss in the year the asset is de-recognised.

2.3.10 Intangible Assets

The Bank's Intangible Assets include the value of computer software. An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits attributable to it will flow to the Bank.

Amortisation is calculated using the straight-line method to write down the cost of intangible assets to their residual values over their estimated useful lives as follows:

	2017	2016
Computer Software	10 years	10 years

The useful lives of Intangible Assets are assessed to be either finite or indefinite. Intangible Assets with finite lives are amortised over the useful economic life. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each financial year-end.

De-recognition of Intangible Assets

The carrying amount of an item of intangible asset is de-recognised on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of an item of intangible asset is included in the Statement of Profit or Loss in the year the item is de-recognised.

2.3.11 Leasing

The determination of whether an arrangement is a lease, or it contains a lease, is based on the substance of the arrangement and requires an assessment of whether the fulfillment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

a) Finance Lease

Agreements which transfer to counterparties substantially all the risks and rewards incidental to the ownership of assets, but not necessarily legal title, are classified as finance leases.

The Bank has no agreement that is to be recognised as finance lease (as a lessee) as at the reporting date.

b) Operating Lease

All other leases are classified as operating leases. When acting as lessor, the Bank includes the assets subject to operating leases in 'Property, Plant and Equipment' and accounts for them accordingly. Impairment losses are recognised to the extent that residual values are not fully recoverable and the carrying value of the assets is thereby impaired.

When the Bank is the lessee, leased assets are not recognised on the Statement of Financial Position. Rentals payable and receivable under operating leases are accounted for on a straight-line basis over the periods of the leases and are included in 'Other Operating Expenses' and 'Other Operating Income', respectively.

2.3.12 Retirement Benefit liability

(a) Defined Benefit Plan – Gratuity

Based on the Sri Lanka Accounting Standard LKAS 19 - Employee Benefits, the Bank has

adopted the actuarial valuation technique to ascertain the retirement benefit liability. An Actuarial Valuation has been carried out as at 31 December 2017 by a qualified actuary using projected unit credit method.

The principle assumptions, which have the most significant effects on the valuation, are the rate of discount, rate of increase in salary, rate of turnover at the selected ages, rate of disability, death benefits and expenses.

The defined benefit plan liability is discounted using rates equivalent to the market yields at the date of Statement of Financial Position that are denominated in the currency in which benefits will be paid, and that have a maturity approximating to the terms of the related pension liability.

The Bank recognises the total actuarial gains and losses that arise in calculating the Bank's obligation in respect of the plan in the Statement of Comprehensive Income during the period in which it occurs.

However, according to the Payment of Gratuity Act No. 12 of 1983, the liability for payment to an employee arises only after the completion of 5 years continued service. The liability is not externally funded.

Details of the key assumptions used in the estimates are contained in Note 33 to the Financial Statements.

(b) Defined Contribution Plan - Employees' Provident Fund and Employees' Trust Fund

Employees are eligible for Employees' Provident Fund Contributions and Employees' Trust Fund Contributions in line with the respective Statutes and Regulations. The Bank contributes 12% and 3% of gross salary, respectively.

2.3.13 Provisions

Provisions are recognised when the Bank has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The expense relating to any provision is presented in the Statement of Profit or Loss net of any reimbursement.

2.3.14 Taxes

(a) Current Tax

Current tax assets and liabilities for the current and prior years are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the Statement of Financial Position date.

The provision for Income Tax is based on the elements of income and expenditure as reported in the Financial Statements and computed in accordance with the provisions of the Inland Revenue Act No.10 of 2006 and amendments thereto at the rates specified in Note 12 to the Financial Statements.

(b) Deferred Tax

Deferred income tax is provided, using the liability method, on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognised for all taxable temporary differences except where the deferred income tax liability arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the

transaction, affects neither the accounting profit or loss nor taxable profit or loss.

Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry-forward of unused tax assets and unused tax losses can be utilised, except where the deferred income tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit or loss nor taxable profit or loss.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred income tax relating to items recognised directly in equity is recognised in equity and not in the Statement of Profit or Loss.

(c) Value Added Tax On Financial Services

The Bank's total value addition is subjected to a 15% Value Added Tax (VAT) on Financial Services as per Section 25A of the Value Added Tax Act, No. 14 of 2002 and amendments thereto.

(d) Nation Building Tax (NBT) on Financial Services

NBT on Financial Services is calculated in accordance with Nation Building Tax Act, No. 9 of 2009 and subsequent amendments thereto with effect from 1 January 2014. NBT on Financial Services is calculated as 2% of the value addition used for the purpose of VAT on Financial Services.

2.3.15 Equity Reserves

The reserves recorded in equity (Statement of Comprehensive Income) on the Bank's Statement of Financial Position include 'Available for Sale' reserve which comprises of changes in fair value of Financial Investments - Available for Sale.

2.3.16 Recognition of Financing Income and Expenses

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Bank and the revenue can be reliably measured. The following specific recognition criteria must also be met before revenue is recognised.

(a) Income

Financing income and expenses are recognised in Statement of Profit or Loss using the Effective Profit Rate (EPR).

The EPR is the rate that exactly discounts the estimated future cash payments and receipts through the expected life of the Financial Asset or Liability (or, where appropriate, a shorter period) to the carrying amount of the Financial Asset or Liability.

When calculating the EPR, the Bank estimates future cash flows considering all contractual terms of the Financial Instrument, but not future credit losses. The calculation of the EPR

NOTES TO THE FINANCIAL STATEMENTS

includes all fees and points paid or received that are an integral part of the effective profit rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a Financial Asset or Liability.

(b) Fee and Commission Income

Fee and Commission Income and Expense that are integral to the EPR on a Financial Asset or Liability are included in the measurement of the EPR.

The Bank earns Fee and Commission Income from a diverse range of services it provides to its customers comprising of fees receivable from customers for issuing letters of credit, guarantees, account servicing fees, legal fees and other services provided by the Bank and are recognised as the related services are performed.

(c) Dividend Income

Dividend Income is recognised when the Bank's right to receive the payment is established.

(d) Net Trading Income

Results arising from trading activities include all gains and losses from changes in fair value and related Income or Expense and Dividends for Financial Assets and Financial Liabilities that are classified as 'Held for Trading'.

(e) Short Term Employee Benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided, and are included under Personnel Expenses in the Statement of Profit or Loss. A liability is recognised for the amounts expected to be paid under short-term bonus if the Bank has a present legal or constructive obligation to pay this amount as a result of past service

rendered by the employee and the obligation can be measured reliably.

2.3.17 Financial Guarantees

In the ordinary course of business, the Bank gives Financial Guarantees, consisting of letters of credit, guarantees and acceptances. Financial Guarantees are initially recognised in the Financial Statements (within 'Other Liabilities') at fair value, being the premium received. Subsequent to initial recognition, the Bank's Liability under each guarantee is measured at the higher of the amount initially recognised less cumulative amortisation recognised in the Statement of Profit or Loss, and the best estimate of expenditure required to settle any financial obligation arising as a result of the guarantee.

Any increase in the Liability relating to Financial Guarantees is recorded in the Statement of Profit or Loss in Impairment for Financing and Receivables to Other Customers. The premium received is recognised in the Statement of Profit or Loss in 'Net Fees and Commission Income' on a straight line basis over the life of the guarantee.

2.3.18 Segment Reporting

A Segment is a distinguishable component of the Bank that is engaged in providing services (Business Segments) or in providing services within a particular economic environment (Geographical Segment) which is subject to risks and rewards that are different from those of other segments.

In accordance with the Sri Lankan Accounting Standard SLFRS 8 - 'Segmental Reporting', segmental information is presented in respect of the Bank based on Bank's management and internal reporting structure.

The Bank's segmental reporting is based on the following operating segments.

- ◆ Consumer Banking: Individual customers' deposits and consumer financing including overdrafts, asset financing, lease financing, advances against gold, home and property financing.
- ◆ Business Banking: Trade financing, overdraft, equipment and machinery financing, working capital financing, lease financing and other credit facilities and deposits of corporate and SME customers.
- ◆ Treasury: Placements of funds with other banks and financial institutions, equity investments and managing exposures in foreign exchange.

Management monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profit or loss of respective segment.

Details of segment reporting are given in Note 3 to the Financial Statements.

2.3.19 Earnings Per Share

Earnings Per Share is calculated by dividing profit or loss attributable to Ordinary Shareholders of the Bank by the weighted average number of ordinary shares outstanding for the period.

Details of Earnings Per Share are given in Note 13 to the Financial Statements.

2.3.20 Cash Flow Statement

The cash flow statement has been prepared using the direct method of preparing cash flows in accordance with the Sri Lanka

Accounting Standard (LKAS 7) - "Statement of Cash Flows" whereby gross cash receipts and gross cash payments of operating activities, finance activities and investing activities have been recognised. Cash and cash equivalents comprise of short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of change in value. The cash and cash equivalent include cash in hand and balances with banks.

2.3.21 Standards Issued But Not Yet Effective

The following new accounting standards were issued by the Institute of Chartered Accountants of Sri Lanka which are not yet effective as at 31 December 2017. Accordingly these accounting standards have not been applied in the preparation of the Financial Statements for the year ended 31 December 2017.

2.3.21.1 SLFRS 15 – Revenue from Contracts with Customers

SLFRS 15 is effective for periods beginning on 1 January 2018 with early adoption permitted. SLFRS 15 defines principles for recognising revenue and will be applicable to all contracts with customers. However, Finance and Fee Income integral to Financial Instruments and leases will continue to fall outside the scope of SLFRS 15 and will be regulated by the other applicable standards (e.g. SLFRS 9 and SLFRS 16 Leases).

Revenue under SLFRS 15 will need to be recognised as goods and services are transferred, to the extent that the transferor anticipates entitlement to goods and services. The standard will also specify a comprehensive set of disclosure requirements regarding the nature, extent and timing as well as any uncertainty of

revenue and corresponding cash flows with customers. The Bank does not anticipate early adopting SLFRS 15.

A preliminary evaluation of the existing contracts which falls mainly under fee and commission based income of the Bank has been performed in relation to the adoption of SLFRS 15. The Bank's current assessment has not revealed a significant change to the revenue recognition pattern. However, the Bank is currently in the process of evaluating and quantifying the accounting impact and any impacts on the current systems and processes will be modified where necessary.

2.3.21.2 SLFRS 9 – Financial Instruments

In July 2014, the Institute of Chartered Accountants of Sri Lanka issued SLFRS 9 Financial Instruments (On par with International Accounting Standards Board), the standard that will replace LKAS 39 for annual periods on or after 1 January 2018, with early adoption permitted. During the year, the Bank has set up an implementation team with members from its Finance Department to prepare for SLFRS 9 implementation.

The Bank performed the Diagnostic Phase (Impact Assessment exercise) and identified the gaps during 2016. The Bank was involved in the process of developing and calibrating models/solutions based on the diagnostic findings and evaluating the results.

Impairment of Financial Assets SLFRS 9 will also fundamentally change the impairment methodology. The standard will replace LKAS 39's Incurred Loss approach with a forward-looking Expected Loss (ECL) approach. The Bank will be required to record an allowance for expected losses for all Financing and Receivables to Other Customers, together

with Commitments for unutilised facilities and Financial Guarantee contracts. The Impairment methodology under SLFRS 9 requires impairment to be assessed under 3 stages.

Stage 1

Under LKAS 39 the Bank has been recording an allowance for Incurred But Not Identified (IBNI) impairment losses. These are designed to reflect impairment losses that had been incurred in the performing portfolio but have not been identified.

Under SLFRS 9, the impairment of Financial Assets that are not considered to have suffered a significant increase in their credit risk will be measured on a 12-month ECL basis.

Stage 2

SLFRS 9 requires Financial Assets to be classified in Stage 2 when their credit risk has increased significantly since their initial recognition. For these assets, a loss allowance needs to be recognised based on their lifetime ECLs. Since this is a new concept compared to LKAS 39, it will result in increased allowance as most such assets are not considered to be credit impaired under LKAS 39.

Stage 3

Financial Assets will be included in Stage 3 when there is objective evidence that the Financing and Receivables to Other Customers is credit impaired. Advances in Stage 3, where the Bank calculated the LKAS 39 impairment on an individual basis are not expected to be significantly different, but collateral values will be adjusted to reflect the amounts that can be expected to be realised.

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Classification & Measurement

From a classification and measurement perspective, the new standard will require all Financial Assets, except equity instruments and derivatives, to be assessed based on a combination of the entity's business model for managing the assets and the instruments' contractual cash flow characteristics. The LKAS 39 measurement categories will be replaced by: Fair Value through Profit or Loss (FVPL), Fair value through Other Comprehensive Income (FVOCI) and amortised cost.

The accounting for Financial Liabilities will largely be the same as the requirements of LKAS 39, except for the treatment of gains or losses arising from an entity's own credit risk relating to liabilities designated at FVPL.

2.3.21.3 SLFRS 16- Leases

SLFRS 16 provides a single lessee accounting model, requiring leases to recognise Assets and Liabilities for all leases unless the lease term is 12 months or less or the underlying asset has a low value even though lessor accounting remains similar to current practice. This supersedes: LKAS 17 Leases, IFRIC 4 determining whether an arrangement contains a lease, SIC 15 Operating Leases-Incentives; and SIC 27 Evaluating the Substance of Transactions Involving the Legal form of a Lease. Earlier application is permitted for entities that apply SLFRS 15 Revenue from Contracts with Customers.

SLFRS 16 is effective for annual reporting periods beginning on or after 1 January 2019. The impact on the implementation of the above standard has not been quantified yet.

2.3.22 Amendments to Existing Accounting Standards but Not Yet Effective

The following amendments were issued by the Institute of Chartered Accountants in Sri Lanka which are not yet effective as at 31 December 2017. Accordingly these accounting standards have not been applied in the preparation of the Financial Statements for the year ended 31 December 2017.

2.3.22.1 Amendments to LKAS 12 Income Taxes – Recognition of Deferred Tax Assets for Unrealised Losses

The amendments clarify that an entity needs to consider whether tax law restricts the sources of taxable profits against which it may make deductions on the reversal of that deductible temporary difference. Furthermore, the amendments provide guidance on how an entity should determine future taxable profits and explain the circumstances in which taxable profit may include the recovery of some assets for more than their carrying amount.

2.3.22.2 SLFRS 2 Share Based Payment - Classification and Measurement of Share-based Payment Transactions

The Institute of Chartered Accountants of Sri Lanka issued amendments to SLFRS 2 Share-based Payment that address three main areas: the effects of vesting conditions on the measurement of a cash-settled share-based payment transaction; the classification of a share-based payment transaction with net settlement features for withholding tax obligations; and accounting where a modification to the terms and conditions of a share-based payment transaction changes

its classification from cash settled to equity settled.

On adoption, entities are required to apply the amendments without restating prior periods, but retrospective application is permitted if elected for all three amendments and other criteria are met. The amendments are effective for annual periods beginning on or after 1 January 2018, with early application permitted. The impact on the implementation of the above standard has not been quantified yet.

3. SEGMENT INFORMATION

The following table presents information on total income, profit, total assets and liabilities regarding the Bank's operating segments.

	Consumer Banking 2017 Rs.	Business Banking 2017 Rs.	Total Banking 2017 Rs.	Treasury 2017 Rs.	Unallocated/ Elimination 2017 Rs.	Total 2017 Rs.
Income						
Financing Income	1,497,872,067	3,669,698,602	5,167,570,669	355,727,225	20,939,362	5,544,237,256
Net Fee and Commission Income	101,366,662	124,098,083	225,464,745	9,264,580	1,405,001	236,134,326
Net Trading Gain	-	-	-	388,699,264	-	388,699,264
Other Operating Income	-	-	-	9,255,054	212,466	9,467,520
Total Income	1,599,238,729	3,793,796,685	5,393,035,414	762,946,123	22,556,829	6,178,538,366
Less						
Financing Expenses			(2,774,139,251)	(16,478,801)	-	(2,790,618,052)
Impairment On Financial Assets			(246,010,752)	(43,771,922)	-	(289,782,674)
Operating Expenses			(1,476,286,672)	(552,810,545)	(10,475,835)	(2,039,573,052)
Operating Profit Before VAT on Financial Services & Nation Building Tax			896,598,739	149,884,855	12,080,994	1,058,564,588
Value Added Tax on Financial Services & Nation Building Tax						(319,245,989)
Profit Before Tax						739,318,599
Tax Expenses						(236,490,936)
Profit After Tax						502,827,663
Total Assets	12,164,490,690	30,749,652,881	42,914,143,571	15,841,112,624	4,784,826,360	63,540,082,555
Total Liabilities	48,522,718,574	2,399,842,507	50,922,561,081	1,514,164	1,302,204,915	52,226,280,160
	Consumer Banking 2016 Rs.	Business Banking 2016 Rs.	Total Banking 2016 Rs.	Treasury 2016 Rs.	Unallocated/ Elimination 2016 Rs.	Total 2016 Rs.
Income						
Financing Income	1,228,476,578	2,723,377,105	3,951,853,683	79,956,370	7,814,126	4,039,624,179
Net Fee and Commission Income	97,646,216	138,454,560	236,100,776	-	10,467,509	246,568,285
Net Trading Gain	-	-	-	257,454,611	-	257,454,611
Other Operating Income	-	-	-	4,961,144	-	4,961,144
Total Income	1,326,122,794	2,861,831,665	4,187,954,459	342,372,125	18,281,635	4,548,608,219
Less						
Financing Expenses			(2,094,028,674)	(21,306,575)	-	(2,115,335,249)
Impairment On Financial Assets			(67,985,818)	(149,192,108)	-	(217,177,926)
Operating Expenses			(1,728,748,838)	(144,271,644)	(71,996,406)	(1,945,016,888)
Operating Profit /(Loss) Before VAT on Financial Services & Nation Building Tax			297,191,129	27,601,799	(53,714,771)	271,078,156
Value Added Tax on Financial Services & Nation Building Tax						(168,266,306)
Profit Before Tax						102,811,850
Tax Expenses						(62,171,499)
Profit After Tax						40,640,351
Total Assets	10,767,386,340	27,684,276,109	38,451,662,449	11,974,078,364	3,889,245,786	54,314,986,599
Total Liabilities	43,664,119,861	3,251,169,828	46,915,289,689	755,292,849	856,358,542	48,526,941,080

NOTES TO THE FINANCIAL STATEMENTS

4. FINANCING INCOME

	2017 Rs.	2016 Rs.
Financing Income	5,188,510,031	3,959,667,809
Placement Income	355,727,225	79,956,370
Total	5,544,237,256	4,039,624,179

Financing Income includes a sum of Rs. 29,083,543 (2016 - Rs. 287,198) which accrued from Impaired Financial Assets.

5. FINANCING EXPENSES

	2017 Rs.	2016 Rs.
Financing Expenses on Due to Other Customers	2,774,139,251	2,094,028,674
Expenses on Other Liabilities	16,478,801	21,306,575
Total	2,790,618,052	2,115,335,249

6. NET FEES AND COMMISSION INCOME

	2017 Rs.	2016 Rs.
Trade Related Services	92,040,915	86,938,476
Other Banking & Financial Services	144,093,411	159,629,809
Total	236,134,326	246,568,285

7. NET TRADING INCOME

	2017 Rs.	2016 Rs.
Gain/(Loss) on Financial Investments - Held for Trading	(5,472,885)	(5,343,291)
Foreign Exchange Income		
- From Banks	367,754,328	233,369,115
- From Customers	26,417,821	29,428,787
Total	388,699,264	257,454,611

Gain/(Loss) on Financial Investments - Held for Trading includes the results of buying and selling, and changes in the fair value of equity securities. Foreign Exchange Income includes gains and losses from spot and promissory forward transactions.

8. NET OTHER OPERATING INCOME

	2017 Rs.	2016 Rs.
Income from Dividends	8,420,541	7,500,800
Gain/(Loss) from Disposal of Financial Investments - Available for Sale	834,513	(2,539,656)
Gain/(Loss) on Disposal of Property, Plant and Equipment	212,466	-
Total	9,467,520	4,961,144

9. IMPAIRMENT ON FINANCIAL ASSETS

	2017 Rs.	2016 Rs.
Financing and Receivables to Other Customers (Note 21.4)		
- Individual Impairment Charge	90,576,041	40,155,565
- Collective Impairment Charge	155,434,711	27,830,253
	246,010,752	67,985,818
Impairment on Available for Sale Financial Assets 9.1	43,771,922	149,192,108
Total	289,782,674	217,177,926

9.1 Impairment on Available for Sale Financial Assets

The impairment on Available for Sale Financial Assets is recognised for the equity instruments that met objective evidence of impairment, where a 'significant' or 'prolonged' decline in the fair value of the investment below its cost is observed. Accordingly, the cumulative loss measured as the difference between the acquisition cost and the current fair value of those investments, is transferred from Other Comprehensive Expenses/ Available for Sale Reserve and recognised in the Statement of Profit or Loss.

10. PERSONNEL EXPENSES

	2017 Rs.	2016 Rs.
Salaries and Bonus	791,102,684	742,672,074
Defined Contribution Plan - EPF/ETF	102,128,450	98,606,086
Defined Benefit Plan - Gratuity	26,427,071	23,308,637
Other Staff Related Expenses	176,134,219	160,445,526
Total	1,095,792,424	1,025,032,323

NOTES TO THE FINANCIAL STATEMENTS

11. OTHER OPERATING EXPENSES

	2017 Rs.	2016 Rs.
Directors' Emoluments	12,949,222	12,510,317
Auditors' Remuneration		
- Audit Fee and Expenses	2,711,409	2,423,794
- Non Audit Service	1,985,190	1,792,614
Professional and Legal Fees	37,325,666	27,459,662
Office Administration and Establishment Expenses	439,142,867	430,765,094
Advertising and Promotion	59,729,485	40,188,702
Deposit Insurance Premium	61,816,007	55,301,132
System Support Fee	70,054,328	68,076,757
Others	60,219,553	40,211,059
Total	745,933,727	678,729,131

12. TAX EXPENSES

	2017 Rs.	2016 Rs.
Current Tax:		
Current Tax Expense	182,880,376	64,421,386
Under Provisions in respect of Previous Year	-	999,700
Deferred Tax:		
Deferred Taxation Charged/(Reversal) (Note 27)	53,610,560	(3,249,587)
Income Tax expense reported in the Statement of Profit or Loss	236,490,936	62,171,499

12.1 A reconciliation between Current Tax Expense and the Product of Accounting Profit

	2017 Rs.	2016 Rs.
Accounting Profit before Income Tax	739,318,599	102,811,850
Statutory Tax Rate	28%	28%
At the Statutory Income Tax Rate	207,009,208	28,787,318
Income Exempt from Tax	(17,705,921)	(14,697,599)
Non Deductible Expenses	781,373,676	712,102,478
Deductible Expenses	(689,322,538)	(624,256,702)
Adjustment for Tax Losses Arisen / (Utilised)	(98,474,049)	(37,514,109)
Income Tax Expense / (Reversals)	182,880,376	64,421,386

The effective income tax rate for 2017 is 31.99% (2016 - 60.47%).

13. EARNINGS PER SHARE

Earnings Per Share is calculated by dividing the net Profit or Loss for the year attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the year.

The following reflects the income and data on ordinary shares used in the Earnings Per Share computations.

	2017 Rs.	2016 Rs.
Amount used as the Numerator:		
Net Profit Attributable to Ordinary Shareholders	502,827,663	40,640,351
Number of Ordinary Shares used as Denominator:		
Weighted Average number of Ordinary Shares in Issue (Note 13.1)	1,750,973,374	1,250,695,267
Earnings Per Share - Basic	0.29	0.03

13.1 Weighted Average Number of Ordinary Shares for Basic and Diluted Earnings per Share

	Outstanding No. of Shares		Weighted Average No. of Shares	
	2017	2016	2017	2016
Number of shares in issue as at 1 January	1,250,695,267	1,250,695,267	1,250,695,267	1,250,695,267
Add				
Rights Share Issue	1,250,695,267	-	500,278,107	-
Weighted average number of ordinary shares for diluted earnings per ordinary share calculation	2,501,390,534	1,250,695,267	1,750,973,374	1,250,695,267

NOTES TO THE FINANCIAL STATEMENTS

14. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

14.1 Analysis of financial instruments by measurement - as at 31.12.2017

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The summary of significant accounting policies describes how the classes of financial instruments are measured, and how income and expenses, including fair value gains and losses, are recognised. The following table analyses the carrying amounts of the financial instruments by category as defined in LKAS 39 and by headings of the Statement of Financial Position.

	Held for Trading Rs.	Advances and Receivables Rs.	Held to Maturity Rs.	Available for Sale Rs.	Total As at 31.12.2017 Rs.
Financial Assets					
Cash and Cash Equivalents	-	5,859,766,950	-	-	5,859,766,950
Balance with Central Bank of Sri Lanka	-	4,127,811,572	-	-	4,127,811,572
Derivative Financial Assets	127,616,662	-	-	-	127,616,662
Placements with Banks	-	5,285,796,238	-	-	5,285,796,238
Placements with Licensed Finance Companies	-	2,112,166,496	-	-	2,112,166,496
Financial Investments - Held for Trading	41,645,557	-	-	-	41,645,557
Financing and Receivables to Other Customers	-	42,914,143,571	-	-	42,914,143,571
Financial Investments - Available for Sale	-	-	-	323,264,501	323,264,501
Other Financial Assets	-	388,890,295	-	-	388,890,295
Total Financial Assets	169,262,219	60,688,575,122	-	323,264,501	61,181,101,842
Financial Liabilities					
Derivative Financial Liabilities	29,924,292	-	-	-	29,924,292
Due to Other Customers	-	50,922,561,081	-	-	50,922,561,081
Other Financial Liabilities	-	680,470,646	-	-	680,470,646
Total Financial Liabilities	29,924,292	51,603,031,727	-	-	51,632,956,019

14.2 Analysis of financial instruments by measurement - as at 31.12.2016

	Held for Trading Rs.	Advances and Receivables Rs.	Held to Maturity Rs.	Available for Sale Rs.	Total As at 31.12.2016 Rs.
Financial Assets					
Cash and Cash Equivalents	-	5,686,924,056	-	-	5,686,924,056
Balance with Central Bank of Sri Lanka	-	2,816,770,223	-	-	2,816,770,223
Derivative Financial Assets	59,483,044	-	-	-	59,483,044
Placements with Banks	-	4,662,466,350	-	-	4,662,466,350
Placements with Licensed Finance Companies	-	20,517	-	-	20,517
Financial Investments - Held for Trading	45,181,589	-	-	-	45,181,589
Financing and Receivables to Other Customers	-	38,451,662,449	-	-	38,451,662,449
Financial Investments - Available for Sale	-	-	-	394,775,149	394,775,149
Other Financial Assets	-	307,321,725	-	-	307,321,725
Total Financial Assets	104,664,633	51,925,165,320	-	394,775,149	52,424,605,102
Financial Liabilities					
Derivative Financial Liabilities	98,341,433	-	-	-	98,341,433
Due to Other Customers	-	46,915,289,689	-	-	46,915,289,689
Other Financial Liabilities	-	566,565,119	-	-	566,565,119
Total Financial Liabilities	98,341,433	47,481,854,808	-	-	47,580,196,241

15. CASH AND CASH EQUIVALENTS

	2017 Rs.	2016 Rs.
Cash in Hand	1,439,275,132	1,077,321,444
Balances with Banks	4,420,491,818	4,609,602,612
Total	5,859,766,950	5,686,924,056

16. BALANCE WITH CENTRAL BANK OF SRI LANKA

	2017 Rs.	2016 Rs.
Statutory Deposit with the Central Bank of Sri Lanka	4,127,811,572	2,816,770,223
Total	4,127,811,572	2,816,770,223

As required by the Provisions of Section 93 of the Monetary Law Act, a cash balance is required to be maintained with Central Bank of Sri Lanka. As at 31 December 2017, the minimum cash reserve requirement was 7.5% (2016 - 7.5%) of Rupee liabilities of the Domestic Banking Unit. There is no reserve requirement for foreign currency deposit liabilities of the Domestic Banking Unit.

The statutory deposit with Central Bank of Sri Lanka is not available for financing the Bank's day to day operations and therefore it is not considered as part of Cash and Cash Equivalents.

17. DERIVATIVE FINANCIAL ASSETS

	2017 Rs.	2016 Rs.
Spot and Promissory Forward Foreign Exchange Transactions	127,616,662	59,483,044
Total	127,616,662	59,483,044

18. PLACEMENTS WITH BANKS

	2017 Rs.	2016 Rs.
Saving Deposits	183,617	5,327,391
Term Deposits	5,285,612,621	4,657,138,959
Total	5,285,796,238	4,662,466,350

NOTES TO THE FINANCIAL STATEMENTS

19. PLACEMENTS WITH LICENSED FINANCE COMPANIES

	2017 Rs.	2016 Rs.
Saving Deposits	902,524	20,517
Term Deposits	2,111,263,972	-
Total	2,112,166,496	20,517

20. FINANCIAL INVESTMENTS - HELD FOR TRADING

	2017 Rs.	2016 Rs.
Investment in Equity Securities - Quoted (20.1)	41,645,557	45,181,589
Total	41,645,557	45,181,589

20.1 Investment in Equity Securities - Quoted

	No. of Ordinary Shares		Carrying Value	
	2017	2016	2017 Rs.	2016 Rs.
Amāna Takaful PLC	4,522,886	4,522,886	3,618,308	4,070,597
Bairaha Farms PLC	37,343	25,843	5,500,624	4,690,505
C. W. Mackie PLC	268,656	258,813	12,358,176	14,157,071
Ceylon Grain Elevators PLC	5,379	-	355,552	-
Dankotuwa Porcelain PLC	100,000	225,000	750,000	1,597,500
Dipped Products PLC	-	30,000	-	2,604,000
Expolanka Holdings PLC	617,139	617,139	3,270,837	3,887,976
Renuka Agri Foods PLC	554,600	554,600	1,441,960	1,608,340
Lanka IOC PLC	260,000	368,000	7,280,000	11,665,600
Panasian Power PLC	300,000	300,000	810,000	900,000
Nestle Lanka PLC	3,850	-	6,260,100	-
Total Carrying Value			41,645,557	45,181,589

21. FINANCING AND RECEIVABLES TO OTHER CUSTOMERS

Summary	2017 Rs.	2016 Rs.
Gross Financing and Receivables to Other Customers	43,440,441,038	38,732,202,095
Less: Individual Impairment	(176,246,274)	(85,923,164)
Less: Collective Impairment	(350,051,193)	(194,616,482)
Total	42,914,143,571	38,451,662,449

21.1 By Product

Summary	2017 Rs.	2016 Rs.
Overdraft	3,277,284,836	2,170,215,391
Trade Finance	2,751,509,589	2,708,831,633
Lease Receivables	5,685,035,955	6,089,873,834
Staff Facilities	502,563,264	466,912,554
Term Financing:		
- Short Term	11,201,672,201	9,131,049,658
- Long Term	17,600,853,793	16,456,106,955
Gold Facilities	1,581,420,947	710,271,972
Others	840,100,453	998,940,098
	43,440,441,038	38,732,202,095
Less: Individual Impairment	(176,246,274)	(85,923,164)
Less: Collective Impairment	(350,051,193)	(194,616,482)
Total	42,914,143,571	38,451,662,449

21.2 By Currency

	2017 Rs.	2016 Rs.
Sri Lanka Rupees	40,413,963,736	35,811,758,460
United States Dollars	3,026,477,302	2,916,449,183
Others	-	3,994,452
	43,440,441,038	38,732,202,095
Less: Individual Impairment	(176,246,274)	(85,923,164)
Less: Collective Impairment	(350,051,193)	(194,616,482)
Total	42,914,143,571	38,451,662,449

21.3 By Industry

Agriculture and Fishing	7,127,658,590	6,160,408,026
Manufacturing	7,459,433,920	6,592,654,957
Tourism	693,991,766	881,087,317
Transport	672,508,862	591,201,547
Construction	6,498,301,669	4,967,031,651
Trading	9,595,514,369	8,851,862,984
New Economy	272,551,395	293,950,069
Financial and Business Services	126,841,669	629,427,568
Infrastructure	268,259,334	380,881,207
Services	1,682,616,447	2,144,168,044
Consumers	9,042,763,017	7,239,528,725
	43,440,441,038	38,732,202,095
Less: Individual Impairment	(176,246,274)	(85,923,164)
Less: Collective Impairment	(350,051,193)	(194,616,482)
Total	42,914,143,571	38,451,662,449

NOTES TO THE FINANCIAL STATEMENTS

21.4 Impairment Allowance for Financing and Receivables to Other Customers

A reconciliation of the allowance for impairment losses for Financing and Receivables to Other Customers, is as follows:

	Individual Impairment Rs.	Collective Impairment Rs.	Total Impairment Rs.
As at 1 January 2016	47,189,934	166,786,229	213,976,163
Charge/(Write Back) for the Year	40,155,565	27,830,253	67,985,818
Amounts Written Off	(1,422,335)	-	(1,422,335)
As at 31 December 2016	85,923,164	194,616,482	280,539,646
Charge/(Write Back) for the Year	90,576,041	155,434,711	246,010,752
Amounts Written Off	(252,931)	-	(252,931)
As at 31 December 2017	176,246,274	350,051,193	526,297,467

22. FINANCIAL INVESTMENTS - AVAILABLE FOR SALE

	2017 Rs.	2016 Rs.
Investments in Securities		
Equities - Quoted (22.1)	320,271,501	391,782,149
Equities - Unquoted (22.2)	2,993,000	2,993,000
Total	323,264,501	394,775,149

22.1 Investment in Equity - Quoted

	No. of Ordinary Shares		Carrying Value	
	2017	2016	2017 Rs.	2016 Rs.
Access Engineering PLC	702,000	700,000	16,497,000	17,360,000
Amāna Takaful PLC	270,091,800	270,091,800	216,073,440	243,082,620
C. W. Mackie PLC	634,658	634,658	29,194,268	34,715,793
Chevron Lubricants Lanka PLC	113,100	112,600	13,458,900	17,689,460
Dialog Axiata PLC	-	2,325,000	-	24,412,500
Expolanka Holdings PLC	3,922,959	3,912,959	20,791,683	24,651,642
Teejay Lanka PLC	515,200	515,200	17,516,800	22,050,560
Vallibel Power Erathna PLC	898,588	888,588	6,739,410	7,819,574
Total			320,271,501	391,782,149

22.2 Investment in Equity - Unquoted

	No. of Ordinary Shares		Carrying Value	
	2017	2016	2017 Rs.	2016 Rs.
Lanka Clear (Private) Limited	50,000	50,000	2,000,000	2,000,000
Credit Information Bureau of Sri Lanka	300	300	993,000	993,000
Total Carrying Value			2,993,000	2,993,000

All unquoted Available for Sale investments are recorded at cost and the Bank intends to hold them for the long term.

23. OTHER FINANCIAL ASSETS

	2017 Rs.	2016 Rs.
Deposits, Prepayments and Advances	105,518,334	96,535,011
Pre-paid Staff Costs	154,079,850	144,539,265
Other Receivables	129,292,111	66,247,448
Total	388,890,295	307,321,725

24. OTHER NON FINANCIAL ASSETS

	2017 Rs.	2016 Rs.
Stationery Stock	5,187,187	6,223,554
Prepayments & Advances	224,700,878	146,675,090
Tax Receivables	103,281,260	74,160,117
Total	333,169,325	227,058,761

NOTES TO THE FINANCIAL STATEMENTS

25. PROPERTY, PLANT AND EQUIPMENT

	Freehold Land and Building Rs.	Improvements to Leasehold Premises Rs.	Furniture and Fittings Rs.	Office Equipment Rs.	Computer Equipment Rs.	Motor Vehicles Rs.	Computer Servers Rs.	Total Rs.
Cost or Valuation:								
As at 1 January 2016	892,000,000	183,721,794	129,068,967	316,406,051	182,583,336	22,831,545	90,833,341	1,817,445,034
Additions	278,542	40,438,045	20,546,302	44,020,046	22,078,569	233,100	10,884,466	138,479,070
Disposals	-	-	-	-	-	-	-	-
As at 31 December 2016	892,278,542	224,159,839	149,615,269	360,426,097	204,661,905	23,064,645	101,717,807	1,955,924,104
Additions	4,055,863	13,334,799	26,241,349	25,563,897	15,975,423	482,200	2,478,219	88,131,749
Revaluation (Note 25.5)	608,536,162	-	-	-	-	-	-	608,536,162
Transfer*	(3,587,717)	-	-	-	-	-	-	(3,587,717)
Disposals	-	-	(101,826)	(2,301,600)	-	-	-	(2,403,426)
As at 31 December 2017	1,501,282,850	237,494,638	175,754,793	383,688,394	220,637,328	23,546,845	104,196,026	2,646,600,872
Depreciation								
As at 1 January 2016	-	103,928,704	62,633,710	201,417,286	104,199,111	6,782,283	66,751,489	545,712,583
Disposals	-	-	-	-	-	-	-	-
Transfer*	-	-	-	-	-	-	-	-
Depreciation charge for the year	2,382,530	27,347,509	25,968,993	54,771,369	33,756,717	1,620,473	16,773,051	162,620,642
As at 31 December 2016	2,382,530	131,276,213	88,602,703	256,188,655	137,955,828	8,402,756	83,524,540	708,333,225
Disposals	-	-	(101,827)	(2,057,519)	-	-	-	(2,159,346)
Depreciation charge for the year	2,408,432	33,814,616	26,087,212	46,329,695	31,010,729	1,154,905	8,073,604	148,879,193
Transfer*	(3,587,716)	-	-	-	-	-	-	(3,587,716)
As at 31 December 2017	1,203,246	165,090,829	114,588,088	300,460,831	168,966,557	9,557,661	91,598,144	851,465,356
Net Book Value:								
As at 31 December 2017	1,500,079,604	72,403,809	61,166,704	83,227,563	51,670,771	13,989,184	12,597,882	1,795,135,517
As at 31 December 2016	889,896,012	92,883,626	61,012,566	104,237,442	66,706,077	14,661,889	18,193,267	1,247,590,879

* This transfer relates to the accumulated depreciation as at the revaluation date that was eliminated against the gross carrying amount of the revalued asset.

25.1 During the year, the Bank acquired Property Plant and Equipment to the aggregate value of Rs.88,131,749/- (2016 - Rs.138,479,070/-). Cash payments amounting to Rs.62,099,109/- (2016 - Rs.181,573,000/-) were made during the year for purchase of Property Plant and Equipment.

25.2 Property, Plant and Equipment includes fully depreciated assets with a gross carrying amount of Rs.416,184,627/- (2016 - Rs. 273,800,018/-) which are still in use at the date of the Statement of Financial Position.

25.3 There were no Property, Plant and Equipment identified as temporarily idle as at the date of the Statement of Financial Position.

25.4 No assets have been pledged by the Bank.

25.5 The Bank measures land and buildings at revalued amounts with gains in fair value being recognised in Statement of Comprehensive Income and losses in the Statement of Profit or Loss. An independent valuation specialist was engaged to assess the fair value as at 1 July 2017 for the revalued land and buildings. Land and buildings were valued by reference to market-based evidence, using comparable prices adjusted for specific market factors such as nature, location and condition of the property.

The key assumptions used to determine the fair value of the revalued land and buildings and the sensitivity analyses are further discussed below.

The revalued land and buildings consist of Office properties in Colombo 3, Sri Lanka. Management determined that these constitute one class of asset under SLFRS 13, based on the nature, characteristics and risks of the property.

Valuation methods, assumptions and measurement hierarchy

Fair value of the land and building is determined at Rs. 1,499,000,000 that falls under Level 3 (Significant unobservable inputs) of the fair value measurement hierarchy. The fair value was determined using the market comparable method. This means that valuations performed by the valuer are based on market prices, significantly adjusted for differences in the nature, location or condition of the specific property. The property's fair values are based on valuations performed by Mr. P. P. T. Mohideen (Chartered Valuation Surveyor and Fellow of the Institute of Valuers of Sri Lanka), an accredited independent valuer and having recent experience in the location and category of the Land and Building during the year.

Key valuation assumptions used are:

Significant unobservable valuation input:

Landing : Price per perch Rs. 20,000,000

Building : Price per square foot Rs. 3,150 - Rs. 3,850

Significant increases / (decreases) in estimated price per perch and square foot in isolation would result in a significantly higher / (lower) fair value.

Reconciliation of fair value of revalued land and buildings:

	Rs.
As at 1 January 2016	533,340,868
Level 3 revaluation recognised due to revaluation model	608,536,162
As at 31 December 2017	1,141,877,030

If Freehold Land and Building were measured using the cost model, the carrying amounts would be as follows:

	2017			2016		
	Cost Rs.	Accumulated Depreciation Rs.	Net Carrying Amount Rs.	Cost Rs.	Accumulated Depreciation Rs.	Net Carrying Amount Rs.
Freehold Land	300,299,702	-	300,299,702	300,299,702	-	300,299,702
Building	67,390,603	(7,715,900)	59,674,703	63,056,198	(6,247,699)	56,808,500
Net Carrying Amount	367,690,305	(7,715,900)	359,974,405	363,355,900	(6,247,699)	357,108,201

NOTES TO THE FINANCIAL STATEMENTS

25.6 The details of the Land and Building owned by the Bank are as follows;

	Extent		2017 Valuation		2016 Valuation	
	Land (Perches)	Building (Sq.ft)	Land Rs.	Building Rs.	Land Rs.	Building Rs.
486, Galle Road Colombo - 03	70.80	22,718	1,499,000,000	83,269,200	813,850,000	78,150,000

26. INTANGIBLE ASSETS

	Computer Software Rs.	Total Rs.
Cost:		
As at 1 January 2017	440,940,800	440,940,800
Additions	10,267,281	10,267,281
Disposal	(3,200,763)	(3,200,763)
As at 31 December 2017	448,007,318	448,007,318
Amortisation		
As at 1 January 2017	171,564,502	171,564,502
Amortisation charge for the year	48,967,708	48,967,708
Disposal	(3,200,763)	(3,200,763)
As at 31 December 2017	217,331,447	217,331,447
Net Book Value:		
As At 31 December 2017	230,675,871	230,675,871
As at 31 December 2016	269,376,298	269,376,298

27. DEFERRED TAX

	2017			2016		
	Deferred Tax Liability/ (Asset) Rs.	Statement of Profit or Loss Rs.	Statement of Comprehensive Income Rs.	Deferred Tax Liability/ (Asset) Rs.	Statement of Profit or Loss Rs.	Statement of Comprehensive Income Rs.
Deferred Tax Liability						
Capital allowances for tax purposes	196,665,504	(136,618,293)	-	333,283,796	8,073,942	-
Capital Gain for tax purposes	314,184,209	-	314,184,209	-	-	-
Deferred Tax Assets						
Defined Benefit Plans	(33,387,487)	(5,060,430)	(5,197,292)	(23,129,764)	(7,584,016)	2,597,021
Unused tax losses	(261,220,308)	195,289,283	-	(456,509,591)	(3,739,513)	-
Total	216,241,918	53,610,560	308,986,917	(146,355,559)	(3,249,587)	2,597,021

Deferred tax assets have been recognised to the extent that it is probable that future taxable profit will be available against which the unused tax losses can be utilised.

28. DUE TO BANKS

	2017 Rs.	2016 Rs.
Balances Due to Banks	-	751,963,513
Total	-	751,963,513

29. DERIVATIVE FINANCIAL LIABILITIES

	2017 Rs.	2016 Rs.
Spot and Promissory Forward Foreign Exchange Transactions	29,924,292	98,341,433
Total	29,924,292	98,341,433

30. DUE TO OTHER CUSTOMERS

	2017 Rs.	2016 Rs.
30.1 Total Amount Due to Other Customers	50,922,561,081	46,915,289,689
30.2 By Product		
Demand Deposits	3,504,119,592	2,863,712,363
Savings Deposits	20,341,454,239	19,002,309,432
Time Deposits	27,076,987,250	25,049,267,894
Total	50,922,561,081	46,915,289,689

30.3 By Currency

	2017 Rs.	2016 Rs.
Sri Lanka Rupees	46,033,920,992	41,507,697,806
United States Dollars	4,297,310,142	4,721,110,066
Others	591,329,947	686,481,817
Total	50,922,561,081	46,915,289,689

NOTES TO THE FINANCIAL STATEMENTS

31. OTHER FINANCIAL LIABILITIES

	2017 Rs.	2016 Rs.
Accrued Expenses	143,298,045	100,098,418
Balances Held in Margin	61,711,086	97,845,342
Cheques Pending Realisation	346,616,728	281,245,863
Other Liabilities	124,151,211	82,653,812
Sundry Creditors	4,693,576	4,721,684
Total	680,470,646	566,565,119

32. OTHER NON FINANCIAL LIABILITIES

	2017 Rs.	2016 Rs.
Statutory Payable	70,765,837	31,360,761
Total	70,765,837	31,360,761

33. RETIREMENT BENEFIT LIABILITY

	Note	2017 Rs.	2016 Rs.
At 1 January		82,606,302	74,070,679
Expenses recognised in the Statement of Profit or Loss	33.1	26,427,071	23,308,637
Actuarial Gain	33.2	18,561,756	(9,275,074)
Benefits paid		(8,354,105)	(5,497,940)
At 31 December		119,241,024	82,606,302
33.1 Expenses Recognised in the Statement of Profit or Loss			
Current Service Cost		16,101,284	15,793,176
Finance Cost		10,325,787	7,515,461
Components Recognised in the Statement of Profit or Loss		26,427,071	23,308,637
33.2 Expenses Recognised in the Statement of Comprehensive Income			
Recognition of Actuarial (Gain)/Loss		18,561,756	(9,275,074)
Components Recognised in Statement of Comprehensive Income		18,561,756	(9,275,074)

As at 31 December 2017 the gratuity liability of the Bank was actuarially valued under Projected Unit Credit Method by Messrs Piyal S Goonetilleke & Associates a firm of professional actuaries.

Appropriate and compatible assumptions were used in determining the cost of retirement benefits. The principal assumptions used are as follows:

	2017	2016
Discount Rate	10.32%	12.50%
Salary Increment Rate	9.0%	9.0%
Age of Retirement	55	55
Mortality	GA 1983 Mortality Table	GA 1983 Mortality Table

33.3 Sensitivity of Assumptions Employed in Actuarial Valuation

The following table demonstrates the sensitivity to a reasonably possible change in the key assumptions employed with all other variables held constant in the employment benefit liability measurement.

The sensitivity of the Statement Profit or Loss and Statement of Financial Position is the effect of the assumed changes in discount rate and salary increment rate on the profit or loss and employment benefit obligation for the year.

Increase / (Decrease) in Discount Rate	Increase / (Decrease) in Salary Increment	Sensitivity Effect on Comprehensive Income Increase/(Reduction) in Results for the Year (Rs. Mn.)		Sensitivity Effect on Employment Benefit Obligation Increase/(Decrease) in the Liability (Rs. Mn.)	
		2017	2016	2017	2016
1%	-	8.90	5.21	(8.90)	(5.21)
(1%)	-	(10.35)	(5.99)	10.35	5.99
	1%	(11.14)	(5.92)	11.14	5.92
	(1%)	9.75	5.24	(9.75)	(5.24)

33.4 Distribution of Defined Benefit Obligation Over Future Lifetime

The following table demonstrates distribution of the future working lifetime of the Defined Benefit Obligation as at the reporting date.

	2017 Rs.	2016 Rs.
Less than 1 year	14,900,974	16,835,071
Between 1 and 2 years	28,466,367	26,466,899
Between 3 and 5 years	65,217,347	36,619,669
Beyond 5 years	101,674,647	128,917,890
Total Expected Payments	210,259,335	208,839,529

34. STATED CAPITAL

34.1 Summary	2017		2016	
	Number	Rs.	Number	Rs.
Fully Paid Ordinary Shares	2,501,390,534	10,619,450,156	1,250,695,267	5,866,808,141
Total	2,501,390,534	10,619,450,156	1,250,695,267	5,866,808,141

NOTES TO THE FINANCIAL STATEMENTS

34.2 Fully Paid Ordinary Shares

	2017		2016	
	Number	Rs.	Number	Rs.
Balance as at 1 January	1,250,695,267	5,866,808,141	1,250,695,267	5,866,808,141
Issue of Shares for Cash	1,250,695,267	4,752,642,015	-	-
Balance as at 31 December	2,501,390,534	10,619,450,156	1,250,695,267	5,866,808,141

35. STATUTORY RESERVE FUND

The Statutory Reserve Fund is maintained as required by Section 20 (1) of the Banking Act No. 30 of 1988. A sum equivalent to 5% of the Profit for the year should be transferred to the Reserve until the reserve is equal to 50% of the paid up capital of the Bank and thereafter a sum equivalent to 2% of such profits until the amount of reserve is equal to the paid up capital of the Bank. This Reserve Fund will be used only for the purpose specified in Section 20 (2) of the Banking Act No. 30 of 1988.

35.1 Statutory Reserve Fund

	2017 Rs.	2016 Rs.
Balance as at 1 January	29,325,984	15,231,195
Transfers During the Year	25,141,384	14,094,789
Balance as at 31 December	54,467,368	29,325,984

36. OTHER RESERVES

	Revenue Reserve Rs.	Available for Sale Reserve Rs.	Total Rs.
As at 1 January 2016	(216,926,328)	(44,598,725)	(261,525,053)
Transferred During the Year	-	23,149,267	23,149,267
Net Gain/(Loss) on Financial Investments - Available for Sale	-	(5,418,752)	(5,418,752)
As at 31 December 2016	(216,926,328)	(26,868,210)	(243,794,538)
Reclassifying to Profit or Loss as Impairment	-	25,845,573	25,845,573
Share Issue Expenses	(9,536,684)	-	(9,536,684)
Net Gain/(Loss) on Financial Investments - Available for Sale	-	(27,009,180)	(27,009,180)
Transferred to Retained Earnings	226,463,012	-	226,463,012
As at 31 December 2017	-	(28,031,817)	(28,031,817)

36.1 Revenue Reserve

Revenue Reserve included expenses incurred on issuance of Ordinary Shares. During the year, balances in the Bank's Revenue Reserve was transferred to Retained Earnings.

36.2 Available for Sale Reserve

The Available for Sale Reserve comprises of the cumulative changes in fair value of Financial Investment - Available for Sale, until such investments are de-recognised or impaired.

37. REVALUATION RESERVE

	2017 Rs.	2016 Rs.
As at 1 January	526,908,060	527,799,509
Revaluation of Freehold Land and Building (Note 25.5)	608,536,162	-
Deferred Tax effect on Revaluation Surplus	(314,184,209)	-
Transferred to Retained Earnings	(543,230)	(891,449)
As at 31 December	820,716,783	526,908,060

38. FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES

Financial instruments comprise financial assets, financial liabilities, derivatives financial instruments and off-balance sheet instruments. 'Fair value' is the price that would be received to sell an asset or paid to transfer a liability (exit price) in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Bank has access at that date. The fair value of a liability reflects its non-performance risk. The information presented herein represents the determination of fair values as at the reporting date.

38.1 Financial Instruments Carried at Fair Value

The following is a description of how fair values are determined for financial instruments that are recorded at fair value as at the reporting date. These incorporate the Bank's estimate of assumptions that a market participant would make when valuing the instruments.

Derivative Financial Assets and Liabilities:

Derivative products are promissory forward foreign exchange transactions, valued using a valuation technique with market-observable inputs. The most frequently applied valuation techniques include promissory forward foreign exchange spot and Net Present Value.

Financial Investments - Held for Trading, Financial Investments - Available for Sale:

The estimated fair values are based on quoted and observable market prices.

Fair Value Hierarchy

SLFRS 13 specifies a hierarchy of valuation techniques based on whether the inputs to those valuation techniques are observable or unobservable. Observable inputs reflect market data obtained from independent sources and unobservable inputs reflect the Bank's market assumptions. The fair value hierarchy is as follows:

- ◆ Level 1: Quoted price (unadjusted) in active markets for the identical assets or liabilities. This level includes listed equity securities and debt instruments.
- ◆ Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- ◆ Level 3: Inputs for asset or liability that are not based on observable market data (unobservable inputs). This level includes equity instruments and debt instruments with significant unobservable components.

NOTES TO THE FINANCIAL STATEMENTS

The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy:

31 December 2017	Level 1	Level 2	Level 3	Total
Financial Assets				
Derivative Financial Assets	-	127,616,662	-	127,616,662
Financial Investments - Held for Trading	41,645,557	-	-	41,645,557
Financial Investments - Available for Sale	320,271,501	-	-	320,271,501
	361,917,058	127,616,662	-	489,533,720
Financial Liabilities				
Derivative Financial Liabilities	-	29,924,292	-	29,924,292
	-	29,924,292	-	29,924,292

31 December 2016	Level 1	Level 2	Level 3	Total
Financial Assets				
Derivative Financial Assets	-	59,483,044	-	59,483,044
Financial Investments - Held for Trading	45,181,589	-	-	45,181,589
Financial Investments - Available for Sale	391,782,149	-	-	391,782,149
	436,963,738	59,483,044	-	496,446,782
Financial Liabilities				
Derivative Financial Liabilities	-	98,341,433	-	98,341,433
	-	98,341,433	-	98,341,433

38.2 Financial Instruments Not Carried at Fair Value

Set out below is a comparison, by class, of the carrying amounts and fair values of the Bank's financial instruments that are not carried at fair value in the Financial Statements. This table does not include the fair values of Non-Financial Assets and Non-Financial Liabilities.

	2017		2016	
	Carrying Value Rs.	Fair Value Rs.	Carrying Value Rs.	Fair Value Rs.
Financial Assets				
Cash and Cash Equivalents	5,859,766,950	5,859,766,950	5,016,458,817	5,016,458,817
Balance with Central Bank of Sri Lanka	4,127,811,572	4,127,811,572	2,292,887,937	2,292,887,937
Placements with Banks	5,285,796,238	5,405,601,269	3,624,928,993	3,631,942,856
Placements with Licensed Finance Companies	2,112,166,496	2,473,257,270	954,528,071	1,021,171,907
Financing and Receivables to Other Customers	42,914,143,571	41,687,070,066	33,073,596,195	29,067,929,001
Other Financial Assets	388,890,295	388,890,295	307,321,725	307,321,725
	60,688,575,122	59,942,397,422	45,269,721,738	41,337,712,243
Financial Liabilities				
Due to Other Customers	50,922,561,081	50,922,561,081	46,915,289,689	46,915,289,689
Other Financial Liabilities	680,470,646	680,470,646	341,597,683	341,597,683
	51,603,031,727	51,603,031,727	47,256,887,372	47,256,887,372

The following describes the methodologies and assumptions used to determine fair values for those financial instruments which are not already recorded at fair value in the financial statements:

Balances with Banks, Balances with Licensed Finance Companies, Other Financial Assets and Other Financial Liabilities

For the above, which includes only instruments with maturities of less than 12 months, the carrying value is a reasonable estimate of fair values.

Financing and Receivables to Other Customers

The fair value of the above are estimated by discounting the estimated future cash flows using the prevailing market rates of financing as of the reporting date with similar credit risks and maturities (Level 3).

Due to Other Customers

The fair values of the above are deemed to approximate their carrying amounts as rate of returns are determined at the end of their holding periods based on the profit generated from the relevant investments.

39. RISK MANAGEMENT

39.1 Introduction

Risk is inherent in the Bank's activities but is managed through a process of ongoing identification, measurement and monitoring, subject to risk limits and other controls. This process of risk management is critical to the Bank's continuing profitability and each individual within the Bank is accountable for the risk exposures relating to his or her areas of responsibility. The Bank is mainly exposed to;

1. Credit Risk
2. Liquidity risk
3. Market risk

39.2 Risk Management Structure

The Board of Directors is responsible for the overall risk management approach and for approving the risk management strategies and principles. Risk Management Department (RMD) oversees the risks faced by the Bank in its internal operations and from external environment.

The Board Integrated Risk Management Committee (BIRMC)

The Board Integrated Risk Management Committee (BIRMC) is a subcommittee of the Board meets quarterly or more regularly as required to review and assess the Bank's overall risk and to focus on policy recommendations and strategies in an integrated manner. The BIRMC is commissioned and officiated by the Board of Directors. BIRMC functions as an overall supervisory body comprising of 2 Directors.

Assets and Liabilities Committee (ALCO)

The Bank's Assets and Liabilities Committee (ALCO) regularly reviews and monitors the maintenance of liquidity position of the Bank and the concentration of large deposits in order to avoid undue dependence on individual deposits. Bank monitors liquidity by way of various ratios as required by the Board approved Asset and Liability Management Policy.

Risk Measurement and Reporting Systems

The Bank's risks are measured using a method which reflects the expected loss likely to arise in normal circumstances. These are an estimate of the ultimate actual loss based on statistical models.

Monitoring and controlling risks is primarily performed based on limits established by the Bank. These limits reflect the business strategy and market environment of the Bank as well as the level of risk that the Bank is willing to accept, with additional emphasis on selected industries.

NOTES TO THE FINANCIAL STATEMENTS

Information compiled from all the businesses is examined and processed in order to analyse, control and identify risks on a timely basis. This information is presented and explained to the Board of Directors, the BIRMC, and the head of each business unit.

The report includes aggregate credit exposure, Value at Risk (VaR), liquidity ratios and risk profile changes.

Risk Concentration

Concentrations arise when a number of counterparties are engaged in similar business activities, or have similar economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions. Concentrations indicate the relative sensitivity of the Bank's performance to developments affecting a particular industry.

39.3 Credit Risk

Credit risk is the risk that the Bank will incur a loss because its customers or counterparties fail to discharge their contractual obligations. The Bank manages and controls credit risk by setting limits on the amount of risk it is willing to accept for individual counterparties and industry concentrations, and by monitoring exposures in relation to such limits.

a) Impairment Assessment

The approach used for the assessment of impairment is elaborated under Accounting Policies (Note No. 2.3.3)

b) Credit Related Commitment Risk

The risk arising from transactions relating to contingent liabilities (Letters of Credit, Letters of Guarantees and undrawn amount under approved authorisations) is included under this caption. Notwithstanding the non-funded nature of these products, the Bank is prone to a resultant financial loss due to the nature of such products, i.e. claim on guarantees, negotiation of LCs and non-utilisation of facilities.

c) Collateral and Other Credit Enhancement

An assessment of the credit risk of an individual at the time of issuing or enhancing a facility shall determine the amount and type of collateral that is required.

In the event of default, the Bank may, as a remedial measure, exercise its charge of the collateral obtained at the time of approval of credit facilities. Hence, the credit risk is eliminated to the extent of the net realisable value of such collateral, which has a weightage depending on nature of the collateral. Management monitors the market value of such collateral and requests additional collateral if required when reviewing the adequacy of the allowance for impairment losses.

d) Credit Quality by Class of Financial Assets (Gross)

The credit quality of financial assets is managed by the Bank using internal credit ratings. The table below shows the credit quality by class of asset for all financial assets exposed to credit risk, based on the Bank's internal credit rating system. The amounts presented are gross of impairment allowances.

Financial Assets as at 31 December 2017	Neither Past Due Nor Impaired				Past Due But Not Impaired*	Individually Impaired	Total
	High Grade Rs.	Standard Grade Rs.	Sub-Standard Grade Rs.	Un-Rated Rs.			
Cash and Cash Equivalents	5,859,766,950	-	-	-	-	-	5,859,766,950
Balance with Central Bank of Sri Lanka	4,127,811,572	-	-	-	-	-	4,127,811,572
Derivative Financial Assets	126,799,006	817,656	-	-	-	-	127,616,662
Placements with Banks	5,285,796,238	-	-	-	-	-	5,285,796,238
Placements with Licensed Finance Companies	2,112,166,496	-	-	-	-	-	2,112,166,496
Financial Investments - Held for Trading	-	41,645,557	-	-	-	-	41,645,557
Financing and Receivables to Other Customers	17,584,882,213	24,956,694,692	78,415,155	-	337,537,798	482,911,180	43,440,441,038
Financial Investments - Available for Sale	16,497,000	303,774,501	-	2,993,000	-	-	323,264,501
Other Financial Assets	284,068	-	-	388,606,227	-	-	388,890,295
Total	35,114,003,543	25,302,932,406	78,415,155	391,599,227	337,537,798	482,911,180	61,707,399,309

Financial Assets as at 31 December 2016	Neither Past Due Nor Impaired				Past Due But Not Impaired*	Individually Impaired	Total
	High Grade Rs.	Standard Grade Rs.	Sub-Standard Grade Rs.	Un-Rated Rs.			
Cash and Cash Equivalents	5,686,924,056	-	-	-	-	-	5,686,924,056
Balance with Central Bank of Sri Lanka	2,816,770,223	-	-	-	-	-	2,816,770,223
Derivative Financial Assets	59,241,245	241,799	-	-	-	-	59,483,044
Placements with Banks	4,662,466,350	-	-	-	-	-	4,662,466,350
Placements with Licensed Finance Companies	20,517	-	-	-	-	-	20,517
Financial Investments - Held for Trading	-	45,181,589	-	-	-	-	45,181,589
Financing and Receivables to Other Customers	16,392,603,170	22,001,298,845	23,203,400	-	214,810,737	100,285,943	38,732,202,095
Financial Investments - Available for Sale	24,412,500	367,369,649	-	2,993,000	-	-	394,775,149
Other Financial Assets	-	-	-	307,321,725	-	-	307,321,725
Total	29,642,438,061	22,414,091,882	23,203,400	310,314,725	214,810,737	100,285,943	52,705,144,748

* Age Analysis of Past due but not impaired financing by class of Financial Assets

Past Due But Not Impaired	Past Due But Not Impaired				Total Rs.
	Less than 30 days Rs.	30 to 59 days Rs.	60 to 89 days Rs.	More than 89 days Rs.	
Financing and Receivables to Other Customers - 31 December 2017	14,170,768	8,367,610	31,819,092	283,180,328	337,537,798
Financing and Receivables to Other Customers - 31 December 2016	11,902,029	24,965,308	13,362,485	164,580,915	214,810,737

NOTES TO THE FINANCIAL STATEMENTS

e) Analysis of Risk Concentration

Maximum exposure to credit risk is reviewed/monitored without taking account of any collateral and other credit enhancements. The Concentration risk is monitored by industry. The following table shows the maximum exposure to credit risk for the components of the Statement of Financial Position, including sector.

Industry Analysis

The following table shows the risk concentration by industry for the components of the Statement of Financial Position.

Financial Assets as at 31 December 2017	Government	Banks, Financial and Business Services	Agriculture and Fishing	Manufacturing	Tourism
	Rs.	Rs.	Rs.	Rs.	Rs.
Cash and Cash Equivalents	-	5,859,766,950	-	-	-
Balance with Central Bank of Sri Lanka	4,127,811,572	-	-	-	-
Derivative Financial Assets	-	126,799,006	-	-	-
Placements with Banks	-	5,285,796,238	-	-	-
Placements with Licensed Finance Companies	-	2,112,166,496	-	-	-
Financial Investments - Held for Trading	-	3,618,309	-	17,579,073	-
Financing and Receivables to Other Customers	-	126,841,669	7,127,658,590	7,459,433,920	693,991,766
Financial Investments - Available for Sale	-	219,066,440	-	38,308,483	-
Other Financial Assets	180,011,360	34,147,140	-	-	-
Total	4,307,822,932	13,768,202,247	7,127,658,590	7,515,321,475	693,991,766

Financial Assets as at 31 December 2016	Government	Banks, Financial and Business Services	Agriculture and Fishing	Manufacturing	Tourism
	Rs.	Rs.	Rs.	Rs.	Rs.
Cash and Cash Equivalents	-	5,686,924,056	-	-	-
Balance with Central Bank of Sri Lanka	2,816,770,223	-	-	-	-
Derivative Financial Assets	-	59,241,245	-	-	-
Placements with Banks	-	4,662,466,350	-	-	-
Placements with Licensed Finance Companies	-	20,517	-	-	-
Financial Investments - Held for Trading	-	4,070,597	-	14,388,320	-
Financing and Receivables to Other Customers	-	629,427,568	6,160,408,026	6,592,654,957	881,087,317
Financial Investments - Available for Sale	-	246,075,620	-	46,702,202	-
Other Financial Assets	63,272,411	66,488,834	-	-	-
Total	2,880,042,634	11,354,714,787	6,160,408,026	6,653,745,479	881,087,317

Transport	Construction	Trading	New Economy	Infrastructure	Services	Consumers	Total
Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
-	-	-	-	-	-	-	5,859,766,950
-	-	-	-	-	-	-	4,127,811,572
-	-	817,656	-	-	-	-	127,616,662
-	-	-	-	-	-	-	5,285,796,238
-	-	-	-	-	-	-	2,112,166,496
-	-	12,358,175	-	8,090,000	-	-	41,645,557
672,508,862	6,498,301,669	9,595,514,369	272,551,395	268,259,334	1,682,616,447	9,042,763,017	43,440,441,038
-	16,497,000	29,194,268	-	20,198,310	-	-	323,264,501
-	-	-	-	-	24,704,304	150,027,491	388,890,295
672,508,862	6,514,798,669	9,637,884,468	272,551,395	296,547,644	1,707,320,751	9,192,790,508	61,707,399,308

Transport	Construction	Trading	New Economy	Infrastructure	Services	Consumers	Total
Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
-	-	-	-	-	-	-	5,686,924,056
-	-	-	-	-	-	-	2,816,770,223
-	-	241,799	-	-	-	-	59,483,044
-	-	-	-	-	-	-	4,662,466,350
-	-	-	-	-	-	-	20,517
-	-	14,157,071	-	12,565,600	-	-	45,181,589
591,201,547	4,967,031,651	8,851,862,984	293,950,069	380,881,207	2,144,168,044	7,239,528,725	38,732,202,095
-	17,360,000	34,715,793	-	49,921,535	-	-	394,775,149
-	-	-	-	-	31,993,471	145,567,009	307,321,725
591,201,547	4,984,391,651	8,900,977,647	293,950,069	443,368,342	2,176,161,515	7,385,095,734	52,705,144,748

NOTES TO THE FINANCIAL STATEMENTS

f) Analysis of Maximum Exposure to Credit risk and Collateral and Other Credit Enhancements

The following table shows the maximum exposure to credit risk by class of financial asset and the value of financial assets covered by the collateral.

Financial Assets as at 31 December	2017		2016	
	Maximum Exposure to Credit Risk Rs.	Net Exposure Rs.	Maximum Exposure to Credit Risk Rs.	Net Exposure Rs.
Financing and Receivables to Other Customers	43,440,441,038	10,529,087,707	38,732,202,095	7,770,482,486
Total	43,440,441,038	10,529,087,707	38,732,202,095	7,770,482,486

39.4 Liquidity Risk and Funding Management

Liquidity risk implies the potential for loss to the Bank due to inability to meet its obligation or to fund the increase in assets as they fall due without incurring high cost.

Internal control processes and contingency plans for managing liquidity risk have been developed by the Bank under the Assets and Liabilities Management policy of the Bank. This incorporates an assessment of expected cash flows and the availability of liquid funds which could be used if required.

As required by the Provisions of Section 93 of the Monetary Law Act, a cash balance is required to be maintained with Central Bank of Sri Lanka. As at 31 December 2017, the minimum cash reserve requirement was 7.5% (2016 - 7.5%) of the Rupee liabilities of the Domestic Banking Unit. There is no reserve requirement for foreign currency deposit liabilities of the Domestic Banking Unit.

The Bank monitors the mix of deposits closely and concentrates on mobilizing zero or low cost deposits such as current accounts and savings accounts as a source of major funding.

Liquid assets are defined for the purposes of the liquidity ratio which are mainly cash and cash equivalents and placements with banks. Adequate liquid assets are maintained due to the Bank's operational business model adopted and ensure the Statutory Liquid Asset Ratio is maintained as per regulatory requirements.

a) Liquidity Ratios

	2017	2016
Financing and Receivables to Other Customers to Due to Other Customers ratio (Net)		
Year end	84.27%	81.96%
Statutory Liquid Assets ratio		
Year end	22.23%	22.59%

b) Analysis of Financial Assets and Liabilities by Remaining Contractual Maturities

The table below summarises the maturity profile of the undiscounted cash flows (Gross) of the Bank's Financial Assets and Financial Liabilities as at the end of the reporting period.

Statement of Financial Position as at 31 December 2017	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Financial Assets						
Cash and Cash Equivalents	5,859,766,950	-	-	-	-	5,859,766,950
Balance with						
Central Bank of Sri Lanka	4,127,811,572	-	-	-	-	4,127,811,572
Derivative Financial Assets	64,177,414	63,439,248	-	-	-	127,616,662
Placements with Banks	2,317,143,804	2,968,652,434	-	-	-	5,285,796,238
Placements with						
Licensed Finance Companies	4,787,729	2,107,378,767	-	-	-	2,112,166,496
Financial Investments						
- Held for Trading	41,645,557	-	-	-	-	41,645,557
Financing and Receivables						
to Other Customers	13,695,816,865	12,766,795,005	18,318,777,978	3,009,052,947	2,701,089,295	50,491,532,090
Financial Investments						
- Available for Sale	-	-	104,198,061	-	219,066,440	323,264,501
Other Financial Assets	293,328,360	78,463,304	17,098,630	-	-	388,890,295
Total Undiscounted						
Financial Assets	26,404,478,251	17,984,728,758	18,440,074,669	3,009,052,947	2,920,155,735	68,758,490,360
Financial Liabilities						
Due to Banks	-	-	-	-	-	-
Derivative Financial Liabilities	8,191,363	21,732,929	-	-	-	29,924,292
Due to Other Customers	30,045,906,628	18,011,919,927	1,139,095,535	576,270,982	1,149,368,009	50,922,561,081
Other Financial Liabilities	663,226,394	7,590,457	9,653,794	-	-	680,470,646
Total Undiscounted						
Financial Liabilities	30,717,324,385	18,041,243,313	1,148,749,329	576,270,982	1,149,368,009	51,632,956,018
Total Net Financial Assets/ (Liabilities)	(4,312,846,134)	(56,514,555)	17,291,325,340	2,432,781,965	1,770,787,726	17,125,534,341

NOTES TO THE FINANCIAL STATEMENTS

Statement of Financial Position as at 31 December 2016	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Financial Assets						
Cash and Cash Equivalents	5,686,924,056	-	-	-	-	5,686,924,056
Balance with Central Bank of Sri Lanka	2,816,770,223	-	-	-	-	2,816,770,223
Derivative Financial Assets	58,558,845	924,199	-	-	-	59,483,044
Placements with Banks	4,662,466,350	-	-	-	-	4,662,466,350
Placements with						
Licensed Finance Companies	20,517	-	-	-	-	20,517
Financial Investments - Held for Trading	45,181,589	-	-	-	-	45,181,589
Financing and Receivables						
to Other Customers	10,626,744,114	10,481,199,783	17,142,151,316	2,553,769,482	1,642,196,859	42,446,061,554
Financial Investments - Available for Sale	-	-	148,699,529	-	246,075,620	394,775,149
Other Financial Assets	282,519,709	4,260,030	20,541,986	-	-	307,321,725
Total Undiscounted Financial Assets	24,179,185,403	10,486,384,012	17,311,392,831	2,553,769,482	1,888,272,479	56,419,004,207
Financial Liabilities						
Due to Banks	751,963,513	-	-	-	-	751,963,513
Derivative Financial Liabilities	88,627,436	9,713,997	-	-	-	98,341,433
Due to Other Customers	29,865,083,824	14,294,056,005	1,015,509,210	618,252,249	1,122,388,401	46,915,289,689
Other Financial Liabilities	561,786,186	-	4,778,933	-	-	566,565,119
Total Undiscounted Financial Liabilities	31,267,460,959	14,303,770,002	1,020,288,143	618,252,249	1,122,388,401	48,332,159,754
Total Net Financial Assets/(Liabilities)	(7,088,275,556)	(3,817,385,990)	16,291,104,688	1,935,517,233	765,884,078	8,086,844,453

c) Contractual Maturities of Commitments & Contingencies

As at 31 December 2017	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Acceptances	1,519,627,607	203,329,837	-	-	-	1,722,957,444
Letters of Credit	1,887,733,459	188,918,815	-	-	-	2,076,652,274
Guarantees, Bonds	688,885,239	1,161,996,873	230,577,169	-	-	2,081,459,281
Outward Clearing Receivable	359,312,508	-	-	-	-	359,312,508
Promissory Forward Sales	4,678,724,326	5,843,888,679	-	-	-	10,522,613,005
Promissory Forward Purchases	2,911,273,144	1,074,850,000	-	-	-	3,986,123,144
Commitments for Unutilised Facilities	2,630,663,354	3,945,995,030	-	-	-	6,576,658,384
Bills for Collection & Other	487,362,797	51,939	-	-	-	487,414,736
Total	15,163,582,433	12,419,031,173	230,577,169	-	-	27,813,190,776

As at 31 December 2016	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Acceptances	1,848,778,260	362,878,223	-	-	-	2,211,656,483
Letters of Credit	1,056,311,965	121,784,705	-	-	-	1,178,096,670
Guarantees, Bonds	624,195,217	959,979,896	188,218,453	-	-	1,772,393,566
Outward Clearing Receivable	335,121,313	-	-	-	-	335,121,313
Promissory Forward Sales	8,291,504,269	3,391,674,911	-	-	-	11,683,179,180
Promissory Forward Purchases	5,713,975,756	-	-	-	-	5,713,975,756
Commitments for Unutilised Facilities	1,149,707,528	1,724,561,291	-	-	-	2,874,268,819
Bills for Collection & Other	412,729,171	9,703,532	-	-	-	422,432,703
Total	19,432,323,479	6,570,582,558	188,218,453	-	-	26,191,124,490

39.5 Market Risk

Market Risk denotes the risk of losses arising out of balance sheet positions due to changes in market prices. Market risk mainly arises from activities undertaken by the Bank's treasury and foreign exchange, equity, commodity and money market portfolios, which mainly contribute towards market risk of the Bank. A Board approved comprehensive limit structure has been adopted by the Bank to mitigate and monitor the market risk of the Bank.

a) Rate Risk

The rate risk arises due to changes in value of financial instruments arising due to changes in market rates. The Bank is exposed to this risk due to the mismatches in maturities of assets and liabilities that mature or are re-priced during a specified time period. In order to manage and mitigate rate risk, the Bank's ALCO reviews the re-pricing of assets and liabilities at ALCO meetings held regularly. Bank's rate risk is limited due to the model adopted where all of Due to Other Customers (customer deposits) have been accepted on the Profit and Loss sharing basis.

Rate Sensitive Assets and Liabilities Maturity Gaps (Contractual Basis) as at 31.12.2017

	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Non Rate Bearing Rs.	Total Rs.
Cash and Cash Equivalents	-	-	-	-	-	5,859,766,950	5,859,766,950
Balance with Central Bank of Sri Lanka	-	-	-	-	-	4,127,811,572	4,127,811,572
Derivative Financial Assets	-	-	-	-	-	127,616,662	127,616,662
Placements with Banks	2,317,143,804	2,968,652,434	-	-	-	-	5,285,796,238
Placements with							
Licensed Finance Companies	4,787,729	2,107,378,767	-	-	-	-	2,112,166,496
Financial Investments - Held for Trading	-	-	-	-	-	41,645,557	41,645,557
Financing and Receivables							
to Other Customers	13,043,443,208	13,038,299,259	10,636,641,285	3,940,618,367	2,255,141,452	-	42,914,143,571
Financial Investments - Available for Sale	-	-	-	-	-	323,264,501	323,264,501
Other Financial Assets	-	-	-	-	-	388,890,295	388,890,295
Total Assets	15,365,374,741	18,114,330,460	10,636,641,285	3,940,618,367	2,255,141,452	10,868,995,537	61,181,101,842
Derivative Financial Liabilities	-	-	-	-	-	29,924,292	29,924,292
Due to Other Customers	26,541,787,036	18,011,919,927	1,139,095,535	576,270,982	1,149,368,009	3,504,119,592	50,922,561,081
Other Financial Liabilities	-	-	-	-	-	680,470,646	680,470,646
Total Liabilities	26,541,787,036	18,011,919,927	1,139,095,535	576,270,982	1,149,368,009	4,214,514,530	51,632,956,018
Rate Sensitivity Gap	(11,176,412,295)	102,410,534	9,497,545,750	3,364,347,385	1,105,773,443	6,654,481,007	

NOTES TO THE FINANCIAL STATEMENTS

Rate Sensitive Assets and Liabilities Maturity Gaps (Contractual Basis) as at 31.12.2016

	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Non Rate Bearing Rs.	Total Rs.
Cash and Cash Equivalents	-	-	-	-	-	5,686,924,056	5,686,924,056
Balance with Central Bank of Sri Lanka	-	-	-	-	-	2,816,770,223	2,816,770,223
Derivative Financial Assets	-	-	-	-	-	59,483,044	59,483,044
Placements with Banks	4,662,466,350	-	-	-	-	-	4,662,466,350
Placements with							
Licensed Finance Companies	20,517	-	-	-	-	-	20,517
Financial Investments - Held for Trading	-	-	-	-	-	45,181,589	45,181,589
Financing and Receivables							
to Other Customers	13,199,292,444	8,551,949,155	10,662,465,001	4,131,663,342	1,906,292,506	-	38,451,662,449
Financial Investments - Available for Sale	-	-	-	-	-	394,775,149	394,775,149
Other Financial Assets	-	-	-	-	-	307,321,725	307,321,725
Total Assets	17,861,779,312	8,551,949,155	10,662,465,001	4,131,663,342	1,906,292,506	9,310,455,786	52,424,605,102
Derivative Financial Liabilities	-	-	-	-	-	98,341,433	98,341,433
Due to Other Customers	27,001,371,461	14,294,056,005	1,015,509,210	618,252,249	1,122,388,402	2,863,712,362	46,915,289,689
Other Financial Liabilities	-	-	-	-	-	566,565,119	566,565,119
Total Liabilities	27,001,371,461	14,294,056,005	1,015,509,210	618,252,249	1,122,388,402	3,528,618,914	47,580,196,241
Rate Sensitivity Gap	(9,139,592,149)	(5,742,106,850)	9,646,955,791	3,513,411,093	783,904,104	5,781,836,872	

39.6 Foreign Exchange Risk

Foreign Exchange risk which arises due to the changes in foreign exchange rates is managed by the Bank by setting and monitoring dealer, currency, counterparty and settlement limits for On and Off Balance Sheet instruments.

Bank's activities in the Trade Finance business results in Off Balance Sheet financial instruments. In addition, the Bank engages in interbank promissory forward foreign exchange transactions to cover the positions created due to customer transactions. Such transactions are carried out on a matched basis to manage the cash flows of currencies.

The currency risk is managed and monitored against the regulatory limits approved for the Bank by the Central Bank of Sri Lanka. The foreign exchange exposures in individual currencies are managed according to the limits approved by the Board of Directors.

39.7 Currency Risk

Currency risk arises as a result of price fluctuations in assets due to change in exchange rates. The Board of Directors has set limits for currency wise exposures. The currency exposures are monitored on a daily basis as required by the risk management policy of the Bank.

The table below indicates the exposures in currencies the Bank carried as at 31.12.2017. and the effect of the gains/losses if the market rates appreciate/depreciate by 5%. The calculation indicates a reasonably practical movement of currency rates against Sri Lankan Rupees.

If market rates appreciate or depreciate by 5% the effect of the same to the exchange gain/(loss) would be:

Currency	2017		2016	
	5% Appreciation Rs.	5% Depreciation Rs.	5% Appreciation Rs.	5% Depreciation Rs.
Australian Dollars	911,044	108,025	(911,044)	108,025
Great Britain Pounds	43,143	50,176	(43,143)	50,176
Japanese Yen	2,697	(2,528)	(2,697)	(2,528)
United States Dollars	(23,299,163)	8,907,940	23,299,163	8,907,940
Other Currencies	1,922,736	(1,864,802)	(1,922,736)	(1,864,802)
Total	(20,419,542)	7,198,810	20,419,542	7,198,810

39.8 Equity Price Risk

Equity price risk arises due to changes in individual equity prices.

The Board of Directors of the Bank has laid down sector, portfolio and loss limits to control and mitigate the risks of the equity portfolio. The Bank also adheres to the guidelines issued by Central Bank of Sri Lanka regarding the exposure to a single entity and the total exposure limit for the equity portfolio. The performance of the equity portfolio is monitored by the BIRMC, ALCO and the Equity Investment Committee (EIC). The Bank engages in transactions only in Sharia compliant equities which are listed in the published "White List" of stocks.

Daily Mark-to-Market of portfolios are carried out based on the weighted average closing prices of the Colombo Stock Exchange.

NOTES TO THE FINANCIAL STATEMENTS

40. MATURITY ANALYSIS

	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total as at 31.12.2017 Rs.
Cash and Cash Equivalents	5,859,766,950	-	-	-	-	5,859,766,950
Balance with Central Bank of Sri Lanka	2,217,234,256	1,396,004,523	174,871,822	142,381,133	197,319,838	4,127,811,572
Derivative Financial Assets	64,177,414	63,439,248	-	-	-	127,616,662
Placements with Banks	2,317,143,804	2,968,652,434	-	-	-	5,285,796,238
Placements with						
Licensed Finance Companies	4,787,729	2,107,378,767	-	-	-	2,112,166,496
Financial Investments - Held for Trading	41,645,557	-	-	-	-	41,645,557
Financing and Receivables						
to Other Customers	13,043,443,208	13,038,299,259	10,636,641,285	3,940,618,367	2,255,141,452	42,914,143,571
Financial Investments - Available for Sale	-	-	104,198,061	-	219,066,440	323,264,501
Other Financial Assets	293,328,360	78,463,304	17,098,630	-	-	388,890,295
Other Non Financial Assets	249,613,747	27,369,174	56,186,404	-	-	333,169,325
Property, Plant and Equipment	-	-	-	-	1,795,135,517	1,795,135,517
Intangible Assets	-	-	-	-	230,675,871	230,675,871
Deferred Tax Assets	-	-	-	-	-	-
Total Assets	24,091,141,025	19,679,606,709	10,988,996,202	4,082,999,500	4,697,339,118	63,540,082,555
Liabilities						
Due to Banks	-	-	-	-	-	-
Derivative Financial Liabilities	8,191,363	21,732,929	-	-	-	29,924,292
Due to Customers	18,134,740,047	24,050,675,886	2,979,761,756	2,416,937,203	3,340,446,190	50,922,561,081
Other Financial Liabilities	663,226,394	7,590,457	9,653,794	-	-	680,470,646
Current Tax Liabilities	-	187,075,365	-	-	-	187,075,365
Other Non Financial Liabilities	70,765,834	-	-	-	-	70,765,834
Deferred Tax Liability	-	-	-	-	216,241,918	216,241,918
Deferred Benefit Liabilities	-	-	-	-	119,241,024	119,241,024
Total Liabilities	18,876,923,638	24,267,074,637	2,989,415,550	2,416,937,203	3,675,929,132	52,226,280,160
Maturity Gap	5,214,217,387	(4,587,467,927)	7,999,580,652	1,666,062,297	1,021,409,986	11,313,802,395

	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total as at 31.12.2016 Rs.
Cash and Cash Equivalents	5,686,924,056	-	-	-	-	5,686,924,056
Balance with Central Bank of Sri Lanka	920,034,577	984,485,117	294,297,355	272,636,532	345,316,641	2,816,770,223
Derivative Financial Assets	58,558,845	924,199	-	-	-	59,483,044
Placements with Banks	4,662,466,350	-	-	-	-	4,662,466,350
Placements with						
Licensed Finance Companies	20,517	-	-	-	-	20,517
Financial Investments - Held for Trading	45,181,589	-	-	-	-	45,181,589
Financing and Receivables						
to Other Customers	13,199,292,444	8,551,949,155	10,662,465,001	4,131,663,342	1,906,292,506	38,451,662,449
Financial Investments - Available for Sale	-	-	148,699,529	-	246,075,620	394,775,149
Other Financial Assets	282,519,709	4,260,030	20,541,986	-	-	307,321,725
Other Non Financial Assets	73,021,430	52,056,988	101,980,343	-	-	227,058,761
Property, Plant and Equipment	-	-	-	-	1,247,590,879	1,247,590,879
Intangible Assets	-	-	-	-	269,376,298	269,376,298
Deferred Tax Assets	-	-	-	-	146,355,559	146,355,559
Total Assets	24,928,019,518	9,593,675,490	11,227,984,213	4,404,299,874	4,161,007,504	54,314,986,599
Liabilities						
Due to Banks	751,963,513	-	-	-	-	751,963,513
Derivative Financial Liabilities	88,627,436	9,713,997	-	-	-	98,341,433
Due to Customers	12,452,020,203	17,995,746,263	5,319,462,669	4,922,205,708	6,225,854,847	46,915,289,689
Other Financial Liabilities	561,786,186	-	4,778,933	-	-	566,565,119
Current Tax Liabilities	80,814,263	-	-	-	-	80,814,263
Other Non Financial Liabilities	31,360,761	-	-	-	-	31,360,761
Deferred Tax Liability	-	-	-	-	-	-
Deferred Benefit Liabilities	-	-	-	-	82,606,302	82,606,302
Total Liabilities	13,966,572,362	18,005,460,260	5,324,241,601	4,922,205,708	6,308,461,149	48,526,941,080
Maturity Gap	10,961,447,157	(8,411,784,770)	5,903,742,612	(517,905,833)	(2,147,453,645)	5,788,045,519

NOTES TO THE FINANCIAL STATEMENTS

41. COMMITMENTS AND CONTINGENCIES

41.1 Capital Expenditure Commitments

The Bank does not have significant capital commitments as at the reporting date.

41.2 Contingencies

In the normal course of business the Bank makes various irrevocable commitments and incurs certain contingent liabilities with legal recourse to its customers. Even though these obligations are not recognised on the Statement of Financial Position, they do contain credit risk and therefore form part of the overall risk profile of the Bank.

	2017 Rs.	2016 Rs.
Commitments on Direct Advances and Indirect Advances:		
Commitments for Unutilised Facilities	6,576,658,384	2,874,268,819
	6,576,658,384	2,874,268,819
Contingent Liabilities:		
Letters of Credit	2,076,652,274	1,178,096,670
Guarantees, Bonds	2,081,459,281	1,772,393,566
Outward Clearing Cheques (Note 41.2.1)	359,312,508	335,121,313
Acceptances	1,722,957,444	2,211,656,483
Bills for Collection & Other	487,414,736	422,432,703
	6,727,796,243	5,919,700,735
Promissory Forward Foreign Exchange Transactions		
Promissory Forward Sales	10,522,613,005	11,683,179,180
Promissory Forward Purchases	3,986,123,144	5,713,975,756
	14,508,736,149	17,397,154,936
Total Commitment and Contingencies	27,813,190,776	26,191,124,490

41.2.1 Outward Clearing Cheques represent the cheques deposited in current accounts but pending realisation from clearing house as at the reporting date.

41.3 Future Monthly Commitments on Operating Leases

The Bank has entered into commercial leases for branch premises. These lease agreements have an average life of six years. There are no restrictions placed upon the lessee by entering into these leases.

Future minimum lease payments under operating leases as at reporting date are as follows:

	2017 Rs.	2016 Rs.
0 - 1 Year	87,402,286	88,691,093
1 - 5 Years	211,557,957	224,038,487
More than 5 Years	120,757,986	98,827,828
	419,718,229	411,557,407

41.4 Lease Receivables

As at 31 December 2017	Total Future Minimum Payments Rs.	Unearned Finance Income Rs.	Present Value of Minimum Lease Payment Rs.
0 - 1 Year	3,006,674,998	598,295,562	2,408,379,436
1 - 5 Years	3,794,090,642	518,823,082	3,275,267,560
More than 5 Years	1,574,453	185,493	1,388,960
	6,802,340,093	1,117,304,137	5,685,035,956

As at 31 December 2016	Total Future Minimum Payments Rs.	Unearned Finance Income Rs.	Present Value of Minimum Lease Payment Rs.
0 - 1 Year	2,676,786,504	555,450,294	2,121,336,209
1 - 5 Years	4,569,816,117	603,827,625	3,965,988,492
More than 5 Years	2,784,796	235,663	2,549,133
	7,249,387,416	1,159,513,582	6,089,873,834

NOTES TO THE FINANCIAL STATEMENTS

42. RELATED PARTY DISCLOSURES

The Bank carries out transactions in the ordinary course of business on an arm's length basis at commercial rates with its related parties as defined under LKAS 24 "Related Party Disclosures".

The pricing applicable to such transactions is based on the risk profile and the pricing model of the Bank which is in line with what is applied to transactions between the Bank and its non-related customers.

42.1 Parent and Ultimate Controlling Party

The Bank does not have an identifiable parent of its own.

42.2 Transactions with Key Management Personnel (KMPs)

Key Management Personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any Director of that entity.

Accordingly the Bank's KMPs include the Board of Directors and selected key employees who meet the criteria above.

Key Management Personnel Compensation

	2017 Rs.	2016 Rs.
Short-term Employee Benefits including Director's Emoluments	59,614,132	51,038,547
Total	59,614,132	51,038,547

42.3 Transactions, Arrangements and Agreements Involving KMPs & their Close Family Members (CFMs)

Close members of the family of an individual are those family members who may be expected to influence, or be influenced by, that individual in their dealings with the entity. They may include: the individual's domestic partner and children; children of the individual's domestic partner; and dependents of the individual or the individual's domestic partner.

	2017 Rs.	2016 Rs.
Statement of Financial Position		
Financing and Receivables to Other Customers	65,556,535	71,661,599
Due to Other Customers	93,300,589	113,071,546
Statement of Profit or Loss		
Financing Income	4,778,407	4,136,467
Financing Expenses	6,323,128	8,803,516
Net Fees and Commission Income	148	4,215,147

Terms and Conditions of Transactions with Related Parties

The above-mentioned outstanding balances arose from the ordinary course of business. The rates charged from/paid to related parties are at normal commercial rates.

42.4 Transaction, Arrangements & Agreements Involving Entities which are Controlled and Jointly Controlled by the KMPs or their CFMs.

In addition to transactions with Key Management Personnel and their Close Family Members, the Bank enters into transactions, arrangements and agreements with entities which are controlled and jointly controlled by the KMPs or their CFMs over the Bank. The transactions below were made in the ordinary course of business on substantially the same terms, including financing/commission rates and security, as for comparable transactions with unrelated counterparties. The Bank has not made any provision for impairment losses on amounts owed by related parties.

	2017 Rs.	2016 Rs.
Statement of Financial Position		
Due to Other Customers	8,300	8,339
Statement of Profit or Loss		
Financing Expenses	342,081	13,094

43. EVENTS AFTER REPORTING DATE

There were no events after the reporting date which requires adjustments or disclosures in the Financial Statements.

44. CAPITAL

The Bank maintains an actively managed capital base to cover risks inherent in the business and meet the capital requirements of the local prudential regulator, Central Bank of Sri Lanka. The adequacy of the Bank's Capital is monitored using, among other measures, the rules and ratios established by the Basel Committee on Banking Supervision and adopted by the Central Bank of Sri Lanka.

Capital Management

Capital Management The Bank's capital management objectives can be summarised as follows:

- 1 Maintain sufficient capital to meet minimum regulatory capital requirements.
- 2 Hold sufficient capital to support the Bank's risk appetite.
- 3 Allocate capital to businesses to support the Bank's strategic objectives.
- 4 Ensure that the Bank maintains capital in order to achieve debt rating objectives and to withstand the impact of potential stress events.

Regulatory Capital

The Bank manages its capital considering regulatory capital requirements. The Central Bank of Sri Lanka (CBSL) sets and monitors Capital Requirements for Licensed Banks in Sri Lanka based on the Basel Framework. Thus the Bank's operations are directly supervised by the CBSL and the Bank is required to comply with the provisions of the Basel III framework in respect of Regulatory Capital and capital to cover any additional risk. Commercial banks in Sri Lanka with total assets of less than Rs. 500 billion need to maintain a minimum Total Tier 1 Capital Ratio of 5.75% and minimum Total Capital Ratio of 11.25% for the year 2017. The Bank has maintained its Capital Ratios well above the regulatory minimum.

45. MATERIAL LITIGATION AGAINST THE BANK

As at the Reporting Date, there are no litigation matters pending or threatened against the Bank.

FINANCIAL SUMMARY

For the Year ended 31 December	2017 LKR	2016 LKR	2015 LKR	2014 LKR	2013 LKR	2012 LKR	2011 LKR
Operating Results							
Financing Income	5,544,237,256	4,039,624,179	2,885,931,540	2,407,652,724	1,768,061,705	1,300,618,090	352,037,757
Financing Expenses	2,790,618,052	2,115,335,249	1,405,258,772	1,198,032,200	1,050,007,868	732,071,273	205,127,217
Net Financing Income	2,753,619,204	1,924,288,930	1,480,672,768	1,209,620,524	718,053,837	568,546,817	146,910,540
Net Fees and Commission Income	236,134,326	246,568,285	168,555,950	138,484,328	100,223,308	68,923,319	14,951,675
Net Trading Gain/(Loss)	388,699,264	257,454,611	390,234,591	287,377,278	219,719,256	621,773,009	(91,633,252)
Net Other Operating Income/(Loss)	9,467,520	4,961,144	27,659,037	33,213,115	21,579,603	(5,353,087)	3,133,721
Total Operating Income	3,387,920,314	2,433,272,970	2,067,122,346	1,668,695,245	1,059,576,004	1,253,890,058	73,362,684
Impairment on Financial Assets	289,782,674	217,177,926	2,817,355	94,680,026	100,820,541	16,093,890	27,062,702
Net Operating Income	3,098,137,640	2,216,095,044	2,064,304,991	1,574,015,219	958,755,463	1,237,796,168	46,299,982
Personnel Expenses	1,095,792,424	1,025,032,323	896,614,338	858,179,900	720,351,418	438,453,212	140,504,480
Depreciation of Property, Plant and Equipment	148,879,193	162,620,642	150,818,192	150,665,594	121,287,043	125,557,539	20,621,964
Amortisation of Intangible Assets	48,967,708	78,634,792	40,881,465	39,373,883	36,995,102	25,472,863	4,704,727
Other Operating Expenses	745,933,727	678,729,131	605,026,871	526,776,102	504,942,745	396,567,577	250,085,709
Total Operating Expenses	2,039,573,052	1,945,016,888	1,693,340,866	1,574,995,479	1,383,576,308	986,051,191	415,916,880
Operating Profit/ (Loss) Before Value Added Tax on Financial Services & Nation Building Tax	1,058,564,588	271,078,156	370,964,125	(980,260)	(424,820,845)	251,744,977	(369,616,898)
Value Added Tax on Financial Services & Nation Building Tax	319,245,989	168,266,306	152,248,222	79,288,996	13,184,143	45,941,033	-
Profit/ (Loss) Before Tax	739,318,599	102,811,850	218,715,903	(80,269,256)	(438,004,988)	205,803,944	(369,616,898)
Tax Expenses/(Reversal)	236,490,936	62,171,499	60,086,657	-	(120,971,087)	59,809,292	(87,583,329)
Profit/(Loss) for the Year	502,827,663	40,640,351	158,629,246	(80,269,256)	(317,033,901)	145,994,652	(282,033,569)

As at 31 December	2017 LKR	2016 LKR	2015 LKR	2014 LKR	2013 LKR	2012 LKR	2011 LKR
Assets							
Cash and Cash Equivalents	5,859,766,950	5,686,924,056	5,016,458,817	1,627,383,695	2,444,552,371	3,866,793,015	1,053,061,115
Balance with Central Bank of Sri Lanka	4,127,811,572	2,816,770,223	2,292,887,937	1,036,425,974	685,320,420	865,294,214	717,763,029
Derivative Financial Assets	127,616,662	59,483,044	61,037,310	23,269,364	21,470,669	104,181,576	1,394,227
Placements with Banks	5,285,796,238	4,662,466,350	3,624,928,993	3,306,210,009	1,737,895,772	825,235,383	1,518,571,708
Placements with Licensed Finance Companies	2,112,166,496	20,517	954,528,071	1,172,213,115	661,958,238	1,661,226,754	3,113,721,106
Investment in Gold Bullion	-	-	-	-	-	-	799,582,509
Financial Investments - Held for Trading	41,645,557	45,181,589	59,474,357	48,998,818	175,334,631	59,768,906	404,170,143
Financing and Receivables to Other Customers	42,914,143,571	38,451,662,449	33,073,596,195	25,426,941,810	15,015,318,081	7,165,461,019	4,974,971,905
Financial Investments - Available for Sale	323,264,501	394,775,149	432,056,080	427,582,574	600,337,971	486,122,612	545,349,490
Other Financial Assets	388,890,295	307,321,725	315,749,183	295,502,221	519,546,392	553,493,038	390,688,206
Other Non-Financial Assets	333,169,325	227,058,761	257,216,898	306,189,958	240,777,613	232,258,744	272,468,185
Property, Plant and Equipment	1,795,135,517	1,247,590,879	1,271,732,452	794,829,469	852,960,574	636,709,910	481,382,002
Intangible Assets	230,675,871	269,376,298	236,502,947	270,615,476	283,027,619	224,382,174	135,470,343
Deferred Tax Assets	-	146,355,559	145,702,993	161,426,033	159,355,340	36,496,739	87,583,329
Total Assets	63,540,082,555	54,314,986,599	47,741,872,233	34,897,588,516	23,397,855,691	16,717,424,084	14,496,177,297
Liabilities							
Due to Banks	-	751,963,513	2,955,277,882	-	-	-	-
Derivative Financial Liabilities	29,924,292	98,341,433	67,405,185	7,844,969	3,130,759	4,978,614	-
Due to Other Customers	50,922,561,081	46,915,289,690	38,467,460,755	29,224,330,525	17,983,111,581	13,302,501,452	11,362,868,664
Other Financial Liabilities	680,470,646	566,565,119	341,597,683	557,363,638	290,819,822	304,236,288	111,725,486
Current Tax Liabilities	187,075,365	80,814,263	58,684,717	-	-	-	-
Other Non-Financial Liabilities	70,765,834	31,360,761	54,378,732	23,607,873	13,688,807	13,843,550	7,080,883
Deferred Tax Liabilities	216,241,918	-	-	-	-	-	-
Retirement Benefit Liability	119,241,024	82,606,302	74,070,679	58,202,580	45,071,342	20,648,680	13,051,361
Total Liabilities	52,226,280,160	48,526,941,081	42,018,875,633	29,871,349,585	18,335,822,311	13,646,208,584	11,494,726,394
Shareholders' Funds							
Stated Capital	10,619,450,156	5,866,808,141	5,866,808,141	5,866,808,141	5,866,808,141	3,431,611,720	3,431,611,720
Reserves	694,352,239	(78,762,623)	(143,811,541)	(840,569,210)	(804,774,761)	(360,396,220)	(430,160,817)
Total Equity	11,313,802,395	5,788,045,518	5,722,996,600	5,026,238,931	5,062,033,380	3,071,215,500	3,001,450,903
Total Liabilities and Shareholders' Funds	63,540,082,555	54,314,986,599	47,741,872,233	34,897,588,516	23,397,855,691	16,717,424,084	14,496,177,297
Commitments and Contingencies	27,813,190,776	26,191,124,490	18,272,602,735	14,978,855,627	7,641,018,045	11,121,347,724	4,167,021,073
Share Information							
Earnings/(Loss) per Share - Basic/Diluted	0.29	0.03	0.13	(0.06)	(0.33)	0.16	(0.35)
Net Assets Value per Share	4.52	4.63	4.58	4.02	4.99	3.4	3.7

COMPLIANCE WITH ANNUAL REPORT DISCLOSURE REQUIREMENTS SPECIFIED BY THE CENTRAL BANK OF SRI LANKA

The following explains the Disclosure Requirements under the Prescribed format issued by the Central Bank of Sri Lanka for the Preparation of Annual Financial Statements of Licensed Commercial Banks.

1.	Information about the Significance of Financial Instruments for Financial Position and Performance	
1.1	Statement of Financial Position	
1.1.1	Disclosures on categories of financial assets and financial liabilities	Note 14 to the Financial Statements - Analysis of Financial Instruments by Measurement Basis.
1.1.2	Other Disclosures	
	(i) Special disclosures about financial assets and financial liabilities designated to be measured at Fair value through profit or loss, including disclosures about credit risk and market risk, changes in fair values attributable to these risks and the methods of measurement.	Note 38 to the Financial Statements - Fair Value of Financial Assets and Liabilities
	(ii) Reclassifications of financial instruments from one category to another.	Not Applicable
	(iii) Information about financial assets pledged as collateral and about financial or non-financial assets held as collateral.	Not Applicable
	(iv) Reconciliation of the allowance account for credit losses by class of financial assets.	Note 21.4 to the Financial Statements - Impairment Allowance for Financing and Receivables to Other Customers
	(v) Information about compound financial instruments with multiple embedded derivatives.	Not Applicable
	(vi) Breaches of terms of loan agreements.	None
1.2	Statement of Comprehensive Income	
1.2.1	Disclosures on items of income, expense, gains and losses.	Notes 4 - 12 to the Financial Statements
1.2.2	Other Disclosures	
	(i) Total financing income and total financing expense for those financial instruments that are not measured at fair value through profit and loss.	Notes 4 and 5 to the Financial Statements - Financing Income and Financing Expenses respectively
	(ii) Fee income and expense.	Note 6 to the Financial Statements - Net Fees and Commission Income
	(iii) Amount of impairment losses by class of financial assets.	Note 9 to the Financial Statements - Impairment on Financial Assets
	(iv) Financing income on impaired financial assets.	Note 4 to the Financial Statements - Financing Income

1.3	Other Disclosures	
1.3.1	Accounting policies for financial instruments.	Note 2.3 to the Financial Statements - Summary of Significant Accounting Policies
1.3.2	Information on hedge accounting	Not Applicable
1.3.3	Information about the fair values of each class of financial asset and financial liability, along with:	
	(i) Comparable Carrying Amounts.	Note 38 to the Financial Statements - Fair Value of Financial Assets and Liabilities
	(ii) Description of how fair value was determined.	
	(iii) The level of inputs used in determining fair value.	
	(iv) (a) Reconciliations of movements between levels of fair value measurement hierarchy. (b) Additional disclosures for financial instruments that fair value is determined using level 3 inputs.	Not Applicable Note 38 to the Financial Statements - Fair Value of Financial Assets and Liabilities
	(v) Information if fair value cannot be reliably measured.	Note 22.2 to the Financial Statements - Investment in Equity – Unquoted and Note 38.2 to the Financial Statements - Financial Instruments Not Carried at Fair Value
2.	Information about the Nature and Extent of Risks Arising from Financial Instruments	
2.1	Qualitative Disclosures	
2.1.1	Risk exposures for each type of financial instrument.	Note 39 to the Financial Statements - Risk Management
2.1.2	Management's objectives, policies, and processes for managing those risks.	Note 39 to the Financial Statements - Risk Management, and please refer section relating to 'Risk Management' in the Annual Report for additional information
2.1.3	Changes from the prior period.	Please refer section relating to 'Risk Management' in the Annual Report
2.2	Quantitative Disclosures	
2.2.1	Summary of quantitative data about exposure to each risk at the reporting date.	Note 39 to the Financial Statements - Risk Management
2.2.2	Disclosures about credit risk, liquidity risk, market risk, operational risk, rate risk and how these risks are managed.	Note 39 to the Financial Statements - Risk Management and please refer section relating to 'Risk Management' in the Annual Report for additional information

COMPLIANCE WITH ANNUAL REPORT DISCLOSURE REQUIREMENTS SPECIFIED BY THE CENTRAL BANK OF SRI LANKA

(i) Credit Risk	→ Note 39.3 to the Financial Statements - Credit Risk
(a) Maximum amount of exposure (before deducting the value of collateral), description of collateral, information about credit quality of financial assets that are neither past due nor impaired and information about credit quality of financial assets.	
(b) For financial assets that are past due or impaired, disclosures on age, factors considered in determining as impaired and the description of collateral on each class of financial asset	
(c) Information about collateral or other credit enhancements obtained or called.	
(d) Other disclosures as per the Banking Act Direction No. 7 of 2011 on Integrated Risk Management Framework for Licensed Banks (Section H).	
(ii) Liquidity Risk	Note 39.4 to the Financial Statements - Liquidity Risk and Funding Management
(a) A maturity analysis of financial liabilities.	
(b) Description of approach to risk management.	
(c) Other disclosures as per the Banking Act Direction No. 7 of 2011 on Integrated Risk Management Framework for Licensed Banks (Section H).	Note 39.4 to the Financial Statements - Liquidity Risk and Funding Management and please refer section relating to 'Risk Management' in the Annual Report for additional information
(iii) Market Risk	
(a) A sensitivity analysis of each type of market risk to which the entity is exposed.	Note 39.5 to the Financial Statements - Market Risk
(b) Additional information, if the sensitivity analysis is not representative of the entity's risk exposure.	
(c) Other disclosures as per the Banking Act Direction No. 7 of 2011 on Integrated Risk Management Framework for Licensed Banks (Section H).	Note 39.5 to the Financial Statements - Market Risk
(iv) Operational Risk disclosures as per the Banking Act Direction No. 7 of 2011 on Integrated Risk Management Framework for Licensed Banks (Section H).	

	(v) Equity Risk in the Banking Book	
	(a) Qualitative Disclosures	
	- Differentiation between holdings on which capital gains are expected and those taken under other objectives including for relationship and strategic reasons.	Note 39.8 to the Financial Statements - Equity Price Risk and please refer section relating to 'Risk Management' in the Annual Report
	- Discussion of important policies covering the valuation and accounting of equity holdings in the banking book.	Note 2.3 to the Financial Statements - Summary of Significant Accounting Policies and Note 22.2 to the Financial Statements - Investment in Equity – Unquoted
	(b) Quantitative Disclosures	
	Value disclosed in the statement of financial position of investments, as well as the fair value of those investments; for quoted securities, a comparison to publicly quoted share values where the share price is materially different from fair value, the types and the nature of investments and the cumulative realised gains/(losses) arising from sales and liquidations in the reporting period.	Notes 20 and 22 to the Financial Statements - Financial Investments- Held for Trading and Financial Investments - Available For Sale respectively. Also please refer Notes 7 and 8 to the Financial Statements - Net Trading Income and Net Other Operating Income
	(vi) Rate Risk in the Banking Book	
	(a) Qualitative Disclosures Nature of Rate Risk in the Banking Book and key assumptions.	Notes 39.5, 39.6, 39.7 and 39.8 to the Financial Statements → - Market Risk, Foreign Exchange Risk, Currency Risk and Equity Price Risk respectively
	(b) Quantitative Disclosures The increase/(decline) in earnings or economic value (or relevant measure used by management) for upward and downward rate shocks according to management's method for measuring rate risk in the banking book broken down by currency (as relevant)	
2.2.3	Information on concentrations of risk	Notes 39.2 and 39.3 to the Financial Statements - Risk Management Structure and Credit Risk respectively. Also please refer section relating to 'Risk Management' in the Annual Report for additional information

COMPLIANCE WITH ANNUAL REPORT DISCLOSURE REQUIREMENTS SPECIFIED BY THE CENTRAL BANK OF SRI LANKA

3.	Pillar III - Market Disclosures	
3.1	Regulatory Requirements on Capital and Liquidity	
	Key Regulatory Ratios - Capital and Liquidity	Please refer page 201.
	Basel III Computation of Capital Ratios	Please refer pages 201 to 202.
	Computation of Leverage Ratio	Please refer page 203.
	Basel III Computation of Liquidity Coverage Ratio	Please refer page 203.
	Main Features of Regulatory Capital Instruments	Please refer page 204.
3.2	Risk Weighted Assets (RWA)	
	Summary Discussion on Adequacy/Meeting Current and Future Capital Requirements	Please refer page 204 including Note 44 to the Financial Statements - Capital and section relating to 'Risk Management' in the Annual Report for additional information.
	Credit Risk under Standardised Approach: Credit Risk Exposures and Credit Risk Mitigation (CRM) Effects	Please refer page 205.
	Credit Risk under Standardised Approach: Exposures by Asset Classes and Risk Weights	Please refer page 206.
	Market Risk under Standardised Measurement Method	Please refer page 206.
	Operational Risk under Basic Indicator Approach/The Standardised Approach/The Alternative Standardised Approach	Please refer page 207.
3.3	Linkages Between Financial Statements & Regulatory Exposures	
	Differences between Accounting and Regulatory Scopes and Mapping of Financial Statement Categories with Regulatory Risk Categories – Bank Only	Please refer pages 208 to 209.
	Explanations of Differences between Accounting & Regulatory Exposure Amounts	Please refer page 210 and also section relating to 'Risk Management' in the Annual Report for additional information
3.4	Risk Management	
	Bank Risk Management Approach	Please refer section relating to 'Risk Management' of the Annual Report
	Risk Management related to Key Risk Exposures	Please refer section relating to 'Risk Management' of the Annual Report

PILLAR III MARKET DISCLOSURES

KEY REGULATORY RATIOS - CAPITAL AND LIQUIDITY

Item	As at 31 Dec 2017	As at 31 Dec 2016
Regulatory Capital (LKR '000)		
Common Equity Tier 1	10,493,086	N/A
Tier 1 Capital	10,145,342	N/A
Total Capital	10,923,196	N/A
Regulatory Capital Ratios (%)		
Common Equity Tier 1 Capital Ratio (Minimum Requirement - 5.75%)	20.0%	N/A
Tier 1 Capital Ratio (Minimum Requirement - 7.25%)	20.0%	N/A
Total Capital Ratio (Minimum Requirement - 11.25%)	21.5%	N/A
Leverage Ratio (Minimum Requirement)	N/A	N/A
Regulatory Liquidity		
Statutory Liquid Assets (LKR '000) - Domestic Banking Unit	11,519,443	10,771,109
Statutory Liquid Assets (USD '000) - Off-Shore Banking Unit	1,971	1,230
Statutory Liquid Assets Ratio (Minimum Requirement - 20%)		
Domestic Banking Unit (%)	22.23%	22.59%
Off-Shore Banking Unit (%)	41.52%	26.93%
Liquidity Coverage Ratio (%) – Rupee (Minimum Requirement - 80%)	200.72%	110.61%
Liquidity Coverage Ratio (%) – All Currency (Minimum Requirement -80%)	174.70%	82.34%

BASEL III COMPUTATION OF CAPITAL RATIOS

Item	Amount As at 31 Dec 17 (LKR '000)
Common Equity Tier 1 (CET1) Capital after Adjustments	10,145,342
Common Equity Tier 1 (CET1) Capital	10,493,086
Equity Capital (Stated Capital)/Assigned Capital	10,619,450
Reserve Fund	42,405
Published Retained Earnings/(Accumulated Retained Losses)	(140,737)
Published Accumulated Other Comprehensive Income (OCI)	(28,032)
General and other Disclosed Reserves	-
Unpublished Current Year's Profit/Loss and Gains reflected in OCI	-
Ordinary Shares issued by Consolidated Banking and Financial Subsidiaries of the Bank and held by Third Parties	-
Total Adjustments to CET1 Capital	347,744

PILLAR III MARKET DISCLOSURES

Item	Amount As at 31 Dec 17 (LKR '000)
Goodwill (net)	-
Intangible Assets (net)	230,676
Others (Net Deferred Tax Asset & Significant investments in the capital of financial institutions where the bank owns more than 10 per cent of the issued ordinary share capital of the entity)	117,068
Additional Tier 1 (AT1) Capital after Adjustments	-
Additional Tier 1 (AT1) Capital	-
Qualifying Additional Tier 1 Capital Instruments	-
Instruments issued by Consolidated Banking and Financial Subsidiaries of the Bank and held by Third Parties	-
Total Adjustments to AT1 Capital	-
Investment in Own Shares	-
Others (specify)	-
Tier 2 Capital after Adjustments	777,854
Tier 2 Capital	777,854
Qualifying Tier 2 Capital Instruments	-
Revaluation Gains	570,270
Loan Loss Provisions	207,584
Instruments issued by Consolidated Banking and Financial Subsidiaries of the Bank and held by Third Parties	-
Total Adjustments to Tier 2	-
Investment in Own Shares	-
Others (specify)	-
CET1 Capital	10,493,086
Total Tier 1 Capital	10,145,342
Total Capital	10,923,196
Total Risk Weighted Assets (RWA)	50,840,802
RWAs for Credit Risk	46,611,224
RWAs for Market Risk	723,676
RWAs for Operational Risk	3,505,902
CET1 Capital Ratio (including Capital Conservation Buffer, Countercyclical Capital Buffer & Surcharge on D-SIBs) (%)	19.96%
of which: Capital Conservation Buffer (%)	1.25%
of which: Countercyclical Buffer (%)	-
of which: Capital Surcharge on D-SIBs (%)	-
Total Tier 1 Capital Ratio (%)	19.96%
Total Capital Ratio (including Capital Conservation Buffer, Countercyclical Capital Buffer & Surcharge on D-SIBs) (%)	21.49%
of which: Capital Conservation Buffer (%)	1.25%
of which: Countercyclical Buffer (%)	-
of which: Capital Surcharge on D-SIBs (%)	-

COMPUTATION OF LEVERAGE RATIO

Item	Amount (LKR '000) As at 31 Dec 2017
Tier 1 Capital	
Total Exposures	
On-Balance Sheet Items (excluding Derivatives and Securities Financing Transactions, but including Collateral)	N/A
Derivative Exposures	
Securities Financing Transaction Exposures	
Other Off-Balance Sheet Exposures	
Basel III Leverage Ratio (%) (Tier 1/Total Exposure)	

Note:

Finalised Regulatory guidelines pertaining to computation of Leverage Ratio are to be issued

BASEL III COMPUTATION OF LIQUIDITY COVERAGE RATIO

Item	Amount (LKR '000)			
	As at 31 Dec 2017		As at 31 Dec 2016	
	Total Un-weighted Value	Total Weighted Value	Total Un-weighted Value	Total Weighted Value
Total Stock of High-Quality Liquid Assets (HQLA)	2,738,629	2,667,517	1,484,284	1,390,865
Total Adjusted Level 1A Assets				
Level 1 Assets	2,596,404	2,596,404	1,297,446	1,297,446
Total Adjusted Level 2A Assets	-	-	-	-
Level 2A Assets	-	-	-	-
Total Adjusted Level 2B Assets	-	-	-	-
Level 2B Assets	142,225	71,113	186,838	93,419
Total Cash Outflows	63,668,673	6,107,732	16,543,459	6,756,807
Deposits	48,599,674	4,859,967	4,371,453	4,371,453
Unsecured Wholesale Funding	2,385,057	937,183	3,218,900	1,368,436
Secured Funding Transactions	-	-	-	-
Undrawn Portion of Committed (Irrevocable)	-	-	-	-
Facilities and Other Contingent Funding Obligations	12,678,450	305,090	8,202,605	266,417
Additional Requirements	5,492	5,492	750,500	750,500
Total Cash Inflows	12,590,131	7,752,764	11,715,571	6,932,134
Maturing Secured Lending Transactions Backed by Collateral	4,965,901	4,965,901	3,539,523	3,539,523
Committed Facilities	-	-	-	-
Other Inflows by Counterparty which are Maturing within 30 Days	3,264,515	2,786,863	3,633,122	3,392,611
Operational Deposits	4,359,715	-	4,542,925	-
Other Cash Inflows	-	-	-	-
Liquidity Coverage Ratio (%) (Stock of High Quality Liquid Assets/ Total Net Cash Outflows over the Next 30 Calendar Days) * 100	-	174.70	-	82.34

PILLAR III MARKET DISCLOSURES

MAIN FEATURES OF REGULATORY CAPITAL INSTRUMENTS

Description of the Capital Instrument	Ordinary Shares
Issuer	Amāna Bank PLC
CSE Security Code	ABL.N0000
Original Date of Issuance	Multiple
Par Value of Instrument	N/A
Perpetual or Dated	Perpetual
Original Maturity Date, if Applicable	N/A
Amount Recognised in Regulatory Capital (in LKR '000 as at 31 Dec 2017)	10,619,451
Accounting Classification (Equity/Liability)	Shareholders' Equity
Issuer Call subject to Prior Supervisory Approval	
Optional Call Date, Contingent Call Dates and Redemption Amount (LKR '000)	N/A
Subsequent Call Dates, if Applicable	N/A
Coupons/Dividends	
Fixed or Floating Dividend/Coupon	Discretionary, subject to fulfilling applicable Regulatory requirements
Coupon Rate and any Related Index	N/A
Non-Cumulative or Cumulative	Non Cumulative
Convertible or Non-Convertible	
If Convertible, Conversion Trigger (s)	Non Convertible
If Convertible, Fully or Partially	N/A
If Convertible, Mandatory or Optional	N/A
If Convertible, Conversion Rate	N/A

Capital planning and assessment process	Please refer section on 'Risk Management' in the Annual Report.
Material risk exposures in line with strategic plan	Please refer section on 'Risk Management' in the Annual Report.
Current and future capital needs, anticipated capital expenditure and desirable capital level	The Bank, in 2017, raised equity capital of LKR 4.7 billion through a rights issue to satisfy the minimum capital requirement of the regulator and also to support future expansion activities of the Bank. Post infusion the Bank's regulatory capital ratios stood at a healthy level well above the minimum requirement and expects its level of capital to be adequate in the medium term. Please also refer section on 'Risk Management' in the Annual Report for a discussion on the ICAAP.
Internal and external capital sources	The growth in profitability in the ensuing years will be a source of internally generated capital whilst external sources will include infusion of equity via rights issues and private placements.
Assessment of the adequacy of Bank's capital commensurate with all material risks and other capital needs in relation to its current and future activities. General contingency plan for dealing with divergences and unexpected events such as raising additional capital, restricting business activities or using risk mitigation techniques.	Please refer section on 'Risk Management' in the Annual Report.

CREDIT RISK UNDER STANDARDISED APPROACH – CREDIT RISK EXPOSURES AND CREDIT RISK MITIGATION (CRM) EFFECTS

Asset Class	Amount (LKR '000) as at 31 Dec 2017					
	Exposures before Credit Conversion Factor (CCF) and CRM		Exposures Post CCF and CRM		RWA and RWA Density (%)	
	On-Balance Sheet Amount	Off-Balance Sheet Amount	On-Balance Sheet Amount	Off-Balance Sheet Amount	RWA	RWA Density (ii)
Claims on Central Government and CBSL	4,254,143	-	4,254,143	-	-	0%
Claims on Foreign Sovereigns and their Central Banks	-	-	-	-	-	-
Claims on Public Sector Entities	147,853	-	147,853	-	147,853	100%
Claims on Official Entities and Multilateral Development Banks	-	-	-	-	-	-
Claims on Banks Exposures	9,706,572	13,018,518	9,706,572	471,202	2,646,148	26%
Claims on Financial Institutions	2,117,657	-	2,117,657	-	428,194	20%
Claims on Corporates	11,135,332	6,574,068	11,135,332	1,676,206	12,782,756	100%
Retail Claims	27,825,828	5,959,381	27,649,244	2,059,888	24,244,801	82%
Claims Secured by Residential Property	3,410,833	-	3,410,833	-	2,563,316	75%
Claims Secured by Commercial Real Estate	19,564	-	19,564	-	19,564	100%
Non-Performing Assets (NPAs) (i)	565,067	85,372	565,067	19,234	828,526	142%
Higher-risk Categories	102,624	-	102,624	-	256,560	250%
Cash Items and Other Assets	3,773,467	447,434	3,773,467	381,190	2,693,505	65%
Total	63,058,940	26,084,773	62,882,357	4,607,720	46,611,224	69%

Notes:

- (i) As per Banking Act Directions on classification of Loans and Advances, income recognition and provisioning
- (ii) RWA Density - Total RWA/Exposures post CCF and CRM.

PILLAR III MARKET DISCLOSURES

CREDIT RISK UNDER STANDARDISED APPROACH: EXPOSURES BY ASSET CLASSES AND RISK WEIGHTS

Description	Amount (LKR '000) as at 31-12-2017 (Post CCF & CRM)								
Risk Weight	0%	20%	50%	60%	75%	100%	150%	>150%	Total Credit Exposures Amount
Asset Classes									
Claims on Central Government and Central Bank of Sri Lanka	4,254,143	-	-	-	-	-	-	-	4,254,143
Claims on Foreign Sovereigns and their Central Banks	-	-	-	-	-	-	-	-	-
Claims on Public Sector Entities	-	-	-	-	-	147,853	-	-	147,853
Claims on Official Entities and Multilateral Development Banks	-	-	-	-	-	-	-	-	-
Claims on Banks Exposures	-	8,235,643	1,886,225	-	-	55,907	-	-	10,177,774
Claims on Financial Institutions	-	2,111,264	903	-	-	5,490	-	-	2,117,657
Claims on Corporates	-	-	57,563	-	-	12,753,975	-	-	12,811,538
Retail Claims	176,583	1,408,177	-	5,322,177	8,835,676	14,143,103	-	-	29,885,716
Claims Secured by Residential Property	-	-	1,695,034	-	-	1,715,799	-	-	3,410,833
Claims Secured by Commercial Real Estate	-	-	-	-	-	19,564	-	-	19,564
Non-Performing Assets (NPAs)	-	-	-	-	-	95,851	488,450	-	584,301
Higher-risk Categories	-	-	-	-	-	-	-	102,624	102,624
Cash Items and Other Assets	1,439,275	-	-	-	-	2,693,505	-	-	4,132,780
Total	5,870,001	11,755,084	3,639,724	5,322,177	8,835,676	31,631,047	488,450	102,624	67,644,783

MARKET RISK UNDER STANDARDISED MEASUREMENT METHOD

Item	RWA Amount (LKR '000) as at 31 Dec 2017
(a) RWA for Rate Risk	81,414
General Rate Risk	-
(i) Net Long or Short Position	-
(ii) Horizontal Disallowance	-
(iii) Vertical Disallowance	-
(iv) Options	-
Specific Rate Risk	-
(b) RWA for Equity	29,852
(i) General Equity Risk	16,000
(ii) Specific Equity Risk	13,851
(c) RWA for Foreign Exchange & Gold	51,562
Capital Charge for Market Risk [(a) + (b) + (c)] * CAR	723,676

OPERATIONAL RISK UNDER BASIC INDICATOR APPROACH/THE STANDARDISED APPROACH/THE ALTERNATIVE STANDARDISED APPROACH

Business Lines	Capital Charge Factor	Fixed Factor	Gross Income (LKR '000) as at 31 Dec 2017		
			1st Year	2nd Year	3rd Year
The Basic Indicator Approach	15%	-	2,067,125	2,433,225	3,387,921
The Standardised Approach					
Corporate Finance	18%	-	N/A	N/A	N/A
Trading and Sales	18%	-			
Payment and Settlement	18%	-			
Agency Services	15%	-			
Asset Management	12%	-			
Retail Brokerage	12%	-			
Retail Banking	12%	-			
Commercial Banking	15%	-			
The Alternative Standardised Approach					
Corporate Finance	18%	-	N/A	N/A	N/A
Trading and Sales	18%	-			
Payment and Settlement	18%	-			
Agency Services	15%	-			
Asset Management	12%	-			
Retail Brokerage	12%	-			
Retail Banking	12%	0.035			
Commercial Banking	15%	0.035			
Capital Charges for Operational Risk (LKR '000)					
The Basic Indicator Approach					394,414
The Standardised Approach			N/A		
The Alternative Standardised Approach					
Risk Weighted Amount for Operational Risk (LKR '000)					
The Basic Indicator Approach					3,505,902
The Standardised Approach			N/A		
The Alternative Standardised Approach					

PILLAR III MARKET DISCLOSURES

DIFFERENCES BETWEEN ACCOUNTING AND REGULATORY SCOPES AND MAPPING OF FINANCIAL STATEMENT CATEGORIES WITH REGULATORY RISK CATEGORIES – BANK ONLY

Item	Amount (LKR '000) as at 31 Dec 2017					
		a	b	c	d	e
	Explanation Reference #	Carrying Values as Reported in Published Financial Statements	Carrying Values as under Scope of Regulatory Reporting	Subject to Credit Risk Framework	Subject to Market Risk Framework	Not Subject to Capital Requirements or Subject to Deduction From Capital
Assets		63,540,083	63,573,490	63,058,940	142,226	140,160
Cash and Cash Equivalents	1	5,859,767	1,439,275	1,439,275	-	-
Balances with Central Banks		4,127,812	4,127,812	4,127,812	-	-
Placements with Banks	1	7,397,963	11,783,120	11,783,120	-	-
Derivative Financial Instruments	2	127,617	-	-	-	-
Other Financial Assets Held-For-Trading		41,646	361,917	102,623	142,226	117,068
Financial Assets Designated at Fair Value through Profit or Loss		-	-	-	-	-
Financing and Receivables to Banks		-	-	-	-	-
Financing and Receivables to Other Customers	3	42,914,144	43,131,554	43,106,973	-	(207,584)
Financial Investments - Available-For-Sale		323,265	-	-	-	-
Financial Investments - Held-To-Maturity		-	2,993	2,993	-	-
Investments in Subsidiaries		-	-	-	-	-
Investments in Associates and Joint Ventures		-	-	-	-	-
Property, Plant and Equipment		1,795,136	1,795,136	1,795,136	-	-
Investment Properties		-	-	-	-	-
Goodwill and Intangible Assets		230,676	230,676	-	-	230,676
Deferred Tax Assets		-	-	-	-	-
Other Assets		722,060	701,007	701,007	-	-
Liabilities		52,226,280	52,168,187	-	-	-
Due to Banks		-	-	-	-	-
Derivative Financial Instruments	2	29,924	-	-	-	-
Other Financial Liabilities Held-For-Trading		-	-	-	-	-
Financial Liabilities Designated at Fair Value Through Profit or Loss		-	-	-	-	-
Due to Other Customers	4	50,922,561	50,352,634	-	-	-

Item	Amount (LKR '000) as at 31 Dec 2017					
	a		b		c	
	Explanation Reference #	Carrying Values as Reported in Published Financial Statements	Carrying Values as under Scope of Regulatory Reporting	Subject to Credit Risk Framework	Subject to Market Risk Framework	Not Subject to Capital Requirements or Subject to Deduction From Capital
Other Borrowings		-	-	-	-	-
Debt Securities Issued		-	-	-	-	-
Current Tax Liabilities	5	187,075	242,629	-	-	-
Deferred Tax Liabilities	5	216,242	216,242	-	-	-
Other Provisions		-	-	-	-	-
Other Liabilities	5	870,478	1,356,682	-	-	-
Due to Subsidiaries		-	-	-	-	-
Subordinated Term Debts		-	-	-	-	-
Off-Balance Sheet Liabilities		27,813,190	27,813,190	22,498,890	-	-
Guarantees		1,614,239	1,614,239	1,771,542	-	-
Performance Bonds		467,220	467,220	430,169	-	-
Letters of Credit		2,076,652	2,076,652	983,384	-	-
Other Contingent Items		16,811,729	16,811,729	14,161,721	-	-
Undrawn Loan Commitments		6,576,658	6,576,658	5,152,074	-	-
Other Commitments		266,691	266,691	-	-	-
Shareholders' Equity						
Equity Capital (Stated Capital)/Assigned Capital		10,619,450	10,619,451	-	-	-
of which Amount Eligible for CET1		10,619,450	10,619,451	-	-	-
of which Amount Eligible for AT1		-	-	-	-	-
Retained Earnings		(140,737)	(146,823)	-	-	-
Accumulated Other Comprehensive Income		(28,032)	-	-	-	-
Other Reserves		863,121	932,675	-	-	571,607
Total Shareholders' Equity		11,313,802	11,405,304	-	-	571,607

PILLAR III MARKET DISCLOSURES

EXPLANATIONS OF DIFFERENCES BETWEEN ACCOUNTING & REGULATORY EXPOSURE AMOUNTS

a. Significant Differences between Amounts in Carrying Values Reported in Published Financial Statements & Regulatory Reporting

Item	Carrying Values as Reported in Published Financial Statements (LKR '000)	Carrying Values as under Scope of Regulatory Reporting (LKR '000)	Difference (LKR '000)	Remarks
Explanation Reference # 1 : Cash and Cash Equivalents & Placements with Banks				
Cash and Cash Equivalents	5,859,767	1,439,275		
Placements with Banks	7,397,963	11,783,120		
	13,257,730	13,222,395	35,335	Indicates the accrued profits receivable on placements reported under other receivable as required to be done in regulatory reporting
Explanation Reference # 2 : Derivative Financial Instruments - Assets & Liabilities				
Derivative Financial Instruments - Assets	127,616			
Derivative Financial Instruments - Liabilities	(29,924)			
Other Receivables		97,692		
	97,692	97,692	-	Net unrealised revaluation gains on Foreign exchange transactions have been reported under other receivables in regulatory reporting
Explanation Reference # 3 : Financing and Receivables to Other Customers				
Financing and Receivables to Other Customers	42,914,144	43,131,554	(217,410)	Difference between provision requirements of Sri Lanka Accounting Standards & Central Bank of Sri Lanka.
Impairment Provisions as per Sri Lanka Accounting Standards			(680,377)	
Central Bank of Sri Lanka Regulatory Provisions			462,967	
			(217,410)	
Explanation Reference # 4 : Due to Other Customers, Tax Liabilities & Other Liabilities				
Due to Other Customers	50,922,561	50,352,634		
Current Tax Liabilities	187,075	242,629		
Other Liabilities	870,478	1,356,680		
	51,980,114	51,951,943	28,171	
Deferred Income on Letters of Credit & Letter of Guarantees			(17,821)	
Deferred Expense on Rent			(10,350)	
			(28,171)	

INVESTOR RELATIONS

COMPLIANCE REPORT ON THE CONTENTS OF ANNUAL REPORT IN TERMS OF CONTINUING LISTING REQUIREMENTS OF THE COLOMBO STOCK EXCHANGE

The table below summarises the Bank's degree of compliance with the Listing Rules issued by Colombo Stock Exchange.

Rule No.	Disclosure requirements	Section Reference	Page Number/s
7.6 (i)	Names of persons who during the financial year were Directors of the Entity.	Annual Report of the Board Directors on the Affairs of the Bank	113 - 116
7.6 (ii)	Principal activities of the Entity during the year and any changes therein.	Note 1.2 to the Financial Statements - Principal Activities	143
7.6 (iii)	The names and the number of shares held by the 20 largest holders of voting and non-voting shares and the percentage of such shares held.	Item 3 of Investor Relations	213
7.6 (iv)	The float adjusted market capitalisation and minimum public holding percentage including the number of public shareholders.	Item 4 of Investor Relations	214
7.6 (v)	A statement of each Director's holding and Chief Executive Officer's holding in shares of the Entity at the beginning and end of financial year.	Item 5 of Investor Relations	214
7.6 (vi)	Information pertaining to material foreseeable risk factors of the Entity.	Note 39 to the Financial Statements - Risk Management and refer section on 'Risk Management' in the Annual Report	177 - 187 and 56 - 77
7.6 (vii)	Details of material issues pertaining to employees and industrial relations.	Item 6 of Investor Relations	214
7.6 (viii)	Extents, locations, valuations and the number of buildings of the Entity's land holdings and investment properties.	Note 25 to the Financial Statements - Property, Plant and Equipment	168 - 170
7.6 (ix)	Number of shares representing the Entity's Stated Capital.	Note 34 to the Financial Statements - Stated Capital	173 - 174
7.6 (x)	A distribution schedule of the number of holders in each class of equity securities, and the percentage of their total holdings.	Item 2 of Investor Relations	212 - 213
7.6 (xi)	Ratios and Market Price information. Equity Ratios Market Value Debenture Information Credit Rating	Item 1 of Investor Relations Item 1 of Investor Relations Not Applicable Corporate Information	212 212 Inner Back Cover
7.6 (xii)	Significant changes in the Entity's fixed assets and the market value of land, if the value differs substantially from the book value.	Note 25 to the Financial Statements - Property, Plant & Equipment	168 - 170
7.6 (xiii)	Details of funds raised through Public Issues, Rights Issues and Private Placements during the year.	Item 9 of Investor Relations	215
7.6 (xiv)	Information in respect of Employee Share Option Scheme.	Not Applicable	
7.6 (xv)	Disclosures pertaining to Corporate Governance practices in terms of Rules 7.10.3, 7.10.5 c. and 7.10.6 c. of Section 7 of the Listing Rules.	Exempted under section 7.10 of Continuing Listing Requirements since the Bank complies with Directions laid down in the Banking Act Direction No. 11 of 2007 on Corporate Governance	
7.6 (xv)	Related Party transactions exceeding 10% of the Equity or 5% of the total assets of the Entity as per Audited Financial Statements, whichever is lower.	Item 7 of Investor Relations	214
9.3.2 (b)	Disclosure of recurrent Related Party transactions exceeding 10% of the gross revenue/income of the Entity as per the latest Audited Financial Statements.	Item 8 of Investor Relations	214
9.3.2 (c)	Report of the Related Party Transactions Review Committee setting out the specified disclosures.	Please refer report on Related Party Transactions Review Committee	126
9.3.2 (d)	Declaration by the Board of Directors on Compliance with Rules pertaining to Related Party Transactions.	Please refer the section - Annual Report of the Board of Directors on the Affairs of the Bank	113 - 116

INVESTOR RELATIONS

The Ordinary Shares of the Bank are listed on the Diri Savi Board of Colombo Stock Exchange with Security Code ABL.N0000.

1. RATIOS AND MARKET VALUE INFORMATION

1.1 Equity Ratios

	2017 LKR	2016 LKR
Dividend Per Share	-	-
Dividend Pay Out	-	-
Net Asset Value Per Share	4.52	4.63

1.2 Market Value Per Share

	2017 LKR	2016 LKR
As at 31 December	3.70	4.00
Highest	4.10	6.00
Lowest	3.40	3.50

2. DISTRIBUTION OF SHAREHOLDERS

	As at 31 December 2017			As at 31 December 2016		
Range of Shareholding	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
1 To 1,000 Shares	1,856	1,068,509	0.04	1,808	1,115,966	0.09
1,001 To 10,000 Shares	3,041	14,369,809	0.58	3,099	14,706,532	1.17
10,001 To 100,000 Shares	1,586	56,928,072	2.28	1,641	59,254,352	4.74
100,001 To 1,000,000 Shares	272	87,603,675	3.50	277	88,125,019	7.05
Over 1,000,000 Shares	53	2,341,420,469	93.60	43	1,087,493,398	86.95
	6,808	2,501,390,534	100.00	6,868	1,250,695,267	100.00

2.1 Resident and Non-Resident Shareholding

	As at 31 December 2017			As at 31 December 2016		
Shareholders	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
Resident	6,751	907,038,688	36.27	6,826	542,612,809	43.38
Non-Resident	57	1,594,351,846	63.73	42	708,082,458	56.62
	6,808	2,501,390,534	100.00	6,868	1,250,695,267	100.0

2.2 Individual and Institutional Shareholding

Shareholders	As at 31 December 2017			As at 31 December 2016		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
Individual	6,708	994,305,309	39.75	6,765	307,608,209	24.59
Institutional	100	1,507,085,225	60.25	103	943,087,058	75.41
	6,808	2,501,390,534	100.00	6,868	1,250,695,267	100.0

3. TWENTY LARGEST SHAREHOLDERS AS AT 31 DECEMBER

No	Name of Shareholder	2017		Name of Shareholder	2016	
		No. of Shares	%		No. of Shares	%
1	IB Growth Fund (Labuan) LLP (Part of Islamic Development Bank Group)	591,578,861	23.65	Bank Islam Malaysia Berhad	180,562,011	14.44
2	Mr. Hossain Ahmed Ismail	249,888,800	9.99	AB Bank Limited	180,562,010	14.44
3	Bank Islam Malaysia Berhad	180,562,011	7.22	Akbar Brothers (Pvt) Ltd	124,849,499	9.98
4	AB Bank Limited	180,562,010	7.22	Islamic Development Bank	120,374,673	9.62
5	Mr. Mohamed Haji Omar	170,524,087	6.82	Expolanka Holdings PLC	90,281,006	7.22
6	Islamic Development Bank	158,061,757	6.32	Amāna Holdings Limited	75,750,755	6.06
7	Akbar Brothers (Pvt) Ltd	157,744,249	6.31	Millennium Capital Investment Pte. Limited	70,140,503	5.61
8	Mr. Farook Kassim	92,220,411	3.69	Mr. Nagi Saleh Mohammed Al Faqih	37,384,600	2.99
9	Millennium Capital Investment Pte. Limited	70,140,503	2.80	Trans Asia Trading Company	33,326,950	2.66
10	Mr. Osman Kassim jointly with Mrs K. Kassim	44,880,255	1.79	Mr. Sathiyamurthy Chandramohan	30,000,000	2.40
11	Mr. Shafik Kassim	41,303,215	1.65	Al Bogari Islamic Gold DMCC	17,678,178	1.41
12	Mr. Sattar Kassim	39,261,000	1.57	Mr. Ahamed Mihilar Mohamed Fazul Jiffry	14,284,200	1.14
13	Mr. Nagi Saleh Mohammed Al Faqih	37,384,600	1.49	ABC International Limited	11,920,000	0.95
14	Trans Asia Trading Company	32,082,707	1.28	Mr. Mohamed Haji Omar	10,300,000	0.82
15	Mr. Abdul Majeed Mohamedu Risvi	31,036,109	1.24	Amāna Takaful (Maldives) PLC	9,398,344	0.75
16	Amāna Holdings Limited	31,024,918	1.24	Mrs. Nabila Qureshi	6,534,733	0.52
17	Mr. Sathiyamurthy Chandramohan	30,000,000	1.20	Pan Asia Banking Corporation PLC / Lanka Commodity Brokers Ltd	6,142,800	0.49
18	Mr. Riyaz Mohamed Sangani	28,690,926	1.15	Mr. Muhammad Muslim Salahudeen	5,756,667	0.46
19	Almas Organisation (Pvt) Ltd	26,302,000	1.05	Mr. Abdul Majeed Mohamedu Risvi	5,433,690	0.43
20	Al Bogari IGL DMCC	17,678,178	0.71	Mr. Farook Kassim	5,232,644	0.42
	Sub total	2,210,926,597	88.39	Sub total	1,035,913,263	82.83
	Other Shareholders (Number of Shareholders - 6,788)	290,463,937	11.61	Other Shareholders (Number of Shareholders - 6,848)	214,782,004	17.17
	Total	2,501,390,534	100.00	Total	1,250,695,267	100.00

INVESTOR RELATIONS

4. PUBLIC HOLDING AND MARKET CAPITALISATION AS AT 31 DECEMBER

	2017	2016
Market Capitalisation (LKR)	9,255,144,975.80	5,002,781,068.00
Percentage of Public Holding (%)	42.95	31.31
Float Adjusted Market Capitalisation (LKR)	3,975,084,767.11	1,566,370,752.39
Number of Public Shareholders	6,773	6,840

5. DIRECTORS' HOLDING IN SHARES AS AT 31 DECEMBER

Name of Director	2017 No. of Shares	2016 No. of Shares
Mr. Osman Kassim	44,880,225	438,520
Mr. Tyeab Akbarally	52	26
Dr. A. A. M. Haroon	16	8
Mr. Mohamed Jazri Magdon Ismail	127,000	13,500
Mr. Haseeb Ullah Siddiqui	-	-
Mr. Wahid Ali Mohd. Khalil	-	-
Mr. Harsha Amarasekera, PC	-	-
Mr. Faheemul Huq	-	-
Mr. Rajiv Nandlal Dvivedi	-	-
Mr. Pradeep Dilshan Rajeeva Hettiaratchi	-	-
Mr. Huzefa Inayetally Akbarally (Alternate Director to Mr. Tyeab Akbarally)	1	1
Mr. Mohamed Faizel Mohamed Haddad (Alternate Director to Mr. Osman Kassim)	40,000	-
Mr. Mohd. Muazzam Mohamed (Alternate Director to Mr. Wahid Ali Mohd. Khalil)	-	-

Mr. Mohamed Azmeer, Chief Executive Officer's holding in shares as at 31 December 2017 amounted to 500,000 (31 December 2016 - 150,000)

- There were no material issues pertaining to employees and industrial relations that occurred during the year ended 31 December 2017.
- The aggregate value of non-recurrent related party transactions carried out during 2017 has not exceeded 10% of Equity or 5% of Total Assets of the Bank.
- The aggregate value of recurrent related party transactions carried out during 2017 has not exceeded 10% of Gross Income of the Bank.

9. UTILISATION OF FUNDS RAISED VIA RIGHTS ISSUE (ALLOTTED ON 4 AUGUST 2017)

Objective Number	Objective as per Circular	Amount Allocated as per Circular in LKR	Proposed Date of Utilisation as per Circular	Amount Allocated from Proceeds in LKR (A)	% of Total Proceeds	Amounts Utilised in LKR (B)	% of Utilisation Against Allocation (B/A)	Clarification if not fully Utilised
1	To raise the Core Capital of the Bank to LKR 7.5 Billion by 31 July 2017, as required by the CBSL.	2.2 billion	By 31 July 2017	2.2 billion	100%	2.2 billion	100%	Not Applicable
2	To further facilitate the increase of the Core Capital up to LKR 10 billion, to be in line with the Core Capital requirement of CBSL by 1 January 2018.	4.7 billion	By 1 Jan 2018	4.7 billion	100%	4.7 billion	100%	Not Applicable
3	Utilisation of funds for offering facilities to customers, placing funds with banks and/or financial institutions, maintaining funds with local and foreign counterparties, etc.	4.7 billion	Within one year of raising the funds	4.7 billion	100%	4.7 billion	100%	Not Applicable

CORRESPONDENT BANKS

Country	Name of Bank	SWIFT Code
Bangladesh	AB Bank Limited - Dhaka, Bangladesh	ABBLBDDH
Bahrain	Mashreq Bank PSC - Manama, Bahrain	BOMLBHBM
	Khaleeji Commercial Bank B.S.C. (C), Bahrain.	KHCBBHBM
Brunei	Bank Islam Brunei Darussalam Berhad, Brunei	BIBDBNBB
	Standard Chartered Bank - Shanghai, China	SCBLCNSX
China	Axis Bank Limited Shanghai Branch, China	AXISCNSH
Egypt	Mashreq Bank - Cairo, Egypt	MSHQEGCA
Germany	Deutsche Bank AG - Frankfurt, Germany	DEUTDEFF
	Standard Chartered Bank Germany Branch	SCBLDEFX
Hong Kong	Axis Bank Limited, Hong Kong.	AXISHKHH
India	AB Bank Limited - Mumbai, India	ABBLINBB
	Standard Chartered Bank - Mumbai, India	SCBLINBB
	Mashreq Bank - Mumbai, India.	MSHQINBB
	Axis Bank Limited - Mumbai, India	AXISINBB
Indonesia	Standard Chartered Bank - Jakarta, Indonesia	SCBLIDJX
Italy	Banca Ubae Spa - Roma, Italy	UBAITRR
Iraq	Cihan Bank For Islamic Investment And Finance, Iraq	CIHBQBA
Japan	U.B.A.F. - Tokyo Branch - Tokyo, Japan	UBAFJPJX
	Standard Chartered Bank - Tokyo, Japan	SCBLJPJT
Korea	U.B.A.F. - Seoul, Korea	UBAFKRSX
Kuwait	Mashreq Bank PSC, Kuwait	MSHQKWKW
Malaysia	Bank Islam Malaysia Berhad - Kuala Lumpur, Malaysia	BIMBMYKL
	Malayan Banking Berhad (Maybank) - Kuala Lumpur, Malaysia	MBBEMYKL
	Citibank Berhad - Kuala Lumpur, Malaysia	CITIMYKL
	Standard Chartered Bank Malaysia Berhad, Malaysia	SCBLMYKX
	Alkhair International Islamic Bank Berhad, Malaysia	UIIBMYKL
Maldives	Bank of Ceylon - Male, Maldives	BCEYMVMV
New Zealand	Bank of New Zealand - Wellington, New Zealand	BKNZNZ22
Oman	Bank Nizwa, Oman	BNZWOMRX
Pakistan	Meezan Bank Limited - Karachi, Pakistan	MEZNPKKA
	Standard Chartered Bank - Karachi, Pakistan	SCBLPKKX
	Faysal Bank Limited - Karachi, Pakistan	FAYSPKKA
Qatar	Mashreq Bank - Doha, Qatar	MSHQQAQA
	Standard Chartered Bank - Doha, Qatar.	SCBLQAQX
	Al Khalij Commercial Bank - Doha, Qatar	KLJIQAQA
	Abu Dhabi Islamic Bank - Doha, Qatar	ABDIQAQA

Country	Name of Bank	SWIFT Code
Singapore	U.B.A.F. - Singapore, Singapore	UBAFSGSX
	Standard Chartered Bank Singapore, Singapore.	SCBLSGSG
	Standard Chartered Bank Singapore, Singapore.	SCBLSG22
	Axis Bank Ltd, Singapore	AXISSGSG
	Wells Fargo Bank, NA, Singapore	PNBPSGSG
Saudi Arabia	Bank Al-Jazira - Jeddah, Saudi Arabia	BJAZSAJE
	Saudi Hollandi Bank - Riyadh - Saudi Arabia	AAALSARI
Switzerland	Habib Bank AG Zurich - Zurich, Switzerland	HBZUCHZZ
Turkey	Turkiye Garanti Bankasi A.S. - Istanbul, Turkey	TGBATRIS
	Turkiye Finans Katilim Bankasi A.S. - Istanbul, Turkey	AFKBTRIS
	Aktif Yatirim Bankasi A.S. Istanbul, Turkey	CAYTTRIS
United Arab Emirates	Dubai Islamic Bank - Dubai, U.A.E.	DUIBAEAD
	Standard Chartered Bank - Dubai, U.A.E.	SCBLAEAD
	Mashreq Bank PSC - Dubai, U.A.E.	BOMLAEAD
	Noor Islamic Bank - Dubai, U.A.E.	NISLAEAD
	Al Hilal Bank - Abu Dhabi, U.A.E.	HLALAEAA
	Abu Dhabi Islamic Bank - Abu Dhabi, U.A.E.	ABDIAEAD
	United Arab Bank – U.A.E.	UARBAEAA
	Mcb Bank Limited, Dubai, U.A.E.	MUCBAEAD
	Abu Dhabi Commercial Bank, U.A.E.	ADCBAEAA
	Axis Bank Limited, U.A.E.	AXISAEAD
United Kingdom	Bank Of Ceylon - London, U.K.	BCEYGB2L
	Mashreq Bank Psc - London, U.K.	MSHQGB2L
	Deutsche Bank Trust Company Americas - U.K.	BKTRGB2L
	Standard Chartered Bank - London, U.K.	SCBLGB2L
	Qib (UK) PLC – U.K.	EFHLGB2L
United States of America	Deutsche Bank AG - New York, U.S.A.	BKTRUS33
	Mashreq Bank PSC - New York Branch, U.S.A.	MSHQUS33
	Standard Chartered Bank - New York, U.S.A.	SCBLUS33

GLOSSARY OF BANKING AND FINANCIAL TERMS

A

Acceptances

Promise to pay created when the drawee of a time draft stamps or writes the words 'accepted' above his signature and a designated payment date.

Accounting Policies

The specific principles, bases, conventions, rules and practices adopted by an entity in preparing and presenting Financial Statements.

Accrual Basis

Recognising the effects of transactions and other events when they occur without waiting for receipt or payment of cash or its equivalent.

Actuarial Gains and Losses

Actuarial gains and losses comprise the effects of differences between the previous actuarial assumptions and what has actually occurred and the effects of changes in actuarial assumptions.

Actuarial Valuation

Fund value as determined by computing its normal cost, actuarial accrued liability, actuarial value of assets and other relevant costs and value.

Amortisation

The systematic allocation of the depreciable amount of an intangible asset over its useful life.

Amortised Cost

Amount at which the Financial Asset or Financial Liability is measured at initial recognition, minus principal payments, plus or minus the cumulative amortisation using the effective profit rate of any difference between that initial amount and the maturity amount and minus any reduction for impairment or uncollectability.

Asset and Liability Committee (ALCO)

A risk management committee in a bank that generally comprises the corporate and senior management levels of the institution. The ALCO's primary goal is to evaluate, monitor and approve practices relating to risk due to imbalances in the capital structure. Among the factors considered are

liquidity risk, market risk, foreign exchange risk and external events that may affect the Bank's forecast and strategic balance sheet allocations.

Available for Sale

Available for Sale investments are non-derivative financial assets that are not designated as financing and receivables, held to maturity or fair value through profit or loss. It does not necessarily mean that the Bank is holding the investments for disposal in the short term.

B

Bills for Collection

A bill of exchange drawn by an exporter usually at a term, on an importer overseas and brought by the exporter to his bank with a request to collect the proceeds.

C

Capital Adequacy Ratio (CAR)

The ratio between capital and risk weighted assets as defined in the standards developed by the Bank for International Settlement (BIS) and as modified by the Central Bank of Sri Lanka to suit local requirements.

Capital Gain

The gain on the disposal of an asset calculated by deducting the cost of the asset from the proceeds received on its disposal.

Capital Reserve

A reserve identified for specific purposes which is not available for distribution.

Carrying Value

Value of an asset or a liability as per books of the organisation before adjusting for fair value.

Cash Equivalents

Short term highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

Collectively Assessed Impairment

Impairment assessment on a collective basis for homogeneous groups of advances that are not considered individually significant and to cover losses which have been incurred but have not yet been identified on advances subject to individual assessment.

Commitments

Credit facilities approved but not yet utilised by customers as at the reporting date.

Contingencies

A condition or situation, the ultimate outcome of which, gain or loss, will be confirmed only by occurrence or non-occurrence of one or more future events.

Contractual Maturity

Contractual maturity refers to the final payment date of a facility or other financial instrument, at which point all the remaining outstanding capital will be repaid and financing charges is due to be paid.

Corporate Governance

The process by which corporate entities are governed. It is concerned with the way in which power is exercised over the management and the direction of the Bank, the supervision of executive actions and accountability to stakeholders.

Correspondent Bank

A bank in a foreign country that offers banking facilities to customers of a bank in another country.

Cost to Income Ratio

Total operating expenses compared to total operating income.

Credit Ratings

An evaluation of a corporate's ability to repay its obligations or likelihood of not defaulting, carried out by an independent rating agency.

Credit Risk

Credit risk is the risk that the Bank will incur a loss because its customers or counterparties fail to discharge their contractual obligations.

Currency Risk

The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates.

D**Dealing Securities**

Securities acquired and held with the intention of reselling them in the short term.

Deferred Taxation

Sum set aside for income tax in the Financial Statements that may become payable/receivable in a financial year other than the current financial year. It arises because of timing differences between tax rules and accounting conventions.

Depreciation

The systematic allocation of the depreciable amount of an asset over its useful life.

Derecognition

Removal of a previously recognised financial asset or financial liability from an entity's Statement of Financial Position.

Derivatives

A derivative is a financial instrument or other contract, the value of which changes in response to some underlying variable that has an initial net investment smaller than would be required for other instruments that have a similar response to the variable, and that will be settled at a future date.

E**Earnings Per Share (EPS)**

Profit attributable to ordinary shareholders, divided by the weighted average number of ordinary shares in issue.

Effective Profit Rate (EPR)

The rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period to the net carrying amount of the financial asset or financial liability.

Effective Tax Rate

Income tax expense for the year divided by the profit before tax.

Equity Instrument

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities.

Equity Risk

The risk arising from positions, either long or short, in equities or equity based instruments, which create exposure to a change in the market price of the equities or equity instruments.

Events After the Reporting Date

Events after the reporting date are those events, both favourable and unfavourable, that occur between the reporting date and the date when the Financial Statements are authorised for issue.

Expected Loss (EL)

A regulatory calculation of the amount expected to be lost on an exposure using a 12 month time horizon and downturn loss estimates. EL is calculated by multiplying the probability of default by the exposure at default and loss given default.

F**Fair Value**

Fair value is the amount for which an asset could be exchanged between a knowledgeable, willing buyer and a knowledgeable, willing seller in an arm's length transaction.

Fair Value Adjustment

An adjustment to the fair value of a financial instrument which is determined using a valuation technique to include additional factors that would be considered by a market participant that are not incorporated within the valuation model.

Finance Lease

A lease in which the lessee acquires all the financial benefits and risks attaching to ownership of the asset under lease.

Financial Asset or Financial Liability at Fair Value Through Profit or Loss

Financial asset or financial liability that is held for trading or upon initial recognition designated by the entity as at 'Fair Value through Profit or Loss'.

Financial Assets

Any asset that is cash, an equity instrument of another entity or a contractual right to receive cash or another financial asset from another entity.

Financial Guarantee Contracts

A contract that requires the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the original or modified terms of a debt instrument.

Financial Instruments

Any contract that gives rise to a financial asset of one entity and financial liability or equity instrument of another entity.

Financial Liability

Financial liability is a contractual obligation to deliver cash to another entity or to exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavourable to the entity.

Financing and Receivables

Non-derivative financial assets with fixed or determinable payments that are not quoted in an active market other than those intended to sell immediately or in the near term and designated as fair value through profit or loss or available for sale on initial recognition.

Foreign Exchange Income

The gain recorded when assets or liabilities denominated in foreign currencies are translated into Sri Lankan Rupees on the reporting date at prevailing rates which differ from those rates in force at inception or on the previous reporting date. Foreign exchange income also arises from trading in foreign currencies.

GLOSSARY OF BANKING AND FINANCIAL TERMS

Forward Exchange Contracts

An agreement between two parties to exchange one currency for another at a future date at a rate agreed upon today.

G

General Provisions

General provisions are established for loans and advances for anticipated losses on aggregate exposures where credit losses cannot yet be determined on an individual facility basis.

Guarantees

A promise made by a third party (Guarantor), who is not a party to a contract between two others, that the guarantor will be liable on behalf of whom the guarantee is issued if the individual fails to fulfil the contractual obligations.

H

Held for Trading

Investments that are purchased with the intent of selling them within a short period of time.

Held to Maturity Financial Assets

Held to maturity investments are non-derivative financial assets with fixed or determinable payments and a fixed maturity that an entity has the positive intention and ability to hold to maturity.

Historical Cost Convention

Recording transactions at the actual value received or paid.

I

Impairment

This occurs when the recoverable amount of an asset is less than its carrying amount.

Impairment Allowances

Management's best estimate of losses incurred on its assets as at the reporting date.

Impairment Charge/(Reversal)

The difference between the carrying value of an asset and the sum of discounted future cash flows generating from the same asset.

Individually Assessed Impairment

Exposure to loss is assessed individually for assets that are individually significant above a certain threshold.

Intangible Asset

An identifiable non-monetary asset without physical substance.

Investing Activities

The acquisition and disposal of long term assets and other investments not included in cash equivalents.

Investment Securities

Securities acquired and held for yield and/or capital growth.

K

Key Management Personnel

Key Management Personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any Director (whether executive or otherwise) of the Bank.

Key Performance Indicators (KPIs)

KPIs are quantifiable measurements, agreed at the commencement of the year that reflect the critical success factors of the Bank.

L

Letter of Credit

Written undertakings by a Bank on behalf of its customer (typically an importer), authorising a third party (e.g. an exporter) to draw drafts on the Bank up to a stipulated amount under specific terms and conditions. Such undertakings are established for the purpose of facilitating international trade.

Liquid Assets

Assets that are held in cash or in a form that can be converted to cash readily.

Liquidity Risk

Liquidity risk implies the potential for loss to the Bank due to inability to meet its obligation or to fund the increase in assets as they fall due without incurring high cost.

Loss Given Default ('LGD')

The estimated ratio (percentage) of the loss on an exposure to the amount outstanding at default (EAD) upon default of counterparty.

M

Market Capitalisation

Number of ordinary shares in issue multiplied by the market value of each share at the year end.

Market Risk

Market risk denotes the risk of losses arising out of positions in the Statement of Financial Position due to changes in market prices.

Materiality

The relative significance of a transaction or an event, the omission or misstatement of which could influence the economic decisions of users of Financial Statements.

N

Net Assets Value Per Share

Shareholders' funds divided by the number of ordinary shares in issue.

Net Realisable Value

The estimated selling price in the ordinary course of the business, less the estimated cost of completion and the estimated necessary costs to make the sale.

Non-Performing Advances Ratio

Non-Performing advances expressed as a percentage of the total outstanding advances.

Nostro Account

A foreign currency current account maintained with another Bank, usually but not necessarily a foreign correspondent Bank.

O**Off Balance Sheet Transactions**

Transactions that are not recognised as assets or liabilities in the Statement of Financial Position, but which give rise to commitments and contingencies.

Operational Risk

Operational risk refers to the loss resulting from inadequate or failed internal processes, people and systems or from external events.

P**Past Due**

A financial asset is past due when a counterparty has failed to make a payment when contractually due.

Probability of Default

Probability of default is an internal estimate for each customer grade of the likelihood that an obligor will default on an obligation.

Projected Unit Credit Method

An actuarial valuation method that sees each period of service as giving rise to an additional unit of benefit entitlement and measures each unit separately to build up the final obligation.

Provisions

A provision is an amount set aside for probable, but uncertain, economic obligations of the Bank.

R**Related Parties**

Parties where one party has the ability to control the other party or exercise significant influence over the other party in making financial and operating decisions, directly or indirectly.

Return on Average Assets

Profit for the year divided by Average Assets.

Return on Equity (ROE)

Profit for the year expressed as a percentage of average ordinary shareholders' equity.

Revaluation Reserve

Part of the shareholders' equity that arises from changes in the current value of property, plant and equipment.

Revenue Reserves

Reserves set aside for future distribution and investment.

Rights Issue

Issue of shares to the existing shareholders at an agreed price, generally lower than market price.

Risk Weighted Assets

On Balance Sheet assets and the credit equivalent of off Balance Sheet assets multiplied by the relevant risk weighting factors.

S**Segment Reporting**

Segment reporting indicates the contribution to the revenue derived from business segments.

Shareholders' Funds

Shareholders' funds consist of stated capital plus capital and revenue reserves.

Statutory Reserve Fund

A capital reserve created in accordance with the provisions of the Banking Act No. 30 of 1988 as amended.

T**Tier I Capital**

Consists of the sum total of paid up ordinary shares, non cumulative, non redeemable preference shares, share premium, statutory reserve fund, published retained profits, general and other reserves, less goodwill.

Tier II Capital

Consists of the sum total of revaluation reserves, general provisions, hybrid capital instruments and approved subordinated debt.

Total Capital

Total Capital is the sum of Tier I capital and Tier II capital.

Transaction Costs

Transaction costs are incremental costs that are directly attributable to the acquisition, issue or disposal of a financial asset or financial liability.

U**Undrawn Credit Lines**

Credit facilities approved but not yet utilised by the clients as at the end of the reporting period

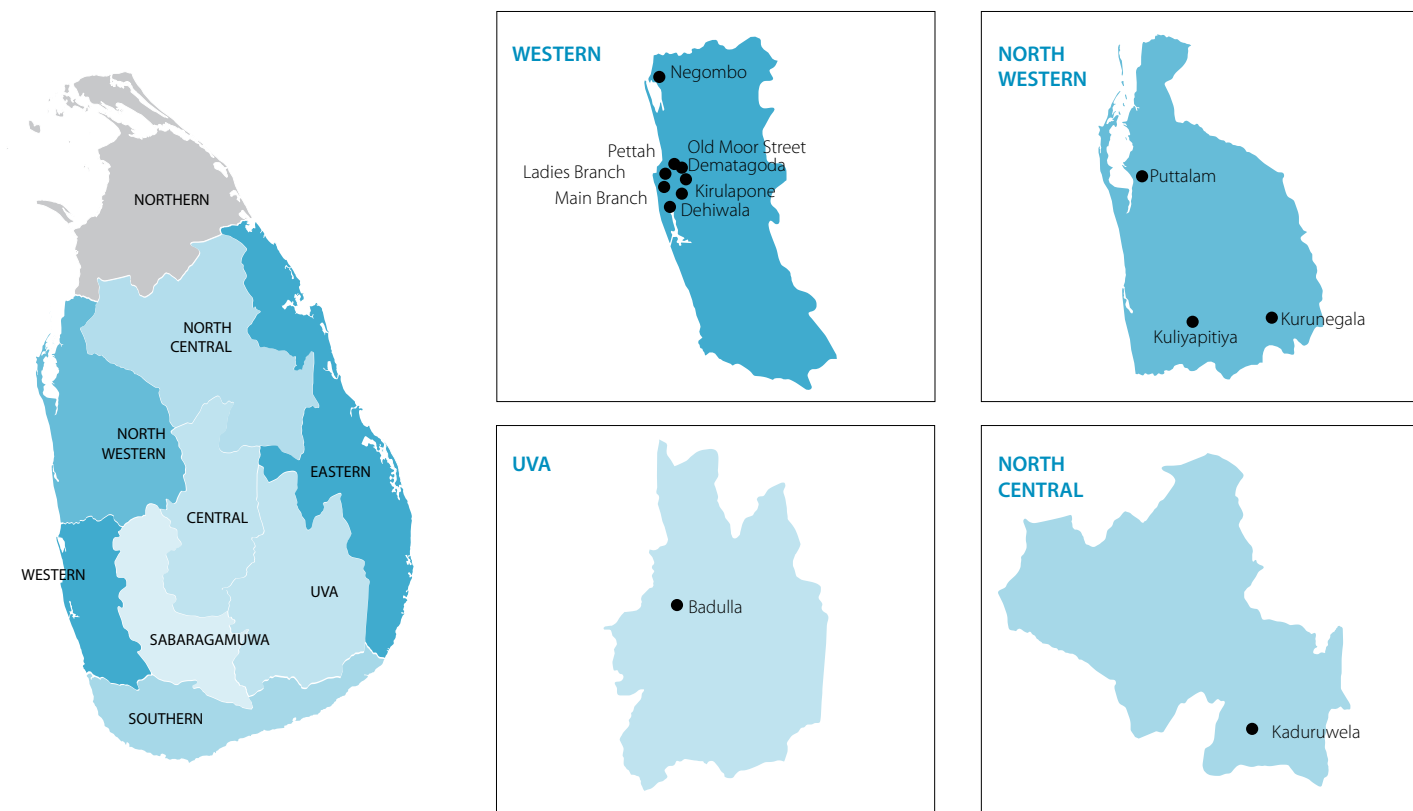
V**Value Added**

Value added is the wealth created by providing banking services less the cost of providing such services. The value added is allocated among the employees, the providers of capital, to Government by way of taxes and retained for expansion and growth.

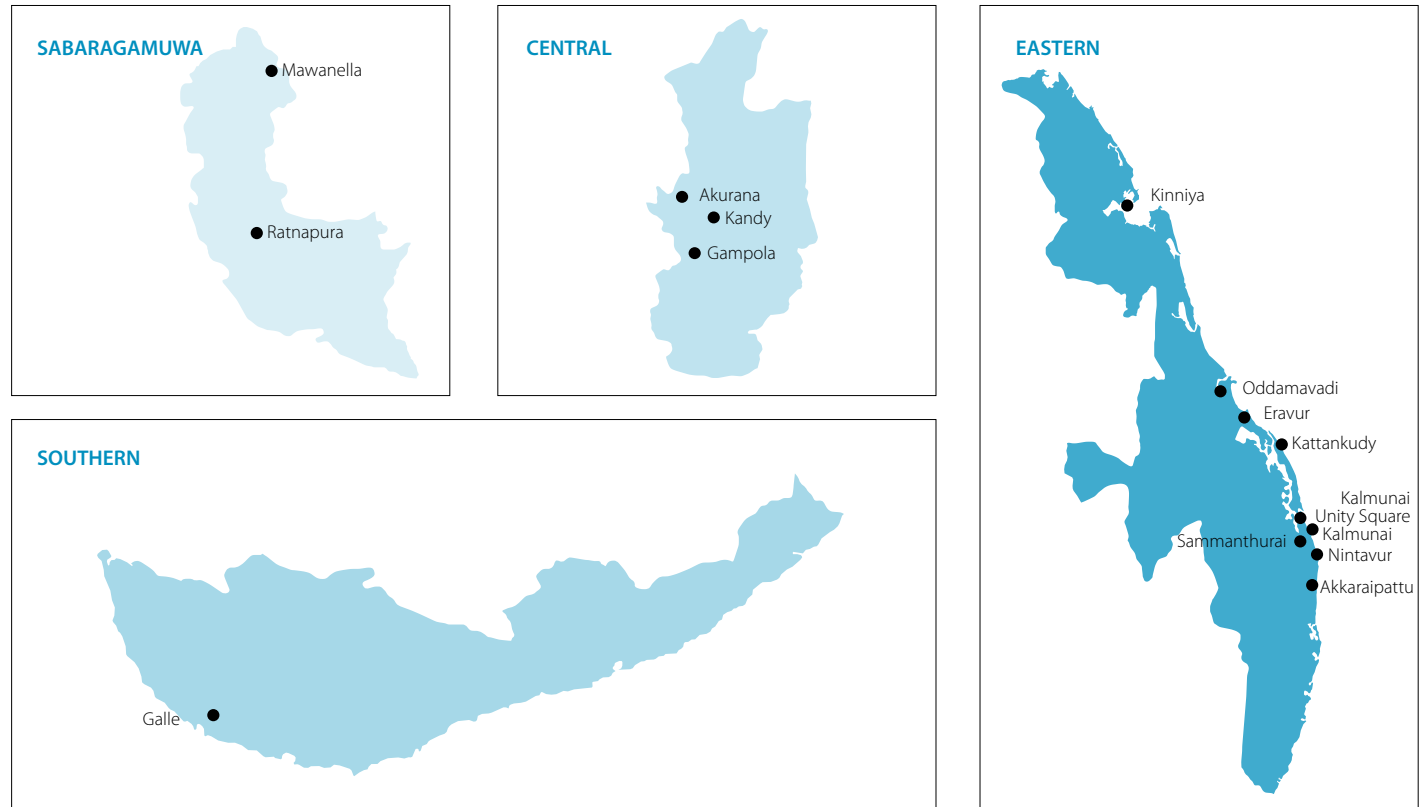
Value Added Taxes on Financial Services

Value Added Taxes on Financial Services is computed based on profit before tax from financial services subject to adjustment for depreciation and emoluments payable to employees and Directors.

BRANCH NETWORK INFORMATION



Branch	Address	District	Province	Telephone No.	Fax No.	E-Mail
Akkaraipattu	102, Main Street, Akkaraipattu	Ampara	Eastern	067-7756015	672279319	akkaraipattu@amana.lk
Akurana	204/1, Matale Road, Akurana	Kandy	Central	081-7756010	812304761	akurana@amana.lk
Badulla	18/1, Lower Kings Street, Badulla	Badulla	Uva	055-7756021	552228280	badulla@amana.lk
Dehiwala	28, Galle Road, Dehiwala	Colombo	Western	011-7756016	112722505	dehiwala@amana.lk
Dematagoda	Kent Road, Dematagoda, Colombo 9	Colombo	Western	011-7756028	117756889	dematagoda@amana.lk
Eravur	108/5, Punnakuda Road, Eravur	Batticaloa	Eastern	065-7756019	652241410	eravur@amana.lk
Galle	24, Old Matara Road, Galle	Galle	Southern	091-7756008	912226610	galle@amana.lk
Gampola	119, Kandy Road, Gampola	Kandy	Central	081-7756011	812350786	gampola@amana.lk
Kaduruwela	379, Main Street, Kaduruwela	Polonnaruwa	North Central	027-7756022	272227009	kaduruwela@amana.lk
Kalmunai	Main Street, Kalmunai	Ampara	Eastern	067-7756006	672223599	kalmunai@amana.lk
Kalmunai Unity Square	KUS Shopping Complex, Main Street, Kalmunai	Ampara	Eastern	067-7756026	672059779	kalmunaimi@amana.lk
Kandy	105, Kotugodella Veediya, Kandy	Kandy	Central	081-7756003	812200238	kandy@amana.lk
Kattankudy	237, Main Street, Kattankudy	Batticaloa	Eastern	065-7756004	652247399	kattankudy@amana.lk
Kinniya	264, Main Street, Kinniya	Trincomalee	Eastern	026-7756025	262236656	kinniya@amana.lk



Branch	Address	District	Province	Telephone No.	Fax No.	E-Mail
Kirulapone	124, Maya Avenue, Colombo 6	Colombo	Western	011-7756029	117756899	kirulapone@amana.lk
Kuliyapitiya	215 1/1, Main Street, Kuliyapitiya	Kurunegala	North Western	037-7756018	372282280	kuliyapitiya@amana.lk
Kurunegala	137, Puttalam Road, Kurunegala	Kurunegala	North Western	037-7756014	372221925	kurunegala@amana.lk
Ladies Branch - Colombo 3	480, Galle Road, Colombo 3	Colombo	Western	011-7756381	117756389	ladiesbranch@amana.lk
Main Branch - Colombo 3	480, Galle Road, Colombo 3	Colombo	Western	011-7756000	114718148	mainbranch@amana.lk
Mawanella	22B, New Kandy Road, Mawanella	Kegalle	Sabaragamuwa	035-7756013	352248181	mawanella@amana.lk
Negombo	97, Colombo Road, Negombo	Gampaha	Western	031-7756020	312231765	negombo@amana.lk
Nintavur	40/5, Main Street, Nintavur 24	Ampara	Eastern	067-7756017	672251591	nintavur@amana.lk
Oddamavadi	Main Street, Mawadichennai	Batticaloa	Eastern	065-7756009	652258099	oddamavadi@amana.lk
Old Moor Street	330, Old Moor Street, Colombo 12	Colombo	Western	011-7756027	117756879	oms@amana.lk
Pettah	129, Main Street, Colombo 11	Colombo	Western	011-7756002	112380688	pettah@amana.lk
Puttalam	23, Colombo Road, Puttalam	Puttalam	North Western	032-7756024	322267188	puttalam@amana.lk
Ratnapura	133, Main Street, Ratnapura	Ratnapura	Sabaragamuwa	045-7756023	452230245	ratnapura@amana.lk
Sammanthurai	3, Ampara Road, Sammanthurai	Ampara	Eastern	067-7756012	672261299	sammanthurai@amana.lk

NOTES

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This image shows a full page of white paper with horizontal dotted lines. The lines are evenly spaced and run across the width of the page, providing a guide for handwriting or typing. There are no margins, text, or other markings on the page.

NOTICE OF ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN THAT the Ninth Annual General Meeting of Amāna Bank PLC will be held on Friday, 20 April 2018 at 3.00 p.m. at the Banquet Hall (Ground Floor), Bandaranaike Memorial International Conference Hall (BMICH), Bauddhaloka Mawatha, Colombo 7.

AGENDA

- 1) To receive and consider the Annual Report of the Board and the Financial Statements of the Bank for the financial year ended 31 December 2017 together with the Report of the Auditors thereon.
- 2) To re-elect the following Directors who retire by rotation in terms of Article 29(6) of the Articles of Association of the Company.
 - (a) To re-elect Mr. Pradeep Dilshan Rajeeva Hettiaratchi (Non-Executive, Independent Director) who retires at the Annual General Meeting, in terms of Article 29(6) of the Articles of Association of the Company.
 - (b) To re-elect Mr. Rajiv Nandlal Dvivedi (Non-Executive, Independent Director) who retires at the Annual General Meeting, in terms of Article 29(6) of the Articles of Association of the Company.
 - (c) To re-elect Mr. Tyeab Akbarally (Non-Executive, Non-Independent Director) who retires at the Annual General Meeting, in terms of Article 29(6) of the Articles of Association of the Company.
 - (d) To re-elect Mr. Osman Kassim (Non-Executive, Non-Independent Director) who retires at the Annual General Meeting, in terms of Article 29(6) of the Articles of Association of the Company.

- 3) To re-elect the following Directors who have been appointed since the last Annual General Meeting of the Company in terms of Article 29(13) of the Articles of Association of the Company.
 - (a) To re-elect Mr. Aaron Russell-Davison (Non-Executive, Independent Director) who has been appointed since the last Annual General Meeting of the Company in terms of Article 29 (13) of the Articles of Association of the Company.
 - (b) To re-elect Mr. Adeeb Ahmad (Non-Executive, Non-Independent Director) who has been appointed since the last Annual General Meeting of the Company in terms of Article 29 (13) of the Company
 - (c) To re-elect Mr. Mohammed Ataur Rahman Chowdhury (Non-Executive, Non-Independent Director) who has been appointed since the last Annual General Meeting of the Company in terms of Article 29 (13) of the Articles of Association of the Company.
- 4) To re-appoint Messrs Ernst & Young, Chartered Accountants, as the Auditors, for the ensuing year and authorise the Directors to determine their remuneration.
- 5) To re-appoint the Sharia Supervisory Council consisting of:
 - a) Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani
 - b) Ash-Sheikh Nazri Bin Chik
 - c) Ash- Sheikh M. M. A. Mubarak
 - d) Ash-Sheikh Mufti M. I. M. Rizwe
 - e) Ash-Sheikh Mufti Muhammad Hassaan Kaleem

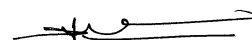
- 6) To consider and if thought fit pass the following resolution as a Special Resolution for the purpose of approving the creation and establishment of Amāna Bank Orphan Care Trust, to carry out charitable objectives morefully described in the Deed of Trust.

Special Resolution:

“RESOLVED that the Shareholders of Amāna Bank PLC do approve the creation and establishment of the Trust named “AMĀNA BANK ORPHAN CARE TRUST” by the Bank and authorised the Directors to determine such amounts as deemed necessary to form part of the Trust Property and the Board of Directors of the Bank be and are hereby authorised to take appropriate steps and pass necessary resolutions to effect the said creation and establishment of the Trust named “AMĀNA BANK ORPHAN CARE TRUST” by the Bank.”

- 7) Any other business.

By Order of the Board,



Mrs. Samitha Dayani de Silva
Company Secretary

17 March 2018
Colombo.

NOTE:

Shareholders/proxy holders are requested to bring with them their National Identity Cards or any other form of clear/valid identification and present same at the time of registration.

FORM OF PROXY

I/We of
..... being a Shareholder/s* of the above named Company,

hereby appoint of or

- | | |
|---|----------------|
| 1. Mr. Osman Kassim | or failing him |
| 2. Mr. Tyeab Akbarally | or failing him |
| 3. Mr. Mohamed Jazri Magdon Ismail | or failing him |
| 4. Mr. Harsha Amarasekera | or failing him |
| 5. Mr. Pradeep Dilshan Rajeeva Hettiaratchi | or failing him |
| 6. Mr. Haseeb Ullah Siddiqui | or failing him |
| 7. Mr. Wahid Ali Bin Mohd. Khalil | or failing him |
| 8. Mr. Rajiv Nandlal Dvivedi | or failing him |
| 9. Mr. Aaron Russell-Davison | or failing him |
| 10. Mr. Adeeb Ahmad | or failing him |
| 11. Mr. Mohammed Ataur Rahman Chowdhury | |

as my/our* Proxy to represent me/us* and vote for me/us* on my/our* behalf at the Annual General Meeting of the Company to be held on Friday 20 April 2018 at 3.00 p.m. at the Banquet Hall (Ground Floor), Bandaranaike Memorial International Conference Hall (BMICH), Bauddhaloka Mawatha, Colombo 7, Sri Lanka and at any adjournment thereof.

Signed this day of 2018.

.....
Signature

Please provide the following details:

Shareholder's NIC No./Company Registration No. :

Number of Shares held :

Proxy holder's NIC No. :

*Please delete the inappropriate words.

NOTES:

- 1. A member entitled to attend and vote is entitled to appoint a proxy to attend and vote in his/her place.
- 2. A proxy need not be a member of the Company.

FORM OF PROXY

INSTRUCTIONS FOR THE COMPLETION OF FORM OF PROXY

1. The Form of Proxy must be duly completed and signed by the member/s in block capitals giving the name and address of shareholder/s and the name, address and NIC of the Proxy holder clearly and legibly. Where necessary delete the inapplicable words indicated by asterisk.
2. The completed Form of Proxy should be deposited at the office of the Company Secretary, 7th Floor, No. 403, Galle Road, Colombo 3 not less than 24 hours before the time appointed for the holding of the meeting. (by 3.00 pm on Thursday 19 April 2018)
3. If the Proxy has been signed by an Attorney, the relative Power of Attorney should accompany the completed Proxy for registration, if such Power of Attorney had not been registered with the Company.
4. In the case of a Company/Corporation, the Proxy must be under its Common Seal (where applicable) which should be affixed and attested in the manner prescribed by its Articles of Association/Act of Incorporation signed by two Directors or a Director and Secretary of the Company with the Company rubber stamp placed on it.
5. In case of joint shareholders the first named shareholder only can sign the Form of Proxy.

CORPORATE INFORMATION

Name of the Institution

Amāna Bank PLC

LEGAL FORM

A Public Limited Liability Company incorporated in Sri Lanka on 5 February 2009 under the Companies Act No. 07 of 2007 and listed on the Diri Savi Board of the Colombo Stock Exchange on 29 January 2014 and re-registered under the Companies Act No. 07 of 2007 on 28 August 2014. Amāna Bank PLC is a Licensed Commercial Bank under the Banking Act No.30 of 1988 and amendments thereto

Company Registration Number

PB 3618 PQ

Accounting Year End

31 December

Business

Commercial banking and related services

External Credit Rating

The Bank is rated by Fitch Ratings Lanka Limited as BB(lka) Stable Outlook

Registered Office

480, Galle Road, Colombo 3, Sri Lanka

Tel : (94) - (11) - 7756000

Fax : (94) - (11) - 2574419

SWIFT

AMNALKLX

Web

www.amanabank.lk

Tax Payer Identification Number (TIN)

134036184

Vat Registration Number

134036184-7000

Board of Directors (As at 31 December 2017)

1. Mr. Osman Kassim (*Chairman, Non-Executive, Non-Independent Director*)
2. Mr. Tyeab Akbarally (*Deputy Chairman, Non-Executive, Non-Independent Director*)
3. Mr. Mohamed Jazri Magdon Ismail (*Non-Executive, Independent Senior Director*)
4. Dr. Aboobacker Admani Mohamed Haroon (*Non-Executive, Non-Independent Director*)
5. Mr. Haseeb Ullah Siddiqui (*Non-Executive, Non-Independent Director*)

6. Mr. Wahid Ali Bin Mohd. Khalil (*Non-Executive, Non-Independent Director*)
7. Mr. Harsha Amarasekera, PC (*Non-Executive, Non-Independent Director*)
8. Mr. Rajiv Nandlal Dvivedi (*Non-Executive, Independent Director*)
9. Mr. Pradeep Dilshan Rajeeva Hettiaratchi (*Non-Executive, Independent Director*)
10. Mr. Faheemul Huq (*Non-Executive, Non-Independent Director*) - appointed with effect from 25 February 2017

Alternate Directors (As at 31 December 2017)

1. Mr. Huzefa Inayetally Akbarally - Alternate Director to Mr. Tyeab Akbarally
2. Mr. Mohamed Faizel Mohamed Haddad - Alternate Director to Mr. Osman Kassim
3. Mr. Mohd. Muazzam Mohamed - Alternate Director to Mr. Wahid Ali Bin Mohd. Khalil

Sharia Supervisory Council

- a) Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani
- b) Ash-Sheikh Nazri Bin Chik
- c) Ash-Sheikh M. M. A. Mubarak
- d) Ash-Sheikh Mufti M. I. M. Rizwe
- e) Ash-Sheikh Mufti Muhammad Hassaan Kaleem

Board Committees (As at 31 December 2017)

- ◆ **Board Audit Committee**
 1. Mr. Mohamed Jazri Magdon Ismail - Chairman
 2. Mr. Rajiv Nandlal Dvivedi - Member
 3. Mr. Wahid Ali Mohd. Khalil - Member (appointed with effect from 19 August 2017)
 4. Dr. A. A. M. Haroon - Member (appointed with effect from 19 August 2017)
- ◆ **Board Integrated Risk Management Committee**
 1. Mr. Rajiv Nandlal Dvivedi - Chairman
 2. Mr. Mohamed Jazri Magdon Ismail - Member
 3. Mr. Mohamed Azmeer (CEO) - Member
 4. Mr. Ajmal Naleer (CRO) - Member

◆ Board Nomination Committee

1. Mr. Mohamed Jazri Magdon Ismail - Chairman
2. Mr. Dilshan Hettiaratchi - Member
3. Mr. Harsha Amarasekera - Member
4. Mr. Tyeab Akbarally - Member (appointed with effect from 19 August 2017)
5. Mr. Rajiv Nandlal Dvivedi - Member (appointed with effect from 19 August 2017)

◆ Board Human Resources and Remuneration Committee

1. Mr. Tyeab Akbarally - Chairman
2. Mr. Mohamed Jazri Magdon Ismail - Member
3. Mr. Dilshan Hettiaratchi - Member

◆ Related Party Transactions Review Committee

1. Mr. Mohamed Jazri Magdon Ismail - Chairman
2. Mr. Rajiv Nandlal Dvivedi - Member
3. Mr. Dilshan Hettiaratchi - Member

Company Secretary

Mrs. Samitha Dayani de Silva, FCIS, FCCS

Auditors

Messrs Ernst & Young
Chartered Accountants
No. 201, De Saram Place,
Colombo 10, Sri Lanka

Lawyers

Messrs F J & G de Saram
Attorneys-at-Law & Notaries Public
No. 216, De Saram Place,
Colombo 10, Sri Lanka

For investor relations and clarifications on the report, please contact:

Company Secretarial Division
Amāna Bank PLC
480, Galle Road, Colombo 3, Sri Lanka
Tel : +94 11 7757511



Amāna Bank PLC

480, Galle Road, Colombo 3, Sri Lanka
www.amanabank.lk